

Punjab National Bank (PNB)

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Call: May 2023

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"Webinar of Punjab National Bank for the Financial Year Ended FY22-23"

May 19, 2023

MANAGEMENT : SHRI ATUL KUMAR GOEL – MD & CEO
SHRI VIJAY DUBE – EXECUTIVE DIRECTOR
SHRI KALYAN KUMAR – EXECUTIVE DIRECTOR
SHRI BINOD KUMAR – EXECUTIVE DIRECTOR
SHRI M. PARAMASIVAM – EXECUTIVE DIRECTOR

MODERATOR : MR. RAKESH KUMAR – B&K SECURITIES

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Moderator: Welcome to the Webinar of Punjab National Bank for the Financial Year Ended FY22-23.

The Bank is represented by Managing Director and CEO – Shri Atul Kumar Goel, Executive Directors – Shri Vijay Dube, Shri Kalyan Kumar, Shri Binod Kumar and Shri M. Paramasivam and other Senior Members of the Top Management.

The structure of the con-calls shall include an opening statement by MD and CEO sir and then the floor will be open for interaction.

Before getting into the con-call I will read out usual disclaimer statement:

I would like to submit that the statements given herein are not guarantees of future performance and undue reliance should not be placed on them. Such forward-looking statements necessarily involve known and unknown risks and uncertainties, which may cause actual performance and financial results in future periods to differ materially from any projections of future performance or result expressed or implied by such forward-looking statements. Investors are therefore requested to check the information independently before making any investments or other decisions. Over to you MD sir.

Atul Kumar Goel: Good afternoon to everybody. I welcome all the Analysts to the Q4-FY23 Results Webinar. I am happy to share the result of the Quarterly closing March. 2023 as well as the whole of the Financial Year '22-23 of the Punjab National Bank.

Before I start, I think this quarter was a very good quarter for the Bank because if you see last five quarters, which we have published the result, this is one of the best quarters because the profitability has increased tremendously, gross NPA, net NPA has reduced drastically, operating profit and net interest margin has also increased and as well as PCR is also increased.

I will give some of the idea of whatever we have performed last quarter and the last financial year.

The gross business of the Bank increased by 12.14% to the tune of Rs. 21.65 lakh crore. Then gross deposit increase YoY of 11.77% to the Rs. 12.81 lakh crore. Gross advance increased by 12.7% at Rs. 884,681Cr.

Saving Bank there was a growth of around 2.72% and stood at Rs. 463,987 crore and CASA share is 42.98% and the RAM share out of the total advances is Rs. 4,69,981 crore, which is 55.3%.

Now come to the profitability part:

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The net interest income, there is a robust growth of 30.05% YoY which used to be around Rs. 7304 crore in the March Quarter of the '21-22 r has increased to Rs. 9499 crore for the quarter ended March 2023.

Similarly, the operating profit there is an increase of around 11.42%. The operating profit for the March '22 Quarter was Rs. 5265 crore which has increased to Rs. 5866 crore.

As far as net profit of the Bank is concerned, net profit of the Bank in March 2022 was Rs. 202 crore, which has increased to Rs. 1159 crore with the growth of 473.57%.

As far as asset quality of the Bank is concerned, quarter-by-quarter there is an improvement in asset quality and one more important thing every quarter from the June '22 to March' 23, the recovery was much more than the addition. GNPA which used to be around Rs. 92,448 crore as on the March 2022 as reduced to Rs. 77,328 crore and GNPA in terms of the percentage 11.78% March '22, has reduced to 8.74% by March '23.

Net NPA, which used to be around Rs. 34909 crore in March '22 reduced to Rs. 22,585 crore and net NPA, which used to be 4.80% reduced to 2.72% and we have given the guidance for the 9% for the gross NPA, which reduced to 8.74%. Similarly, we had given the guidance for the 3% of the net NPA which reduced to 2.72%. PCR, which used to be around 81.60% by the end of March '22 improved to 86.90%.

One more thing, as I told you recovery versus slippage, there was a lot of improvement in the recovery versus slippage. June '22 Quarter recovery was Rs. 7057 crore which increased to Rs. 8565 cro

re in September and Rs. 6035 crore was in December and Rs. 7439 crore was in March as against the target of around Rs. 32,000 crore for all of the year. We have recovered Rs. 29096 crores.

As far as slippage is concerned, slippage is reducing quarter-by-quarter. In 1st Quarter June '22 slippage was Rs. 6468 crores which reduced to Rs. 5979 crores in the September Quarter. Further it is reduced to Rs. 4072 crores in the December quarter and further it is reduced to Rs. 3996 crores in the March '23 Quarter. The Bank has done good as far as the recovery in the asset quality is concerned.

As far as capital adequacy is concerned, there is an increase of the 100 basis points in CAR It was 14.5% in March '22, which has increased to 15.50% and the Tier-1 which was 11.73% increased to 12.69%.

And the cost of deposit, which was 4.15% in December '22, 3.97% in the March '22 increased to 4.54%. Yields on advances has also improved which was 6.80% in the March '22 improved to 8.05% in the March '23 and it was 7.35% in the December Quarter last year 2022.

There is an increase in the cost-to-income ratio from 46% to 54.59%. This is major on account of the increase in the employee cost last quarter. In the last March Quarter, we have made a

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provision of Rs. 278 crore for the wage revision which is due from November 2022. November and December we have provided in the December quarterly result and AS15, we have made a provision of Rs. 1244 crores, which includes the impact of the wage revision gratuity as well as on the pension.

We have also made a provision of (PLI) performance incentive of Rs. 103 crore out of which Rs. 79 crores was provided in the December Quarter itself because as per the bipartite settlement, if improvement in the 5% in the OP, all the staff is entitled for the five days PLI. So, this is the reason for the increase in the cost-to-income ratio.

As far as NIM is concerned, NIM domestic is 3.38% and the NIM Global is 3.24% as against the 2.86% in the March '22 and 2.76% global NIM in the March '22.

As far as provision for NPA is concerned, March '23 we have made a provision of Rs. 3624 crore. credit cost is coming 1.72%. It was Rs. 4563 crore in March '22, which was around 2.45% as the credit cost, December '22 figure was Rs. 3908 crores, which is 1.87%. For the full year, the credit cost was 2.03%.

As far as RAM is concerned, as I told you, it was 51.23% increased to 55.31%. OTR restructuring standard outstanding as only OTR-I Rs. 3174 crores OTR-II is Rs. 7760 crore.

As far as SMA-0, 1, 2 is concerned, SMA-0, 1, 2 in March '22 was Rs. 1,75,391 crores which reduced substantially in December and as of March '23, the total amount is Rs. 70,762 crores out of which Rs. 850 crore in the SMA-2 only and Rs. 5 crores and above SMA-2 in March '22 is hardly Rs. 82 crores.

As far as fresh slippage of Rs. 3996 crores is concerned, it is Agri is around Rs. 1253 crores, MSME Rs. 1337 crores, Retail is Rs. 660 crore and other is Rs. 260 crore existing Rs. 478 crore.

As far as our pricing on the credit portfolio is concerned around 85.20% is the floating which is based on the MCLR around 35%, RLL 26.39%, RLL Elite is 12% and TBLR 10%. Fixed is hardly 7.16%, 4.3% in the foreign currency, etc., and remaining 3.3% is the base rate as well as the BPLR.

One more thing I want to highlight to all of you. This fresh underwriting, we have taken a lot of initiative for the improvement in the underwriting as well as improvement in the collection efficiency. I will give one data from the first of 1st July 2020 to 31st March 2023 around Rs. 5,72,539 crore loan we have sanctioned out of which Rs. 5,18,257 crore we have disbursed and Rs. 4,16,638 crore is outstanding. Out of which the NPA is Rs. 1178 crores, which is coming around 0.23%. This you will get the how the new underwriting standard is being done in the Bank.

The recovery from the NCLT in the

last full year, 1st Quarter was Rs. 693 crore, Quarter 2 was

Rs. 778 crore, Quarter 3 was Rs. 730 crores, last quarter it was around Rs. 1000 crore.

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As far as the investment is concerned, HTM around 79% is there, AFS is around 20% and the modified duration of the AFS and the HFT portfolio is 2.53%.

This is my initial remarks to all of all of you. Now I would like to answer your questions. Thank you. This last year was very good and I assure all of you this '23-24 will be a very good year for the Bank and I will give some guidance also. Credit growth we are giving guidance for the 12% to 13%, deposit growth we are giving the guidance 10% to 11%. And CASA share we are giving the guidance around 43% to 44%. The net interest income we are giving growth of 10% and NIM will be around 2.9% to 3% because repricing of the deposit has not taken place full in the last year. Although the loan repricing has been done immediately, the repricing of the deposit is to take place. Gross NPA, we are giving guidance it will be less than 7%, net NPA will be less than 2% and credit cost which was around 2.03% last year, we are hopeful that it will further reduce. It will be around 1.5% to 1.75% and the target of the recovery for the whole of the year will be around Rs. 22,000 crore.

So, this is of my initial remarks. Thank you very much.

Rakesh Kumar: Thanks a lot, Sir. It's a very strong set of performance the Bank has given considering the rise in the margin on a sequential basis in the domestic margin and also the set quality has been quite good. Just a couple of questions around on the margin side. So, CD ratio domestic ratio is around 68% currently for the for this quarter so is there a scope to further increase the domestic loan deposit ratio from here, Sir, because that would help us on the margin front.

Atul Kumar Goel: It was if you see it was around 69% as per our data, 69% was the CD ratio. So, because we are having excess SLR also you all are aware, so definitely we would like to use and without raising further deposit, even we will be in a position to improvement in the CD ratio in times to come.

Rakesh Kumar: ROA Guidance like that we have given for the FY24 would be Sir?

Atul Kumar Goel: Return on assets if you see as on date because the profitability was less, I will be in a position to give the guidance like it should be around 0.50% to 0.60%.

Rakesh Kumar: Super great Sir. I would request Mr. Ajmera, please go ahead with your question.

Ajmera: Compliments to Atul Goel sir and the entire team for another good quarter with a good set of.

Of course, the Bank has still has to go a long way because of some past negative legacies. Still, our figures are not that very encouraging, though comparatively, yes, it is definitely better. On many points, especially just now we discuss about ROA of point 0.32% in this quarter and 0.17% in the last quarter is very low and even the target also of 0.50% doesn't inspire much and similarly on some of the other data, if you look at though, we are your target for bringing the gross NPA down to 7% and net NPA to 2% is definitely encouraging but finally, we would like the Bank to come down below 5% in the gross and maybe below 1% on the net NPA. Many of the peer banks have started coming down to net NPA 2.7% or 0.5% or even 0.27% one of the small banks.

Having said that, Sir what are our plans to bring down the credit cost? Credit cost is very, very

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high comparatively in our Bank and still I think the target is also not being given very encouraging. So, what exactly the Bank is planning to bring the credit cost down, increase the ROA and the write-offs are also very high in this quarter Rs. 6000 crore in the overall year, Rs. 16,578 crores. So, going forward, what are our views on that? This is my first question on these three things combined together.

Atul Kumar Goel: Thank you for the compliment. As far as your question related to the credit cost, the credit cost in the last quarter was 1.72%. If you see the whole of the year credit cost was around 2.03% and

we have already given the guidance it should be within the range 1.5% to 1.75% and why we are giving this statement because you must have seen our quarterly number of recovery as well as the addition. If you see the recovery quarter-by-quarter is reducing and recovery quarter-on-quarter is increasing and the addition is reducing because if I will give the number the 1st Quarter, if you take the Quarter of the June '22, the recovery was Rs. 7057 crore and the recovery was increased to Rs. 8565 in September and Rs. 6035 crores in December and Rs. 7439 crore in the last quarter. So, if you make the total, it was around Rs. 29,000 crore against the very robust target last year. We have done Rs. 32,000 crores. Similarly, addition is reducing quarter-by-quarter, 1st Quarter of the last Financial Year in June Rs. 6468 crores and September it was Rs. 5979 crores. December there was a steep fall around Rs. 4072 crore and in the last quarter also it further reduced to Rs. 3996 crores. So, if we are making more recovery and if addition is reduced the credit cost is bound to reduce because aging provision is also reduced because more than 86% we have the PCR. But your point is very right although we are giving the guidance for the gross NPA 7%, 2% for the net NPA number, as you are saying other bank has come down less than the 5% or the 1% the net NPA I agree with you, but because if you see from where we have started last year, 11.78% we have reached to 8.7%, it means 3% we have reduced last year and from the number of the net NPA from the 4.80% to 2.72%. Last time we have done very good. In the recovery and I'm hopeful this year will be a very good for the recovery as far as the addition will be further reduced and the credit cost which I am giving you the guidance for the FY in the range of 1.50%- 1.75%. One more thing I am giving the return on assets although I told around 0.50% to 0.60% but even if you see my net profit was around Rs. 2507 crores and we are targeting, it will be more than Rs. 1000 crore every quarter. So, if we take it will be more than Rs. 4000 crores for the whole of the year so even if we recalculate my return on asset will be around 0.40% to 0.42% even if we are giving the guidance but we will try to improve to 0.50% but I think when we are saying the target of the net profit I think you can take it 0.40% instead of 0.50%.

Ajmera: No, I fully appreciate, Sir. After such a strong team led by you, definitely during your tenure things have been improved a lot. Yes, you are carrying the past negative legacy or whatever it is you are definitely trying to improve things and we have a lot of expectations from you and this team sitting here. Sir now with this this ECL now coming, now the guidelines are not 100% clear but is in offering. So, the kind of report which you are submitting to RBI or the kind of internal preparation which you must have done, are you prepared for that without any shocks or without any negative effect going forward? Have you worked on the numbers and have you made some provision on that, Sir?

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Atul Kumar Goel: Ajmera Ji I will answer your question like this. #1) this guidance of the ECL is the draft guidelines. And final guidance is. Likely to come, I think we should wait for the final guidance and moreover, in the draft guidelines, what will be the requirement of the additional provision, the RBI as proposed that they will give five years for this because ultimately when we are talking about the ECL, it is based on the expected credit loss. As on date, we are making the provision on the incurred loss basis, accounts which has turned to the NPA, we are making provision in the ECL for the ex

pected credit loss. I have already given you the data of the more than 2.5 years from the 1st of July to 2020 to 31st March 2023, how we are giving our new book. Rs. 5.72 lakh crore we have sanctioned. Rs. 5.18 lakh crore we have disbursed. Rs. 4.86 crore is the outstanding where the gross NPA number is 0.23 only because this is the purpose of the underwriting standard only because role of the ECL is only for the underwriting and the role of the PCR is also in the ECL calculation because 81% to 86.90% we have already read and CRR also there is 100 basis points improvement from the March '22, which was 14.50% to 15.51%. So, considering all these things, I think there should not be any challenge whatever the guidelines will be received from the RBI. We will definitely ready for whatever final guidance will come.

Ajmera: Sir, coming to that how much buffer overall like standard provision, restructured book, COVID restructured book other than what is recognized and as per RBI guidelines and IRAC norms, what additional buffer or the provisions we have overall in the Bank?

Atul Kumar Goel: Ajmera what I'm trying to tell. First two type of questions, you are asking for the standard what is the buffer in the standard. Point number one is we should see how much buffer we are having in the NPA provision also. Last year it was 81%, now it is around 87%. Standard provision definitely we have to provide as per the RBI guidelines. So definitely there is some buffer which we have provided as per the July 2019 circular. If the account will be resolved, this provision will be reversed. In the last quarter also because we have made a provision for the standard provision for the some of the account which was falling under the July 2019 circular Rs. 500 crores to Rs. 600 crore was reversal in the March quarter itself. We are hopeful in June quarter also because the account is out of the resolution plan definitely you can think this provision

which we have made, it is a buffer for us.

Ajmera: And my last question in this round is around treasury book, the treasury performance of course because of the upward trend going on till March, performance is not good everywhere. There are some reduction in the profits or somewhere losses, also MTM also. So, in our case how is our treasury book is placed and how do we see now going forward when the rates are softening up or sub-7 now 6.9 10-year so can we get some color on our Treasury performance in the coming quarters. And what are our basically plans for that to strengthen and make more profit.

Atul Kumar Goel: Ajmera ji our treasury is very active. We are having good exposure in the investment side. Also it is a movement of interest rate. Already interest rate further because if you see the 10-year G-Sec it was around 6.95 to 6.99 in 4-5 days also. And we have already provided mark-to-market, so the moment interest rate will decrease definitely we can make the profit because we are earning profit on daily basis also with this yield of the 6.99% and we are immunized also because

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if there is a risk of the interest rate because our modified duration is hardly 2.53% for the AFS as well as the HFT portfolio.

Rakesh Kumar: Ajmera Ji, can I request you to come back into the queue? There are other person also waiting for the with their queries.

Ajmera: Sure. I'll come back. Thanks for giving me so much time.

Rakesh Kumar: Bhavik, can you go ahead with your question?

Rakesh Kumar: Hi sir, congrats on a good set of numbers. Just three questions from my side. So first for as in what would be the LCR ratio? Sir second question is we saw a very strong quarter-on-quarter uptick in yields so what drove that increase in yields and is there any one-off with respect to interest on income tax refund or some proportion of recovery from written-off accounts being apportion to the NII line.

Atul Kumar Goel: Bhavik first question

is on the LCR. LCR in the range of 150%. It keep on changing. It is within the range of 150% to 160%. Your question is regarding the improvement in the yield, improvement in the yield on the 2-3 count. First count is the recovery, not only the recovery in the technical written-off is not coming in the interest side because we are recovering more than the principle in the written-off account, then only the part is coming to the interest income, but basically what is the USP of the Bank 43%, we are having the CASA that is one of the reason our NII growth is there and the yield of advance is also increasing. Basically, recovery is the main factor and even some of the account if we are making 50 basis points or 25 basis points also we are not allowing the opportunity to go. So, this is the reason our yield of advances has increased.

Bhavik: On the NII line as in for the full year, there is no interest apportion from recovery from written-off or there is some?

Atul Kumar Goel: Bhavik, some portion is there because we are getting the amount in the substandard or doubtful category. If we are getting some money in the interest income but your specific question was that if some of the recovery on the technical written-off account that was not there but definitely interest income was very much there in the account which was NPA. In addition, whatever the recovery we have made in the last year Rs. 29,000 crore. It will start earning the interest income because as on date we are not earning anything out of it. So, this is when the recovery has contributed to the improvement in the yield.

Bhavik: And sir how do we look at NIMs going forward, how much cost of deposits do you see rising from here?

Atul Kumar Goel: Bhavik as far as yield of advance is concerned 8.05% is the last quarter yield. So, definitely because some of the loan will be repriced which was earlier on the MCLR where tenure is as far as cost of deposit is concerned, cost of deposit is 4.54% the last quarter it is bound to increase

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because entire repricing of the deposit will take place at the time of the maturity of the term deposit because most of the deposit within the range of the one year or two year. So, entire repricing of the deposit has not been affected definitely in FY'23-24 cost of deposit will definitely increase and as far as NIM also NIM also you have asked because the NIM was 3.38% in the last quarter domestic and global was 3.24% because we are also envisaging key cost of deposit will increase because the repricing of the interest which were linked on the repo immediately done. So, this is the reason we are giving guidance for the next year NIM will be between the range of the 2.90% to 3%.

Rakesh Kumar: We will request Mr. Sushil Choksey to go ahead with your question.

Sushil Choksey : What is your credit pipeline visible in this current quarter?

Atul Kumar Goel: Credit pipeline as far as concerned we have already told you key growth we are envisaging 12% to 13% around Rs. 1 lakh crore loan is already we have sanctioned we are in the pipeline for the disbursement at various stages.

Sushil Choksey : Are you seeing this more in infrastructure and corporate or you are seeing it in some other things?

Atul Kumar Goel: It is a mix of everything not only everything in the infra.

Sushil Choksey : Sir you highlighted that the treasury may have a substantial gain or a stable gain in coming quarters to come, can you broaden the statement a little bit?

Atul Kumar Goel: I just told the answer of the Ajmera ji up to last quarter because on account of increase in the yield we were not in a position to make the treasury profit because if you see the last quarter from the March 2022 to March current date March '23 rate was 7.31%. If you see the 10 years G-Sec as on date 6.99. So, my answer was this because already there is a reduction of around 32- 33 basis point. So, by redu

cing it to 32 to 30 basis point some of these securities which were in the losses in the profit. So, we can make profit also because it is a movement of the interest rate game 30 to 30 basis points it is too reduction in the 10 years G-Sec from the March to till date.

Sushil Choksey : Sir, my question was more directly related because the Fed is more or less indicated that it is topped out an interest rate MPC has already indicated. Today RBI's remittance of dividend to central government is already figured at Rs. 87,000 Cr. which may be in surprise. So, the borrowing plan so far which people were thinking would be huge will have an impact on money market. Currently, the short-term liquidity tightness may be there because of various factors led by RBI mopping up dollars, various maybe reasons, but what I am sensing some of the pure banks have indicated that 10-year bond may head towards 675 in the year end. So, one is has the rate cycle peaked second thing is are you seeing more credit in front ended in the first half and are you seeing a sustainable treasury profit in four quarters or you are just seeing in Q1, Q2 itself?

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Atul Kumar Goel: It is a matter of the booking also. Suppose I am sitting on the profit as on date. Suppose let us take a hypothetical example whatever you are saying is 6.75 by the end of the current financial year. Today is 6.98. Suppose it is as on date 6.75 I will be in the huge profit. So, every profit I will know to book immediately, I will book the profit on the quarter-to-quarter basis. So, it will be scattered on the quarter-to-quarter basis and first whatever the liquidity, if there is a liquidity issue whatever you are saying some of the security if we are having the lesser yield definitely we will sell, we will book the profit and we will utilize that money for investing in the loan book so that we can earn more profit. It is a mix of each and everything. It is very difficult to answer whether when you will book, when you will say it depends on what is my liquidity position, what is the demand of the credit everything is interrelated.

Sushil Choksey : Sir, I am not asking you whether you will book in Q1, Q2 I am asking an estimate whether you are seeing front ended profit or the second half it is okay I will take up this question offline.

Second thing sir what is your digital spend on the current year?

Atul Kumar Goel: What is the?

Sushil Choksey : Digital expenditure?

Atul Kumar Goel : If you see the IT expenditure last year March 2023 it was Rs. 1,750 Cr as compared to Rs. 1,133 Cr increase of the 54.5%.

Rakesh Kumar: Ashlesh, please go ahead with your question.

Ashlesh: Can you talk about the slippages that we are seeing we saw 2% gross slippages this quarter still meaningfully higher as compared to this....

Atul Kumar Goel: Slippage if you see quarter by quarter there is a reduction in the slippage in the last quarter it was in the range of the 4,000 it was less than 4000 crore rupees and quarter by quarter we are of the view definitely there will be reduction in slippage.

Ashlesh: So, I was talking about the recoveries you have guided for 22,000 crores for FY24, any chunky accounts that you expect recovery over here?

Atul Kumar Goel: It is a mix of all. I can give you for Quarter 1 and Quarter 2 what we are expecting from the NCLT. First quarter we are estimating it is estimation around Rs. 500 crore plus from the first quarter and second quarter we are hopeful around 1,300 plus will be recovery from the NCLT. So, it is a mix of all it is a small account also, some money will come from the sale of the securities through auctions, some money will come through the OTS also and we have also floated one scheme EOTS that is we are the unique in the industry and this eOTS applicable for the amount less than Rs. 10 lakh as on date we are having good number of account 1

1 lakh

account of Rs. 11,000 crore eligible. Last year we have recovered around Rs. 900 crore from these EOTS the customer is not required to visit. They can make the payment sitting in their

home and after making the payment it is an NDA scheme non-discretionary. In that they do not
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require to negotiate also and after making the payment they can generate the no due certificate from the mobile app only.

Ashlesh: Can you give a breakup of the slippages?

Atul Kumar Goel: I can give you the breakup of the slippage for the last quarter. The agri is around Rs. 1,253 crore, MSME Rs. 1,337, retail is 660 others is 268 and existing account it was 478. So, 3,996 I can give you for full year also so maximum slippage are for the RAM only, Agri for whole of the years Rs. 6,691 crore, MSME was Rs. 4,452 Cr Retail it was Rs. 1,613 Cr and then remaining was Rs. 1,342 Cr and existing was Rs. 1,831 Cr

Ashlesh: So, wage related provision which you made of about Rs. 270 crore wealth bipartite?

Atul Kumar Goel: Yes, you are asking slippage for the next year or this year also Rakesh because your voice was not clear.

Ashlesh: Wage related provision that you have made this quarter?

Atul Kumar Goel: Wage revision we have made Rs. 278 crore provision in this current quarter, last quarter also we have made a provision of Rs. 181 crore. In addition to this AS provision Rs. 1,244 crore March quarter, which has also had the impact of the wage revision.

Rakesh Kumar: Mr. Ajmera ji would you like to go ahead with your question now.

Ajmera: Many of the questions have already been answered by Atul ji, but just some discussions since I got the opportunity. One thing is that it is a point of basically a compliment only. If you see most of the other peer banks the employee cost has gone up because of this two, three provisions and also maybe the performance linked, bonus and other things at least 10% to 20% the employee cost has gone up in this quarter, but in your case it is hardly gone up by hardly 100 crore employee cost 4,570 crore as compared to 4,460 crores. Similarly, the other operating expenses also in your case has gone up by only 140 crores. So, basically what have you done I mean one is that all possible provisions which are required have been made. You already said about the wage revision that the provisions have been made as far as the additional pension which was already made in the last year, any increment, so how this magic happened that this total employee cost and the operating cost has been under so much of control?

Atul Kumar Goel: No, operating cost is under control no doubt about it because there is not much increase. Other operating expenditure, but whatever you are saying the payment to employee. If you see the March 22 data I think you have not seen the data please March 22 the employees cost was 2,158 crore only which has increased to Rs. 4,571 crore in March '23. It is basically double there is no magic, there is double. If you see the whole of the year also whole of the year '21-22 the employee cost was Rs. 11,841 crore which has increased to Rs. 14,810 Cr. So, employee cost definitely in the tune with the other bank has increased and we have also made a provision as I told you from the November to March, i.e. Rs. 278 Cr in this last quarter Rs. 181 Cr in the December quarter
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and there was a provision for the AS15 at Rs. 1,244 crore in the last quarter March and similar provision was in the December also otherwise this provision used to remain within the range of the Rs. 500 to 600 crore.

Ajmera: Sir we generally once we finish the quarterly discussion we concentrate more on the quarterly performance only. So, I was comparing only with the December quarter and the March quarter and in that there is hardly any increase?

Atul Kumar Goel: You are very much right. December or March t

here was not much difference, but December vis-

a-vis September or March 2022 it was double. We are worried how to reduce the employee cost.

Ajmera: So, what I was actually drawing the point is that in the coming quarters now whether it is going to remain around the same 4,500, 4,600 crore the employees cost and the other operating expenses about 2,500 crore so that we can have some idea about the future quarters this thing or is there anything coming there?

Atul Kumar Goel: Ajmera ji basically the employee cost major factories on account of the AS15 provision also and if you see the 10 years G-Sec movement there is a very volatile. I will give you the March 21 it was 6.18 March 22 it was 6.84, March '23 7.31 and current as on date it is hovering around 6.95 or 96. So, basically if there is a reduction in the 10-year G-Sec AS15 provision immediately increase. If there is a harder in the interest rate AS15 provision reduces. So, sometimes it depends on the movement of the interest rate also.

Ajmera: Now something on this NARCL what is the status there, how many accounts, whether any account has been settled during this last quarter January, March or it's in offing, what is the status there?

Atul Kumar Goel: Ajmera ji as far as in our bank NARCL is concerned around 38 account for Rs. 70,658 crore under discussion out of this one account of Rs. 447 crore we have already assigned to NARCL another two account also we have shown to the NARCL, but later on some other ARC they have increased the rate and which they have not made, two account sold to the other ARC. In addition to 38 account which I told you around 35,000 account is also under discussion for an amount of Rs. 16,892 crore where exposure of banking sector is more than Rs. 500 crore and in this 35 account we are the lead bank.

Ajmera: So, many of these resolutions are expected in the coming year now, is not it sir?

Atul Kumar Goel: Yes, definitely.

Ajmera: And Sir this 447 crore which has been done in March you must have received the SR for the 85% which are government guaranteed SR. So, those SRs are also put in SR and provided for 100% or a separate treatment or different treatment is given like suppose 447 crore account this must have been settled for about 100 crore or something. So, you must have received about 80 crores, 85 crores of SRs. I am just guessing I do not have the exact number, but for example, so Punjab National Bank

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what treatment to this SR has been given and then your SRs of 1,518 debt crores that include this SR also and whether it is the entire amount has been 100% provided for?

Atul Kumar Goel: This is in addition to that whatever the other SR are available as on date that 100% we have provided. This is a very small amount and treatment is the same only the difference in this security received different because they are being government guaranteed and they are being traded in the market also. The amount was very less in this account here.

Ajmera: But you will be giving the same treatment like any other SR providing them 100%?

Atul Kumar Goel: You are right on the basis of the NAV.

Ajmera: Sir, the last if time permits is on your CASA every banks little bit decline is there in the CASA in the last quarter because people are opting for more of the term deposits. So, going forward do you have any specific plan or some scheme or something to increase the CASA of the bank because you are at a comfortable level in fact and you can go still further Punjab National Bank being a National Bank Pan India bank very old bank, so whether any plan anything is in place?

Atul Kumar Goel: I will tell you this is one of the focus area and this is the USP of the Punjab National Bank. As on date if you see 43% is the around the CASA of the bank and we are having the 16-core customer and we are trying to increase the new acquisition in '21-22 around 71.33 lakh account we have opened which ha

s increased in the last year '22-23 to 85.02 lakh. We are providing facility, we have provided tab, we have provided all the 10,000 branches tab where they can open the account within one day earlier because the branches was getting the document, they were sending to the back office it was sometimes it was taking 3 days, 4 days sometime in the 15 days also because they are raising the query. So, after this implementation of the providing of the tab this process of the new acquisition has become very good and we are hopefully next year definitely we will increase substantial number of not only the SA also the CA also.

Rakesh Kumar: Mr. Choksey do you have any other question to the management. Please go ahead.

Sushil Choksey : Sir can you highlight something on your subsidiaries what is your plan going forward as that may be bringing in good benefit to the PNB?

Atul Kumar Goel: Subsidiary I think as of date there is no plan to sale of the any equity in the subsidiary as yet no plan. Actually, we want to increase the valuation of the subsidiary rather than to sell the subsidiary because most of the subsidiary they are getting the dividend and as of date there is no plan of sales invested in the subsidiary.

Sushil Choksey : Sir, I am not asking for sale of any holding from any of the subsidiaries, but as times may get better with PNB housing, MetLife and various other arms the profits can shore up and support on cross selling between PNB customer base and the company and that is the reason I asked you about digital spent I suppose as on today you are not even penetrating 2% or 3% or 4% of your customer base with your products, can it go to 5% like yesterday in one of your peer large banks Punjab National Bank

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they had aspiration for \$1 billion of other income, do we have some number and what kind of cross sale will we do for our products and external borrowings?

Atul Kumar Goel: You are very much right definitely we are taking all the step how to improve the working of the subsidiary of the associate also so that whatever the dividend sector we are getting that should be improved. So, my balance during the consolidate number will also increase and we will also utilize this subsidiary for the other purpose also. We are having one of the subsidiary where we have got the approval from the regulator to do other activity also which will be beneficial for the bank. We will use that subsidiary as our marketing agent for generating the lead for the housing,

generating the lead even for the retail side also.

Rakesh Kumar: Sir there are some questions which are in the chat box firstly starting through the question from Jai Mundra breakup of 70,700 crore SMA number into SMA-0, 1, 2 if you can provide the breakup?

Atul Kumar Goel: Yes, I can provide the breakup out of this 70,762 the SMA-0 is 52,622 SMA-1 is 17,290 and SMA-2 is 850. The maximum is the SMA-0 only there is an accounting issue also which we are also addressing.

Rakesh Kumar: Second question is from Kunal sir with respect EBLR, MCLR and fixed book breakup that is already there in the presentation. Sir the second question from Kunal sir is pertaining to the behavior of MSME restructure portfolio if you can elaborate sir please?

Atul Kumar Goel: The MSME in OTR-1 I will give you the only for the MSME. The OTR amount around is implemented was 670. The standard outstanding is 343 and if you see the OTR-2 also OTR-2 the MSME was around outstanding is Rs. 4,587 crore out of which standard is 2,657. Some of the account definitely in the OTR-1 and OTR-2 also has moved to the NPA out of this OTR-2 around 1,931 was the NPA.

Kunal: And sir I missed the total provision on the restructured book that we have sir standard restructured book total provision that we have?

Atul Kumar Goel: Total provision on the standard book it includes the if you are asking the OTR-1 and OTR-2 we have already given the note to accou

nt it is 10% of the outstanding but restructuring there is

some provision also which we have to make the provision as per the 7th of July 2019 circular also although that is not restructured, but we have to make the provision also.

Kunal: And sir one thing I noticed compared to higher deposit growth number on a YoY basis NDTL growth is around 7%, so have we reduced like the borrowings from the book or what is the reason for lower growth in the NDTL on a YoY basis as compared to deposit growth?

Atul Kumar Goel: NDTL actually it is the combination of the deposit and the other liabilities also. So, maybe some of the other liability has reduced, but normally it keep on changing on the quarterly basis also because some part of the deposit is on the bulk side also so it keep on changing also.

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Rakesh Kumar: And sir there is question from Bhavik pertaining to the SME details that we have already given?

Atul Kumar Goel: One more thing Rakesh from where you have taken this data of the NDTL if you see the NDTL is on the same line. I am not seeing any difference if you see my December '22 number it was 11, 52,439 and even if you see the March '23 number 11,75,099. So, from where you are there is a difference, so it is not a decreasing side you are saying decreasing.

Bhavik: No sir it is not decreasing in the slide number 16 we have given investment portfolio and the NDTL number where the YoY variation is 6.93 and if I look at deposit growth number that is global deposit growth?

Atul Kumar Goel: You are comparing with the deposit number also 11% and the 7% sometimes it is on average basis also because if some increase in the deposit in the last that is also Yes.

Rakesh Kumar: There is no more question from our end I think we are done with the questions and there is no further query.

Atul Kumar Goel: Thank you very much Rakesh. Thank you to all the persons who have joined this on concall also from my side now over to Deepak.

Deepak: Thank you Rakesh and we can log off we all. Please log off Mr. Rakesh and team.

Rakesh: We would like to thank everyone PNB Management for giving us privilege to host and thanks everyone. And we can log off.

Atul Kumar Goel: Thank you.

Call: Jul 2023

Punjab National Bank Earnings Con -call hosted by Emkay Global

Date: 26th July, 2023 , 4 pm

Management Participants

- Shri. Atul Kumar Goel, Managing Director & Chief Executive Officer
- Shri. Vijay Dube, Executive Director
- Shri. Kalyan Kumar, Executive Director
- Shri. Binod Kumar, Executive Director
- Shri. M. Paramasivam, Executive Director

Anand Dama (Host - Emkay Global) : Welcome everyone to Punjab National Bank First Quarter FY '24 Results Call. We have with us the entire Punjab National Bank top management including Shri. Atul Kumar Goel, Managing Director and CEO. We have the Executive Directors, Mr. Vijay Dube, Mr. Kalyan Kumar, Mr. Binod Kumar and Mr. Paramasivam. First I would request Mr. Deepak to read out the disclaimer statement and thereafter would request Atul sir to give opening remarks and talk about the growth, margins, asset quality particularly during the current quarter and also provide a brief outlook which will actually set the context of the call. Over to you Deepak sir.

Deepak Kumar: Yes, yes thank you, thank you Anand. Just a disclaimer statement I am reading out. I would like to submit that the statements given herein are not guarantees of future performance and undue reliance should not be placed on them. Such forward-looking assessments necessarily involve known and unknown risks and uncertainties, which may cause actual performance and financial results in future periods to differ materially from any projections of future performance or results expressed or implied by such forward-looking assessments. Investors are therefore requested to check the information independently before making any investments or other decisions. Thank you. Over to MD sir.

Shri. Atul Kumar Goel: Thank you very much Deepak and thank you Anand also. Good afternoon to everybody. I welcome all the analysts and investors in this results concall for the first quarter June 2023. I am happy to present the result for the first quarter. The result of the first quarter, whatever the guidance we have given in the last March '23 quarterly and as well as the yearly result for the current financial year. I think we are achieving all the guidance, which we have given. So, I will give the brief about the financial performance, then profitability and then assets quality and then I will take your questions also.

So, this is a good quarter. First I would like to tell you this is a very good quarter for the Punjab National Bank the gross business grew by 14.34% at Rs 22.14 lakh crore YoY similarly the gross deposit of the bank grew by 14.18% to Rs 12.97 lakh crore YoY. Similarly the gross advance grew by 14.58% at Rs 9.16 lakh crore as far as saving is concerned, saving there is also a growth of the YoY 3.74% and the saving has increased to Rs 4.64 lakh crore. As far as CASA is concerned CASA was 42.98% in March 2023, which has marginally declined to 41.90%. The reason for the decline in the CASA is because there is a wide gap between the saving bank interest as well as the term deposit interest. Some of the customers who are having their liquid fund, they have shifted from the saving bank to term deposit. Another thing is also because to finance the growth also, because the increase in the growth is 14.18% and in the case of guidance for the 12% -13%, so we have taken some bulk deposits also. This is the reason of the decline in the CASA. And as far as profitability of the bank is concerned, this net interest income increased by 26% YoY from the Rs 7,543 crore to Rs 9,504 crore and I am happy to share this NII growth and the NII number, which we have achieved Rs 9,504 crore, it is the highest in the history of the Punjab National Bank, the last 12 quarterly result. Similarly, the operating profit also increased by 10.95% from the Rs 5,379 crore to Rs 5,968 crore. Net profit, net profit there is an increase of 307%. The net profit for the June

'22 quarter was Rs 308 crore and now we have closed our net profit as Rs 1,255 crore with a growth of 307%. I am happy to say this net profit Rs 1,255 crore is the highest quarterly net profit in the last 12 quarter of the bank.

Now coming to the assets quality, GNPA if you see there in terms of the amount the gross NPA of the bank was Rs 90,167 crore in the June 2022, which reduced to Rs 77,328 crore in the March '23. And there is a further decline of Rs 70,889 crore in the June '23. As far as percentage of GNPA is concerned, the GNPA of the bank was 11.27% in June 2022, which has reduced to 8.74% in March '23. And there is a reduction of more than 100 basis point. 7.73% was the number of the gross NPA and last time you may be remembering, I have given the guidance by March '24, we will be in a position to reduce the gross NPA number to 7%. Since we have already achieved 7.73%, I'm revising my guidance. So now instead of the 7%, we are targeting the gross NPA number will be around 6.5% by March '24.

Similarly, if you see the net NPA, there is a very much reduction in the net NPA, net NPA was Rs 31,744 crore in June '22 which reduced to Rs 22,585 crore by the end of the March '23 and there is a further decline to Rs 17,129 crore. And now net NPA which was 4.28% in the June '22 quarter, then 2.72% in March '23 quarter has reduced to 1.98%. So there is a around more than 75 basis point reduction in the

net NPA and net NPA guidance we have given by the end of the March '24 our net NPA number should be in the range of 2%. Since we have already achieved in the first quarter itself 1.98%, so we are further revising our guidance for the net NPA number also and now we are targeting our net NPA number should be around 1% or below 1% by the end of the March '24. As far as PCR is concerned, there is a substantial increase in the PCR also, it was 83.04% in June '22, which improved to 86.90%, and I have given the target that we will improve to PCR around 90%, and March -June '23, it is around 89.83%, so we have already achieved 90%. As far as credit cost is concerned, if you see the provision, provision for the NPA was Rs 4,374 crore for this quarter as against the figure of Rs 4,814 crore in June '22 quarter. Although there is a reduction in the provision of the NPA if you compare from the June '22 to June '23 quarter, and June '22 credit cost was 2.46%, and this quarter credit cost is 1.99%, but if you compare from the March '23, then the little bit provision has increased. In March, it was around Rs 3,624 crore, and credit cost was 1.72%. Last time I have given the guidance our credit cost will be around 1.5% to 1.75%, although this quarter it is little bit on higher side 1.99% but still I am maintaining my guidance for whole for whole of the year FY '24 our credit cost definitely will be in the range of 1.5% to 1.75%. Why, I am giving this statement because on account of increase my PCR, which is around 90% my ageing provision for the NPA has reduced drastically. So I am maintaining my earlier guidance also for the credit cost. As far as capital adequacy is concerned, the Tier 1 capital is 12.29%, as against the requirement of the 9.5% and total CRR is 15.54% and against the 11.5%. And if you see, compare this from the June '22 quarter it was 14.82% and the March '23 it was 15.5% so we are adequately capitalized. So as on date, there is no immediate need for the capital for the either for the growth for the other purpose also and last and we have already having the approval of the board for Rs 12,000 crore to raise in this current financial year, Rs 7,000 crore by way of AT1 and Rs 5,000 crore by way of Tier 2. So I am happy to share in this current quarter itself as against the Rs 5,000 crore Tier 2 we have already raised Rs 3,090 crore at a very competitive rate in current quarter. As far as AT1 is concerned, so immediately as I told you immediately there is

no immediate need of the capital, so we are just watching the market at appropriate time when we will be finding rate of interest in our favor, we will hit the market. So this is about the capital adequacy. And come to the cost to income ratio, if you see it is 53.87% which is less than the 54.59% in the March '23 quarter, but if you compare with the June '22 quarter it is on higher side because June '22 it was 46.63%. So what is the reason for this increase in the cost to income ratio, if you see last time also I explained November '22, there is a date where the wage revision is due of all the employees. So in this current quarter we have provided Rs 283 crore as a for the wage revision in the last quarter of the March '23 also we have made the provision of the similar amount and the around some little amount has been provided for the two month in the December quarter. And on account of this wage revision and the impact of the wage revision on the pension also, so this is on account of debt, AS -15 provision we have made Rs 1,240 crore in this current quarter current for the AS-15 provision on account of the pension et cetera. Because there is a little bit change in the yield also because you are aware AS -15 based on the movement of the yield. In March '23 the yield was 7.31% and June '23 it has declined to 7.11%, so there is a decline of 20 basis point. The moment interest rate will fall AS -15 provision will be increased, so this is about the expression of the cost to income ratio as far as cost of deposit is concerned it was 4.54% in the March quarter, which has increased to 4.71% as against the 3.85% in the June '22 quarter and I have given in my earlier last call also, on account of the repricing of the sum of the deposit, which has not happened and cost of deposit in bound increase, this is the reason. I have given the guidance for the NIM also between the 2.9% and between 3% and I'm still maintaining 2.9% to 3% although the current quarter the Global NIM is 3.08% as against the 3.24% in the March quarter.

So we are maintaining 2.9% to 3%, because still some of the deposit has to be repriced yield of advance has also increased from the 8.05% to 8.13% from the March '23 quarter to June '23 quarter but it is substantially increased from the June '22 quarter, which was 6.6%. As far as recovery from the return of account is concerned the first quarter we have made a recovery of around Rs 1,022 crores from the recovery in the return account. One more thing I would like to tell you the last time also I have given the whole of the year in FY '23 in every quarter addition was much below than the recovery number. Again at the cost of the repetition if you see the June '22, my recovery was Rs 7,057 crore where the addition was only Rs 6,468 crore. September '22 quarter, recovery has further increased to Rs 8,565 crore, and addition was Rs 5,979 crore. And the third quarter recovery was Rs 6,035 crore, and addition was Rs 4,072 crore. And the fourth quarter recovery was Rs 7,439 crore, and the addition was Rs 3,996 crore. So recovery addition is declining quarter -by-quarter. So every quarter recovery was much more than the addition. And we have set a target for the current financial year, Rs 22,000 crore, which we have given the guidance in the last con call Rs 22,000 recovery for the whole of the year FY'24, if you divide by four, so Rs 5,500 crore per quarter. Again, the Rs 5,500 crore, we have already achieved Rs 5,417 crore recovery in the current quarter, where the addition is Rs 2,390 crore. So this year, our target is our recovery should be double than the addition in the current financial year. So, this is about the recovery as well as the addition in the last year as well as the current financial year.

Another thing is the slippage, slippage as I just I told you Rs 2,390 crore, if the breakup of the slippage is segment wise. Agri it is Rs 360 crore

e, MSME it is Rs 879 crore, retail it is Rs 601 crore, and others is Rs 418 crore, others means corporate sector. So, and existing account NPA is Rs 132 crore, so it is a 2,390. One more important thing I want to highlight to all of you, even last call I have also advised, we are working how, what is the reason for improvement in the recovery and what is the reason for declining in the addition also because we have worked on both the side, Plan A, is how to improve the underwriting standard, the another is the how to improve the collection efficiency.

So, underwriting standard may I would give you one data, every month, we are monitoring from the 1st of the July '22, 31st March '30, 30th June 2023, it means it is a data of around three years. How our new underwriting is behaving, in last three years we have sanctioned around Rs 6.16 lakh crore out of which this Rs 6.16 lakh crore disbursement was Rs 5.63 lakh crore and against which the outstanding as on date is Rs 4.40 lakh crore. And NPA in this new underwriting is hardly Rs 1,259 crore, which is coming 0.22% of the new underwriting. And I will further give you the segment wise data, Agri it is 0.20%, the MSME it is a 1.56% and retail it is 0.18% and other, other means corporate it is coming 0.01%. So, this will give the comfort, how the bank is doing, the lot of step has been taken for the underwriting also and lot of step has been taken to improve the collection efficiency.

As far as NCLT recovery is concerned, the last year we have made Rs 6,093 crore in the first quarter, Rs 778 crore in the second quarter, Rs 730 crore in the third quarter, Rs 1,003 crore in the fourth quarter. So, in particular one quarter, first quarter of the current financial year, the recovery from the NCLT account is Rs 566 crore and the second quarter we are expecting Rs 1,356 crore, third quarter we are expecting Rs 438 crore and fourth quarter we are expecting Rs 1,302 crore. So, as on date as far as total number is concerned, 565 account of Rs 64,839 crore is in the NCLT. Of which 20 account of Rs. 2,884 Cr has been approved by the NCLT which is under process of the implementation and 252 account of amount of Rs. 26,713 Cr. is under liquidation and remaining 293 account of Rs. 35,242 Cr. will be pending for the resolution. So, this is about the NCLT.

As well as NARCL is concerned that 35 account of NARCL under discussion of amount of Rs 12,546 crore of which one account resolved for of Rs 447 crore, two account under final stage of the transfer of Rs 307 crore, nine account under various stage of Rs 2,225 crore and 23 account of Rs 9,567 crore where bid has to be received. So, this is about the NARCL. And as far as RAM percentage is concerned, RAM percentage it was 52.57% in the June 2022, which has improved to 54.74% in the June '23. This is our definitely focus area. And as far as investment is concerned as on date the SLR to NDTL is 24.81% as against the required of the 18% it means around 6% we are having the excess SLR and modified duration of the AFS and HTF is the 3.33 in the June 2023.

So this is another thing is this segment wise NPA retail it is 2.86, housing it is 3.72, and car it is 1.22. So I think I have covered most of the point. As far as guidance is concerned credit growth we have given the guidance of 12% to 13% although we have achieved 14.58% but we are still holding our guidance for the 12% to 13%. Deposit, we have given the guidance 10% to 11% for the here, although 14.18% we have achieved in the first quarter, but still we stick to our guidance for the 10% to 11%. CASA, although there is a decline, but 43% to 44%, we have given the guidance, so I think we may think around 43%, we will try to, because why I am giving this statement, last year around 84.74 lakh accounts we have opened, and first quarter saving bank account. And in first quarter we have opened 22 lakh account, and

current

account last year we have opened 2.09, and first quarter we have opened 72,614.

So I am still hopeful, if there is a further chance to increase the CASA also. So 43%, we are maintaining, we will see how we will behave, because on account of this difference in the interest, some of the money is definitely is to be transferred from the saving bank to the term deposit. Operating profit, we are maintaining the same 10% to 12%.

Net interest income we have given the guidance for the 10% whole of the year. NIM we will remain 2.9% to 3% but gross NPA, as I told you earlier guidance 7% to 6.5% and net NPA from 2% to less than 1% we are giving the guidance.

PCR around 90%, we have given the guidance, so around 90% we have achieved and credit cost although once again at the cost of the repetition, credit cost although it was 1.99% in the current quarter but still we are confident and hopeful it will remain within the 1.5% to 1.75% whole of the year.

The total recovery Rs 22,000 crore out of which Rs 5,416 crore we have already given the guidance versus the actual which we have given the last call color.

Now I think I have covered most of the point I will be answer to any query from your side also. Thank you very much.

Anand Dama (Host - Emkay Global) : Yes, thank you, sir. Before we open up the queue for questions, sir, I had one question. I mean, if you can just give guidance on your ROAs as well for FY '24, number one, and number two is that if you can just tell us what's the treatment on the ECLGS front that we have been doing, because if you I mean, there is a Bandhan Bank, which said that post the RBS circular, they had to recognize NPS from the ECLGS tool. So what is that we have done over there?

And third, when we look at the Canara Bank results, they tell us that they have had a very significant PSLC fees during the first quarter. I don't see that kind of fees at least for Punjab National Bank. So why is it we are not pursuing the PSLC, route basically to generate fees? Yes, and then we can take up the questions from the line.

Shri. Atul Kumar Goel: Yes, Anand, your first question is about the return on assets. So whatever the

profitability we have earned last year, although in the last call, I told we will be earning Rs 4,000 crore. So, I am telling whatever the profit we have earned, it will be double, it will be double what we have earned. So, this is my guidance for the return on assets. As far as ECLGS is concerned, as on date we have not made any provision for the ECL because it is a draft guidance of the RBI. It is a draft guidelines of the RBI. We are waiting for the final guidelines.

Anand Dama (Host) : Sir, sorry but I am talking about ECLGS, basically that is GECL that you would know.

Shri. Atul Kumar Goel: GECL. GECL I can give you the data also. In GECL, the total amount we have sanctioned is Rs 21,935 crore out of which Rs 19,274 crore was the disbursement and outstanding as on date is around Rs 10,053 crore against which Rs 96.3 crore is the NPA which is coming 4.39. And I am telling already Rs 96.3 crore is the NPA which is 4.39 in the GECL there is there is no much delinquency in this account. So this is about the ECLG.

Third is the PSLC definitely we are also talking to all of our branches also so that whatever the Canara Bank is doing, because they are very strong as far as gold loan is concerned. Although we are in at the initial stage because even if you see we have started from the Rs 0 to Rs 2,500 crore we have already achieved and we have a set a target of around Rs 10,000 crore for the current financial year.

The moment we will be in a position to achieve this, so definitely our position will also be stronger but definitely I agree with you the Canara Bank I am aware Rs 1,500 crore they have earned from this one segment only because they have the portfolio more than Rs 1 lakh crore with the agri gold.

Anand

Dama (Host) : So it's only about the agri gold that they tend to sell or like there are other crop loans and other also which basically you can sell?

Shri. Atul Kumar Goel: Most, I am not fully aware but mostly what I am aware they are selling only the agri gold because there is a good margin also. Even if we are purchasing, we are also actually in some of the segment, so we are also selling that also yeah.

Anand Dama (Host) : Sure sir. Great. Sure. So now we'll take the first question from Mahrukh. Mahrukh, please go ahead.

Mahrukh Adajania, Analyst: Hello sir, congratulations.

Shri. Atul Kumar Goel: Thank you very much Mahrukh. Thank you.

Mahrukh Adajania, Analyst: Sir sorry first of all I have question but I missed the RoA guidance what would that be sorry?

Shri. Atul Kumar Goel: RoA I told you whatever the profit we have earned last year double of the profit will be earned in this year so, what was the RoA last year it will be double, yeah.

Mahrukh Adajania, Analyst: Okay. Got it sir. Got it. And sir just in terms of deposit growth obviously most PSU banks have excess liquidity because their LDRs are lower than private banks. But most of the excess LDR or excess liquidity would be used up by now. So how do you think about deposit mobilization from here on? And what will be the impact of that on margins? Right and means do you think that incremental deposit mobilization will put pressure on margins? And also of the rate hikes that have happened so far, now has the full deposit repricing happened? Or you will still see pending rise in deposit cost in the next few quarters?

Shri. Atul Kumar Goel: Okay Mahrukh, I will give you the answer as far as deposit mobilization is concerned. First, I would like to tell all of you, we are having 16 crore customers in our fold. And last year also as I just given the data, more than 84 lakh accounts we have opened in the saving bank, 2 lakh accounts we have opened in the current account.

So, as far as mobilization of deposit is concerned there is not a problem in the Punjab National Bank, although we have given the guidance of the 10% to 11%, but if you see the actual guidance of the actual YoY growth was 14.18%. So, still we are maintaining 10% to 11%.

Now, your second question, the deposit repricing. Last time also I told NIM will be impacted on account of the repricing of the deposit because entirely deposit has not been repriced because if you see last year there was an increase around 250-basis point in the deposit rate. So, definitely as on date also the entire deposit has not been repriced, some of the deposit has to be repriced at the time of their maturity.

Mahrukh Adajania, Analyst: Got it, sir. But, what will be the incremental impact on margins, will margins fall from here as well or how do we view margins from here on from first quarter level?

Shri. Atul Kumar Goel: Little bit may be impacted, madam. This is the reason, last time also I have given the guidance for the NIM for the 2.9% to 3%. If you see my as on date domestic NIM is 3.21% and global NIM is 3.08%, so I am still maintaining 2.9% to 3%, definitely the deposit which is not being repriced.

Definitely there will be a little bit impact in the NIM but what we are trying, our NIM in the absolute number NII, net interest income. If you see the net interest income of our bank, whatever we have won in the last quarter, also it is on the positive side. So, absolute number, we will try to maintain the net interest income but because sometime ratio is misleading also, so we are not very giving the guidance more than the 2.9% to 3% but absolute number we will try to maintain.

Mahrukh Adajania, Analyst: Got it sir. Okay sir. Thanks, thanks. Thank you sir

Shri. Atul Kumar Goel: Thank you thank you Mahrukh

Anand Dama, (Host): Yes, thank you Mahrukh. Next question we have from Mr. Ashok Ajmera.

Mr. Ajmera you have to unmute yourself

d ask the question

Ashok Ajmera, Analyst: Yes. I unmuted myself. Congratulations to you sir. All of you sitting there for yet another good quarter of good performance and many of the questions have been answered by your initial remark and some of the question by my colleagues. I have just might be some repetition one is that when your advances in this quarter grew to by 3.84%, as compared to the last quarter. Which in other bank it is not so, I mean some of the bank we have seen the result, the growth in this quarter our credit growth was muted. So, why is our overall credit growth target is still you are maintaining to low only?

Shri. Atul Kumar Goel: Ajmera, your voice is breaking and now we are not in a position to hear you up to we are not able to hear you.

Ashok Ajmera, Analyst: Okay, am I clear now?

Shri. Atul Kumar Goel: Yes, now it is okay

Ashok Ajmera, Analyst: My question is that we have given a good credit growth in this quarter of I think 3.84% which in other bank credit growth in first quarter itself. Still we are keeping the target so low for the overall.

Shri. Atul Kumar Goel: I will give an answer to your question also, although your voice is breaking, but I have understood your question. Your question is very clear. We have given the guidance for 10% to 11% as against the 10% to 11%. We have already achieved 14.18%. While we are maintaining as of date we are maintaining our earlier guidance also, 10% to 11%. If there is a need of the revision of the guidance, so I will not revise the guidance in this quarter. Let us wait for another more quarter. Then we will be in a position to see what the real growth in the advances here is.

Ashok Ajmera, Analyst: Okay. Point well taken, sir. Now my second question is on recovery in written off of account also as well as overall in this quarter.

Shri. Atul Kumar Goel: On the recovery front, sir. Recovery, I can give, although I have not heard your question. Also, I have understood you want to about the recovery. Recovery, Ajmera, I have already given the last year, the recovery was more than the slippage in each and every quarter. For this year, Rs 22,000 crore is the target, against which we have already achieved Rs 5,417 crore, which is as per the guidance, because quarterly number is coming 5,500. And this time, the addition is hardly Rs 2,390 crore. So we are trying this year. Recovery will be double of the addition.

Anand Dama , (Host): Yeah, we can take next question from Saurabh. Saurabh, please go ahead.

Saurabh, please unmute yourself and ask the question

Saurabh, Analyst: Yeah, hi. My question relates to your stake in PNB Housing Finance. So, the recent rights issue you had infused about Rs 500 crore, and your stake had marginally come down. So, just wanted to know, going forward, what is the thought process in terms of your stake in this entity? Are you looking to over a long run, looking to diversify the stake in the entity or you will continue to maintain it at these levels. Is there any sort of regulatory direction on that also in this direction or you will continue to maintain it?

And I mean related question given that you also have like a brand sharing agreement with PNB Housing Finance, so how will that evolve considering that PNB Housing also raises deposits, which probably is helped by the PNB brand name.

Shri. Atul Kumar Goel: You are very much right, Ashwin as far as our stand is concerned. We will remain as a promoter in the PNB Housing Finance. There is no as on date a plan to disinvestment this stake which we are having in the PNB because there is a regulatory guidelines. We were having more than 30% earlier after right issue. We have invested Rs 500 crore in the right issue so that we have to brought down our investment in the PNB also less than 30%.

As on date, it is 28.15%. So, there is no plan as on date to go below that 26%, not even the sale of the

any stake which we are having. So, we will remain in the category of the promoter. Our regulatory guidelines, whatever it is, we have already reached the regulatory guidelines less than 30%. So, we will remain as a promoter category.

Anand Dama , (Host): Okay, thank you. Yes, Saurabh, can you unmute yourself and ask the question?

Saurabh, we are not able to hear you.

We can take question from Mr. Ashwin Kumar. Next question we can take from Mr. Sushil Choksey.

Sushil Choksey, Analyst: What is your outlook on all the subsidiaries and associate companies and your international business?

Shri. Atul Kumar Goel: As far as our subsidiary is concerned, we are having one subsidiary in the PNBIL in London also. That subsidiary is doing very good also. We are having another joint venture in Bhutan also. That is also doing very good. We are having another joint venture in Nepal also. So all the three, one subsidiary, two joint venture is working very well. As well as our overseas operation is concerned, we are having two branches. As on date, we are having one branch in Dubai. Another branch is having in the GIFT CITY, so they are also performing well, both the branches. As on date there is no plan for opening any new branches, yeah.

Sushil Choksey, Analyst: And your outlook on treasury, sir?

Shri. Atul Kumar Goel: Outlook of treasury basically it is a function of the rate of interest if you see as I just told you March '23 it was 7.31%, then as on date June it was 7.11%. So, a ready 20-basis paid. And down was in the interest rate and as on date also if you see it is hovering around 7.7% to 7.8%. So, as far as our modified duration is concerned we are very comfortable 3.33% in the June, 2023. And I think we

have reached the peak also, as far as interest rate is concerned we have reached the peak, so we are just waiting if there will be a further decline in the interest rate because whatever the amount we have shifted from the HFT to AFS.

So we are just waiting at the appropriate time to book some profit also. So, we are very optimistic in the treasury operation.

Sushil Choksey, Analyst : Sir, do you estimate the second half would support the bank's income in a larger way from treasury compared to the first half?

Shri. Atul Kumar Goel: If first half, definitely first half, as I told you, even after shifting of the amount, we have not booked much of the amount because Rs 308 crores was the total profit from the treasury also. So, definitely we, we not immediately, but we will see how the movement of the interest rate will we are just watching. We are talking to our dealer also, what is their view on the interest rate. They will say it is the right time to book the profit, then only we will tell them to book the profit.

Sushil Choksey, Analyst : Sir, the next question is on your asset monetization and human resource, and digital capability which PNB would aspire to do over next two years, three years. So, what is the CapEx plan? What is the human resource development plan? Because most of the banks have to become an enabler in talent and that is becoming a problem from most of the public sector or private sector and the poaching is happening. So now to build your next level of banking, how are we spending money and what kind of digitalization and human resource capability you are building?

Shri. Atul Kumar Goel: As far as digital is concerned, in last one year around more than 50 product or service we have launched and if you talk about this, my PNB mobile app, PNB ONE, the rating of the PNB mobile app was 2.3 one year back, today it is a 4.3, I think which is the highest in the industry.

Even I will tell you about the, when you are talking about the digital, as I told you 50, I will give example on the one product, PAPL, Pre-Approved Personal Loan, we have revamped this product, June 2022, the outstanding was mere Rs 58 crore but after revamping this pro

duct, we have disbursed more than Rs

4,000 crore in the last one year. And outstanding is more than Rs 3,700 crore and around 2 lakh customer has used this product and delinquency is around only 200 odd account.

And as far as HR is concerned we have on-board the consultant also we have got the approval from the board the name Udaan lot of things we are doing it is a market linked target for the each branches clarity of the roles and expectations from each employee clear tracking measurement and visibility of the performance metric so by putting this we will be in a position to make the difference between the performer and the non-performer by using this HR transformation system, I think we will be in a position to provide the incentive mechanism also, because as on date, as per the guidance of the government, 3% of the profit can be used for the distribution.

We are on the very advanced stage of the HR transformation and digital both. As far as CapEx plan is concerned, Rs 2,800 crore is the IT investment for the financial year. You were raising hand, you can go ahead, you were raising hand please.

Sushil Choksey, Analyst : Sir, I was asking human resource talent management training more, so digital spending Rs 2,800 crores, I noted, but thousands of PNB officials which need to be trained for next level and generations.

Shri. Atul Kumar Goel: That is part of the, this is the part of the HR transformation. Even we have already started giving the training for the soft skill of the behavior for a scale five and above each and every employee and we are giving the coach also, we are giving the mentor also, the training has to be given each and every, this is the part of the HR transformation.

Sushil Choksey, Analyst : Sir, second thing is how much of asset monetization are you expecting other than recovery?

Shri. Atul Kumar Goel: Assets monetization is relating to the subsidiary, et cetera. As of date, we don't have any plan to monetize any assets.

Sushil Choksey, Analyst : No, but other than subsidiaries, any other asset monetization plan?

Shri. Atul Kumar Goel: Some of the assets, some of the assets which on account of the merger, we are, but that is not a very big amount. Last quarter also around Rs 40 crore, Rs 50 crore, some of the assets we have monetized which were not in our use also. So sometimes, a small amount here and there, we are, every quarter we are monetizing. But that is not a very big amount.

Sushil Choksey, Analyst : Sir, you have the largest number of customers, among the largest customer base in your bank. How many products are we able to sell on a cross-selling basis?

Shri. Atul Kumar Goel: As I told you, we are having the 16 crore customers. The average of our target is, at least we should be in a position to sell two products to each customer also. We are trying to get also on account of this we have established one marketing department in the form of the BARM, Business Acquisition Relationship Management. So all it is being monitored by the CGM and the head office and we have given all the person in this department, in the circle offices, zonal offices, so this will definitely help to increase the cross-selling to the existing and as well onboard the new customer.

Sushil Choksey, Analyst : If I take a fee income number of the current quarter and if I have to aspire with a two-year vision or a three-year vision somewhere in FY '25 or '26, how many fold you expect that fee income will grow because of mutual fund, broking, insurance or any other product which you are distributing from third party or any kind of a vision document or a thinking process?

Shri. Atul Kumar Goel: Yes, that is very much there, as on date we are having one partner MetLife,

where we are having the 30% stake, so we are the bank insurance agent also, even now each and every product, whether it is a mutual fund, whether it is a share, whether

it is a other LIC policy, that is available on the digital mode.

You can use my mobile app and you can purchase any type of the mutual fund and shares, et cetera also, where we are getting the commission from the partner, which we have onboarded. And we are trying to increase non -inter est income by way of the BG Commission, LCE, and we are targeting to increase the income from the ForEx also, because that is one of the areas where we can increase substantially, even from the government business. So, four -five areas we are targeting, and definitely it is our focus area, how to improve the other income of the bank.

Sushil Choksey, Analyst : Sir, my last question, you just mentioned ForEx, how much of NRI deposit are we able to collect?

Shri. Atul Kumar Goel: As I told you, this is the reason because the marketing was the only on account of this PRN, we are targeting the NRI.

Sushil Choksey, Analyst : Sir, I was asking on NRI deposit.

Shri. Atul Kumar Goel: That is our target, because we want to target the NRI account. We are having 10,000 branches also. Each and every branch is able to get the NRI account. And we are making some seminar et cetera, also when the Pravasi Divas is also there, when we are going to make the seminar et cetera on the Pravasi day also.

Sushil Choksey, Analyst : Thank you very much for answering all my questions and all the best for the years to come.

Shri. Atul Kumar Goel: Thank you. Thank you very much Mr.Sushil.

Anand Dama , (Host): Thank you, Mr.Choksey. Next question we have from Ashlesh. Yes, Ashlesh, please go ahead.

Ashlesh Sonje, Analyst: Hi, team. Congratulations. Sir, three questions from my side. Firstly, can you just repeat the NPA numbers on the retail segments, housing and car? I missed those numbers

Shri. Atul Kumar Goel: Okay, okay, definitely. Retail it is 2.86% and housing 3.72%, car it is 1.20% and personal 1.22%.

Ashlesh Sonje, Analyst: Okay, perfect, sir. And secondly, I see that our slippages have declined quite meaningfully quarter -on-quarter. And especially this seems to be coming from the Agri book. Can you explain, can you give some detail whether this was something seasonal or something more structural that we have been able to achieve?

Shri. Atul Kumar Goel: No, not structural reasoning. Everything has been recognized. Quarter -by-quarter, I think I am hopeful. Whatever the number, we have Rs 2,390 crore, even in the next quarter also we are hopeful. It will be further decline, because I have given you the data for the last three years, from 1st, of July '20, how the new underwriting is behaving.

And if you see the share of the agri, it is hardly 360 also. Only 360 in the current quarter. As it is normally used to be sometime 1,000, 2,000, as on date, there is no issue as on date in the retail book either on the agriculture or the MSME. So this slippage is bound to reduce quarter -by-quarter

Ashlesh Sonje, Analyst: Understood, sir. So lastly, on the OpEx front, a couple of questions there. This AS-15 provision for the last three quarters has come out to be in the range of Rs 12 billion to Rs 13 billion per quarter. What do you expect the run rate to be on this one that is first question.

And secondly, if I look at our cost ratios and compare them with our peers, the cost ratios whether it's the cost to income ratio or cost to assets ratio that seems to be slightly higher and mainly this seems to be coming from the staff cost side so why do you think that is and if that can probably decline in the future.

Shri. Atul Kumar Goel: You are right, you are right and we are aware of this also because this AS -15 provision is based on the movement of the yield and movement of yield which I just told you 7.31 to 7.11 from as compared to the March to the June, so what was the requirement. We have provided as per the actual, entire we have provided. So I think, if tomorrow what is you are asking

what is my takeaway in the future also.

If I am hopeful, if rate of interest whatever as on date, if they will remain change my requirement will be very less , I think it will be in the range of the Rs 400 crores only in the current subsequent quarter, if rate of interest will remain same. If there is a further decline in the rate of interest also then I am not saying otherwise whatever Rs 1200 crores, we have provided in the last three quarter. So, in the subsequent quarter definitely, if yield will remain same, so I think I will not be in a position to provide more than Rs 400 crores to Rs 500 crores.

Ashlesh Sonje, Analyst: So, Rs 400 crores to Rs 500 crores, you are saying for the AS -15 provision?

Shri. Atul Kumar Goel: Yeah, But Rs 283 crore, which we are providing for the wage revision that will remain constant both of we are providing at 10% then we have to see what is the actual, after the wage revision has been settled.

Ashlesh Sonje, Analyst: Understood, sir. Perfect. Thank you. Those are all the questions I had.

Anand Dama , (Host): Thank you, Ashlesh. So, our next question we'll take from Jay. Jay please unmute yourself.

Jai Mundhra, Analyst: Yeah. Hi, sir, good evening. Sir, I have a couple of questions. One is you have a retail book which is Rs 2 lakh crore, right, and you have a core retail which is Rs 1.40 lakh crore, right, so essentially there is a Rs 60,000 crore non-core retail book, if you can share why do you call that non-core and what goes into that Rs 60,000 crore book?

Shri. Atul Kumar Goel: Jay Mundhra, the core means which business is being generated by the branches, which is we are taking in the call what is the difference because sometimes we are purchasing the pool also.

The pool we are giving in the one or two, three, four branches in case of maybe Mumbai or Chennai, etc. So, pool or IBPC, which we are purchasing that we are not taking in the core retail.

Jai Mundhra, Analyst: Okay. So, sir the pool outstanding the number is right, right, I mean the total retail is Rs 2.05 lakh crore.

Shri. Atul Kumar Goel: Yes

Jai Mundhra, Analyst: And the core retail is Rs 1.4 lakh crore. So, around Rs 60,000 crore is pool outstanding.

Shri. Atul Kumar Goel: Pool as well as the IBPC also. Pool as well as the IBPC. Suppose we are taking the IBPC for the retail, it is a combination of both.

Jai Mundhra, Analyst: Right. And sir, so what would be this portfolio? Will this be housing loan or it could be a mix of everything?

Shri. Atul Kumar Goel: It is a mix. Sometime it is mostly of the housing and mostly of the sometime in the personal loan also. Sometime it is a lap also. It is a mix of each and everything.

Jai Mundhra, Analyst: Okay. Understood. And sir, secondly on corporate, right. So, Slide 8, that shows that our corporate and others have grown from Rs 3.8 lakh crore in round figure to Rs 4 lakh crore, whereas the corporate infra, steel, even NBFC has not grown quarter-on-quarter. So, where is the growth coming from quarter-on-quarter basis? I see infra has declined, metals has declined, other industries has actually gone up, but where is the growth coming from?

Shri. Atul Kumar Goel: See growth is coming from the NBFC, although you are saying from the March '23 Rs. 135 Cr to Rs. 129 Cr. In June '23, on a yoy basis it is increasing. So, growth is coming, some of the steel industries we are giving. So, there is a lot of demand in the road also, road also there is a very good demand. And in some other industries also like textile and some of the gas pipeline companies, some of the oil companies also they are raising. So, it is a mix of that, it is a basically demand is coming from the road, infra basically, and the demand is also coming from some of the cement industry, they are going for the expansion, even the steel and some petroleum company also. And gas pipeline also, gas pipeline,

yeah.

Jai Mundhra, Analyst: Okay. And, sir, you said that the credit growth is 12%, 13%, and you are having excess liquidity of 600 basis point, and so, I wanted to understand your thought that why do you need to grow deposits at 10%, 11%, ideally, you should not be growing deposit only?

Shri. Atul Kumar Goel: Jay Mundhra, this is the reason I told you, our guidance for the growth of the deposit is 10%, 11%, although the actual growth was 14.18%, you are very much right. There is no need for increase the unnecessary growth also I have to see what deposit, what rate I have to pay on the deposit or what I am earning on the investment.

If I am giving lesser rate on the deposit, whatever I am earning in the investment, then there is a sense keeping the amount in the investment. So, this is the reason I am giving 10% to 11%. So, we are, it is a combination of both because saving bank as well as the current account definitely we want to improve because it is an improvement for the NII's essentially, yeah.

Jai Mundhra, Analyst: Okay. And lastly, sir, if you can quantify of your corporate loans or the loans which are on the MCLR, how much are going to get repriced in second quarter itself, right? So, while, yeah, that will help us understand the level of repricing which is pending in the book. So, how much of the MCLR book are yet to reprice?

Shri. Atul Kumar Goel: I will give you the broad guidelines, Mundhra, the 37.12% in the MCLR, RLLR 27.20%, RLRL elite 11%, TBLR 10%. The loan book which is RLR elite, TBLR debt has been repriced very next day. So your specific question, the 37% which we are having the MCLR, most of the part has already been repriced but still some of the account where the term of the, suppose we have given one year MCLR, so some of the definitely is to be repriced.

Jai Mundhra, Analyst: Right. Okay. Sure, sir. And anything on the term deposit side? You mentioned that some of the deposits are yet to be repriced. But if you can quantify, sir, I mean, Rs 1 lakh crore, Rs 2 lakh crore, Rs 3 lakh crore, how much?

Shri. Atul Kumar Goel: Around whatever the deposit is around 20% to 25% is still to be repriced.

Jai Mundhra, Analyst: Of the total deposits.

Shri. Atul Kumar Goel: Of the total deposit, of the term deposit because there is no repricing.

Jai Mundhra, Analyst: Right

Shri. Atul Kumar Goel: Yes, so I am talking about the 25% not only total deposit only the term deposit 25%.

Jai Mundhra, Analyst: Alright, so 25% of the total term deposit you are yet to reach. Right.

Shri. Atul Kumar Goel: Yes

Jai Mundhra, Analyst: 60%, 70% has already repriced.

Shri. Atul Kumar Goel: Yes, yes

Jai Mund hra, Analyst: Okay. Great sir, thank you and all the very best sir.

Shri. Atul Kumar Goel: Thank you. Thank you.

Anand Dama , (Host): Thank you Jai. Next question we will take from Yash. Yash please unmute you rself.

Yash, Analyst: Hi sir thanks for this. Sir just wanted to check one question on the restructured book while the overall restructured book seems to have declined the OTR 1 has seemed to slightly increase on a sequential basis. So just wanted to check if I'm looking at it correctly and secondly how's the restructured book behaving overall and if there are any slippages in the current quarter.

Shri. Atul Kumar Goel: Okay. I will give the exact data as on date OTR 1 is Rs 5,247 Cr is the outstanding out of this Rs 3,231 Cr is the standard, Rs. 2,016 Cr is the NPA. If you see the OTR 2 the outstanding is Rs. 9,911 Cr. out of which standard book is Rs. 7,323 Cr NPA is 2,588 and we have already made the provision on this book around 10% as per the regulatory guidelines. It is declining quarter -by-quarter, it declining and 10% provision is already had on the entire book.

Yash, Analyst: Okay. So the slight increase in OTR 1 is just a part of it I mean.

Shri. Atul Kumar Goel: The increase part, but if you compare

from the March number also you see it is

declining it is a total implemented was Rs 7,328 crore, outstanding is Rs. 5,247 Cr.

Yash, Analyst: Okay. Got it, thank you

Anand Dama , (Host): Yeah, thank you, Yash. So next question will take from Mohit.

Mohit, Analyst: Yeah. Good evening, sir. So just one question. While our slippage numbers have gone down on a quarter -on-quarter basis, if I'm looking at the SMA 2 number that has increased, as I'm comparing with March '23. Is it because of seasonal factors? Or it's not so working with the possible reasons for it.

Shri. Atul Kumar Goel: Mohit, there is a days calculation because on account of the February, so 90 days means account is not coming. April 1, if you see the other quarter also the number is declining quarter -by-quarter is declining, but if you're comparing from the March that is on account of the 90 days calculation. Yes.

Mohit, Analyst: Understood. You're saying in March quarter because of February month. It's not crossing 90 days

Shri. Atul Kumar Goel: So that impact is coming on the 1st or the 2nd April.

Mohit, Analyst: Okay. Okay, thank you sir. Thanks

Anand Dama , (Host): Thank you, thank you Mohit. The next question will take from Rakesh. That will be the last question.

Rakesh Kumar, Analyst: Hi. Thanks, thanks Anand. So, first question was sir, sir, on the non -PSL agri, it's a pretty sizable number for us. So, so what is the status in terms of yield and asset quality sir, nonPSL agri loan?

Shri. Atul Kumar Goel: Non-PSL, there is no challenge. Non -PSL to be very good corporate

Rakesh Kumar, Analyst: No, no, so non -PSL agri is corporate you are saying?

Shri. Atul Kumar Goel: So, yeah, corporate basically, I can give another like etc also, yeah.

Rakesh Kumar, Analyst: Okay. Okay, so that is on sir, like, so what is the yield that we generate on that book sir?

Shri. Atul Kumar Goel: Yield because both the things we cannot maintain if we have to maintain the credit quality we have to little bit compromise on the yield also.

Rakesh Kumar, Analyst: Correct, correct, correct sir. Okay, okay, okay. Thank you sir. Thank you. Thanks a lot sir

Shri. Atul Kumar Goel: Okay, okay Rakesh, thank you very much.

Anand Dama , (Host): Thank you Rakesh. Sir we will now wind up the call if we have any closing remarks to make . Over to you sir.

Shri. Atul Kumar Goel: Thanks Anand. If anybody has any query also they can send to my investor relation department also we will love to reply any query if they have not on account of any reason they could not ask the question also.

Anand Dama , (Host): Sure sir. Sure. That's great sir.

Shri. Atul Kumar Goel: Thank you. Thank you, Anand. I want to assure to all my analysts and the investor also this last quarter was also very good, this quarter is also very good, you must have seen the improvement in the assets quality, which is that normally the challenges and the question from the analyst side also. So, now we have revised our guidelines also this 1% for the net NPA and 6.5% for the gross NPA number.

Bank is doing very good because there is so many other thing also like digital transformation, HR transformation, which is not reflecting in the number reflecting in the number by improvement only, but a lot of step we are taking for the digital transformation, HR transformation, a result on account of result of this number is coming. Even the as far as assets quality, we have taken a lot of improvement for the underwriting as well as the collection efficiency.

Collection efficiency, each and every account if we are giving for the retail loan either NACH is mandatory either the standing instruction for the link account. On account of this our SMA is reducing, our collection efficiency has improved, yield of advances also been increased, and the recovery also because we are having that is my goldmine, whatever the recovery fees are having

g more than Rs 70,000

crores and apart from that we are having around more than Rs 90,000 crores TWO book.

Our focus is on the recovery, the moment we are in a position to recover more amount also, it will increase our profitability, it will increase our operating profit, and it is helping us to increase the NII. So, bank is on the right track and the bank is going on the right track for and the profit also I told you instead of the Rs 4000 crores, profit at least will be double from the last year, what we have won. Thank you. Thank you very much, Anand.

Anand Dama , (Host): Thank you, sir. And the best wishes to the management and all participants on this call. That's all for today. Thank you.

Call: Nov 2023

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AmritMahotsav pnbone

#JustOneRpp

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Date:02.11.2023

DearSir(s),

Reg.:TranscriptoftheEarningsCallwithAnalysts/InvestorsonFinancial

Resultsforthequarter/halfyearended30"September2023

PursuanttoRegulation30oftheSEBI(LODR)Regulations,2015,pleasefind
enclosedthetranscriptoftheEarningsCallwiththeAnalysts/Investorsonthe
FinancialResultsforthequarter/halfyearended30thSeptember2023heldon
26.10.2023.Thesameisalsoavailableat:[https://www.pnbindia.in/financials](https://www.pnbindia.in/financials/current.html)
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Yourssincerely,

(EktaPasricha)

CompanySecretary

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Page 1 of 16

"Punjab National Bank's Q2 & H1 FY24 Earnings
Conference Call"

October 26, 2023

MANAGEMENT : SHRI. ATUL KUMAR GOEL – MD AND CEO

SHRI. KALYAN KUMAR – EXECUTIVE DIRECTOR

SHRI. BINOD KUMAR – EXECUTIVE DIRECTOR

SHRI. BIBHU PRASAD MAHAPATRA – EXECUTIVE

DIRECTOR

MODERATOR : MR. RAKESH KUMAR – B&K SECURITIES

Punjab National Bank

October 26, 2023

Page 2 of 16

Deepak Singh : Good day to all. I am Deepak Singh, looking after Investor Relations. I welcome you to the
Punjab National Bank's Earnings Conference Call for the period ended September 30, 2023.

The Bank is represented by Managing Director and CEO – Shri. Atul Kumar Goel and Executive

Directors – Shri. Kalyan Kumar, Shri. Binod Kumar and Shri. Bibhu Prasad Mahapatra and other senior members of the top management.

The structure of the con -call will include an opening statement by the MD and CEO sir and then the floor will be open ed for interaction.

Before getting into the con -call, I will read out the usual disclaimer statement :

I would like to submit that the statements given herein are not guarantees of future performance, and undue reliance should not be placed on them. Such forward -looking statements necessarily involve known and unknown risks and uncertainties, which may cause actual performance and financial results in future periods to differ materially from any projections of future performance or results expressed or implied by such forward -looking statements. Investors are therefore requested to check the in formation independently before making any investments or other decisions.

Over to MD and CEO sir.

Atul Kumar Goel: Good afternoon to everybody, rather good evening. I welcome all the analysts and the investors in this con -call, which we are having for the Quarter 2 Results of the Financial Year '23 -24 quarterly as well as the Half Yearly Results .

I will give my brief opening remarks. Then the floor will be open for the questions of any analysts as well as the investors if they want to ask any question.

This is one of the very wonderful quarters for as far as the Punjab National Bank is concerned.

The 3 parameters which really you will be happy to hear the net interest income, whether it is the operating profit, whether it is the net profit, these 3 numb ers which we have shown in the current quarter ending September 2023, it is the highest we have achieved first time in the last 14 quarters after the amalgamation.

As far as business is concerned, there is a growth of the gross business at around 11.26%. L ast year, this business was Rs. 20.26 lakh crore which has reached Rs. 22.51 lakh crore. In composition of the gross business, there is a growth of around 9.7% in the deposits. Deposits used to be around Rs. 11.93 lakh crore in September 2022, increased to Rs. 13.09 lakh crore . Similarly, in the gross advance, there is a robust growth of 13.43% which used to be around Rs. 8.30 lakh crore in September 2022, increased to Rs. 9.4 lakh crore.

Similarly, there is a growth of around more than 4%, i.e., 4.32%, in the savings which is our main USP of the Punjab National Bank because we have 10,000 branches, 18 crore customers. In CASA also, there is an increase of around 2.36%. In the RAM, which is the focus area of the Punjab National Bank

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bank, there is a growth of around 13.41%; and if you see the percentage of the RAM to the total credit, it has also improved to 55.63%. If you see in September 2022, this ratio was 53.45%. Even in the June '23 quarter, this ratio had improved to 54.74%. Further, it has improved to 55.63%.

As far as the profitability number is concerned :

Net interest income, which I just told you, it has improved by around 20%. It was Rs. 8,271 crores which has increased to Rs. 9,923 crores, and it was Rs. 9,504 crores in June 2023. So, there is a YoY growth of aroun d 19.98%. There is quarter -to-quarter growth also. The operating profit, which used to be around Rs. 5,567 crores has increased to more than Rs. 6,000 crores and stood at Rs. 6,216 crores; and there is a growth of around 11.67% YoY, and this number was Rs. 5,968 crores in June 2023. Net profit, which was Rs. 411 crores in September Quarter 2 022, has increas

ed to Rs. 1,756 crores, with a growth of around 327.35%, and this number was around Rs. 1,255 crores in June 2023. So, there is a YoY growth of more than 300%. There is a quarter -to-quarter growth also.

Main important major concerns of all the investors and the anal ysts also are gross NPA and net NPA numbers. There is a substantial reduction in the gross NPA as well as the net NPA quarter to quarter or YoY also. The gross NPA number, which used to be around Rs. 87,000 crores in September 2022, has reduced to Rs. 65,0 00 crores in September 2023. Similarly, the gross NPA in terms of the percentage which used to be around 10.48% in September 2022, 7.73% in June 2023, reduced to 6.96% by September 2023. Similarly, the net NPA number, which used to be around Rs. 29,000 cro res has reduced to around Rs. 13,000 crores. This number was around Rs. 17,000 crores in June 2023. And the Net NPA number, which used to be around 3.8%, has reduced to 1.47% in the current quarter. The current quarter means September 2023.

PCR last time w e had told that PCR should be more than 90%. It was 89.83% in June and 83.96% in September 2022. Now, the PCR of the bank is 91.91%. On account of this PCR, I am telling you the requirement of the aging provision in the quarters to come has reduced drastic ally because as of date, I am sitting only Rs. 13,000 crores in net NPA number. I am having Rs. 6,000 crores more than operating profit. If you will make Rs. 13,000 crores provision, our net NPA will become zero in times to come because now there is no wor ry because PCR has increased to

91% as far as the movement of the NPA is concerned. So, there is a substantial reduction in the slippage also. Slippage if you see, Rs. 1,826 crores in the quarter ended September 2023. This number used to be around Rs. 6,000 crores in September 2022. In the last quarter, it was Rs. 2,390 crores. Last time in 2022-23, our motto was recovery should be more than the slippage. We have achieved that motto. And this year, we have the motto that our slippage should be half or the recovery should be double the slippage. If you see, Rs. 1,826 crores is the slippage but recovery for the quarter is Rs. 5,500 crores. Whatever we have told, we have already achieved. As far as the credit cost is concerned on the NPA, last time I said that it should be around between 1.5% to 1.75%, but last quarter because Rs. 4,374 crores were the requirement, it was around 1.98%. But in the current quarter, the provision for the NPA has been reduced drastically on account of the increased PCR in the last quarter as well as the current quarter Rs. 3,018 crores

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which is coming at 1.31% for the September quarter, and half yearly it is around 1.67%. Whatever we are thinking it should remain within the 1.5% to 1.75%. Easily we will be in a position to achieve because in the quarters to come on account of the increased provision coverage, I am not thinking there will be much requirement of the NPA provision. As far as the cost of deposit is concerned, it was 4.71% in the June quarter. It has increased to 4.84% because some of the deposits have not been repriced earlier also. Last time I told you that still there will be some of the deposits which have not been repriced. As of September 2023, around 15% of my deposits still have to be repriced because some of the term deposits which they have purchased by us have to be renewed at the time of the maturity. If the amount ballpark number is around Rs. 1 lakh crores, that has to be repriced. This is the reason. The NIM is even we have got 3.11% for the current quarter as against our guidance for 2.9% to 3%, but still we are maintaining our guidance of 2.9% to 3% because some of the deposits have to be repriced. Also, we are assuring all of you – even I am confident – whatever the NII in the absolute number, I think we will be in a position to

maintain the NII in the absolute number or there will be a growth. But NIM in terms of the percentage a little bit may go down. As far as the yield on advances is concerned, it was 8.13% in June. This quarter, it has improved to 8.23%. As far as the NIM movement, I have already told you. For the information to all the analysts as well as the investors, what we have done is – up to last quarter, we were providing around Rs. 280 crores or Rs. 283 crores regarding the wage revision – now we have increased the percentage and this quarter we have provided Rs. 694 crores taking the impact from the November 2022. This is another thing.

As far as the slippage of the Rs. 1,826 crores is concerned, the breakup of the slippage is, in agri it is around Rs. 424 crores, MSME Rs. 683 crores, retail Rs. 420 crores, others Rs. 223 crores, and existing NPA of Rs. 76 crores. It means that it is well diversified. It is not a particular segment that is retail or agri. There is equal balance in whatever the slippage is coming. As far as the increase in the advances is concerned, as I told you 13.43% is the gross advance, more than 40% increase in the retail, agri 4.49%, MSME 6.48%, RAM if you see it is 18.21%. One more thing I would like to discuss here, last quarter, I had also given the data on how we have taken a lot of initiative for the digital transformation, and we have taken a lot of the initiative for the HR transformation, which are not reflecting in the balance sheet, but they are reflecting in the numbers. Last quarter, I had given the new acquisitions from the first of July 2022 till date. It means 36 + 3 = 39 months' data for the new acquisitions. Last 39 months, Rs. 6.68 lakh crores we have sanctioned, Rs. 5.97 lakh crores we have disbursed, and outstanding in the new acquisitions is Rs. 4.63 lakh crores. Out of this Rs. 4.63 lakh crores, the NPA is hardly Rs. 1,314 crores which is coming around 0.22% of the total advances for new acquisitions. In this, I will give further the segment-wise distribution also. In agri, the NPA is Rs. 197 crores, 0.23%; in retail, it is Rs. 204 crores, 0.18%; in MSME, it is around Rs. 882 crores, which is coming around 1.47% of the outstanding. Others – other means Corporate – there is hardly Rs. 31 crores slippage which is coming to near zero, it is difficult to calculate in percentage terms. This is the result of the initiatives taken by the bank for how to improve the underwriting

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standard and how to improve the collection efficiency. This is the reason our slippage has reduced drastically and improvement of the recovery also happened. As far as the capital adequacy ratio is concerned, the capital adequacy ratio is 10.23% in CET-I and AT-I is 1.79% as against the norm, 9.5% for the Tier-I; Tier-I is 12%. So, total CET is around 15.09%, and we have got the approval of the board for raising Rs. 12,000 crores in the current financial year. Out of this Rs. 12,000 crores, Rs. 7,000 crores is for AT-I and the

remaining Rs. 5,000 crores is for the Tier-II out of which we have already raised Rs. 3,090 crores in the 1st Quarter of the current financial year in, Tier-II; and Tier-1 (AT-1) we have also raised in the last quarter – last quarter means September quarter – Rs 3,000 crores. So, immediately there is not much requirement of the capital. We are well capitalized at 15%. As far as recovery from the NCLT is concerned, the 1st Quarter recovery was Rs. 566 crore, the second quarter it was Rs. 556 crores, and we are hopeful that the current quarter will be good for recovery from the NCLT because some of the accounts are in the lineup. So, around Rs. 2,500 crore we are expecting that recovery should come in the third quarter, but sometimes you don't know because it is the legal process. In the fourth quarter, we are thinking it will be more than Rs. 1,089 crore. One more thing

I would like to tell all the analysts and the investors also is about OTR -1 and OTR -2. In OTR -1, the outstanding is Rs. 327 crore. And in the OTR -2, the outstanding is Rs. 7,108 crores, i.e., in the standard account. As per the regulatory guidance, 10% provision we have to make and 5% we have to make the provision for the MSME. But considering there should be some of the accounts may be standard in times to come because moratorium of the account is going to be over. So, instead of the 10%, we have made it 12.5% provision in all the accounts which are in the standard category in the OTR -1 and OTR -2. On account of the Rs. 267 crores, we have made additional provision on this account. Apart from this, Rs. 308 crores, we have made a provision of the June 2019 circular because as per the circular, if the resolution is not being done in the account, you have to make the provision 20% in the first stage, then after this, you have to increase it to 35%.

These are my initial remarks. I have presented 7 results after taking charge of the PNB. I think this is the best result in my opinion I have presented in this quarter of September. This is on account of the great effort of my team PNB. One lakh employee we are having. They are working day and night for the increase of the business. Whether it is CASA, whether it is growth in the advances, whether it is recovery, whether it is containment of the slippage, they are working day and night. The HR transformation, as I told you, is underway. After that, I think we will be in a position to show better results.

There is support of our board support of the government, and support of the regulator.

With these initial remarks, now I am open to any questions if you want to ask.

Rakesh Kumar: A quite elaborate description of the results. Really it's a very strong set of numbers that PNB has reported. Now we will start the Q&A session. I'll request Mr. Ajmera to go ahead with his questions.

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Ashok Ajmera: Congratulations to you, sir – Atulji and the entire team. Definitely one of the best quarters as regards the profitability is concerned, whether it is operating profit or the net profit maybe in the last 3 to 3-1/2 years' time. And the bank is really doing well and trying to reach its glorious heights. After your such an elaborate detailed introductory address on the results, I would ask my first question on the ROA. The ROA of our bank is still, in spite of the best performance, only 0.46 as compared to many of the peer banks which have now started going beyond 1; 1, 1.2, 1.3, 1.4 per quarter if you look at the quarterly results. Of course, it has a lot of story behind it. I would rather put it like whatever episode had happened which had taken this bank down, is there any bearing of that continuing on the operations or the plans of the bank or any regulatory sort of restraint or any such thing or that happening is fully over and overcome by the bank?

Atul Kumar Goel: Ajmeraji, as far as your question is concerned, I may clarify to all that there is no issue. There is no obstacle from the regulator's side, there is no obstacle from the government's side; there is no issue at all. Everybody is thinking how we can improve the working of the bank. If you see the last year, the ROA was around 1.7%. If you look at the current quarter, it is 0.46%. We are also thinking about how we will be in a position to achieve the 1% number. And within the exit of 2024-25, I think definitely we will be in a position to achieve or we will also try it before the exit. But what was the issue really that is not the issue that on account of the episode which you are telling, there is no issue from the staff side. Issue is because on account of the legacy issue, our NPA book is still on the very higher side. I am having technical written off accounts of Rs. 90,000 crores and Rs. 65,000

crores is the NPA. If you add both, around Rs. 1.5 lakh crores is the NPA where I am not earning anything. If I earn 8% or 7% out of this, then you can imagine what will be my operating profit. Rs. 9,000 crores to Rs. 10,000 will be gradually. Last year, we set a target of Rs. 32,000 crores against which we have recovered Rs. 29,000 crores. This year, we have a target of recovery of Rs. 22,000 crores, and Rs. 11,000 crores we have achieved in the first half. So, we are on track. The time will come definitely where we will be in a position to achieve whatever you are thinking, the ROA. There is no issue from any side. This I may confirm. Everybody is working whatever best they can do for the growth of the bank.

Ashok Ajmera: Sir, my second question is, do you have about 5 subsidiaries and 5 associate companies with you. Can you give a little color on the entire operations of the subsidiaries or associates and how much they are adding to the bottom line of the bank in any way, or any plans to monetize?

Atul Kumar Goel: As far as the plan of monetization, there is no plan as on date I am telling you because last time also I have explained we were thinking to monetize our investment in the Canara -HSBC because we are already having the stake in the MetLife, because this Canara -HSBC has come on account of the merger of the OBC. As per the regulatory guidelines, we were required to bring our holding less than 10% , which we were having 23%. Last time, although we had started a plan of disinvestment, but in the meantime, IRDA had already changed their regulations. In the second insurance company, you can be as an investor category, not as the promoter category, up to 25%. Since we were having 23%, we have changed our plan of disinvestment in this. As on date, as far as monetization is concerned, there is no monetization plan because my PNB Housing Finance is doing wonderful. Last time, because as per the regulatory guidance, we had to bring our holding to less than 30%. That we have already brought around 28.15%. So, that is not an Punjab National Bank
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issue as on date. And last time, whatever the shares which were available to us on account of the right, we have renounced. We have made some money by selling the renounced. So, in PNB Housing Finance, there is no issue. In PNB Cards & Services Limited , we have already got the approval from the regulator. So, the DSA model we will be implementing. This will be one of the sources of the lead either from the liability side or on the asset side. PNB Gilts and all my subsidiaries are working well. All are in profit. There is no issue. So, I think there is no challenge in any subsidiary. Also, there is no plan as of date, Ajmeraji.

Ashok Ajmera: Sir, if you look at the rating slide, slide #13, the AAA has come down from 45.6% to 44%, AA has come down from 26.83% to 25.87%. A has a little bit gone up but BBB has increased from 4.8% to 5.7%. Is it because of some payments by the AAA and AA companies' repayment or something or is it the downgrade of the rating of some of these companies? Because, our conscious decision is to increase our quality of the book to AAA, AA, or A. Was there any kind of analysis done on this in percentage terms?

Atul Kumar Goel: Yes, we have made a full analysis of this. If you see, around 94% in the investment grade, and if you see the composition, it is 44% in the AAA. So, there is no downgrade, not a single account. I have given you the data of the last 3 years of the Corporates. There is only Rs. 31 crores NPA. There is no downgrade. The AAA is very rate sensitive. We are not giving a rate which doesn't suit us. That is the only reason because outstanding has gone down. Otherwise, there is no issue. AA is also the same thing. If we are not matching the rate of our choice, because you are aware there is an increase of more than 200% in the last 1 year.

But all these types of AAA or AA, they want less than my cost. That is the only reason. Otherwise, there is no issue. BBB in a size of Rs. 9.4 lakh crores advance, 10,000 branches, BBB, Rs. 1800 crore. Then, we give loans to the MSMEs. In this, a major portion will be the MSMEs. Normally, in MSME, it is very difficult to get a rating more than BBB. In the Rs. 2,000 crore, 4.89 to 5.79, because they are yielding a good return for the bank. Otherwise, even BBB also, we are very sensitive that there should not be any credit risk. The rating may be BBB, but credit risk should not be there.

Rakesh Kumar: I will request Mahrukh to go ahead and ask the question.

Mahrukh Adajania: Sir, I had a couple of questions. Firstly, on credit costs, they have come down very well. Do we see them stabilizing here? Because most of the PSUs are probably running slightly higher than this current level of yours. So, do we see credit costs stabilizing here or falling further? And likewise for slippages. Including addition to the existing accounts, we saw around 19 billion slippages which is of course at a low which we haven't seen for many years. Does it stabilize here now, or will that be volatile over the quarters?

Atul Kumar Goel: Mahrukh, as far as credit cost is concerned, as I elaborated in my opening remarks, we have crossed 91%. On account of this 91% PCR, our aging requirement has reduced drastically. So , whatever the credit cost, which was Rs. 4,300+ crore in the 1st Quarter , has reduced drastically to Rs. 3,000 crores and I am hopeful because there is no more slippages . I think there will not be further increase in the credit cost because last time, we had given 1.5 to 1.75, but 1st Quarter it was 1.98. And I assured and promised all of you that it will be within the range of 1.5 to 1.75 %.
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If you see my half yearly credit cost, it is 1.75 %. I am hopeful it will further decrease because where will I make the provision? If there is no requirement, 91% already I have made a provision, Rs. 13,000 crore is my net NPA, and Rs. 6,000 crores I am sitting on the operating profit. I think we should further reduce slippage. As you have told Rs. 1,800 crore number even

we are hopeful and quite confident quarter by quarter, this slippage should be reduced further because if you see my SMA of more than Rs. 5 crore, it is hardly Rs. 1,448 crore SMA2 only, which used to be around Rs. 1,758 crores. Even in the account of Rs. 1,448 crores, we have already shown more than Rs. 5 crore. In Corporate segment only Rs. 14 crores is there. So, we are very confident we have controlled over slippages. We have taken a lot of initiatives to increase the underwriting standards as well as the collection efficiency. I have already given the data, I am not repeating. New acquisition of the last 3 years; that will give you the color that slippages will not happen.

Mahrukh Adajania: Sir, in terms of employee expenses, what is the rate of hike now that you are assuming? You almost doubled the provision.

Atul Kumar Goel: Madam, I am the Chairman of the IB also. What I am telling you, I will give just answer of your question. Because, last time 15% settlement was done. We are providing 10% from November 2022 to June. We don't know how we will be in a position to settle it. So, we have increased. Now, I can assure you that we have provided adequately.

Mahrukh Adajania: So, you would have provided 12% or 15% or you don't want to talk about it?

Atul Kumar Goel: I will tell you we have provided adequately. Please try to understand. I have told you also because that will not be a good intent if I will give the percentage.

Mahrukh Adajania: And just one last clarification. You said that around 1 trillion deposits are yet to reprice. What was the figure you gave?

Atul Kumar Goel: Around 15%. I have a total deposit of around Rs.

13 lakh crores, out of which around Rs. 7 lakh crores I am having as term deposits. So 15% is you can think around Rs. 1 lakh crores is still to be repriced.

Rakesh Kumar: I would request Anusha to go ahead with her questions.

Anusha: Sir, I would want to know how much exit ROA that you are expecting for the current fiscal and say for FY25 and what will drive the number.

Atul Kumar Goel: Anusha, as far as my ROA is concerned, it has reached to 0.46%. If you will take for the half year, already we have crossed around Rs. 3,000 crores net profit and I am hopeful whatever the guidance we have given, the same I think we will be in a position to maintain in the next half year also. So, you can calculate it will be around 0.4% because last time it was 0.17%. Then we had given the guidance that it will be double of whatever the ROA we have achieved in the last year. So, it will be further better. And as far as 1% ROA is concerned, which normally the Punjab National Bank

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analysts ask when you will be in a position to achieve 1%. I think by the exit of 2024-25, we will be in a position to achieve the 1% ROA.

Anusha: 24 or 25?

Atul Kumar Goel: 2024-25, i.e., at the exit of 2025.

Anusha: What is the wage revision provisions that you need to make for this? How much you have done in the first half and what will be for the full year wage revision provisions?

Atul Kumar Goel: Rs. 283 crore we have provided in the June quarter and Rs. 694 crore we have provided in the September quarter. So, around Rs. 1,000 crores, Rs. 950 crores we have already provided in the current half year.

Anusha: Why there was an increase in this Q2?

Atul Kumar Goel: As I explained to the question of Mahrukh also that last time settlement was done around 15%, but we are providing around 10%. This is the reason we have increased the provision for wage revision.

Rakesh Kumar: Could I request Mr. Saurav to go ahead with the questions?

Saurav: When would you expect your net NPA to fall below 1% given your slippages are low?

Atul Kumar Goel: March 2024. We have already given guidance for the net NPA below 1%. I am fully confident it will be below 1% by March 2024.

Saurav: Sir, then your guidance on ROA seems conservative because then you will start fiscal '25 with a normalized P&L if I can so call it. What would you attribute the additional provisions to for your guidance for Q4 of fiscal '25?

Atul Kumar Goel: You are very much right, Saurav. As on date, we are thinking that we will be in a position to achieve the ROA of 1% by the exit of 2024-25, but we will see. If you see the last quarter, June, we have given the guidance that our gross NPA will be less than 7% in March 2024, but since we have already achieved 7.73% in June, we will revise that it will be 6%. Similarly, the net NPA we had guided for 2%. Since we have already achieved less than 2% in the last quarter itself, we have revised it to 1%. As on date, my guidance is that we should be in a position to achieve the ROA of 1% by the exit of 2024-25, but we will see. We are working hard so that we are in a position to achieve much below also.

Saurav: Okay sir, you seem conservative. The second question, sir, is on your deposits, what will be the on-book term deposit cost versus the incremental? I am just trying to figure out the differential

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Atul Kumar Goel: As far as my cost of deposits is concerned, it is 4.84%. As on date, even I have one product where I am giving 7.25% for 444 days. Normally you can think because whatever the deposit has not been repriced, as on date, my cost on the term deposit should be around between 6.75 % to 7.10 %.

Saurav: And your on -book will be about what? 6 odd percent average term deposit cost?

Atul Kumar Goel: Yes, it will be on the same lines.

Rakesh Kumar: I would

request Jai to go ahead with the questions.

Jai Mundhra: Sir, the first question is on your interest income. Of course, the bank has done phenomenally well on recovery being 2x of slippages. I think that also has some positive implication on the interest income. I wanted to check what is the interest income that has come from NPA recovery that may have....?

Atul Kumar Goel: Around Rs. 500 crores quarterly is coming in the interest income by way of the recovery on the NPA account. Sometimes plus or minus but normally we are achieving the number of Rs. 500 crores.

Jai Mundhra: That is only limited till Rs. 500 crores, right?

Atul Kumar Goel: Yes, please.

Jai Mundhra: Sir, going ahead, the recovery if they were to moderate because most of the large -ticket NCLT cases are almost drying up, could that have some implication on your NII apart from change in the interest rate cycle?

Atul Kumar Goel: It cannot be on account of one reason. There are so many factors for improvement of NII. First, how your deposit is behaving – whether you are in a position to improve your CASA, whether improvement in the savings account, whether improvement in the current account. Second, in the asset quality. Forget about the asset quality. First, whether you are in a position to improve your yield on the advances, which for the new acquisitions. I have given the data for the new acquisitions where we have seen only 0.24 is the NPA. That is also helping for the NII. Third is the recovery from the NPA. So, it is a combination of them all. As I told you it is not that only this quarter has come Rs. 400 crores to Rs. 500 crore. The Rs. 400 crore increase in the current quarter on the NII is not only on account of recovery, even in the earlier quarter, we were getting sometimes Rs. 100 crores plus or minus is there. Since we are making the recovery as the focus area, some of the amount is coming in the interest income and some is coming in the technical written-off account. So, it is a combination of all. To your specific question about the NCLT, in NCLT then we have to see how much we have to do the write -off and what is the amount of the recovery we are making in that particular account. If we are making the recovery, normally you are aware. That is the published data that shows how much we are in a position to percentage of the recovery in the NCLT account. In the NCLT account, at the time of the recovery, there is no booking of the income. That is not under the plan which has been approved by the NCLT, but Punjab National Bank

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definitely whatever recovery we are making, either the normal recovery of the NCLT, that definitely will improve my NII because as on date, I am not earning anything out of it. The moment I make the recovery, that recovery will start yielding around 7% to 8%.

Jai Mundhra: What would be your deferred tax assets and is there any plan to move to the new tax regime in the near term?

Atul Kumar Goel: Mundhra, as on date, we have not decided. Definitely we are working on it. We are under discussion with our tax consultant also. As on date, we have not decided, but definitely in times to come, we will think and with the help of our income tax consultant, as on date, around Rs. 25,000 crores is the DTA.

Jai Mundhra: And sir, what could be the quarterly absorption of this DTA? Assuming you keep the similar amount of PPOP (operating profit), by when this DTA will come to a manageable level?

Atul Kumar Goel: It is a very large number as on date. You must have seen what is the provision I have made. It is in the range of Rs. 1,000 crores. In Rs. 1,000 crores, definitely some part will be reduced from the DTA also. So, it will take a lot of time. As I told you, we are under discussion with our tax consultant also because then we have to see the impact. Whatever the current tax rate, 35%, is beneficial or we should move to the new

tax rate. That is under discussion.

Jai Mundhra: And last question, sir, on your 1% ROA threshold. I take your point that by this year, you would be exiting at 1% net NPA. So, your credit cost should come down drastically. But even at PPOP

level, somehow PNB seems to have the lowest fee income as a percentage of assets. The banks which are delivering 1% ROA now, on revenue margins, we would be similar, but I think the fee there is a 40 to 50 basis points gap between PNB and them. So, is there any conscious effort to address this gap? Margins and credit costs I think any way you are very much on track. Is there a thought process to plug that fee income gap?

Atul Kumar Goel: Yes, we are very much aware, Mundhra, of this and it is a regular part of our discussion also. We are trying how to improve the other income by way of non-interest income, then how we can increase the third-party product. Even there was a discussion in the board about how we can increase forex income. That is on our radar and we are taking the requisite step to increase the other income.

Rakesh Kumar: I would request Mr. Choksi to go ahead with the questions.

Choksi: Sir, my first question is your outlook on international book, treasury book, and on your subsidiaries.

Atul Kumar Goel: As far as overseas books are concerned, in that I will talk about the advances portfolio. Around Rs. 35,000 crores to Rs. 36,000 crores is the outstanding as on date in the overseas loan book, and we are trying to improve it. Around 9.9% growth is there in the overseas book. You are aware that how the global economy is behaving. We are not putting pressure on our overseas branches because we are having only 2 branches; Dubai and the GIFT City. The 9.9% which is Punjab National Bank
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the growth we have achieved, I think it is reasonable around Rs. 36,000 crores. As far as our subsidiary is concerned, I have already just given the answer. There is no plan as on date for monetizing any subsidiary. All the subsidiaries or the associate companies are doing well.

Choksi: I was not asking from a monetization perspective, but for the investment which you made in subsidiaries, and they are doing well, you had a change of CEO, the outlook is getting better; so, there will be quite a rich reward to PNB with a future outlook. That was my question.

Atul Kumar Goel: That was the story of the PNB Housing Finance. You must have seen the results also. They published their results 2-3 days back. They are making good recoveries also; they are taking growth also.

There was a little bit of an issue in the PNB. That was only on account of the change in the interest rate on account of the G-Sec, etc., because they are dealing in government securities. Even the Canara-HSBC is also doing good. I think all my subsidiaries are doing a very good job.

Choksi: Sir, what's your outlook on the Treasury on India?

Atul Kumar Goel: As far as Treasury is concerned, you are all aware. If you see, 7.31 % was the 10-year G-Sec in March, which has reduced to 7.11 in June 2023. As on date, today it was 7.36 in the morning. Yesterday there was some news in the US that it has increased to 7.38. So, I think that this is not only for the Punjab National Bank, but it will also be very difficult to make money out of the Treasury profit in times to come unless and until the rate has been stable. Even there will be a mark-to-market loss also because whatever the provision you have made at a particular date, there will be mark to market a little bit of loss, but we are not worried because we are not dependent on the Treasury income. If you see, the Treasury income is hardly Rs. 136 crores in the current quarter. Current quarter means September quarter. Even we have posted the operating profit more than Rs. 6,000 crores. We have made adequate provision for the wage revision. We are not dependent, so w

e are not worried, but we will not allow the opportunity to go if there is a chance to make money out of the Treasury.

Choksi: Does it mean that your focus on advances, which is doing well, would reward the bank in the second half much better than the first half?

Atul Kumar Goel: Yes, definitely.

Rakesh Kumar: I would request Sanjeev to go ahead with the questions.

Sanjeev: I have sent a note that I just wanted to understand how many of the branches we own and how many of them are on lease and how much we have added from OBC which are owned or leased; the total sum. And have we reorganized any time during all these years? Have we clubbed them or have we reduced some expenses on that side, or have we ever thought of monetizing our own and optimizing them? This is the question because now the digital world is taking shape very fast. How can we use those assets better? And how do we think about them?

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Atul Kumar Goel: I will give the answer to your question. It is a mix of both sides. Some of the branches are on lease accommodation and some of the branches are our own. It is not that we have taken the branches from the OBC. Even in the model of the PNB, we are having some of our own branches, some of the branches on the lease; similarly with the United Bank of India, similarly with the

OBC. And we are aware, and we know the banks also. Two banks in the UK and 1 bank in Korea, they don't have any branches. As for your specific question on whether we are doing monetization, last year around 1,000 branches which were very near to our other branches, 1,000 branches we merged with the other branches.

Sanjeev: Any plan to monetize any of the assets which may be in the main area of old PNB owned and added with the merger of the banks? Have you ever looked at the market value of all these and how much we can monetize?

Atul Kumar Goel: There are 2 types of monetization. First monetization is whatever investment we have made in our subsidiary associate, as on date, there is none. But as far as your specific question regarding monetization of the assets, definitely we are doing. Last year also we did and current year also we are doing. And we are seeing where we are having the excess space, etc., there is no need, and then we are monetizing. But that is not a very big amount.

Sanjeev: And not likely to be a big amount in coming years?

Atul Kumar Goel: Yes.

Rakesh Kumar: I would request Kunal to go ahead with the questions.

Kunal: Sir, firstly on the deposits side; even though the target is 10 %-11%-odd but if we really look at it in terms of the year to date, the growth is quite muted. Private banks are also getting very aggressive in terms of raising the deposits. Do we see in terms of clear loss in market share? And given that the domestic CD ratio is still at 70 -71 odd percent, we might still continue to see the loan growth coming through without much traction on the deposits side. How is the bank preparing itself for competition from private banks?

Atul Kumar Goel: Kunal, as far as PNB is concerned, there is no issue of raising the deposits. We can also raise and there is no competition from the private banks. We have 10,000 branches and apart from that, 29,000 BC channels. And if you see whatever accounts we have opened 2022 -23, 85 lakh accounts we have opened and in the 1st Quarter itself, we have opened around 51 lakhs. With the same rate, more than 1 crore accounts we will be opening. Similarly, the current accounts; 2 lakh accounts we have opened in 2022 -23; in the first half it is 1.47 lakhs. Deliberately we are not giving the rate for the bulk deposit. Any time we can raise. Raising deposits is not an issue, but what will I do with that deposit? Because, as on date, what is my requirement of the SLR? 18%. I am sitting on the excess SLR of 6% where I can get the money at 6.75. So, de

liberately

we are not participating in any bid for the bulk deposits, and we are concentrating on the CASA. You must have seen already that more than Rs. 4 lakh crores we are having in SA and there is a growth of 4%. So, immediately there is no need for raising the high -cost deposits. You have seen Punjab National Bank
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that the 11% to 13% growth of the advances has been taken care of by the 9% growth rate. No issues and no challenges. As far as deposits is concerned, we don't have any competition with the private banks.

Kunal: And secondly, if you can just repeat in terms of the slippage breakups – I missed that out – across the segments.

Atul Kumar Goel: Slippage breakup sector -wise, in agri it is 424, MSME is 683, retail is 420, others 223, and in the existing account is 76. Even if it is balanced now. It is not coming from one segment that in agriculture it is too much or even the MSME is too much; it is balanced. Even in the corporate, it is negligible. In the corporate, it is not coming. Some of the corporates, although MSME of the limited companies, they will come under the corporate, but there is not too much slippage. MSME some part of the corporate may be there.

Rakesh Kumar: I would request Ashlesh to go ahead with the questions.

Ashlesh: Just one question from my side. Can you share the number of AS 15 provisions for this quarter?

Atul Kumar Goel: AS 15 provisions, I will give the number of the last quarter. It is Rs. 580 crores for this current quarter, and in the last quarter, it was Rs. 1,240 crores.

Rakesh Kumar: Shashin, please go ahead with your questions.

Shashin: I just quickly wanted to understand in your NIMs calculation guidance, you actually indicated 2.9% to 3% for the end of the year. Could you also indicate what are your yield assumptions and the cost assumptions?

Atul Kumar Goel: As I told you earlier also, because some of the deposits have to be repriced, there may be an increase of around 10 to 15 basis points in my cost of deposits, which is running around 4.84%. This is one point. Second is as on date if you see my NIM, it is around 3.11%. On account of the repricing of the deposits, we are giving you the guidance for 2.9% to 3%, but we are giving another guidance also that whatever we are having in the absolute number NII, I think we will be in a position to maintain the NII in the absolute number. Why I am telling this statement is because sometimes you are not getting the yield of even 50 basis points or 75 basis points from the sub -AAA advances. If an opportunity is available where I will get a NIM of only around 0.5, why should I allow the opportunity to go? In terms of the percentage, the NIM may be reduced,

but absolute number it will be increased.

Shashin: On follow up with that, if you were to look at your loan book right now, is there any part of your loan book which has to be repriced on account of change in base rate or the floating to the fixed rate mix? What would that be right now?

Atul Kumar Goel: Shashin, my maximum books are on the floating rate of interest on MCLR around 36.68% because it keeps on changing. It is very difficult to answer your question because sometimes we have given the loan of 3-month MCLR, we have given on 6-month MCLR, sometimes we have Punjab National Bank

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given on 1-year MCLR, and it keeps on changing. At the time of the repricing of the interest rate, definitely it will be changed, but as far as repo linked is concerned, which is around 27% and the allied is 10%, I think unless and until they will not be increasing the repo, that will not be repriced, but MCLR because it is a regular process, every month we are changing the MCLR.

So, some of the loans definitely will be repriced.

Shashin: And my last question is on the gross slippage of Rs. 1,700 crores. What would be the interest income writ

e -back on that in absolute amount?

Atul Kumar Goel: Actually, it will be around 2.5% of the total whatever the slippage is because in some of the accounts, we have got the interest recovery. Normally if you see this, we are charging around Rs. 8 crores to Rs. 9 crores. It is around 2% of the outstanding. But in some of the accounts, there was part interest service also available.

Rakesh Kumar: Sir, just one question from my end. The CET capital of 10.2, would we need any core equity capital in the next 12 months?

Atul Kumar Goel: As far as 10.23 is concerned, what is the regulatory requirement? Regulatory requirement is only 8%. We are having as on date 2.23% excess capital. But we have to see what will be my growth also. And not immediately, because in the March quarter, you have seen what is my profitability as on date. Rs. 3,000 crores are my profitability, which we are not adding at the time of calculation of the capital adequacy. If we take the ballpark number that Rs. 6,000 crores will be profitability, then whatever the dividend we will declare, remaining will add to my only CET -I also. Why we are not raising the CET -I from the market is because my price is undervalued as on date, because to serve the equity is also a challenge. The moment we will be in a position to see what is my approved price that has come in the market, then only we will hit the market. As on date, there is no immediate need because we are having more than 2% excess CET -I and some of the profitability we will be adding in the next 6 months. So, as on date, there is no more challenge. Definitely, if we will make a growth target of 20% or 25%, whatever your question is, Rakesh, then there may be an immediate need. Then, we can think immediately to raise the equity by way of the QIP or any other mode which is available.

Rakesh Kumar: I think, sir, we have come close to our time slot and there are no further questions also. So, I would request you to, sir, kindly give a closing remark to the audience and to investors.

Atul Kumar Goel: My closing remarks is only this that the bank is doing very well, and I want to tell all my analysts and the investor community because some of the things which are not reflecting in the numbers are digital transformation and HR transformation. In digital transformation, last year we started in June 2022. Around 36 products we had launched; processes and services if you will add, around 70. Similarly, in the HR transformation, benefit of which we will be getting accrued in the March 2024 that is underway. And the bank is on a very right track. You see that there is a lot of improvement in the quality of the assets also and the operating profit is increasing. One thing with slippage is, it is under control. 1,800 number we have reached, and in the quarters to come, we are hopeful, and we are confident that numbers should be reduced. As on date, there Punjab National Bank
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is not any lumpy account where we are thinking there will be any issue. The net profit is also increasing, a 300% increase in the profitability. Last time also, there was a good increase in profitability. And on account of this 91% of the PCR, I hope and you all will agree that the NPA provision requirement will reduce gradually. There will be a drastic reduction on the NPA provision which is the major concern in our bank also. So, whatever the NPA we are having Rs. 90,000 crores, the TWO, and Rs. 65,000 crores, I think that is our gold mine and whatever recovery we will be making in times to come, definitely that will be added to my bottom line. Either it is the operating profit, either it is by way of the reversal of the provision, or either any increase in the net profit. And whatever target we are giving for the 1% ROA at the exit of the 2024-25, we will see in times to come whether we are in a position to make this before that also. These

are my closing remarks. Once again, my sincere thanks to all the analysts and the investors who have attended this con -call.

Rakesh Kumar: Batliwala & Karani Securities would like to thank PNB's entire Management Team , Analysts , and Investors to have participated in the call. Thanks for taking your time out. Now, we have come to the close of the session. We can log out now.

Call: Feb 2024

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Date:02.02.2024

DearSir(s),

Reg.: TranscriptoftheEarningsCallwithAnalysts/InvestorsonFinancial

Resultsforthequarter/ninemonthsended31stDecember2023

PursuanttoRegulation30oftheSEBI(LODR)Regulations,2015,pleasefind

enclosedthetranscriptoftheEarningsCallwiththeAnalysts/Investorsonthe

FinancialResultsforthequarter/ninemonthsended31stDecember2023heldon

25.01.2024.Thesameisalsoavailableat:<https://www.pnbindia.in/financials>

current.html

Thisisforyourinformationplease.

pnbindia.inThankingYou

Yourssincerely,

(EktaPasricha)

CompanySecretary

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Q3 2024 – Punjab National Bank Earnings Call

Date :25.01.2024

Company Participants

- Shri Atul Kumar Goel, Managing Director & Chief Executive Officer
- Shri Kalyan Kumar, Executive Director
- Shri Binod Kumar, Executive Director
- Shri M Paramasivam, Executive Director

hosted by Emkay Global Financial Services

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Presentation

Anand Dama, Analyst

Thank you for providing us the opportunity. Good evening. On behalf of Emkay, we welcome all the participants to the Punjab National Bank Third Quarter FY 2024 Post Results Conference Call.

From the bank, we have entire top management, including MD& CEO, Shri Atul Kumar Goel ji; and Executive Directors, Shri Kalyan Kumar, Shri Binod Kumar, Shri M. Paramasivam, Shri B. P. Mahapatra; and the CFO, Shri D. K. Jain.

We would first request MD sir to briefly summarize the key highlights from the third quarter results, followed by an outlook on the growth margin and asset quality, post which we will take questions from the participants. Over to you, MD sir.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Thank you very much, Mr Anand. As far as business is concerned, the total business has grown by 10.82% Y-o-Y and the total business stood at INR 2,29,074 crores. As far as the deposit is concerned, there is a growth of around 9.35% in the deposit, which has improved from INR12.10 lakh crore in the last year on December 2022 to INR13.23 lakh crore in the current quarter, current means last quarter of December 2023. Advances have grown by 12.90% and stood at INR9.67 trillion.

As far as saving is concerned, there is a growth of 5.96%, and CASA -- current is -- there is a growth of 6.26%, and the CASA -- total CASA stood at INR547,515 crores and the total percentage of the CASA to total deposit stood at 42.47% and it has little improved from the last quarter, which was 42.15%.

The share of the RAM to the total advances is 55.07% and total RAM stood at INR5.12 trillion.

As far as the net interest income is concerned, it has improved from INR9,179 crore in the December 2022 quarter to INR10,293 crore, there is an increase of 12.14%. And the operating profit, which used to be around INR5,715 crore -- increased to INR6,331 crore with a growth rate of 10.77%. And both the number, net interest income, and operating profit are higher than the last quarter. Last quarter, NII was INR9,923 crores and the operating profit was INR6,216 crores on YoY basis.

As far as net profit is concerned -- net profit is concerned, it was INR629 crore in the December 2022 quarter last year and it has increased to INR2,223 crore, there is an increase of 253.39%. For the information to all the -- my analysts also, the net interest income as well as the net profit, it is the highest in the last 15 quarters of the Punjab National Bank.

As far as the asset quality is concerned, there is too much improvement in the asset quality whether it is a gross NPA, whether it is a net NPA, or whether it is a provision coverage ratio. Gross NPA, which used to be around 9.76% has reduced to 6.24%. And if you compare from the corresponding last quarter, last quarter it was 6.96%. As far as the amount is concerned, INR83,584 crores, the gross NPA was in December 2022, which has reduced to INR65,563 crores in September 2023, and further improved to INR60,371 crores.

Similarly, the net NPA has reduced to INR8,816 crores from the figure of INR13,114 crores from the last quarter, that is September 2023, and a percentage of the NPA, which used to be around 3.3% in December 2022 and 1.47% in September 2023 has reduced to 0.96%.

The provision coverage ratio has increased to 85% from December 2022 and 92% from September 2023 to 94%.

As far as credit cost is concerned, we have given the last time the credit cost will remain in the range of 1.5% to 1.75%, and credit cost in the last quarter, December quarter, it

was 1.26% and the September quarter it

was 1.31% and the nine-month credit cost is 1.56%. The absolute number may -- the NPA provision, which was INR3,018 crore in September 2023 has further reduced to INR2,994 crores.

And slippages -- as far as slippage is concerned, slippage has reduced to 0.81% and the total slippage is hardly INR1,793 crores and the slippage in the last seven quarters, every quarter, it is reducing.

As far as capital is concerned, total capital is 14.63%. It has slightly reduced from the 15.09% in the last quarter, September 2023. It was majorly on account of the increase in the risk-weighted asset in the NBFC portfolio. If you see, my total risk-weighted credit RWA, it has increased around INR31,000 crore from September 2023 to December 2023. And out of this INR31,000 crore, around INR27,000 crore on account of

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the increase in the RWA, in the NBFC. So, this is the reason of the reduction in capital adequacy.

So, although we have also raised INR1,153 crore in the last quarter Tier 1. And as far as the CET 1 is concerned, 9.86%, and AT1 is 1.87%. Total Tier 1 is the 11.73% and Tier 2 is 2.90%. The total is 14.63%.

And we have -- as you are aware, we have already got the approval of the Board to raise the capital of INR12,000 crore in the current financial year 2023-2024. Out of which, INR7,000 crore was for Tier 1, and INR5,000 crore for Tier 2, against which we have raised INR3,090 crore for Tier 2 in the earlier quarter. And the Tier 2 -- Tier 1, we have raised a total INR4,153 crores, INR3,000 crores we have raised in the September quarter, and INR1,153 crores raised in the last quarter, that is December quarter.

The -- as far as capital is concerned, another -- in the last Board Meeting, we got the approval of the Board for raising INR7,500 crores equity or FPO in the next financial year 2024-2025.

The cost of deposits, which was 4.86% in the September quarter has increased to 4.96%. There is an increase of 10 basis points. But as far as the yield on advances is concerned, it was 8.23% in the September quarter, which has improved to 8.54%. It means there was an increase of around 29 basis points, 30 basis points as against the 10 basis point increase in the deposit cost. This is one of the reasons there is an increase in the NII of the bank.

Cost to income ratio, although it has been a little bit declined as compared to the last quarter. It was 52% in

the September, and it is 51.18%. As far as NIM is concerned, the total NIM, domestic NIM is 3.30% and the global NIM is 3.15%, where we have given the guidance (Foreign Language) our NIM will be in the range of 3%. Our guidance will remain the same.

As far as the movement of NPA is concerned, the fresh addition was INR1,793 crore as against INR4,072 crore in the December 2022 quarter, and INR1,826 crore in the September quarter. If you see the slippage data from the last seven quarters, it is reducing every quarter. As far as cash recovery is concerned, it was INR1,828 crores and upgradation is INR1,217 crores. Total recovery for the quarter, December quarter, including the recovery from the technical

written-off was INR7,387 crore. We have set a target for INR22,000 crore in the current financial year. As against the INR22,000 crore, we have already recovered INR17,000 crore. So, I think, we will be in a position to achieve the -- whatever the target we have fixed for the recovery in the current year.

As far as other things are concerned, I would like to tell you regarding the wage impact. AS -15 provision we have made around INR 332 crore. And arrear provision -- arrear provision last quarter, September quarter, it was INR694 crore. And, at that time, we have made a provision of the 14% from November 2022 from where the wage revision is due. Now, we have made a provision of INR800 crore in the last quarter, that is December 2023 quarter, and we have made a provision of around 17%, where

the negotiation has been done.

As far as the credit cost, I have already discussed it. Slippage is concerned, slippage in the December quarter mainly is from the RAM, Agri, INR439 crores; MSME, INR709 crores; retail, INR434 crores; and others, INR13 crores; and INR198 crores in the existing NPA account, where we were having the non-fund exposure that has been devolved.

Further for the information to all of you, as far as floating and the fixed rate is concerned in the advances around 90% in the -- linked with the -- either MCLR or repo or the repo ELITE, and around 9% to 10% in the fixed rate.

And one more thing for the recovery from the NCLT. The first quarter recovery from the NCLT was INR566 crore, second quarter it was INR556 crore in the current financial year, and the last quarter, December quarter, it was INR1,831 crore. We are expecting we will be in a position to recover around INR1,200 crore in the current quarter, that is the March quarter.

One number I would like to give, which normally I give every time, is the new underwriting. This data is from the 1st of July 2020 to 31st of December 2023. It is data of more than 3 years, 3.5. Total loan, new underwriting, we have sanctioned INR7.11 trillion. The disbursed is INR6.48 trillion and the outstanding is INR5.08 trillion, against which the NPA is only INR1,576 crores, which is coming around 0.24%.

I will give a further breakup of the sector-wise. Agri, it is 0.31% slippage, MSME 1.49%, retail 0.19%, and as far as other is concerned, it is hardly 0.01%. So, as far as SMA is concerned, SMA 2 was INR11,362 crores in December 2023. As on date, on 21st January, it was around INR7,136 crores. And December 2023, the SMA 2 more than 1 -- INR5 crore and above was only INR1,336 crores. So, from this, you will see the all-around performance, whether it is business performance, whether it's a profitability performance, whether it's a performance in the assessed quarter, there is an all-around performance in all the -- and the provision requirement is reducing quarter-by-quarter. And on account of the 94% PCR, we are of the view there will be a drastic reduction in the NPA provision in times to come.

So, with this word, this is the one brief about the financial performance of the quarter three. Now, you are

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open to the question, and I would like to give answers to whatever query you will raise during the discussion. Thank you very much, and thank you, Mr Anand. Thank you to all the people who are attending this virtual meeting.

Questions And Answers

Anand Dama, Analyst

Sir, thanks a lot for the update. Sir, the first question I have is about, - we have made about wage revision provision of INR800 odd crores during the current quarter. But when we look at the staff cost, it remains largely flat on a quarter-on-quarter basis. So, can you just explain, like, how it has remained largely flat, despite making this kind of provision?

Secondly, some banks have made retirement liability provisions as well in 3Q. For example, Canara Bank talked about INR250 crores of additional provisions that they have made for retirement liability. Have we also made some kind of provision on the retirement liability during the current quarter?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah, Anand. Point number one, this wage revision, was INR694 crore in the September 2023 quarter, which has increased to INR800 crore. We have been making wage revision provision at the rate of 14%, up from 10% since November 2022 and so the base number already includes the wage revision provision. And INR800 crore, we have made a provision from November 2022 to December 2023, 17%. This is the point number one.

We have also made retirement provisions for the pension, on the increased wages, which I am telling you every quarter. We have made 100% provision last quarter itself. Your question is, why -- there is the same

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taff cost in December 2022 and December 2023? The reason is that, in December 2022, the AS -15 provision was INR1,330 crore, which has been reduced to INR332 crore in this current quarter, for the December 2023 quarter. The reason was that, in September -- December 2022, the G -Sec rate was 7.33%, and in September 2022 the rate was 10 basis points higher. On account of the reduction in the 10 basis points, we were required to provide an additional INR800 crore in December 2022. This is the reason. This is the reason it is flat.

Anand Dama, Analyst

Ok sir. Now, we will open up the floor for questions.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Anand, we may add one more thing also. I told you...

Anand Dama, Analyst

Yeah.

Atul Kumar Goel, Managing Director & Chief Executive Officer

...INR800 crore for that. Total provision was INR1,330 crores, December 2022. Yeah. For the clarification, yeah.

Anand Dama, Analyst

Got it. First question we have from Mahrukh. Mahrukh, please unmute yourself and ask your question.

Mahrukh Adajania, Analyst

Yeah. Hello, sir. Congratulations.

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Atul Kumar Goel, Managing Director & Chief Executive Officer

Thank you very much, Mahrukh. Thank you.

Mahrukh Adajania, Analyst

Sir, sorry, but -- sir, I have two questions. One is on wages, you explained, but just to get the math right, so the provision for the quarter, only for the third quarter, is INR332 crore, correct?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah.

Mahrukh Adajania, Analyst

Yeah. And then what is the backlog provision?

Atul Kumar Goel, Managing Director & Chief Executive Officer

That is -- Mahrukh, that is AS -15 provision, both are different provision. INR800 crore provision in December 2023 for the wage revision and INR332 crore is the provision for the AS -15, that is related to the pension liability or the gratuity liability.

Mahrukh Adajania, Analyst

Okay. But, sir -- so, basically, you had said that -- okay, so, last quarter, what was the AS -15 provision, because there seems to be a write -back, right?

Atul Kumar Goel, Managing Director & Chief Executive Officer

No. Last quarter means September 2023?

Mahrukh Adajania, Analyst

Yes.

Atul Kumar Goel, Managing Director & Chief Executive Officer

You are telling -- what is it? Last quarter means September 2023 or December 2022?

Mahrukh Adajania, Analyst

December -- September 2023.

Atul Kumar Goel, Managing Director & Chief Executive Officer

September 2023, the arrear provision was INR694 crore. In this particular quarter, we have increased the provision, which earlier we used to make 10%, we have made 14% from November 2022. The total was INR694 crores. And the INR580 crores was the provision for the AS -15.

Mahrukh Adajania, Analyst

Okay. So, again, INR694 crores plus INR580 crores, you have provided INR800 crores plus INR332 crores.

Atul Kumar Goel, Managing Director & Chief Executive Officer

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Very much right. Absolutely right. INR800 crores plus INR332 crores.

Mahrukh Adajania, Analyst

Okay, sir. Okay, sir. And, sir, my next question is actually very basic. So, you have a domestic LDR of around 72%, right? And so, it's one of the lowest. And next quarter, say in the March quarter, that is in the current quarter, say if your deposits grew only 2%, because you have excess LDR, so suppose they grew only 2%, the year-on-year deposit growth will look as low as around 6%. So, would you monitor it that way or would you look at it from an overall LDR point of view only? Because in the last year's fourth quarter...

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah. Please go ahead. Please go ahead.

Mahrukh Adajania, Analyst

In last year's fourth quarter, you had a very, very strong deposit growth like a few other banks, that's why I'm asking. So,

the year -on-year growth will look lower than current, but that should be okay, right, because a lot of people -- because a lot of managements like to focus even on year -on-year growth. That's why I'm asking you.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah. I will give the reply of your question, Mahrukh. First, if you see my CD ratio, loan -to-deposit ratio, and net advance to total deposit is 69.24%. So, it is less than 70%. There is a worry for those who -- if you are having more than 75%, if you see the gross advance to total advance then the CD ratio is 73%. So, point number one, as far as deposit is concerned, deposit -- the 9.35% of the growth of the deposit as against the 12.90% of the growth. The reason why we are not raising the deposit is because one year deposit we can raise, no doubt. But it is very costly, because today the rate of the one -year deposit, et cetera, has been key, so we are not giving the rate to the bulk deposit. We are not giving the rate to the bulk deposit. And because I have an excess SLR also of more than INR80,000 crore. In case of the need, I can use that channel also. And for the Punjab National Bank, the deposit is not an issue, because we have 10,000 branches. In last year, 2022 -2023, we opened around 85 lakh accounts in savings bank accounts, or 2 lakh accounts in the current account, which number has increased in the first nine months of the current financial, 76.65 lakh accounts we have opened and the current account we have opened 1.97 lakh. Even if you see the -- my deposit growth in the term deposit, less than INR2 crore is much more as compared to the bulk deposit. I will give you the data. My total term deposit is INR7.71 lakh crore, which has increased to INR7.75 lakh crore. Even the less than INR2 crore may INR540,000 crores is -- INR550,000 crores, there is also an increase of INR10,000 crores. So, we are not depending on the bulk deposit, because I don't require the bulk deposit too. After all, it will impact my -- unnecessarily the NII.

Mahrukh Adajania, Analyst

Okay, sir. And just one very last question. You recovered a very big amount from NCLT, INR1,800 crore something, how much of that would have been recognized through the NII line?

Atul Kumar Goel, Managing Director & Chief Executive Officer

INR1,831 crores. Normally -- Mahrukh, normally, every quarter, because we have a good portfolio of the NPA, because we are having the technical written -off as well as the gross NPA also INR60,000 crores, then INR90,000 crores, around INR500 crore to INR600 crore. It depends on the every quarter. Normally, INR500 crore to INR600 crore is coming in the NII.

Mahrukh Adajania, Analyst

So, is this quarter also same?

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Atul Kumar Goel, Managing Director & Chief Executive Officer

Little bit -- this quarter around INR100 crore was more as compared to the earlier quarter, INR100 crore to INR150 crore.

Mahrukh Adajania, Analyst

Okay, sir. That's so very helpful. Congratulations once again, and best of luck.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Thank you. Thank you, Mahrukh. Thank you.

Anand Dama, Analyst

Yeah. Thank you, Mahrukh. Jai, you are next in the line. Please unmute yourself and ask your question.

Jai Mundhra, Analyst

Yeah. Hi. Good evening, sir, and congratulations on a great quarter.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Thank you, Jai Mundhra. Thank you.

Jai Mundhra, Analyst

Great, sir. Excellent number and excellent performance on asset quality. Sir, I have a question which partly you have already answered, but on wage provisions, right, so 15% going to 17% will also have some bearing on the AS -15 liabilities also, right? So, have we -- have you provided anything on that aspect?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah. Jai Mundhra, we have already provi

ded it. We have already provided, as I told you, because there is two things. One is the wage revision, then an increase in the pension liability on account of the wage revision.

Jai Mundhra, Analyst

Correct.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Then we have -- because one thing -- one more thing I may clarify for you. We have made a 17% provision, normally it will not be 17% on the basic, because there is a lot of components. Some part will go to the HRA, some part will go to the lease accommodation. So -- but we have provided 17% of the basic, which will not be the case. It will not be 17% on the basic. So, whatever the impact will be on the pension because of that factor we have already provided in September itself. Yeah.

Jai Mundhra, Analyst

So, in a way, the 17% you are saying will take care of part provisioning needed on the pension AS -15, enhanced AS -15 liability?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah. We have provided. Enhanced AS -15 is also provided and the 17% we have provided for the basic pay, although it will not be that -- under -- 17%.

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Jai Mundhra, Analyst

Right. Okay. But, sir, I mean, the only question is few banks have started providing the enhanced AS -15 also, but that is okay. So that is -- that clarifies this thing.

Secondly, sir, there is some treasury loss, there is a loss on the revaluation of investment, right, and is there any -- what is the nature of this INR10,000 crore of negative MTM or negative revaluation of investment? What is the nature of that?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah. Jai Mundhra, there was one account which has been changed the classification from the NPA to standard. NPA to standard.

Jai Mundhra, Analyst

Okay.

Atul Kumar Goel, Managing Director & Chief Executive Officer

So, there was a INR700 crore provision in the mark -to-market loss, because it has been shifted from the NPA to standard. The provision for the standard mark -to-market, we have to provide on the -- above the operating profit. The same amount was released in the -- below the operating profit. You have seen, we have already mentioned in the -- our clarification also on account of the -- because if you see my total provision, total provision was less than the provisions on the NPA. So, there was a decrease.

Jai Mundhra, Analyst

Right.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah.

Jai Mundhra, Analyst

Right. Okay. Understood. And, sir, a few questions on the margin side. So, we see this quarter the yields have expanded by 30 basis points, right, the loan yields. So, A, is there any one -off or do you think that you can,

let's say, effectively implement the MCLR regime or higher rates or this kind of yield increase may not be very sustainable?

Atul Kumar Goel, Managing Director & Chief Executive Officer
Mundhra, last time also and this time also telling, as far as our guidance for the NII is concerned, that will be remain in the range of the 3% and the...

Jai Mundhra, Analyst
Right.

Atul Kumar Goel, Managing Director & Chief Executive Officer
...yield of advances, it may be plus/minus -- let -- maybe 5 basis points, 10 basis points. But our endeavor is our NII in terms of the actual number should increase quarter -by-quarter.

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Jai Mundhra, Analyst
Right. So, sir, do you --

Atul Kumar Goel, Managing Director & Chief Executive Officer
We will try to maintain, Jai Mundhra, in the absolute number NII in the current quarter itself, but hardly there may be a change in the NIM also, because 3.3% is my NIM as of date, domestic by 3.15%. Because some of the transactions where I am not getting 3%, if I'm getting the 15% -- 20 -- or only 20 basis points, 30 basis points, I am not allowing that transaction should go. The absolute number, we will try to maintain.

ain. This is our
-- every quarter we are doing like this. This is the reason our NII in terms of the number is increasing.

Jai Mundhra, Analyst
Right. No, that is very clear, sir. And so related to that is, sir, that NBFC exposure is -- has gone up, right? Few banks have said that post the RBI risk weight hike, they have started implementing higher yield on NBFC, and in the process they have seen some churn from that book and they have let it go that exposure. Did the same thing happen to us as well or that may come up later in some point of time?

Atul Kumar Goel, Managing Director & Chief Executive Officer
Jai, there is no much difference. If you see the -- there is hardly only INR4,000 crore increase, because INR123,000 crores to INR127,000 crores, because we are having the books of the 9.7, sometimes some of the loan in the short term in the nature also. So, there is not much impact in INR4,000 crores. But as far as the increase in the risk weight is concerned, so we are negotiating the higher pricing to the existing as well as the proposed one.

Jai Mundhra, Analyst
Right. And last question, sir, what is your sense on the corporate loan growth for PNB and also in the system, but for PNB, right now, I think we are running at -- loan growth of corporate book is now running, If I were to calculate, then we are running at -- around this quarter, we have seen around 4% quarter -on-quarter growth and around 10%, 11% Y-o-Y growth. Do you think that over the next 12 to 18 months it can rise to like 15%, 20% or more likely to remain at 10% around it, the corporate group, large corporate group?

Atul Kumar Goel, Managing Director & Chief Executive Officer
Corporate, I think -- we may think a little bit increase also, because some of the corporates, have started utilizing the working capital, which they are neutralizing. There is some demand in the CapEx also, but not too much -- but not too much, but there is a too much of demand in the infra as well as the road, et cetera, also. So, I do not foresee immediately there will be an increase of the 15%, but I can think there will be a -- some jump also from the 10% to 12% also. But as far as our guidance is concerned, our guidance will remain the same 12% to 13% for the current financial year, and next year we will see what will be the scenario in the end of the March quarter, then we will decide what should be our credit growth for the next financial year.

Jai Mundhra, Analyst
Understood, sir. That is very helpful, sir. Thank you, and I'll come back in the queue.

Atul Kumar Goel, Managing Director & Chief Executive Officer
Thank you. Thank you very much.

Anand Dama, Analyst
Thank you, Jai. Next question we have from Saurabh. Saurabh, please unmute yourself. Seems like Saurabh
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has dropped off. Rahul, you are next in the queue. You can ask your question.

Rahul Jain, Analyst
Am I audible, Anand?

Anand Dama, Analyst
Yeah.

Rahul Jain, Analyst

Yeah. Sir, a couple of questions. First of all, a great set of numbers. Sir, first question, can you give as your personal loan and vehicle loan, et cetera, the book is too small compared to the peers, what is the target? Can we expect a similar kind of run rate of growth in the high, mid-teens, or any percentage of loan book you want to achieve, especially in the unsecured and the retail part apart from the home loan side? And second question, sir, how much of NCLT-based project recovery you expect? So, for the next two years, what kind of recovery can we expect? Because currently, we are witnessing the recoveries and upgrades are higher than the slippage run rate. This trend shall continue for the next year itself also. These are two my -- these are the two questions. Thank you.

Atul Kumar Goel, Managing Director & Chief Executive Officer
Saurabh (sic - Rahul), as far as retail unsecured loans are concerned, there are two questions

, the vehicle loan and the unsecured. First, I will take the unsecured loan. Total unsecured loans in retail is INR26,800 crores, out of which around INR3,500 crores is the educational loans, and around INR4,300 crores in the personal loan to pensioner, and the remaining is personal loan. Out of that personal loan, two types of personal loan. One is the digital, digital is around INR4,328 crores, remaining is the physical. So, the NPA percentage for the digital personal loan is hardly 0.40%. Now, your question is, what is your vehicle loan growth as well as the personal loan growth --

Rahul Jain, Analyst

Sir, sorry to interrupt, sir. I got your point on the growth side. I'm expecting a similar run rate of growth will be there for the next year, or two years looking at the peers, where their loan book as a percentage of share is there?

Atul Kumar Goel, Managing Director & Chief Executive Officer

I think, there will be the same. Because there is a good demand in the retail side, either in the vehicle loan, or in the housing loan. For housing loans, if you see, my growth is 30%, and vehicle loan growth is around 26%. And personal loan, because the base was less, this was the reason it is a growth of 30%, otherwise 30% on account of the base, it is looking on the higher side. But there is a -- growth is -- there is a good demand in the -- all the retail side, even for the MSME as well as the agriculture. The RAM sector total I can say whatever the demand is there, that will remain there.

Rahul Jain, Analyst

So, you -- on RAM sector side, you will be continuing to grow at 15%, 16%...

Atul Kumar Goel, Managing Director & Chief Executive Officer
Yeah.

Rahul Jain, Analyst

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...which is the point.

Atul Kumar Goel, Managing Director & Chief Executive Officer
Yeah. That is our focus area. Yeah.

Rahul Jain, Analyst

Okay. And, sir, on the recovery from the NCLT, will the trend of recovery and upgrades be higher than the slippages for the next year, FY 2025?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Not -- I think, you should not concentrate only on the NCLT also, because I am having the stock other than NCLT also. Because last time we took a key -- our recovery -- 2022-2023 recovery should be more than the slippage and all the quarter on 2022-2023 recovery was more than the slippage. And the total target was INR32,000 crores, against which we have achieved INR29,000 crores this year. (Foreign Language) 2023-2024, we have set a target, recovery should be double the slippage. And then, if you see the last quarter, the December quarter, the slippage was only INR1,763 crores and the total recovery was INR6,387 crores. So, it is 3x. So, we will not consider only NCLT, because we have the other stock also. So, our recovery should be double. That is our target, recovery should be double in the current financial year. Even for the next financial

year, we will set a target.

What will be the slippage? Recovery should be double, because we are having so much of -- INR60,000 crore is the gross NPA, then INR90,000 crore booked in the TW also. So, your question is, recovery from the NCLT, because if you ask me the INR6,300 crore, which we have recovered in December, the recovery from the NCLT is only INR1,831 crore. So, it is one-third only. So, we should not think only for the -- NCLT is the only reason, there is a -- another recovery measure also.

Rahul Jain, Analyst

And, sir, just related question as your PCR has reached to a very optimum level, but what kind of credit cost guidance you would be giving for the next year, sir? Because I'm just asking this question means within that 84.5%, has PNB taken some contingent provision buffers or extra buffer in case of any contingencies taking ahead in FY 2025 or RBI intervenes for some higher risk weights or et cetera?

Atul Kumar Goel, Managing Director & Chief Executive

Officer

Rahul, actually 94% will be the PCR. Movement, 94% PCR has been there. There will be a very low requirement of the provision for the NPA because if you see my net NPA, net NPA is only INR8,000 crore. I will -- if I will make the provision of INR8,000 crores, there will be no requirement. And if slippage is -- if slippage is half of the recovery or so, though. So, credit cost is -- bound to reduce, because for the current financial year 2022 -- 2023 -2024, we have given the guidance of 1.5%. If you see the nine-month data, it is coming to 1.59%, but for particular December quarter it is 1.26%. I think we can easily assume in 2024 -2025 credit cost would not be more than 1%.

Rahul Jain, Analyst

Okay. That's very helpful, sir. Thank you, and best wishes, sir. Thanks.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Thank you.

Anand Dama, Analyst

Sir, thank you, sir. Sir, before we take up the next question, we have one question in the chat box regarding your tax rate. Sir, your tax rate still seems to be on the higher side, more than 35%. When are we going to shift to the new tax regime? So, that is the question that we have on the tax rate.

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And then another question that we have is on the interest income. What is the amount of interest recognition that we have done on the recoveries that we have had during the current quarter?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Okay. Anand, as far as the tax rate is concerned, we have still using the old regime also. We have not shifted to the new regime, which is under discussion. We are discussing with our tax consultant what is the appropriate time? because there are some other deductions, et cetera, also. So, as of date, we have not decided. We will take an appropriate decision at the appropriate time. It is under consultation.

Your another question, whatever the interest income on the recovery from the NPA. Normally -- Anand used to

-- Mahrukh had asked also the same question. Normally, it remains in the INR500 crore to INR600 crore every quarter. Sometimes plus minus INR50 crore, INR100 crore. But this -- as I told you earlier also, this time -- but there was one recovery in the bigger account, so there was an INR100 crore extra in this particular quarter.

Anand Dama, Analyst

Okay. And do you have any pipeline like of big recovery and because of this that should lead to higher interest income going forward?

Atul Kumar Goel, Managing Director & Chief Executive Officer

We always opt for the higher recovery, because INR60,000 crore is the gross NPA, and INR90,000 crore is the technical written-off. We have a book of INR150,000 crore. Every time, it is our focus area, how much we will be in a position to recover in the existing outstanding NPA account. So, that is a very focused area. Whatever the tools available, whether it is NCLT, whether it's the NARCL, or whether it is a SARFAESI, we are not left out with any opportunity that is available to us for recovery of the extra amount.

Anand Dama, Analyst

Sure. Next question we have from Saurabh. Saurabh, please unmute yourself and ask your question. Saurabh, please unmute yourself. The next question we have from MV Mahesh.

MB Mahesh, Analyst

Sir, could you just let us know which sector contributed to this higher recovery for the quarter from this NCLT account?

Atul Kumar Goel, Managing Director & Chief Executive Officer
NCLT account, there are two major accounts. I think giving the name is not appropriate in this format.
Two key accounts, but I can tell you there are two big accounts which were recovered in this December 2023 quarter.

MV Mahesh, Analyst
Sir, these recovery rates, how are they looking, sir, from these NCLT accounts?

Atul Kumar Goel, Managing Director & Chief Executive Officer
NCLT, I will give you the data, because it depends on the regulation and also,

because you cannot set criteria,
for what would be the recovery in a particular quarter. You can assume for the whole of the year -- we can make a recovery from the NCLT if you see the trend. INR566 crore was in the first quarter. Then INR556 crore in the second quarter and the third quarter recovery from the NCLT was INR1,831 crore. We are thinking around INR1,200 crore odd number will be recovered in the last quarter i.e. March quarter. So, if you see, around INR4,000 crore to INR5,000 crore easily. INR4,000 crore to INR5,000 crore we can fix. Every year, we can make a recovery from the NCLT, but it depends on the total legal. Sometimes recovery, we are thinking 13 of coming in this particular quarter, but sometimes it shifted to the next quarter. It depends on the regulation process.

MV Mahesh, Analyst
Okay. Perfect, sir. Thanks a lot for this.

Anand Dama, Analyst
Yeah. Thank you, Mahesh. Next question we'll take from Rakesh Kumar. Rakesh, please unmute yourself.

Rakesh Kumar, Analyst
Yeah. Hi. Thank you. Thank you, sir. Good numbers. Good sets of performance overall. So, sir, a couple of questions. Firstly, sir, this quarter, the interest accrual is from the recovery on the written-off. Is it close to around INR1,100 crores, INR1,200 crores, sir, in the interest income line, sir?

Atul Kumar Goel, Managing Director & Chief Executive Officer
See, you are asking for the recovery from the technical written-off account?

Rakesh Kumar, Analyst
Yes, sir.

Atul Kumar Goel, Managing Director & Chief Executive Officer
Rakesh, recovery from the written-off account is INR2,055 crore.

Rakesh Kumar, Analyst
Interest income line, sir. How much would be the -- in the interest income line, sir, INR1,100 crores, INR1,200 crore?

Atul Kumar Goel, Managing Director & Chief Executive Officer
No. INR2,055 crore is the recovery from the written-off account. And the -- as I told you, normally it remained -- interest income INR500 crore to INR600 crore. There is a -- around INR700 crore. Because I told you, in this particular quarter, there was some excess recovery. But I may clarify to you, INR2,055 crore recovery here, but there is some provision also against this recovery. Because if there is a change of management, we have to make the provision on the investment side also.

Rakesh Kumar, Analyst
Okay. And, sir, in slide number 30, like, there is a mention of gross NPA sector-wise, industry-wise that we have given.

Atul Kumar Goel, Managing Director & Chief Executive Officer
Yeah.

Rakesh Kumar, Analyst
So, in the energy, there is some increase in the gross NPA number, from INR450 crore to around INR1,300 crore, so if you can help us understand, sir, where this increase has happened on this gross NPA?
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Atul Kumar Goel, Managing Director & Chief Executive Officer

Yes. I may -- Rakesh, I may tell you also. There was one account, which was technical written -off, which was technical written -off. But later on, it has been restructured now. This was the reason there was an increase in the -- this NPA figure. Yeah. Because it was in the technical written -off book, so now --because when we have restructured the account and they are making the payment as per the restructured terms. So, it has come in the live book. This is the reason.

Otherwise, there is no addition. Actually, there is no addition.

Rakesh Kumar, Analyst

Sir, after having written -off the book from the balance sheet, so how do we take it back in the balance sheet then?

Atul Kumar Goel, Managing Director & Chief Executive Officer

See, that is a book entry. The account is remained in the book, amount remains in the book. You have made a provision. This is also one of the regulation processes. Normally if we are writing off the account, so we are getting the cash recovery. But one of the accounts, on account of the change in the -- because

the -- they

are -- now they are having the PPA agreement, et cetera, also, so now unit has run, unit has running, but then we have restructured the account. So, this is the reason it has increased. Yeah.

Rakesh Kumar, Analyst

Instead of, sir -- instead of restructuring the account, if we recover the account, the TWO account, so was it written -off or it was only 100% provided, sir?

Atul Kumar Goel, Managing Director & Chief Executive Officer

As I told you, it was 100% provided and written off.

Rakesh Kumar, Analyst

Okay. Sir -- okay, but (Foreign Language) we will take it later maybe (Multiple Speakers)

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yes. I will explain to you offline also. Yeah.

Rakesh Kumar, Analyst

And second point was, sir, on the NBFC private, sir, there is a good growth that we have seen in the NBFC private in the -- within the NBFC vertical, the slide number 14...

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah.

Rakesh Kumar, Analyst

...so considering the risk weight increase, sir, how do we price the fresh exposures?

Atul Kumar Goel, Managing Director & Chief Executive Officer

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Yeah. Whatever you are seeing, INR53,000 crores to INR60,000 crores private NBFCs also. This was mostly before the increase in the RWA. And I may clarify one more thing also, there is one sector -- if you are giving the loan to the private NBFC for the priority sector, suppose for agriculture, for the MSME, et cetera, also. So, there is no increase in the risk weight. So, this is the reason exposure has increased. Even the pricing will not increase in the sector where the loan is for the priority sector.

Rakesh Kumar, Analyst

Got it.

Atul Kumar Goel, Managing Director & Chief Executive Officer

For the other, you were asking about the pricing also, but, for the other NBFCs where the classification is not coming in the priority sector, we are charging the higher rate to the entrepreneur. There is a -- around -- we have calculated on account of the increase in the RWA. There is around a 20 basis point to 25 basis point increase in the pricing. So we are demanding.

Rakesh Kumar, Analyst

Okay. Great, sir. Great. And, sir, last question, sir, on the ROA, what is the estimated ROA or guidance you can provide, sir, for maybe FY 2025, sir?

Atul Kumar Goel, Managing Director & Chief Executive Officer

1%. 1%, I have given the guidance because every analyst is asking when you will be reaching the 1%. So,

we have told 1% ROA. I think we should be in a position to reach the exit of 2024 -2025.

Rakesh Kumar, Analyst

At the exit, okay. But, overall, sir, overall, on an average for the full year?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Average, we're a little bit -- maybe a little bit less also, but 1% I think we should be in a position to achieve at the exit of the 2024 2025.

Rakesh Kumar, Analyst

Got it. Got it, sir. All the best for the future performance, sir, and great performance.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Thank you, Rakesh. Thank you very much, Rakesh.

Rakesh Kumar, Analyst

Thank you, sir.

Anand Dama, Analyst

Thanks, Rakesh. Next question we'll take from Ankit. Ankit, please unmute yourself.

Ankit Bansal, Analyst

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Thank you, sir, for taking my question. Hello?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah. Yes, Ankit. Please go ahead.

Ankit Bansal, Analyst

Sir, my question is, the performance of the bank is improving quarter -by-quarter, looking good, everything is looking good. Sir, my question mainly -- sir, gross NPA and net NPA, there is a long gap, like net NPA has reached below 1%. There is almost nil gap to cover. But in GNPA's, you have a lot to cover. Sir, why is this so much of the margin, sir?

Atul Kumar Goel, Managing Director &

Chief Executive Officer

You tell me, Ankit. Only one thing. Suppose my net NPA is zero, suppose -- because as of date only INR8,000 crore number is the net NPA. Suppose we'll make the provision of INR2,000 crore in the fourth quarter, let's assume. In INR2,000 crore, we have an operating profit of INR6,000 crore odd, and after four years it will become zero. So, what is the relevance of the gross NPA number? Gross NPA number can be reduced by writing off the -- we are not choosing that route either. Otherwise, the gross NPA number can also be reduced, if we are doing the more write -off. But if you see -- the -- this 6.24%, it was 11.78% in the March 2022. It is hardly 50% from March 2022 -- it takes some time to reduce the gross NPA number. Yeah.

Ankit Bansal, Analyst

Okay. Okay, sir. My next question is, sir, how are -- how you're seeing the growth at -- of India in which PNB can participate, which sectors -- forthcoming new sectors are being -- coming where you are seeing a great loan growth? How you are defining the next one or two years as an economy point?

Atul Kumar Goel, Managing Director & Chief Executive Officer

All these sectors, Ankit. We are -- one of the largest banks of the country. We cannot fix only one sector or the another sector. Where the growth opportunity is available, PNB is part of the growth story of the country. And you see, now India is one of the choicest places in the entire world, because it's the one of the best economy developing, and even the last RBI policy also, 6.5% GDP has been increased to 7%. So, it is one of the best destinations in the world. Everybody is thinking about setting up their manufacturing unit. So, we cannot restrict ourselves to one particular segment, because any segment where we can participate, we will not mind to participate.

Ankit Bansal, Analyst

Sir, lastly, sir, I have not seen your presentation. Sir, what are the net interest margin for this quarter?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Net interest margin, yeah. Do you mean to -- NII or the net interest income? Net interest margin. The net interest margin is 3.3%. 3.3% was domestic and 3.15% the global. And we have given the guidance. We will remain at 3%. Last time, also we had. Our NIM should be around 3% because there is some transactions where we are not getting more than 100 basis points, and 50 basis points, but we are utilizing that

opportunity, that market is available. This is the reason in terms of the percentage it may reduce, but we will try to maintain the absolute number.

Ankit Bansal, Analyst

Okay, sir. Okay. Thank you, sir. Thank you very much.

Anand Dama, Analyst

Yeah. Thank you, Amit -- Ankit. Mahesh, do you have a question, because your hand is raised? Yes, Kunal 17

please unmute yourself, and ask your question.

Kunal Shah, Analyst

Hi, sir. Congratulations on the great set of numbers. I just have one question, sir.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Please.

Kunal Shah, Analyst

So, when do we expect the final ECL norms to get implemented?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Kunal, I think, it depends on the regulator also. I think, it will not be appropriate to give me the answer of this question, because draft guidance has already come. It is a call to be taken by the regulator. But we are ready -- we can say we are ready. Whenever the regulator will take that decision, we will implement it.

Kunal Shah, Analyst

Okay. Thank you, sir.

Anand Dama, Analyst

Thank you, Kunal. Next question we'll take from Chintan. Chintan, please unmute yourself.

Chintan Shah, Analyst

Yeah. Thank you for the opportunity. Sir, first of all, congratulations on a great set of numbers. Sir, I had a question on slippages, so agri slippages. Sir, we have seen a dramatic reduction in agri slippages. So, what has been the s

strategy there? How are we able to reduce these slippages to such an extent? Yeah, any help there? Any guidance there you have?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Chintan, we have been working for the last one and a half years, not only in this particular quarter. If you see, INR439 crores in this quarter, even in the last quarter, (Foreign Language) September quarter, it is INR424 crores. You see -- and in Q1 also it is INR360 crores. It has not reduced in particular quarter. We have been working in the last more than one and a half years. And every quarter whatever the slippage in agriculture, we are recognizing. This is one of the reasons, nothing else. Yeah.

Chintan Shah, Analyst

Sure, sir. And so, sir, on ECL, sir, any guess, what would be the total provisioning required for us under Ind-AS and also how are we provided on that? Any idea there?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Last time also somebody has raised this question. My answer is the same. It is the draft guidelines. There is no set formula also as of date. Everybody is taking different formulas. And if -- what will be the guidance? Five years will be available for this. So, I can say only what will be the -- we will not be much impacted. Earlier there was a worry, because your provision coverage ratio is less, et cetera. Now my provision coverage is 94%. So, we will be at par with the industry. We will not be the outlier of the industry. Earlier this was the worry. As of date, let us not worry.

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Chintan Shah, Analyst

Sure, sir. And, sir, on the outstanding DT amount what would be our current outstanding DT? And when do we plan to migrate to the new tax regime? Any thoughts there?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah. We are just discussing. We are just discussing this with our tax consultant also. So, as on this date, we are using the old regime also. Then, when we are in a position, where there is a benefit to shifting in the new regime also, it is under discussion.

Chintan Shah, Analyst

And, sir, one data point question. What is the PV01 number, you could share?

Atul Kumar Goel, Managing Director & Chief Executive Officer

PV0 (sic - PV01) number, I think, if I am correct, it is around INR10 crore.

Dilip Kumar Jain, Chief Financial Officer

Yeah.

Chintan Shah, Analyst

And, sir, one last thing, in the restructuring part, so what would be our total restructuring including DCCO and SME restructuring? I think, there are two tables (Technical Difficulty) finding there are some separate research and numbers on the PPT. So, I just wanted to understand exactly what is outstanding.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Chintan, I may give you OTR 1, OTR 2. OTR 1 outstanding is standard. It is INR2,939 crore. And OTR 2 is INR6,781 crore. This I'm telling only the standard, not the NPA. And one of your questions, for the DCCO, is if there is a change in the DCCO, that is not coming under restructuring.

Chintan Shah, Analyst

Sure, sir. Sure. Thank you, sir. That's it from my end. Yeah. Thank you. Yeah. And all the best to you.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Thank you.

Anand Dama, Analyst

Yeah. Thank you, Chintan. Sir, we have one question in the chat box, which talks about how there is a lot of noise around the loan waivers being asked for the public, particularly in Northern India. So, any thoughts over there?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Hello, Anand, can you repeat your question, Anand?

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Anand Dama, Analyst

Sir, basically, a lot of -- there's a lot of noise around the karza mafi (sic - karj mafi) and loan waivers asked by some activists in Northern India. So, this was a question that was also posed, I believe, in one of the other public sector banking call

I. So, any thoughts over there? Do you see any impact that actually this can have on your asset quality?

Atul Kumar Goel, Managing Director & Chief Executive Officer

As of date, I don't have any thought on this. Yeah. Not at all. Yeah.

Anand Dama, Analyst

Sure, sir. (Operator Instructions) Yeah. Someone from Indus Equity has raised a hand. Please unmute yourself and ask your question.

Sushil Choksey, Analyst

Congratulations to the PNB team for the excellent result. And, sir, my question --

Atul Kumar Goel, Managing Director & Chief Executive Officer

Thank you.

Sushil Choksey, Analyst

Sushil Choksey here. Sir, my question is, sir, what is your expenditure on digital and human resources as you've taken good care of your past legacy to resolve all your problems? To be future-enabled, digitization is a must. And second thing, the human resource for betterment is also a must. So, what initiatives have you taken and what kind of CapEx are you going to incur on that?

Atul Kumar Goel, Managing Director & Chief Executive Officer

As far as HR is concerned, we have taken lot of initiative on the HR transformation also. Even this HR transformation is under implementation where we have taken the very big consol, and it will be implemented by March 2024 completely. As far as total expenditure on HR, including salary, et cetera, is concerned, it was around INR4,460 crores in December. It is in the same range because it is on account of the change in the provisioning, which was made in the AS -15 in December 20th of the -- in this particular quarter. Otherwise, it

is on the higher side.

Your second question regarding the digital, the digital depends on how much we are making the expenditure on the IT initiative also. So, normally, our budget for IT for the whole year is around INR2,500 crore.

Sushil Choksey, Analyst

Sir, your outlook on treasury is based on what the Fed is guiding and what the RBI Governor is speaking, and the inflation is tapering off, if oil is stable, how do you see your treasury behaving? And are we seeing the peaking of deposit cost by this quarter's end, or the next quarter, and how are we placed on that?

Atul Kumar Goel, Managing Director & Chief Executive Officer

There is a -- some different view. However, if you see -- what was the December 2022 -- 2023, 7.17%. It is the -- 10-year G -Sec, it is 7.77% and in September it was 7.22% . Although there is an ease in the 10-year G -Sec from 7.22%, 7.17%, 5 basis point reduction, but I may tell you there is no reduction in the deposit rate. Deposit is not cheaper as on date as compared to the September. The deposit rate has increased. So, I do not foresee any change in the deposit in a very short period. Deposit will be cheaper in the one quarter or the second quarter also, even if there is a reduction in the G -Sec rate.

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Sushil Choksey, Analyst

Sir, then you are expecting that the repricing of the deposit plus the cost of deposit for the next six, eight months on the next two, three quarters will stay elevated, so neither will your NCLR drop and you don't see lending price going down?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Yeah. At least for six months, we can think. Six months, because whatever the team prevailing as on date in the market, because one year deposit is not available around 7.80%, 7.90%. I was told some of the banks have quoted more than 8% also. So, in the short term, I do not think, that everybody is after the deposit, but we are not on the bulk deposit side, we are not giving a very aggressive rate, because we have the NCLR -- SLR around INR80,000 crore.

Anand Dama, Analyst

Yeah. Thank you, Mr. Sushil. The next question we have from Rahul. Rahul, please unmute yourself.

Rahul Jain, Analyst

Thank you, once again. Just a follow up question, sir. Can you give some color going forward on the fee income part, because

it has been muted even in this quarter and even if you look at on a nine -month basis, but as you are finding the RAM segment of the share on a mid -teens growth, how should we be looking at a fee income?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Rahul, there is a lot of pressure on the fee -based income. Reason behind that, is that there is two things, if you are choosing a very good quality account, so there is very competition in the interest rate as well as the other charges also, because good corporate clients, AA or AAA, are not ready to pay the processing fee, et cetera, also. Even if they are getting the non -funded facility also, that is very competitive -- also -- so, we have to decide which type of customer we want to lend. If definitely, we want to lend the good -rated customer, though fees income will not increase too much. But, ultimately, what we can think, we can increase the turnover. Ultimately, we have to see, that because we are not compromising on the asset quality, we are compromising on the yield. But if you see my NII, there is an increase in the NII quarter -by-quarter. It means we are growing much faster as compared to compromising on the -- compromising on asset quality.

Rahul Jain, Analyst

And, sir, rightly understood, sir. But are you bundling for a particular corporation in terms of getting its wallet share or you are just focusing on a good quality corporation even though it comes at a lower yield and go for more asset turn so that it leads to volume growth?

Atul Kumar Goel, Managing Director & Chief Executive Officer

No, that is not the -- I am just telling you, because if you see what is my portfolio of the AAA, what is my portfolio of the AA, even I can give one example. You see the portfolio of the NBFC. NBFC, my portfolio is around INR127,000 crores, of which 99% is the A and above A. One more thing I can tell, A only INR2,799 crore. So, such type of borrower is not giving the proceeding. But we have set up our new vertical marketing, where we are giving the focus on the -- garner the other business, like personal loan of the corporate, salary account of the corporate. So, we are trying to give the combo deal. If we are compromising on the terms, we are giving the combo deals, we should get the other business of that particular corporation by way of salary account, housing loan, car loan, and the other loan to their employee also. So, there we can think of increasing some other income, fee -based income.

Rahul Jain, Analyst

Okay. That's very helpful, sir. Thank you so much. Thank you.

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Anand Dama, Analyst

Yeah. Thank you, Rahul. Sir, we have one question in the chat box, that's primarily related to the funding cost. So, how do you see the funding cost shaping up in the next one or two quarters?

Atul Kumar Goel, Managing Director & Chief Executive Officer

Funding cost, yeah, basically (Foreign Language) if you see my -- first, I will take two things. One is the -- cost of deposit. If you see my cost of deposit, it is 4.94%, 4.94% as against the 4.84%. They are hardly only 10 basis points, because my 95% deposit has already been repriced. So, my only 5% is the deposit, which has to be repriced. The cost of fund, if you see, it is in the range of 4.3%, 4.4%. So, I do not foresee. Except for 5 basis points, 10 basis points, there should not be much increase as far as the cost of funding is concerned of the Punjab National Bank.

Anand Dama, Analyst

Okay. Sir, there is another question in the chat box from Shashin. He's asking what will be the sensitivity of the investment book provision linked to the 10 -year benchmark. And what is the average duration of the AFS book at this point in time?

Atul Kumar Goel, Managing Director & Chief Executive Officer

I will give you the -- one of the modified duration of the AFS as well as the HFT book. It is 3.54. We are not require

d to book the provision on the mark -to-market on the STM as on the date. So, 3.54 is the very reasonable. And as of date, we are immunized as 7.17%. So, 7.17%, we have already been immunized. We have made a provision, which was the prevailing rate on December 2023. So, we are not seeing much change in the mark -to-market provision as of date. Yeah.

Anand Dama, Analyst

Sure, sir. I think we are largely done with all the questions that we had . With this, we would want to end the call. But before that, if you have any closing remarks to make.

Atul Kumar Goel, Managing Director & Chief Executive Officer

Closing remarks - I want to assure all the analysts also, if you see the performance of the bank, last seven -quarter, in all the parameters, whether it is a growth in the business, whether it is profitability, profitability if you see the previous operating profit, net interest income as the net profit, it is increasing every quarter. Similarly, if you see the quality of the asset, gross NPA, and net NPA in terms of the percentage as well as in terms of the amount also, it is reducing every quarter. Similarly, the PCR, which is one of the major factors to increase the profitability of the organization, is also improved to 94%. So, I can assure you only. I can assure that the -- bank is on the very right path. All the employees, 1 lakh people, they are working. Whatever they can do betterment of the organization, day and night they are working.

The focus area is the recovery, focus area the containment of the slippage, the focus area is how to improve the CASA and how to make use of the digital, which is also one of the priority areas, and HR transformation, which I just told, March 2024 it will be completed. After that, we will be in a position to make the difference between the performance and the non -performance. Then it will further add to the productivity of the organization as well as every employee.

So, this is my closing remarks. Nothing more I want to add. And I hope every quarter you will see further -- next quarter you will see some good numbers also. This can I wish only.

Anand Dama, Analyst

Thank you, and best wishes, sir. With that, we will end the call. Happy evening to all. Thank you.

Atul Kumar Goel, Managing Director & Chief Executive Officer

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Thank you. Thank you very much. Thank you, Anand, and all the team who have attended this call. My thanks to all of them also.

Call: May 2024

Date:16.05.2024pnbone

#JustOneRpp.....■

•7/./'...Ad-zalKa

AmritMahotsav

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(EktaPasricha)

CompanySecretaryDearSir(s),

Reg.:TranscriptoftheEarningsCallwithAnalysts/InvestorsonFinancial

Resultsforthequarter/yearended31stMarch,2024

PursuanttoRegulation30oftheSEBI(LODR)Regulations,2015,pleasefind

enclosedthetranscriptoftheEarningsCallwiththeAnalysts/Investorsonthe

FinancialResultsforthequarter/yearended31stMarch,2024heldon09.05.2024.

Thesameisalsoavailableat:<https://www.pnbindia.in/financials-current.html>

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"Punjab National Bank 's Q4 FY '2023 -2024 Earnings

Conference Call

May 09, 2024

MANAGEMENT : SHRI ATUL KUMAR GOEL – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER

SHRI KALYAN KUMAR – EXECUTIVE DIRECTOR

SHRI BINOD KUMAR – EXECUTIVE DIRECTOR

SHRI M PARAMASIVAM – EXECUTIVE DIRECTOR

SHRI BIBHU PRASAD MAHAPATRA – EXECUTIVE

DIRECTOR

MODERATOR : MR. RAKESH KUMAR – B&K SECURITIES

Punjab National Bank

May 09, 2024

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Deepak Singh: Good afternoon, ladies and gentlemen. I , Deepak Singh, DGM at Strategic Management, Welcome you to the Punjab National Bank 's Earnings Conference Call for the Period -ended 31st March 2024.

The Bank is represented by the Managing Director and CEO – Shri Atul Kumar Go el ji,

Executive Director – Shri Kalyan Kumar ji, Shri Binod Kumar Ji, S hri M Param asivam ji and

Shri Bibhu Prasad Mahapatra ji and other senior members of the top management.

The structure of the conc all is that include an "Opening Statement " by M .D. and CEO Sir and then the floor will be open for interactions.

Before getting into the concall, I will read out usual disclaimer statement. I would like to submit that the statements given herein are not guarantees of future performance and undue reliance should not be placed on them. Such forward -looking statements n ecessarily involve known and unknown risks and uncertainties, which may cause actual performance and financial results in future period to differ materially from any projections of future performance or result expressed or implied by such forward -looking s tatements. Investors are therefore requested to check the

information independently before making any investments or other decisions.

Over to M.D. and CEO, sir.

Atul Kumar Goel: Thank you very much, Deepak ji. Good afternoon to everybody. I welcome all the Analysts and the Investors attending this Conference Call also and it is my pleasure to present the Quarterly as well as the Yearly Result of the Punjab National Bank for the Financial Year March 2023-24. This quarter as well as the financial year was the one of the best quarter in the year for the Punjab National Bank as well as financial result of Bank is concerned. And I think whatever I have promised to all the analysts and the investors in the last quarter or the previous quarter also, I think we are in a position to deliver the same number whether it is NII, we have projected around 10% growth, similarly, the operating profit we have projected the growth of around 10% and we have given the guidance that gross NPA will be less than 6%, it is 5.73%, then we have given the guidance net NPA will be less than 1% and PCR will be more than 90%, that is 95%. So, I think we have tried our level best to come up to the expectations of all the analysts also and we definitely need your support also.

I will give my opening remarks. As far as the gross business of the Bank is concerned, it is 23.53 trillion with a growth rate of 8.6%. The composition of this gross business, the gross deposit it is 13.69 trillion at the end of March '24 with a growth rate of 6.9%. As far as advances or credit is concerned, there is a good growth of around 11.2% YoY, and it stood at 9.83 trillion.

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CD ratio is very comfortable, 71.79%. Saving, there was a growth of around 3.5% and it stood at 4.80 billion and total CASA is 5.38 trillion as on March '23 increased to 5.52 trillion, with a growth rate of 2.7%. The CASA percentage was 41.44% as of March '24 and our guidance for the CASA for the next financial year '24-25 will be around 42%.

As far as RAM is concerned, RAM is around 55.18%; it is 5.20 trillion out of the total advances of 9.83 trillion, and we want to increase RAM to 60% in two to three years span.

As far as come to the profitability number, the net interest income, there was a growth of 9.1% in YoY. 9,499 was the number of the NII March '23 quarter which has increased to 10,363. If you see the whole of the year '22-23 the NII was 34,492, which has increased to 40,083 with a growth of 16.2%. The quarterly was 9.1% and yearly growth is 16.2%.

Similarly, the operating profit for the quarter ended March '23, it was 5,866 which has improved to 6,416 in March '24 quarter with a growth rate of 9.4%. If you see the operating

profit for

whole of the year, it was 22,529 for the financial year '22-23, which has improved to 24,931 with a growth rate of 10.7% and with the guidance of around 10%.

As far as net profit is concerned, there is a jump in the net profit. The net profit of the Q4 '22-23 means March '23 was 1,159 crores which has increased to 3,010 crores in March '24 quarter with a growth rate of 159.8%. And the profit of the whole of '22-23 was Rs.2,507 crores which has increased to 8,245 in '23-24 with a growth rate of 228.8%. I would like to tell the net profit of whole of the year in '22-23 was 2,507, in the last quarter itself, we have crossed this mark and the net profit of the last quarter of the '23-24 was more than 2,500, it was 3,010. So, whole of the quarter we have achieved in the last quarter of the current financial year that is '23-24.

One more thing, I would like to tell you. The operating profit number of 6416 crores, NII of 10,363 crores and net profit of 3,010 crores, these three number for the last quarter of the financial year '23-24 means March '24 quarter is the highest in the last 16 quarters of the Punjab National Bank.

As far as GNP A number is concerned, the GNPA which used to be around 77,328, it has reduced to 56,343 and percentage has reduced from 8.74% to 5.73% from March '23 to March '24.

Similarly, the net NPA which used to be 22,585 in March '23 has reduced to 6,799, less than 7,000, 2.72 was the percentage of the net NP A in March '23 has reduced to 0.73 and our guidance was, it should be less than 1%. So, we have also achieved this guidance.

The PCR of 86.90% was in March '23 has improved to more than 95%, 95.39% in March '24.

Most important is the credit cost. If you see the credit cost, the credit cost for the last quarter of the '23-24 was Rs. 1,957 crores. We have provided provision for the NPA which is coming to

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0.81% as against December '23 quarter 1.26%. And if you see the full of the year it was 1.40% credit cost as against 2.03% in '22-23. And our guidance for the next year '24-25, it will be less than 1% the credit cost.

Slippage ratio if you see, last quarter slippage ratio was 0.98 and slippage ratio for the whole of

the year '23-24 it was 0.72% as against the '22-23 last year was 2.31%. Our guidance for the next year '24-25, the slippage ratio will be less than 1%.

As far as capital is concerned, the capital adequacy has been improved from 14.63 in December '23 to 15.97 in March '24, this is on account of the profitability of the whole of the year as I told you 8,445 was the total profit, then after the dividend part which I will also explain it has been increased and last quarter also we have raised around Rs.1,800 crores. So, on account of this, this capital adequacy ratio has increased to 15.97% as against the requirement of 11.5%.

Domestic Cost of deposit if you see it was 4.54 in the March '23 which was 4.9 in the December '23, has increased to 5.06. You are aware on account of the increase in the deposit rate, this cost of deposit was bound to increase.

Similarly, the domestic yield of advance which was 8.05 in March '23, in December 23, it was 8.54 and it is flat 8.54 in the March '24 quarter.

As far as NIM is concerned, NIM for last quarter of the last financial year March '23, it was 3.38, domestic NIM it was 3.25 for the last quarter March '24 and NIM global it was 3.24 in the March '23 quarter which is 3.10 for the March '24. If you see the whole of the year, it was 3.23 domestic and 3.09 is for the global. Last time we were given the guidance, our NIM will be around 2.9% to 3% that we have achieved and the next year also guidance is the 2.9% to 3%. Although we are giving the guidance little whatever we have got the NIM but our effort will be there. Last time also I advise you our effort will be like this that every quarter -by-quarter ne

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interest income should increase in the absolute number.

So, as far as fresh addition is concerned, last year March '23 Quarter, the addition was 3,996, which has reduced to 2,206 in the quarter March '24. And if you see the whole of the year 22-23 total addition was Rs.16,029 crores which has reduced to Rs.5,826 crores.

So, two things. I think we were able to contain the slippage, we were able to reduce the credit cost. This was one of the factors to increase the profitability of the Bank. And since we have already improved our PCR by 95%, I am hopeful in times to come there will be a scenario, there will be a reversal of the NPA provision because the movement of the NPA which you must have seen because the recovery in the TWO account because we are having the good kitty of the TWO around Rs.90,000 crores, that is not reflecting in the movement of the NPA. The total recovery Punjab National Bank

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of the Bank, including TWO as well as derecognized interest. In '22-23 it was 29,095 crores as against 32,000 crores. If you adjust the recovery and the addition of the same year that it will be 24,576 and this number we have given for the current financial year '23-24, 22,000 was our target, total recovery was 22,530. So, you can see the fresh addition was 5,826 against this total recovery was 22,530, including the recovery from the write-off account.

One more thing I would like to clarify. If you see our establishment cost has increased because that is only on account of one thing, AS-15 provision AS-15 provision for the March '24 quarter was 2,396 as against 1,244 in March '23 and only 333 crores in December '23.

The reason for the increase of the AS-15 was on account of 3-4 reasons: First is as per the new settlement leave encashment which was 240 has increased to 255. Additional leave encashment will be available to the employee at the time of the entire 15 days at the enhanced salary for the entire 255. This was one of the reasons. GSec rate which was 7.18% in the December '23 has reduced to 7.05% on account of the change of the yield on the reduction side. Pension requirement has been increased. The third is the pension requirement. AS-15 has increased on account of the increase of the wage revision which was 17%.

The one more thing. Because ex-gratia was also introduced first time in the new settlement. It has also impacted the AS-15 provision. On account of this 2,396 we have provided in the March '24 quarter. This was the reason. Otherwise, if we reduce this from the establishment cost, payment to the wage revision is more or less on the same lines on quarterly basis, point number one.

Another thing is the credit cost. I have already discussed this with you also. It was 0.81% for the quarter and 1.4% for the whole year and which will be less than 1% of the next financial year. Sector wise slippage, in agri it was 804, also, MSM E is 666 crores, retail 422 crores, others 187 crores and 128 crores were increase in the existing. This was the breakup of Rs.2,206 crores. Normally you ask about what is the floating rate on the credit side. As on date MC LR 35%, repo around 40%, TBLR 10%, fixed 9%, other is base rate 2%. So, this is about the composition of the interest rate on the floating and the fixed also.

One more thing I would like to tell you is our new underwriting, which normally I give you every quarter, how the new underwriting is because you may be asking why there is a reduction in the slippage. So, we have taken a lot of initiative how to improve the underwriting standard as well how to improve the collection efficiency. So, we have done a lot of work on this. On

account of this , I will give you the data from the 1st of July '20 till March'24 . So, it is a data of more than 3 .5-year. So, in new under writing, 7.87 trillion we have sanctioned , 7.10 trillion, we Punjab Nation

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have disbursed, outstanding is 5.53 trillion and NPA in this new underwriting in more than 3 .5-years is 1,775 crores which is coming only to 0.25% of the new underwriting . So, this is one of the reasons for containment of the slippage .

I can give you the further breakup segment wise of 0.25%. In agri it is 0.38 only , MSME it is 1.42, retail it is 0.21 and others means corporate it is negligible .

As far as capital adequacy is concerned, we are adequately capitalized because our capital ratio is 15.97 as against the requirement of 11.50 , even CET-I is 11.04% as against the requirement of 8% , more than 3% we are having. Similarly , the AT-I is at 2.13% as against the requirement of the 1.5 and the Tier -2 is at 2.8%.

And as far as our capital raising plan is concerned, although we are not in immediate need of the capital because we are already at 15.97, we have got the approval of the board for raising 7 ,500 QIP in the coming financial year '24-25. In addition to that , we already had the approval of the board for 7 ,000 crores for AT -I bonds and 3 ,000 crores for Tier -2. The total we are having in place board approval was 17,500. So, this is the capital plan.

One more thing I would like to highlight you what is the position of the NCLT which you normally ask . In NCLT 805 accounts we have applied for 1.03 trillion , out of which 776 accounts of 1.02 trillion has already been admitted , 24 accounts of 1,737 is still to be admitted.

As far as recovery in NCLT is concerned, 3 ,603 crores recovery we have made in the last financial year '23-24. Quarter wise recovery , first quarter 566 , 556 in the second quarter , 3rd Quarter 1,831 and the 4th Quarter is 648. This is from the NCLT, and we hope more than 3 ,000 crores within the range of 3 ,000 or 3200 we should be in a position to recover from the NCLT route in the coming year '24-25.

As far as transfer of asset to NARCL sale is concerned, last year we have transferred around 12 accounts to the NARCL of outstanding of Rs.3,524 crores .

I think I have tried my level to cover all the things also. So, I will stop myself with this my initial remarks . We will be happy to answer of your any question , any query you are having in mind. Once again I place on record, the support which we are getting from all of you and to improve the performance of the Bank .

Thank you very much.

Rakesh Kumar: So, just to start with sir, like you know there are a couple of PSU banks which have already announced their numbers and RBI draft circular has also come on this provisioning requirement

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on this project finance issue . So, would like to get your opinion and what is the exposure that we have and would there be any impact on our Bank or not?

Atul Kumar Goel: Rakesh , I think this is a very important question . So, point number one , it is draft guidelines.

The RBI has given draft guidelines , it is for the consultation to all stakeholders whether it is from the borrower side, whether it is from the Bank side. I think we should not panic. . The regulator is thinking that if there is more risk, there should be more provision and they are trying to bring in the discipline .. So, from the regulator 's point I think there is a merit to this also. Now , your question will be 5% earlier we are making 0.40% , now we have to make 5% then 7.5% where it is increasing, then it will come down to 2.5% for the operational project and 1% after the cash flow has been paid , 20% after the issue . This may be the point of discussion whether it is adequate or not , this is a consultative process because the RBI has given the timeline up to 15th June 2024. So, we will discuss this matter regarding the provisioning requirement . And one more thing I would like to tell you , Rakesh, a lot of clarification is also required . In my personal opinion whether th

is draft guide line is applicable to all types of infra projects, non-infra projects

also, project loan , and it is applicable for small amount also whether it is 50 lakh s, 1 crore. We will also take clarification whether there would be some limit on which it will be applicable.

You are also asking what is our exposure . I have given so many loans which I am classifying in infra . Let us take the example of the InvIT. I have given the loan to so many . They are operational projects . I will classify in the infra . I think we should wait for a little bit , we should think and we should take up the matter. But the question will be what should be the provision requirement.

I think as on date the Bank has a very healthy balance sheet and provision is normally required when the position is healthy. So, I think from the regulator point of view, I think it is an appropriate guideline. So, I am not panicked. Even if we are required to provide, we are very comfortable, we will be easily in a position to provide.

Mahrukh Adajania: Sir, I have a few questions. Firstly, if you can help us on what the monthly wage bill will be or quarterly wage bill will be from next year, that will be helpful. Secondly, if you could give us some outlook on loan growth and margins. Because 4th Quarter anyway, margins look a little better than previous quarters because of higher recovery income. So, if you could call out the recovery income separately in the 4th Quarter and 3rd Quarter. And also talk about sustainable margins for the whole of FY '25, that would be helpful.

Atul Kumar Goel: Mahrukh, as I have clarified, Rs.2,396 crores we have made a wage provision for Q4 FY24. If you see my total payment to the employee for the last quarter is Rs.5,630 crores. So, you reduce Rs. 2,600 Cr, it is coming around Rs. 3,030 Cr, but our average bill will be around Rs. 3,500 Cr, because if you see the wage arrears, in December '23, we have made Rs. 800 crores provision because we have provided sufficient in the earlier quarter also. There was no requirement to make the provision for wage revision in the March '24 quarter which was Rs. 150 Cr. So, this is the reason actual payment is coming on the lesser side. So, in my opinion, wage revision should
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be around 3,500 to 3,600 per quarter as far as wage bill is concerned apart from the AS-15 provision. Your second question about the margin also. Margin, as I told you, Mahrukh, if you see my NII is 3.25% for the last quarter (domestic) and 3.10% global NIM and last year also we have given the same guidance, that 2.9-3% NIM is sustainable. And one more thing if you see every quarter our endeavor is that quarter-by-quarter my net interest income absolute number should increase and if you see the last eight quarters every quarter it is increasing.

Mahrukh Adajania: I just have a comment on what you said about the draft circular. So, your point is very well taken that the Bank has good provisioning now. So, you are in a comfortable position to take any higher provision. But sir, that on the back book or on the existing book, you will be able to take the provisions that are due, right, and you will also have a lot of operational projects, so to that extent your provisions will be lower. But the point is that each incremental loan in capex say the guidelines are applicable from today and you are doing new capex today, each incremental loan will come with a 5% burden for three years at least, because that is the time to construct any basic project, right? So, I mean, these loans may be loss-making or maybe very, very costly for at least three years after which the pool stabilizes and that's the concern that it will hurt capex and therefore it will hurt overall banking loan growth because people were very optimistic that with capex, loan growth in the banking system will improve.

Atul Kumar Goel: Mahrukh, to some extent, you are right. As I told you from the regulator perspective it is a draft guideline. Whether it is coming to implement over the 5%, the regulator has given this paper for the consultation. Every stakeholder will give their views. If there is a risk in any project or in implementation of this, definitely from that point it looks good, but definitely it will hurt the Bank if you are required to make the provision. So, let us wait for the final guidelines. 15th June is the time. Because you are saying if 5% has to be implemented, so we will try to pass on also because ultimately profitability will be a little less than capital requirement of the Bank. Even for the NBFC also, regulator has increased the RW A on the NBFC and whatever the additional pricing we have passed on I think more than 80-90% borrowers have already agreed. So, even in this case, if there is some need of the increase of the pricing also, we will pass that on.

Jay Mundhra: I have just a couple of questions. Firstly, on the LDR side, sir, like LDR has reduced this quarter. Like What is the LDR target that we would like to keep for FY '25 basically?

Atul Kumar Goel: Loan-to-deposit ratio was 69.05% in March '23, if you compare March '24, it has improved to 71.79% and if you compare from the last quarter when it was 73%, it has reduced. So, I we are on the lower side also, we will try to improve from 73% to 75%. This was the reason if you ask me why there is not much growth in deposits, the question should be why the deposit growth is 6.9%. Because I don't require deposits, my CD ratio is very comfortable. Even I am having the excess SLR of more than Rs.1 lakh crore.

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Ankit: Sir, my first question is after performing this much, sir what is the future trajectory and from which segments queries for loan are coming? Given the prevailing economic conditions, which sector are you more confident for distributing the loans?

Atul Kumar Goel: Ankit, two, three points I would like to tell. There is good demand in the RAM sector, in retail, particularly for housing loan, and vehicle loan. My percentage of the total loan to the RAM is around 55% and we want to increase this number to 60% in times to come. This will be our focus area. Second, we are one of the largest banks in the country. If really we want to support the economic growth of the country definitely we should give loans to corporates also. What trend I am seeing is earlier they were not using the working capital to the extent. They have already got the sanction now maybe on account of the profit earning outlook is also good for the corporates also, now they have started utilizing also. Even if you see a lot of capex has not come in the last year from the private side also. Now I am seeing the traction. Steel industries, cement industries on account of infra there is a lot of demand from this sector also. So, some of the corporates now are approaching us for expansion in their steel production as well as in cement. And there is a lot of demand from the road project side also. We have financed a lot of road projects in the last year and there is a good demand in the current year also. So, I am seeing demand from the retail, RAM sector, infrastructure sector, particularly road, etc., even there is credit in pipeline for capex in the steel and the cement.

Ankit: Recently you have tied up with IREDA. Are you seeing any traction in green projects there, why you have tied up, any comment on that?

Atul Kumar Goel: We have tied up with IREDA, we have tied up with the REC also and we are going to tie up with one more of the infrastructure financing company. The purpose is that sometimes they are getting the project for more than their appetite. They can pass on part of debt to us. Also, they have the

expertise of financing the project like IIFCL, REC, PFC, etc. also for the power project, they have the expertise. So, if they are not in a position to take the entire loan for that particular that we are participating in that.

Ankit: Slippages quarter-on-quarter have increased. Any concern, sir?

Atul Kumar Goel: No concern. We are having the book of more than 9 trillion. So, slippage amount if you see was Rs.2,206 Cr in Q4 and in Q3 it was 1793 Cr. I mean, if you see the last eight quarters, every quarter the slippage is reducing, I will give you the sector-wisely slippage also; the agriculture is Rs. 804 crore, MSME is Rs. 666 crore, retail is Rs. 422 crore, and other is Rs.187 crore, out of only one account of around Rs. 115 crores. So, there is no worry at all. And if the slippage is there, we will recover. If you see our recovery is more than two times of the slippage.

Ankit: Why the dividend is so low, sir?

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Atul Kumar Goel: Last year, we have declared the dividend of 32.5% it was 65 paise per share, we are having the share of Rs. 2. This time board has recommended subject to approval of the shareholders 75%, Rs.1.5 per share of Rs.2 and total payout of the profit is 20.03%.

Ankit: I am saying, sir, now you are very profitable. Other PSU banks are giving a lot more than your face value like you have given 75%, Canara Bank has given a lot, I think double. Sir please sir for about shareholders.

Atul Kumar Goel: I have given more than double; 32 to 75, I have given you 75%.

Jay Mundhra: I wanted to check on CD ratio. Our focus is to improve net interest income in absolute amount and that we have been doing for the last few quarters. Our CD ratio to start with was already low. Now in this quarter, the loan growth is not very high, only 1%. So, what happened? I mean we had excess liquidity, we could liquidate some excess SLR also. So, what actually happened that our LDR actually declined, and we could have improved even further, if the growth was low, we could have improved.

Atul Kumar Goel: Jay, I will give the answer to your question. 73% was the CD ratio in December '23, definitely it has declined to a little bit, 71.79%. So, if we will not raise further deposit because there is no need for the deposit, automatically CD ratio will improve. As I told you for next year, our guidance for the credit growth will be 11% to 12% and this is the reason we have not raised the bulk deposit because bulk deposit is not available less than 7.5 or 7.6.

Jay Mundhra: No, I understand about the future, sir. I am asking in the March Quarter why did our CD ratio declined? If in future we want to improve or increase CD ratio -

Atul Kumar Goel: It is a simple answer. The deposit growth was much more in that particular quarter as compared to the credit growth, that was the only reason. Nothing else.

Jay Mundhra: Would that change sir, because at system level there may not be any change, but would it change for your bank that now credit growth will be higher and deposit growth will be slower?

Atul Kumar Goel: Jay, as I told you, I am having the 1 lakh extra SLR also. Then we will see whether if deposit is cheaper and I am having another avenues also to deploy that fund in the more remunerative manner, then we will raise the deposit. If I do not have the opportunity to gain on the deposit side also, otherwise we will not because then we have to see at what rate we are getting the deposit, what I am getting on the yield on the investment.

Jay Mundhra: We have a guidance of 18,000 crore s of recovery for full year. Is there any exposure out of this, let's say, where do you have a visibility of more than let 's say 500 crores , are there any some of those assets or this is likely to be granular only ?

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Atul Kumar Goel: Jay, i t is our gold mine. Rs

.90,000 crore s we are having the TW O and around Rs.55,000 crore s
We are having the gross NPA , 1,45,000 crore s. We have just made an analysis of how much we are in a position to recover . Even if we think 40 % to 50% of the total , every year we will be in a position to recover easily around 15 ,000 to 20,000 crore s easily. Even if you are asking for \some bulky account also, we have made an analysis that what should be the recovery from basically NCLT. So, NCLT last year we have recovered around 3 ,600 crores a nd we have made a quarter wise analysis . Even we are thinking around 3 ,000 to 3 ,300 will be recovery from the NCLT in the next financial year . And definitely we are also giving the focus on the small account also because we are having the very good amount in the NPA , the smaller account also and some of the account where we are having th e sole banking and we a re equivalent, mix of all .

Jay Mundhra : So, out of this, let 's say 3 ,000 to 3 ,300 crore s is going to be the NCLT -related and -

Atul Kumar Goel: Yes, that is our estimation.

Jay Mundhra: Rest could be granular only , right , below 100 crore s size?

Atul Kumar Goel: It may be much more because it is a recovery amount which I told you. Sometimes you have to take the haircut also. Account may be more than 100 crore s but you are getting less than 100 crore s also.

Jay Mundhra: On credit growth, we are saying 11 % to 12% which is lower than last year 12 % to 13% guidance. Our net NPA has improved, our capital has improved , our profitability is also improving. So, why 11 % , 12%, sir? And within that, how much could be corporate credit growth?

Atul Kumar Goel: If you see my credit growth in the June quarter , September quarter and the December quarter, the growth was more than the guidance , 12% to 13% , June quarter, it was 14.6% , September quarter, it was 13.4% , December quarter, it was 12.9%. But last quarter was 11.2 because if you see the March '23 quarter we have done some bulk deal also . On account of this it has decreased otherwise we were at par whatever guidance we have given . This is the reason we are giving the growth of the 11 % to 12%. If definitely opportunity will come where we are in a position to give more than the 11 % to 12% also , we will revise the guidelines but as o n date it is 11 % to 12%.

Jay Mundhra: And how much of that could be corporate, sir, would it be similar 11 % , 12% or higher or lower?

Atul Kumar Goel: It is the availability of the corporate as well as the RAM also. As I told you, our focus will be on the RAM. If we are in a position to garner good deal in the corporate also, we will not mind to lend them also.

Jay Mundhra: There is a new investment norms effective from April 1st. If you can quantify what is the accretion to CET -I, AFS reserve and general reserve as of April 1st.

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Atul Kumar Goel: Because this new guidelines is applicable from the 1st of the April and we are required to shift from the HTM, AFS, HFT, there is two more , the FVT PL, FCOCI . Your specific question what will be the amount which will be transferred. That will be around 5 ,000 crore s.

Jay Mundhra: So, that number is good, sir. I mean, other banks have reported 1/3 of your number. So , this number of 5 ,000 crore s accretion looks very good.

Saurabh : So, just two questions. One is on your OPEX growth. Could you just quantify how much do you expect it to be, especially both if you can break up in staff and other expenses? And the second is in terms of your gross slippages what is the number you would guide for?

Atul Kumar Goel: As far as the OPEX , I will divide it into two parts. First is the employee cost and other is the Other OPEX. A nd if you see the payment to the employee , it is around 5 ,630 in the last quarter, but there was an AS-15 provision around 2 ,396. So, if we are thinking definitely in the times to c

ome, our requirement of the AS-15 will reduce because it is on account of the increase in the wage revision , etc., also. So, I think wage revision will be in the range of 3,500 to 3,600. And then in addition to that, whatever the requirement of the AS-15 provision we will make . As far as the other operating expenses is concerned , other operating I think within the range of 5 % to 7%, they will be increased , there will not be much increase in the other operatin g expenditure .

Saurabh : Sir, just I had one question on SLR, sir. So, net-net, if we see from March '23 to March '24, we have SLR on the outstanding basis is still rising and though the non -SLR number is stagnant.

So, just a broader question that how we would like to, because we have excess SLR so that we would liquidate the SLR and do the credit growth or we will kind of raise the duration further and try to take some gain on the profit on sale of investment side. So, what is the play that we are trying to have on the SLR investment side, sir?

Atul Kumar Goel: It will be the mix of both. Point #1, whether we want to increase the SLR portfolio or not, it depends on whatever interest rate view. If my theory is thinking interest rate will fall in times to come, definitely it is an appropriate time to invest in the SLR securities. If they are thinking about interest rate, definitely we would like to shed some of the excess SLR also. As I told earlier also how much I am getting on the investment in the SLR and vis-à-vis what will be my incremental cost of the deposit. So, I have to see both the number also. If the incremental cost of deposit is lesser than whatever yield I am getting on the investment, I would prefer to raise the deposit instead of shedding my SLR. If deposit is much more than whatever I am getting the yield on the investment, definitely I will not mind to shed my SLR investment.

Saurabh: And on non-retail term deposit growth side how is the dependence there because that is also being handled by the treasury itself, so like on the non-retail term deposit growth side if you can tell us that, like are we increasing the dependence there or how the things are -?

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Atul Kumar Goel: You see my deposit growth. This is the reason. My growth is only 6.9%. We are not dependent on the bulk deposit. Need-based we are raising because we are not in this market but definitely where we are getting more return also then we are raising, otherwise we are not.

Saurabh: Just one question on your current accounts it seems that there's obviously lots of market share. Can you just quantify like what's happening there on current accounts for you specifically? And if let's say we do get a cap, I mean, improvement in CAPEX, you think that share for you can go up given your exposure into like corporate accounts. So, if you can just talk about your current account.

Atul Kumar Goel: Saurabh, actually I will take it differently. We are not losing the market share in the current account. This type of the deposit is very volatile. Sometime you don't know at what time it will be increased, at what time it will be decreased. Point #1 we have just issued the corporate mobile app, which will definitely help to come to this segment also, lot of people will come, they will open the current account through mobile app which was not earlier which we have launched in the last month only. And another thing, current account if you see how many account we have opened in the last year; '23-24 we have opened around 2,68,000 accounts as against the 2,00,000 accounts which we have opened in '22-23. So, amount will also flow in this account. But this segment is very volatile; sometimes you have 60,000, sometimes 70,000, sometimes 80,000, it is very fluctuated, but you are right and we are very sanguine for this how to improve this because it is a zero sum

game for us also, we are aware and we are taking a lot of steps on how to increase the current account.

Vinayak: Can you please quantify the amount of deferred tax assets you have and is it possible for you to move to the lower tax regime from FY '23?

Atul Kumar Goel: Vinayak, actually, we are under discussion with our tax consultant also. As on date we have not moved. Definitely, we are aware. If we will move definitely there should be a benefit of the tax rate also but as on date our tax consultant is advised not to move to the new regime because we are having some entry which is beneficial for us in the old regime.

Vinayak: And can you quantify the amount, sir?

Atul Kumar Goel: DTA? I will send you, Vinayak.

Rakesh Kumar: So, there is one question in the chat box that out of the total Write off pool, what is the composition in the NCLT and non-NCLT?

Atul Kumar Goel: You are asking the how much is the pool in the NCLT and-?

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Rakesh Kumar: Non-NCLT sir. Out of the total Written off pool of around 90,000 crores, how much is part of NCLT and how much is the part of non-NCLT loans?

Atul Kumar Goel: I have to check the exact number, Rakesh, but normally because the account which are in the NCLT is of high value. So, such type of the account we have already written off. So, in my opinion I will check the exact number. NCLT whatever the account that must have been little. The other will be the non-NCLT number here.

Aslesh: The slippages in the agriculture sector has increased in this quarter. So, any reason for that? And secondly, if you can share the average cost of outstanding term deposits and also on the

incremental term deposits?

Atul Kumar Goel: As far as slippage is concerned, not very increased slippage. If you see it was around 1,800 crore s and it was around 2,200, so 300 to 400 crore s is the total slippage. But if you see the agri, normally it remains around 800 to 700, there is not much increase in the agri side also. So, it is on the same line, but 200,300 there may be fluctuations also because we are having the loan book of more than 9.85 trillion. As far as your question about the average cost of the term deposit, normally 95% of our deposit has already been shifted to the new term deposit. So, if you see my one-year term deposit is around 7.25.

Aslesh: So, you don't expect a lot of increase in the cost of deposits for you over the next few quarters?

Atul Kumar Goel: 95% has already been repriced, only 5%, which was in the long-term in the nature maybe for five years, six years that has to be. So, I don't think there will not be because most of the deposits is one year in the nature.

Anand: So, basically first thing is the new investment classification norms, which have come from 1st April 2024. What will be the CD-I benefit that we will reach because of that? Secondly, we have heard a lot of news going around particularly in the state of Punjab, where the microfinance players have seen some stress. Any repayment behavior changes that basically we have seen for any of our retail or the agri loan in state of Punjab, basically if you can talk about?

Atul Kumar Goel: Anand, as far as your first question, what will be the increment on account of new valuation. Basically, the unrealized profit has to be taken into consideration. So, as I just told you, around 5,000 crore s... because it keeps on changing. Let me clarify to all of you because we are having a subsidiary also, that is listed also. It keeps on changing. It depends on the market. Because what was the market as on date, it keeps on changing because entire is not the debt because we are having some subsidiary, etc., also and share is listed. Around 5,000 crore s I am carrying as on the date of the 1st of April, it keeps on changing. Another your question is regarding the Punjab, etc., also.

I have not seen any delinquency in the retail or the agriculture side. It is across Punjab National Bank
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the same we are getting, and I have given that number also what is my new underwriting, the slippage in the agri, less than 40%.

Anand: The third question that I had was about the project financing exposure. So, basically, I know that the guideline is still drafted. Obviously, IBA certainly will go back to RBI and sit down over there. But is it possible for you to quantify the financing project exposure as on date of our book?

Atul Kumar Goel: Anand, because there is a three type of exposure, because infra, non-infra then DCCO etc., also. So, as I clarified earlier also some of the loan like InvIT loan we have given, it is classified in the infra, but it is not as per the circular also. Another we are discounting a lot of HAM project also, that is coming under infra also, there is no DCCO because this basically is linked with the DCCO, circular has come. So, as on date we are not in a position to quantify what is the exact amount here.

Anand: But sir, if we have to just quantify the overall project financing exposure, be it DCCO, not DCCO then what would be that, would be 10% of the overall loan book?

Atul Kumar Goel: Anand, because as I clarified you also because lot of project which is very cash flow generative like the InvIT I have done. This circular is not applicable. Even the discounting we have done for the HAM there is a running operational project where the cash flow is coming. So, I think it will not be correct on my part also to give that particular data where only the circular is not applicable. And it is a draft and let us wait for the final guidelines also. I can assure all of you, whatever the guidelines of the regulator will come in the final guidelines what it will be, we will be in a position to provide adequately, this I can tell you.

Rakesh Kumar: So, I think that is all for today, sir. We have no questions further from here. So, we can wind up the session. We would like to request you to give any closing remark if you have sir.

Atul Kumar Goel: Thank you very much, Rakesh, and thank you to all the analysts also who attended this meeting also, and we have noted some of the suggestions etc., also, whatever we have discussed, and we have tried to reply all the questions also. My request is if any question which they want to ask, they can contact my Investor Relations department also, if you require further information also so we will give you that information. But one thing I can tell you Bank is on the very right path. There is an all-time growth in all the parameters whether it is the operating profit, net interest income, whether recovery from the NPA account or the provision coverage. We are very comfortable in all the issues also. And one more thing I would like to tell; two things this time we have made Rs.150 crore s floating provision also for the NPA also. And not only this, we have also disclosed in our notes-to-accounts also, this OTR-1 and OTR-2 where the requirement in some of the cases is 5%, in some of the cases is 10%, as on date around Rs.238 crore s extra provision we have made with the approval of the board, not only in this quarter, in the last Punjab National Bank

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financial year, we are providing 12.51%. So, we are adequately providing all the thing also . And wage revision which I just explained you also , whether it is a pension liability, whether it is a gratuity liability, whether it is on account of the other leave encas hment , we have adequately provided , our balance sheet has become very strong also. Normally the question of the analyst is when you will be in a position to get the RO A of the 1% also. So, definitely by the exit of this financial year '24-25 we should be in a position to achieve the 1% ROA. W i

th this what I place

on record the support and the guidance that we normally get when we meet the analyst s or the industry leader s also for the comment on our result also , that is encouraging us to improve further better with this wor k. Once again, than k you to all.

Rakesh Kumar: Thank you, sir, thanks to all the participants and the P NB management . On behalf of B &K Securities , we would like to thank the P NB management to giving us the opportunity to host you. Thank you everyone. We can close the session now.

Call: Aug 2024

ScripCode:PNB ScripCode:532461

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Date:02.08.2024

DearSir(s),

Reg.:TranscriptoftheEarningsCallwithAnalysts/InvestorsonFinancial
Resultsforthequarterended30"June,2024

PursuanttoRegulation30oftheSEBI(LODR)Regulations,2015,pleasefind
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AmritMahotsav...thenameyoucanBANKupon!!ess

Thisisforyourinformationplease.

ThankingYou

Yourssincerely,

(EktaPasricha)

CompanySecretary

Encl:Asabove

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"Punjab National Bank Conference Call Q1 FY 2025
Earnings Conference Call "

July 27, 2024

MANAGEMENT : MR. ATUL KUMAR GOEL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – PUNJAB NATIONAL BANK

MR. KALYAN KUMAR – EXECUTIVE DIRECTOR – PUNJAB
NATIONAL BANK

MR. BINOD KUMAR – EXECUTIVE DIRECTOR – PUNJAB
NATIONAL BANK

MR. M. PARAMASIVAM – EXECUTIVE DIRECTOR – PUNJAB
NATIONAL BANK

MR. BIBHU PRASAD MAHAPATRA – EXECUTIVE DIRECTOR
– PUNJAB NATIONAL BANK

MODERATOR : MR. NITIN TIWARI – ELARA SECURITIES PRIVATE
LIMITED

Punjab National Bank

July 27, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day. On behalf of Elara Securities, I would like to welcome you all to

the Q1 FY '25 Earnings Conference Call of Punjab National Bank.

We have with us the Senior Management Team of Punjab National Bank represented by Managing Director and CEO – Mr. Atul Kumar Goel; Executive Director – Mr. Kalyan Kumar ; Executive Director – Mr. Binod Kumar ; Executive Director – Mr. M . Paramasivam; and Executive Director – Mr. Bibhu Prasad Mahapatra .

As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing the “*”, then “0” on your touch tone phone. Please note that this conference is being recorded.

With this introduction, I would now like to hand the conference over to the Management of Punjab National Bank.

Atul Kumar Goel : Thank you very much, Prakhar . Good afternoon to everybody. I welcome all the persons from the analyst team , other teams also, welcome to this Conference Call of the Punjab National Bank for the 1st Quarter Result , June '24 Quarter .

I will give my brief about the Results, then I will be answering any questions which you want to ask me , whatever the doubt in your mind also . This is a very good quarter as far as the result of the Punjab National Bank is concerned , in all the parameter, whether it is a business, whether it is profitability, whether it is asset quality .

First time we have achieved the total business of the Rs. 24 trillion. The gross business increased to Rs. 24.39 trillion with the growth rate of 10%. And deposit grew Rs. 14.08 trillion with the growth rate of 8.5% .

As far as gross credit growth is concerned, that is a very robust growth , Rs. 10.28 trillion we have achieved the credit with the growth rate of the 12.2% Y-o-Y. And if you see the quarter -on-quarter, it is 4.6 3%. And if you annualize the quarterly growth, it is coming more than 18%. So, this is a good growth . As far as the CD is concerned, that is a very comfortable position , 73.05%.

There is a growth in the savings bank, also CASA is the challenge for the banking industry, but saving bank there was a positive growth , it was 4,84,377 as against the figure of 4,64,000 in the last year June '23 Quarter as against the Rs. 4.80 trillion in the last quarter. So, there is growth from the June '23 Quarter as well as the March '24 Quarter .

As far as the RAM is concerned, there is a growth in the RAM also . And the percentage of the RAM to the total credit has also increased , it was 54.74% in last year of the corresponding quarter , 54.74%, which has improved to 55.46% , even it is better than 55.18% in the March Quarter .

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As far as profitability is concerned, the net interest income increased to Rs. 10,476 crores with the growth rate of 10.2%. As far as operating profit is concerned, it has increased to Rs. 6,581 crores, with a growth rate of 10.3% Y-o-Y. And net profit , there was a growth of 159 % . Last year in the same quarter, June '23 Quarter , the profit was Rs. 1,255 crores, it has increased to Rs. 3,252 crores total with the growth rate 159% . And if you compare it with the last quarter , the last quarter also it was Rs. 3,010 crore, so 8% growth from the quarter -to-quarter.

And one thing I want to highlight to all of you , this NII, this operating profit and the net profit number of the Rs. 10,476 crores , Rs. 6,581 crores, Rs. 3,252 crores is the highest in the history of the Punjab National Bank in the last four years after the amalgamation of the two more banks .

As far as asset quality is concerned, the gross NPA which used to be around Rs. 70,899 crores a year ago in

June '23, it reduced to Rs. 51,263 crores. And the percentage of the gross NPA which used to be around 7.73 % in June '23 Quarter has reduced to 4.98 % , and this last quarter , March quarter it was 5.73 % . So, there was around 75 basis point reduction from the quarter -to-quarter . Net NPA, which used to be Rs. 17,129 crores reduced to Rs. 5,930 crores . And the net NPA percentage, 1.98% June '23 reduced to 0.60%, and last quarter March Quarter it was 0.73%.

The PCR was improved from 89.83 % one year back to 95.90 % . And the credit cost last year, June '23 was 1.99 % , and last quarter in March it was 0.81%. The figure of the provision of the last June '23 Quarter of Rs. 4,374 crores , March '24 it was Rs. 1,958 crores and June '24 it is Rs. 859 crores . It is 0.33% , the credit cost has improved drastically because there are two, three things . Provision has already improved 95% and recovery every quarter either doubled or sometimes tripled also. If you see the last year also , the recovery was more than triple also. So, this is one of the reason. And we are revising the guidance for two numbers. Last time we had given the guidance for the gross NPA will be 5% by the end of the March '25. So , since we have already achieved 4.98 % , we are revising , it will be around 4%. Similarly , the credit cost , which is one of the major factor for the profitability is concerned , we have given the guidance for the 1% for the whole of the year since we have already 0.32% in this current quarter, we are revising it 0.5 for the whole of the year. Because I am seeing time, time will come when there will be a reversal also . Because as I told you, if there is a recovery, in recovery 60 % , 70% will be the write -back and in new addition we have to provide 20% . So, time is not far when we see the reversal in the credit cost. But as on

date we are giving the guidance of 0.50 is concerned .

As far as capital is concerned, 15.79 % is the capital , Tier-1 10.95 % , AT -1 2.09% , Tier-1 13.04 , and Tier-2 is 2.75 %.

As far as capital plan is concerned , last time I told you that we have Board approval for 7,500, 7,000 for AT -1, 3,000 for the Tier-2, total 17,500. So, today because as I told you we are adequately capitalized , instead of this 7 ,500 we will reduce this quantum from 7 ,500 to 5 ,000 for this particular year . And 10,000 will remain unchanged for the Tier-1 and Tier-2 is concerned .

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As far as cost of deposit is concerned, cost of deposit 5.08 % , it was 5.06 % in the la st quarter , and the yield of advance 8.43% , last quarter it was 8.5 4% , and last year it was 8.13 %.

As far as NIM is concerned, NIM is 3.21 % for the domestic and 3.07 % for the glob al. And we have given the guidance 2.9 % to 3% , and I think the same guidelines we will give you .

As far as the cost -to-income ratio is concerned , this is a very important issue , cost-to-income ratio, it was 56.09% in the March quarter , last quarter . The reason was that when we have explained in the last quarter also , becau se on account of the wage revision and AS -15 provision was Rs. 2,396 crores in March '24 Quarter , it has reduced to Rs. 742 crores. A nd it will remain in the same line basically , it will not further increase. So, this was the reason to reduce the cost -to-income ratio also from 56 % to 53.28% , and last year June '23 it was also on the same line s, 53.83% .

As far as I told you the NIM , etc., also, the guidance will remain change d. In the movement of NPA I would like to tell one thing . The recovery as I told yo u is Rs. 3,249 crores for this quarter. This is the recovery including the techni cal write -off as well as some interest has been booked in the interest income . The entire amount is not reflected in the movement of the NPA a lso. The remaining amount which is in addition to the TW and the recovery of the de-reorganized in

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are coming in the movement.

The slippage , Rs. 1,750 crores s lippage, it is the 0.76% we have given the guidance for the 1%.

We are not revising our guidance . But this slippage is the least slippage in the last 12 quarters, in the last three quarters it is the lowest, it is Rs. 1,755 crores . And it will remain within 1% , so that will remain the same . As far as this SMA -0/1/ 2 is concerned , total SM A is 0/1/2 w as 1,01,883 and the Rs. 5 cores and above SMA -2 is hardly 1 ,600.

As far as slippage is concerned, Rs. 1,700 crores , as I told you . This sector -wise slippage is , in agri it is Rs. 399 crore s, MSME Rs. 637 crores , retail Rs. 493 crores, other s Rs. 124 crores, others mean corporate , etc., And existing account Rs. 102 crore s. So, Rs. 1,755 crores is the highest NPA in this quarter, Rs. 89 crores. Otherwise, if you see, the first five, six highest NPA of this quarter , the first is Rs. 89 crores and the fifth is only Rs. 7 crores . So, the quality has been improved too much.

As far as growth is concerned, growth, as I told you in business 12.20% is the credit growth and in domestic it was 11.56 % . RAM was 13% , MSM E is 7.92 % , agriculture 15.75 % , retail 14.9 3% . So, this is about the growth and the slippage and the CD ratio I have already discussed with you .

One more thing I would like to tell you which normally I give every quarter , how the new underwriting is behaving. T he data from the 1st July, '22 to 30th July, '24, it is the data of four years, 48 quarters ' data. This Rs. 8.32 trillion we sanctioned, Rs. 7.49 trillion we have disbursed. Outstanding is Rs. 5.9 3 trillion . The NPA in this new underwriting of the last four years, Rs. 2,276 crores which is com ing around 0.30% . I will give the sector wise also . Out of 0.30% retail is 0 .27% , MSME 1.54% , and agri 0.52% .

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As far as capital, I have already discussed . I will give one more data , really you may be interested in that data because on account of the worry from the regulator side also. Unsecured loan in the retail is Rs. 27,630 crores only. Out of which Rs. 938 crores is the credit card , educational loan is the Rs. 4,219 crores, p ersonal loan against pension is Rs. 4,451 crores, and personal loan apart from the pension loan is Rs. 18,022 crores. So, it is Rs. 27,630 crores . Out of this , Rs. 18,022 crores are in PA/PL, digital Rs. 4,307 crores, non -digital Rs. 13,715 crores. T he NPA in this PA /PL either digital or the non -digital is less than 2% , it is around 1.86% .

One more thing . Because there is a change in the guidelines for the valuation of the investment which was affecti ve from the 1st of April 2024. In this whatever the unrealized profit, unrealized profit on the bonds or the G-Sec or the equity, it was Rs. 2,099 crores net of tax . Please note, Rs. 2,099 core s net of tax , otherwise gross was Rs. 3,155 crore s, but net of tax has been added only in the Rs. 2,099 crore s. Out of which Rs. 3,155 crores in gross Rs. 2,582 crores were in the unlisted stock, which is not allowed to be used for the capital computation . So, in CET -1 only Rs. 573 crores is the gross but Rs. 373 crores net of tax has been added only in th e CET -1. I am again repeating , Rs. 373 crores added in the capital net of ta x for the CET -1 computation . Otherwise ,

Rs. 2,099 crores net of tax has been added in the general reserve .

As far as the other thing is concerned, the investment of 73.59% is the HTM and everything has been market -to-market also . RAM was already discussed , 55.46 % , it was 55.18% in the March Quarter and 54.74 % . Our focus on the RAM to leverage the branch network of the 10,000 branches .

In CASA I would like to give only one thing, because CASA may be challenge for the banking industry. But it is not for the Punjab National Bank , 10,000 branches, we are having , 24 customer s we are having

, last year we have opened more than 1 core account . In this quarter also 27 lakhs account we have opened . In the current account last year we have opened 2.68 lakh , in this particular quarter we have opened 54,000.

As far as NCLT is concerned, 813 account s we have applied of Rs. 1,04,383 crores, out of which 790 account s were admitted of Rs. 1,03,058 crore s, 23 account remaining to be admitted of Rs. 1,325 crores . Out of which, as on date 259 accounts resolved for Rs. 46,425 crores, 3 07 account s under liquidation Rs. 34,739 crores, 224 account s pending at various stages for Rs. 21,894 crores .

As far as the recovery in the NCLT is concerned , in I ast year 1st Quarter we did Rs. 566 crores, second quarter Rs. 556 crores, 3rd Quarter Rs. 1,831 crores , Rs. 648 crores in the last quarter. Total recovery was Rs. 3,603 crores i n the 1st Quarter . Rs. 292 crore s we have recovered, and we are estimating Rs. 1,200 crores in the current quarter of September quarter , Rs. 997 crores around 3rd Quarter , and 4th Quarter Rs. 500 crores . So, around Rs. 3, 000 crore s plus we are also estimating in the current financial year also .

And in NARCL we have 14 account s, we have transferred of Rs. 3,778 crores, out of which Rs. 974 crores we have realized by way of SR as well cash. And nine account under discussion for the Punjab National Bank
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outstanding of Rs. 1,549 crore s modified duration of the investment of AFS/MHFC is 3.61 and for total portfolio is 4.76.

So, I have tried to cover all the main thing of the financial results. A nd I think whatever we have promised last quarter we have tried to deliver that also . Again, I am repeating the guidance . The credit growth we have given the guidance of 11% to 12%, we have achieved 12.20% and we are not revising . Deposit growth 9% to 10 % , 8.5% we have achieved . CASA here we have around 42%, it was 40.08% , operating profit 10 % to 11%, w e have achieved 10.27 % . NIM , net interest income around 10%, we have achie ved 10.23% . NIM 2.9% to 3% , we have achieved 3.07 % . Gross NPA we have given the guidance less than 5% , we have already achieved 4.98 % , w e are revising it to 4% . PCR, 95 % , 95.90 % already we achieved , so this will remain in the same range , 95%. Credit cost, definitely credit cost we have given the guidelines for the 1% , actual is 0.33%. We are revising 2.5 % . Although time will come, there will be reversal because if you see the recovery is more than the slippage, sometimes 2 x, 3x, and 95% is the PCR. No t much requirement for the aging provision, but we are revising to 1% to 0 .5% is the reason . Rs. 18,000 crores recovery t arget . And we are confident , definitely, although recovery in the 1st Quarter on account of the election , on account of the transfer pos ting was more than 50% staff in the branches was involved in the election process also. So, this was a little bit on the lower side , 3,249. But definitely we will be achieving much more than the full of the financial , Rs. 18,000 crores. S lippage , as I told you, 1% is the guidance we have given 0.76 we have already achieved. So, I am not revising this guideline. We will try to control , but 1% is I think a reasonable , Rs. 2,000 crore s per quarter out of the Rs. 10 trillion book.

So, this is my initial remark . Thank you very much to all the analysts , friends from the industry , I thank you for your confidence which you have reposed in the Punjab National Bank . And I hope that will remain continu e also . So, I am open for any question and answer s, whatever you want credit in any number , etc., which is in your mind. Thank you very much.

Moderator: Thank you, sir. We will now begin the question -and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama Wealth . Please go a head.

Mahrukh Adajania : Congratulations. Sir, I had a few questions that you yourse

If mentioned in a brief comment on your annualized credit growth . So, is it likely , or do you see scope for your credit growth being faster than what you have guided given t hat your annualized run rate is already high? And do you think there are enough deposits in the system to be able to support any up move in credit growth forecast, if at all there is any? That's my first question, sir. And then I have a few other questions .

Atul Kumar Goel : Mahrukh, as far as credit growth is concerned, we had given the guidance of the 11% to 1 2%, we will stick to save 11 % to 12%. Although we have achieved 12 .20% . So, it is in the same range , 12% we have given the guidance. So, I am not revising , it will remain in the region of 11% to 12% .

As far as deposit is concerned, I may tell you one thing that deposit, although there is a challenge in the banking industry, I am not denying that, because there is a gap between the cash cost and

the deposit cost. But as far as Punjab National Bank is concerned, as on date I am not foreseeing Punjab National Bank
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any challenge, because we are having 10,000 branches, 24 customer s, as I told you we have opened more than 1 crore accounts last year, more than 27 lakh accounts we have opened. The money will come definitely even because if you see my CD also, it is 73%. So, deliberately we are not raising the bulk deposit because the bulk deposit is available but that is costly. But I will use that deposit if I am not in the position to deploy that deposit in the more remunerative manner. So, deliberately we are not taking the bulk deposit. So, we are trying to improve the CASA. And as I told you, 73% is my COVID ratio. So, whatever additional deposit I will raise, I will not be required to maintain that SLR because I am sitting on the more than Rs. 78,000 crores SLR. So, I will be in a position to use 100% incremental deposit for the credit growth. So, this is my answer of your query.

Mahrukh Adajania: And sir, the new LCR guidelines, have you got a chance? I know you will be busy with results, but have you got a chance to have any rough impact of the new LCR draft norms? I know it's a draft, but based on the draft.

Atul Kumar Goel: Mahrukh it is a draft guidelines, they have invited comment also, it will be applicable from the 1st of the April, '25, next year. As on date, my LCR is 125%, we have made a rough calculation also, impact will be around 10%. So, 115% will be as per the new guidelines.

Mahrukh Adajania: And sir, just a few questions on the net interest margin and income. So, sir, what was the recovery income this time versus last year 1st Quarter which is included in NII? And then, what was the improvement in yield on investment because of the new investment guidelines, the new investment norms that kicked in for which your reserves have also increased?

Atul Kumar Goel: Yes. As far as this interest income in the concern in the recovery, that is in the range of Rs. 600 crores to Rs. 700 crores. And I have seen that data also, that is in the same range. This quarter is also between Rs. 600 crores to Rs. 700 crores. Even in the June '23 Quarter it was in the same range, so that has remained on the same. As far as your investment guidelines is concerned, I would like to tell you, reserves already I have told you, Rs. 2,099 crores have been added net of tax in the general reserve. And mark-to-market is Rs. 257 crores, which is through P & L.

Mahrukh Adajania: No, that's true. Other income, is there any uptick in yield on investment because of the new guidelines, the mark to market on investment will be in other income, no?

Atul Kumar Goel: Mahrukh, if you see my investment yield, it was 6.82%, it is 7.06%. Because the little bit sharing cost has been revised, if you see the annual report, unrealized profit has already been added in the

asset side. So, if you see, it is on the higher side because you have to break up it, because part is the equity, part is the bond. In bond there is no too much uptick, because the appreciation which is 2,000 is coming that is on account of the equity because we are aware, because there was a depreciation in the investment portfolio, which we have reversed. So, there is no impact as far as yield on investment is concerned on account of these revised guidelines.

Moderator: Thank you. The next question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

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Ashok Ajmera: Compliments to you, sir. Your hard work of last two, three years has been really paid up, and fantastic set of numbers are given by Punjab National Bank, and it is now firing on all the cylinders once again, achieved the past glory. Numbers are really wonderful, fantastic numbers, sir. Once again, compliment. Having said that, sir, I have got certain questions and some observations. Now going ahead, sir, the same question which Mahrukh has raised, like when you say that you are already 4.5 and above in the credit one quarter itself, and if you analyze it is 18% plus growth is possible. Still, you are retaining the guidance of only 12% whereas you said you are comfortable on the extra SLR front even if there is some challenge on the deposit. So, what is stopping you to revise this guidance on the credit growth? Like the way you are going now, can it not be considered like say 15%, 16% for FY '25? This is number one.

Like you said that the modified duration of the overall investment book you said is around 4.76 times or 4.75 times, don't you think that this modified duration has gone up a little bit high? And are you expecting, surely, some rate cut in the coming quarter so as to take the advantage of this higher duration? This is on the treasury front. And I would also like to hear a little more on NARCL, the pipeline, to ascertain the recovery pipeline. And one point on NARCL is that some accounts have already gone and accepted by NARCL, so how much amount of the SR which we have received on those accounts, because they are fully provided for the current value. So, just to ascertain, since it is guaranteed 100% by the government. I mean, one or other day I mean that provision will come back, that amount. So, these are the few questions and observations on the round one, sir.

Atul Kumar Goel: Okay. Ajmera ji, I will give one by one. First is credit growth. Definitely, I told you 4.6 is the

quarterly 18%, but I am giving the guidance for the 11 % to 12%. Why I am giving 11 % to 12% because we are a big bank, there is some short-term advance also available in the book . Because we have to see what our incremental cost of the deposit is and whether we will reprice that advances or not. Because we are not doing any business , we should not get any remunerative profit also. We will not give any where there is a negative carry , this is the reason we will not roll over if we will not get the pricing of our choice. This is the reason we will stick 11% to 12% . But definitely we will try . If opportunity is available , business is available , we will definitely do . Deposit is not the challenge , we will raise the bulk deposit as well as I told you . If I am raising the bulk deposit at 8 percent, if I get the deal on the asset side of more than 8%, I will not allow the opportunity to go down. Suppose I am getting the asset side on the 8% because typically customers are asking for the 8% , sometimes there's an 8%. What is the benefit to raise the bulk deposit of 8% giving the loan to just only increase the top line? So, this is the answer of cash growth. As far as modified duration is concerned , as I told you, 4.76 is my modified and reason for the entire portfolio and 3.61 is the duration

for the AFS and HFT. You have said that it has been little bit increased , definitely, so 3.61 is very reasonable because mark-to-market has to be done on the AFF and HFT , mark to market is not to be done for the HTM as on date also , even for the revised guidelines also . Because I think definitely interest rate will be the declining scenario, in declining scenario I think you will agree to me there should be a higher modified duration . But we have kept a reasonable duration . As rate cut is very difficult to predict also. We were thinking the rate cut

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will come from the last six, seven months , even whatever the inflation number we have seen in the last month also , immediately I am foreseeing that they will not be lifted , although the Fed will give their commenting on the 31st of this month also. So, even I am of the opinion, immediately four to five months I am not expecting any rate cut will be there , but definitely we have to wait for the regulators ' call also. So, as far as the NARCL is concerned, in this NARCL 14 accounts of Rs. 3,778 crore s we have sold , out of which we have received Rs. 970 crores. In Rs. 974 crores, 15% we have received as cash, remaining is the Security Receipts . Definitely SR is guaranteed by the government , the moment we will get the recovery from the SR, the entire 100% provision will be reversed.

Ashok Ajmera : So, about Rs. 800 crore s is about SR, which is included in this total SR which is accommodated in this total SR from NARCL, isn't it sir?

Atul Kumar Goel : Yes. 15% we have got , yes.

Ashok Ajmera : Sir, this new discussion paper on the double provision on the deposit which are generated through digital media or online. Sir, what is our assessment if that comes in, are we really going to be impacted by much? Because I don't know the exact mix of the deposit which are generated through the online media, I mean , digital media. So , what is your take on that and how do we take care of that? And the bank 's overall position on the digitalization that how far we have succeeded in completing all the verticals which we started, and a good amount has been also spent on digitalization . So, what is the plan and how much budget is there which is spent, which is yet to be spent? How many verticals started already giving the result?

Atul Kumar Goel : Ajmera ji, as far as budget is concerned, Rs. 2,800 crore s is the budget for the IT expenditure for the current financial year . And we have started this journey two years back . And more than 100 product, process and service we have revised . And we are getting the result of the digital transformation also . And digital is the future of banking , whatever you are told, on account of this runoff from the 5% to 10% or the 10 % to 15%, it is a calculation everybody will be impacted . We have made our calculation also whatever the deposit where we are providing the Internet banking, digital, mobile banking, etc ., even the another category also deposit less than Rs. 7.5 crore s apart from the individual and the joint name also trust, etc ., that is also included. So, 125% of our LCR was there and it will be reduced to 115% around 10% there will be a impact.

Ashok Ajmera : Alright, so you don't feel that they will create any problem in the liquidity.

Atul Kumar Goel : Yes, problem is not much, it is a simple calculation. And they have given the time up to one year also, so eight, nine months also is available. But digital will remain , I can conclude that we are not going to stop the digital , digital is the future of the banking industry.

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

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Nitin Aggarwal: Congrats on a very good quarter. Sir, I have two questions. One is on the

OPEX . Like if I look at

the OPEX number this quarter, that still looks a tad higher, especially the other OPEX . So, what as there any one-off in this and how should we see the run rate going ahead ?

Atul Kumar Goel : Yes, there were definitely one-off because we have incurred Rs. 558 crore s for purchase of PSLC . That is the only thing , on account of this this number has increased. Otherwise, this number will be normalized in the subsequent quarter also.

Nitin Aggarwal: So, this is non-recurring ?

Atul Kumar Goel : It is non-recurring , because whatever the requirement was for whole of the year we have already incurred , Rs. 558 crores, which is one time.

Nitin Aggarwal: Sir, secondly, while you have realigned the credit cost guidance , but that will directly feed into ROA , or you will want to keep the RO A guidance and change that 1% by '25?

Atul Kumar Goel : Nitin, you are very smart. I was given the guidance of 0.8% at the beginning and I have kept the credit cost of 1% . And if you see the 1st Quarter result also , it is around 0.82%. So, there will be definitely impact of the ROA , but I am not revising the ROA guidance 0.8%. I can only give one guidance , because I have given last time guidance that 1% ROA will be exit of the current financial year '24-'25. So, I think we will be in a position to achieve this 1% ROA before the exit of the current financial year, this was only my worry, but guidance I am remaining until '25.

Nitin Aggarwal: And the other thing is on the tax rate, because that is something that will really drive up the ROA beyond 1. So, by when can we expect the P NB tax rate to come down to 25%?

Atul Kumar Goel : Can you repeat what you told , 1% what ?

Nitin Aggarwal: The tax rate is still around 38 % , so when can we expect this to normalize and come down ?

Atul Kumar Goel : As on date we are on the old regime, we are under discussion with our tax consultant because last time also I have said , we have some benefit . If we switch over to the new , so immediately we will lose whatever the benefit we have . But definitely we have to take a call. I fully agree with you , the moment we will shift to the new tax regime, immediately the ROA will be more than 1%.

Moderator: Thank you . The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar : Sir, a couple of questions, sir. Firstly, the PSL, like I saw in the previous quarter also and this quarter also , so we are actually fulfilling , meeting all the targets, especially in the small and marginal farmer also. So , what was the need to purchase PSC?

Atul Kumar Goel : There is a target for 40% for the priority sector, 18% for agriculture , out of the sub-sector in agriculture 10% is for the marginal or the small farmers. So, we have to not only achieve the Punjab National Bank

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agriculture , sub-sector also. This is the reason we are purchasing this PSC from the market because we are short of the target.

Rakesh Kumar : This number is including the purchase , correct ?

Atul Kumar Goel : Yes, number , definitely . That number will not come in the balance sheet in the form of the advance. It is only for the calculation for the priority sector , whatever the presentation we have given, this amount has already been included.

Rakesh Kumar : There is a slight volatility in the recovery on return of number, sir, on a year-on-year basis , now it is approximately Rs. 800 crore s. So, what is the full year target only on the recovery and return of number sir?

Atul Kumar Goel : Rakesh, total target we have given for the Rs. 18,000 crore s. Today I am having the TWO of Rs. 93,000 crore s, and more than Rs. 50,000 crore s we have in the gross NPA book. I think it is difficult , it is difficult to estimate whatever the recovery will come from the TWO. But total recovery we are confident whatever

the number we have given, Rs. 18,000 crore s, definitely we will be in a position to achieve.

Rakesh Kumar : I was asking, sir, this Rs. 390 crore s of investment depreciation , which category this has come from ? This would not be from AFS, so just wanted to know this Rs. 390 crore s number.

Atul Kumar Goel : This I can explain. This is on account of the one of the subsidiary. Because as per the revised guidelines, you have to revalue your subsidiary , etc., also. So, this year one of the subsidiary where there is accumulated loss is also there , the valuation we have to take in from the market , in that Rs. 399 crore s we have provided.

Rakesh Kumar : Which subsidiary, sir, sorry sir I missed it, sir?

Atul Kumar Goel : I think it is not advisable to disclose the name of the subsidiary. It is only for one subsidiary , this I can tell you.

Rakesh Kumar : And this food processing NPA is around , though it has come down, but it is still very elevated , food processing gross NPA . So, can you elaborate , please?

Atul Kumar Goel : You are talking about the gross NPA?

Rakesh Kumar : yes, gross NPA in food processing.

Atul Kumar Goel : Food processing gross NPA, if you see my 4.98% , it is the total cost number , but in food processing it is a legacy , because some of the nice seller , etc., I will give you one , as I told you, new acquisition is not , it is only on account of the legacy issue , some rice seller , food processor which is coming

under the food processing.
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Mod erator: Thank you. The next question is from the line of Jai Mandra from ICICI Securities. Please go ahead.

Jai Mundra : Sir, excellent quarter and excellent steady performance on asset quality . Sir, I wanted to check , in the opening amounts did you mention that SMA -0 plus 1 plus 2 at the entire bank level was around Rs. 1 lakh crore s? I mean , all tickets size including what was the number ?

Atul Kumar Goel : Yes, you are very much right , it is Rs. 1,01,883 crores. But Rs. 5 crores and above it is Rs. 1,604 only SMA2 .

Jai Mundra : So, sir, if you were to bifurcate this into SMA -0, because that should be the least risky –

Atul Kumar Goel : I will give you; I understood your question . Out of this Rs. 1,01, 884 cro res, Rs. 77, 952 crores is in the SMA -0. And I will give you the number of the SMA -0 today also, it is only Rs. 22,344 crores. Rs. 50,000 crores got reduced just like that.

Jai Mundra : And SMA -1 and 2 also?

Atul Kumar Goel : SMA -1 is Rs. 11,432 crores, and SMA -2 is the Rs. 12,499 crores . Out of Rs. 1 lakh crores, Rs. 12,000 crores number is okay, because there is some of the borrower who was making the payment at the very last day. Yes, please go ahead.

Jai Mundra : I wanted to check the SMA -1 and 2 number , has this increased or this kind of a number is steady because the slippages run rate is very, very low, 17 ,050. So, given this SMA book, should the current run rate sustain, or you think slippages can go up from here ?

Atul Kumar Goel : No, it will not increase. I am promising you. If you see the last four or five quarter s, my slippage is around on the same number. If you see this number , it was seven Rs. 1,700 crores, Rs. 1,800 crores, Rs. 2,000 crores were the number in the March quarter . And I am just seeing the SMA -1/2, if you only compare it with the March '24 with June '23 it is on the same line, it is not decreasing or increase , it is in same line.

Jai Mundra : Right. Sir , maybe I will. I will take this offline , this number . The performance on asset quality is exceptionally good even though this extended 0 plus 1 plus 2 is still an elevated number.

Atul Kumar Goel : I may correct you also , elevated only 0. SMA -1 and SMA -2 only less than Rs. 25,000 crore s. If you are having the book of Rs. 10 trillion, Rs. 25,000 crore s of borrow ers are making the payment on the very

last day , 55 day , 60 days . This is the reason I am giving more than Rs. 5 crores SMA -2 number they may be in danger of slipping from the SMA -2 to SMA -1, which is hardly Rs. 1,604 crores . Even the slippage of the Rs. 1,753 crores if I take highest 10 number also , the number one is Rs. 89 crores, the fixed fees is only Rs. 7 crores .

Jai Mundra : Right, I heard you said in your opening remarks, which is very, very satisfactory. Sir secondly, in your opening remarks you mentioned that there will be a time when slippages are lower and then

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the recovery remains strong. So, you would have a reversal of provision . But would you think that that may be the time to increase the buffer on ECL? Any thought process on contingent provisions to prepare the bank for ECL transition?

Atul Kumar Goel : You are very much right, we will think , because 95% , 96% is only PCR . There is no room available to add something there also. I mean, recovery is sometimes 2times, 3 times also. So, because ECL , last time also I explained , what is ECL, ECL is how your new underwriting. I have just been given the data of the new underwriting . We have this NPA percentage is 0.3%. So, I am also not thinking there will be too much of requirement of the ECL also. But definitely if there is too much of the recovery available , we will not mind. We want to give the strength of the balance sheet . This is the result of the strength of the balan ce sheet in the last year or last to last year also. Now we are getting th is. Whatever you are saying , I fully agree with this . If the situation warrant s, we will not mind allocating some of the account of the ECL provi sion if there is a requirement.

Jai Mundra : No, sir. Have you done any calculation on ECL as to what could be the rough --

Atul Kumar Goel : No, that we have not done.

Jai Mundra : And then lastly, this recovery this quarter and for the full year of Rs. 18,000 crore s, if you can highlight sir how much is retail and how much is corporate , or these are all small ticket, or you are also envisaging some large ticket corporate delivery also ?

Atul Kumar Goel : It will be a mix of everything, because NCLT I have given the number of around Rs. 3,000 cro res pillars. So, that may be from the large account basically , that will be large , but it is very difficult to identify which sector. But major NCLT you can account that entire Rs. 3,000 crores will be incorporated because we are having the big chunk of th e small account also of the less than Rs. 1 crores. So, it will be a mix of each segment.

Jai Mundra : So, Rs. 3,000 crores from corporate and rest maybe Rs. 15,000 crores from --

Atul Kumar Goel : No, no, no, let me cut you. Rs. 3,000 crores only from the NCLT. So, NCLT I am just saying that NCLT will be normally in the corporate. And this will be the mix of each and everything. Recovery from '24-'25 -- you want for quarter one or the whole of the year?

Jai Mundra : No, for a full year, sir.

Atul Kumar Goel : For the whole of the year Rs. 18,000 crores. Whole of the year I told you Rs. 3,000 crores will be NCLT. So, that Rs. 3,000 crores you can apportion particularly for the corporate. I can give the breakup of the recovery of this current quarter also if I see it is the retail around Rs. 449 crores, agri around Rs. 716 crores, MSME around Rs. 900 crores, other is the Rs. 1,156 crores. So, same proportion I can think. Then if you can bifurcate this Rs. 3,249 crores, it will remain in the same proportion. Some recovery will come from the MSME, remaining from the corporate.

Moderator: Thank you. The next question is from the line of Ankit Bansal from AB India. Please go ahead.

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Ankit Bansal : Congratulations for the greatest set of numbers in the history of PNB. This is what we want to see PNB

. Very, very congratulations sir. Very, very congratulations. Number one, we want to see PNB above straight at go India. Very good number, sir. Felt very good. Sir, my question is, how do you see the business environment? In which sectors are you disbursing more loans? Economy side, how is your perspective, is the business growing, are SMBs comfortable in taking loans? What are the sectors, your view, sir?

Atul Kumar Goel : Ankit, our focus is on RAM. In the last call also I said that we want to increase this number from 54% to 60%. And there is an increase also, it is more than 55%. So, focus will be on retail, RAM, agri and the MSME, because there is a good demand in the sector, not only in the metro, not in the semi-urban. Even I can tell you there is a good demand in the rural sector also. So, there is an opportunity available to the bank to target this segment. And we are having 10,000 branches, most of the branches in the rural. So, this is one area.

As far as the other area regarding corporate is concerned, there is a good demand in the infra also. Even in the Budget also Rs. 11.11 lakh crores they have put up in the infrastructure CapEx. So, there is a good demand in the road. And we are also providing considering who is the best customer. So, road there is a demand, in cement also there is some demand. Some of the corporate borrowers are coming for the expansion, and in even steel also. And also, there is a demand in the NBFC, but NBFC we are very cherry picking. We are very choosy also. I see my exposure to the NBFC, 99% is in the A and above. And the double and above is 98%. So, demand is coming from this sector, and the focus area is RAM.

Ankit Bansal : Sir green energy, how's that going?

Atul Kumar Goel : In green energy, definitely. In green energy we have a Board approved policy. We have opened a separate department under the Risk Management department. So, we are also doing this solar where we are getting the opportunity we are financing.

Ankit Bansal : Sir, this is all for me. And I am proud now to be a PNB shareholder, sir. Thank you. Thank you very much.

Moderator: The next question is from the line of Yash from Citigroup. Please go ahead.

Yash : Sir, wanted to check on the number for at RT gold if you can give. And also, second, anything unusual on the slippages because it was significantly lower than the 1Q trend which we have seen as well in the past. And also, agri slippages have been quite low given the usual run rate which you were guiding in the last quarter for around Rs. 7 billion to Rs. 8 billion.

Atul Kumar Goel : You are asking about the gold, right? The gold outstanding is Rs. 7,767 crores in agriculture, retail is Rs. 720 crores. So, the total outstanding is around Rs. 8,500 crores.

Yash : And on the slippages, sir, if you can?

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Atul Kumar Goel : Slippage is around seven Rs. 7 crores, yes. And that also we will recover.

Yash : Sir, on the corporate recoveries, how do you see the corporate recovery coming from here?

Atul Kumar Goel : Corporate recovery for this particular last quarter June quarter?

Yash : Yes. And how would that impact the overall recoveries?

Atul Kumar Goel : No, I could not understand your question. Can you repeat the question, what do you want?

Yash : Sir, for 1Q what was the corporate recoveries and in coming quarters how would be the impact?

Atul Kumar Goel : See, recovery, as I told you, out of the Rs. 3,249 crores basically, in corporate recovery is around Rs. 1,159 crores. Maybe some part of the MSME Rs. 923 crores that is also coming in the corporate also, some part. And as I told you earlier also, the recovery will come probably all the segment also. The Rs. 3,000 crores number we are expecting from the NCLT. There is a so many other accounts which are coming in the category

y of the corporate , there also recovery is coming through

the OT S and other mode , etc., also. Because if you see there 25% you can easily assume will come from the corporate , remaining from the agri and the retail and the MSME.

Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje : Congratulations on the result. A couple of questions from my side. Firstly , you have given out the NPA ratio in the pre -approved personal loan portfolio which was at 1.86. Can you also share what was the NP A ratio as on March '24 and few quarters before that as well?

Atul Kumar Goel : March '24 in PAPL, it was between 1.5 to 1.6. I don't have the exact number, but it was between 1.5 to 1.6 . There is not much increase , because I am monitoring this number every fortnightly.

Ashlesh Sonje : And secondly, what would be the reclassification of income which you would have done between the interest income line and non -interest income line because of the penal charge related regulation from RBI?

Atul Kumar Goel : That is not implemented as on date.

Ashlesh Sonje : Sir, because a few other banks have indicated that it has come into force starting 1st of April.

Atul Kumar Goel : Yes, I am not aware of the exact amount , we will give the answer of your query. You are right , it was applicable from the 1st of April .

Ashlesh Sonje : Sir. And lastly , on the capital raise front, you have indicated --

Atul Kumar Goel : I can give the answer . I have got the number also . Around Rs. 13 crores we have booked in the penal interest , shifted to the penal charges in the piece, other income.

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Moderator: Thank you. The next question is from the line of Bhavik Shah from Morgan Stanley. Please go ahead.

Bhavik Shah : Congrats on the set of numbers . Sir, just two questions. Sir, you mentioned that SMA -1 and SMA -2 is Rs. 23,000 crores. I just wanted to understand how it is broken up between retail, agri , MSME and corporate ?

Atul Kumar Goel : Bhavik , your voice was breaking , you are asking for the slippage?

Bhavik Shah : No. Sir, I am asking for the breakup of SMA -1 and SMA -2 which is Rs. 23,000 crores.

Atul Kumar Goel : Breakup of the SMA -1 and 2. I have the consolidated number as on date , just a bit, I will give you the number also. You want the SMA -2 number or individually SMA, because it will take time. I

can give you the SMA -0 in the retail is around Rs. 20,000 crores. SMA -1 is Rs. 6,000 crores in retail , and SMA -2 is around Rs. 6,000 crores. And in agri SMA -0 is Rs. 16,000 crores, SMA -1 is around Rs. 800 crores, and SMA -2 is around Rs. 900 crores. As far as MSME is concerned, SMA -0 is around Rs. 800 crores, then Rs. 4,000 crores plus in the SMA -1, and Rs. 5,000 crores plus is the SMA2. Others is corporate, then Rs. 22,000 crores in the SMA -0, Rs. 110 crores in SMA -1, and Rs. 290 crores in SMA -2.

Bhavik Shah : And sir, the pre-approved personal loans, sir, can you share some light on what is the ticket size and what kind of borrowers are these?

Atul Kumar Goel : There are two types of PAPL, one is digital mode. In the digital mode, the maximum eligibility is around Rs. 10 lakh. The average ticket size if we see , it is around sometime between Rs. 2 lakh to Rs. 3 lakhs. As far as others is concerned , other than digital there is also around Rs. 10 lakh we are giving. So, around is between Rs. 4 lakh to Rs. 5 lakh will be the maximum amount.

Bhavik Shah : And sir, do we have the last quarter number for SMA also? Sir, you had given a very detailed breakup, if you can share the last quarter number, it will be very helpful.

Atul Kumar Goel : Okay, we will give you , no problem.

Moderator: Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar : Sir, the CET -1 would

have increased because market risk rate including the PAT . So, if you can tell CET -1 as of June with these two numbers ?

Atul Kumar Goel : CET -1 you are asking the June '23 number ?

Rakesh Kumar : June '24, sir.

Atul Kumar Goel : June '24 number CET -1 is the Rs. 82,383 crores .

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Rakesh Kumar : This is including PAT and the impact of the market risk also.

Atul Kumar Goel : Let me clarify to you . For the calculation of the capital adequacy ratio , quarterly profit is not added. If notionally we will add , our CR will be more than 40 basis point above , because on 1,000 around 13 basis point is increasing. So, PAT is not included in the CET -1 for the computation of this capital adequacy ratio . Only this evaluation reserve which I told you is Rs. 373 crores net of tax was added for CET -1.

Rakesh Kumar : And sir, just last question, with respect to this credit growth in the fixed loan segment and pay

related segment. So, we have given bifurcation of loans based on lending rates. So, where the growth is coming in the fixed rate and T-bill related loan, sir?

Atul Kumar Goel : Fees related, normally in fees related 10% is coming from agriculture also. You may be aware, the loan up to Rs. 3 lakh, that is fees on the 7% basically, the major person is from the agriculture side.

Rakesh Kumar : And T-bill, sir?

Atul Kumar Goel : T-bill, naturally this product we are giving for the loan less than one year. Suppose somebody is having the CC limit that 60% has to be kept in the W CTL, so they are asking for the quote, etc., so T-bill for that. It is less than one year.

Rakesh Kumar : Thanks a lot, sir. And all the best. Very good quarter this time, sir.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, which was the last question for today's conference call. I would now like to hand the conference over to the management for their closing comments.

Atul Kumar Goel : Thank you. Thank you very much. I want to thank each and every who have attended this conference. And I want to place on the record continuous support from all of you, because on account of your continuous support we are able to perform better and better also. And you are encouraging us to do further better, some of the person has told that you should be better than the State Bank of India, that definitely we will keep in the mind also. And somebody has told me that this is the best quarter. This was just a trailer; the picture is yet to come. With these words, once again I thank all of you. And I hope whatever the support we were getting from all of you, it will remain continuous. Thank you. Thank you very much.

Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes the conference call. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Nov 2024

Share Department, Board & Coordination Division, HO Plot No. 4 Sector 10, Dwarka,
New Delhi-110075 Tel No.: 011-28044857, E-mail: hosd@pnb.co.in
This is for your information and record.

Yours faithfully, pnbone

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Amrit Mahotsav

(Ekta Pasricha)

Company Secretary

Encl.: Na Date: 02.11.2024

Dear Sir(s),

Reg.: Transcript of the Earnings Call with Analysts/Investors on Financial Results for the quarter/half-year ended 30th September, 2024

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call with the Analysts/Investors on the Financial Results for the quarter/half-year ended 30th September, 2024 held on 28.10.2024. The same is also available at <https://www.pnbindia.in/financials-current.html>. Scrip Code: PNB Scrip Code: 532461

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"Punjab National Bank Q2 FY2025 Earnings
Conference Call"

October 28, 2024

MANAGEMENT : MR. ATUL KUMAR GOEL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – PUNJAB NATIONAL
BANK

MR. KALYAN KUMAR – EXECUTIVE DIRECTOR –
PUNJAB NATIONAL BANK

MR. BINOD KUMAR – EXECUTIVE DIRECTOR – PUNJAB
NATIONAL BANK

MR. M. PARAMASIVAM – EXECUTIVE DIRECTOR –
PUNJAB NATIONAL BANK

MR. BIBHU PRASAD MAHAPATRA – EXECUTIVE
DIRECTOR – PUNJAB NATIONAL BANK

MR. DEEPAK SINGH – GENERAL MANAGER -PUNJAB
NATIONAL BANK

MODERATOR : MS. MAHRUKH ADAJANIA – NUVAMA WEALTH
MANAGEMENT

Punjab National Bank

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Moderator : Ladies and gentlemen , good day , and welcome to the Punjab National Bank Q2 FY '25 Earnings
Conference Call hosted by Nuvama Wealth .

As a reminder, all participant s' lines will be in the listen -only mode. And there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing the “*,” then “0” on your touchtone phone.

I now hand the conference over to Ms. Mahrukh Adajania from Nuvama Wealth. Thank you, and over to you, ma'am.

Mahrukh Adajania : Hello , everyone , and welcome to this Earnings Call of Punjab National Bank. We have with us the entire team of PNB headed by Mr. Atul Kumar Goel – Managing Director and CEO ; Mr. Kalyan Kumar – ED; Mr. Binod Kumar – ED; Mr. Paramasivam – ED; and Mr. Bibhu Prasad Mahapatra – ED.

With this brief introduction, I will hand over the floor to the PNB Team . Mr. Deepak Singh will read out the disclaimer after which Mr. Go el will address the conference. Thank you , and welcome again.

Deepak Singh: Ladies and Gentlemen, good day to all.

Disclaimer statement :

I would like to submit that the statements given herein are not guarantees of future performance and undue reliance should not be placed on them. Such forward -looking statements necessarily involve known and unknown risks and uncertainties , which may cause actual performance and financial results in future periods to differ materially from any projections of future performance or results placed or implied by such forward -looking statements. Investors are , therefore , requested to check the information independently before making any investment or other decisions.

Thank you . over to MD and CEO.

Atul Kumar Goel: Thank you very much , Deepak . Very good afternoon to everybody. I welcome all the team from the analyst for this Earning Call as well as the Quarterly Result for September 2024 as well as the half-year result of the Punjab National Bank.

As far as the gross business is concerned, the gross business of the Bank increased by 11.9% Y-o-Y and stood at 25.20 trillion. The combination of the gross business, gross deposit increased by 11.3% and stood at 14.58 trillion. The gross advance, there was good growth in the advance, Punjab National Bank
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12.8% Y-o-Y and increased from 9.42 trillion of September 23 to 10.62 trillion. The CD ratio of the Bank is also very comfortable, it is 72.82 %.

As far as the savings Bank and the CASA and the current account is concerned, savings Bank also there is a Y-o-Y growth of 3.7% and it increased to 4.88 trillion . Similarly , the current account , there is also a positive growth of 1.6% Y-o-Y. It was 67,038 and increased to 68,104. CASA of the Bank was 5.38 trillion in September 2023 , which has improved to 5.57 trillion with a growth rate of 3.4%.

As far as RAM is concerned, the ratio of RAM to the total advance , which was 55.63% in September '23, and it was 55.46% in June '24, has further improved to 55.77%. As I told you earlier in the last call also, our Endeavour is to increase this ratio to 58% by the end of March '25 and within the range of 60 to 61 in the 3-to-4-year horizon.

As far as profitability of the Bank is concerned, net interest income which used to be around 9,923 in the September 2023 quarter has improved to 10,517 crores with a growth rate of 6%.

As far as operating profit is concerned, it used to be 6,216 crores in the September '23 quarter has increased to 6,853 with a growth rate of more than 10 .3%. Net profit which was 1,756 crores in September '23 has improved to 4,303 with a growth rate of 145% . And if even you compare quarter -to-quarter , June '24 it was 3,252 , and there is a growth of around 32% . And I think this

is the best number we are presenting in the last 14 quarters .

These 3 numbers net interest income of 10,517 and the operating profit 6,853 and the net profit 4,303 is the highest in the 4 to 5 years in the history of the Punjab National Bank.

As far as assets quality is concerned , there is a significant improvement in the gross NPA as well as the net NP A. Gross NPA which was 65,563 September '23 has reduced to 47,582 crore , and in terms of the percentage , it was 6.96% in September '23, 4.98% it was in June '24 has reduced to 4.48% in the September '24 around 50 basis point deducted from the June quarter.

Net NPA , which used to be 13,114 in September '23 has reduced to 4,674 . In terms of the percentage , the net NPA was 1.47% in September '23 and 0.60% in June , and it has further improved to 0.46%.

As far as this guidance for the gross NPA net NPA is concerned , at the beginning of the year , we have given the guidance that our gross NPA will be around 5% by the end of March 25. But since in the June '24 itself we have reached to 4.98% , so we have revised our guidance that our gross NPA will be around 4% by the end of the March '25. Since we have now 4.48% , and if you see every quarter , every quarter there is a reduction of the 50-basis point. So, we are further revising our guidance that our gross NPA should be in the range of the 3.5 to 3.75 by the March '24.

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As far as net NPA, that is a very reasonable number. So, there is no guidance. 0.5 we have given. That we will maintain.

As far as credit cost is concerned, the credit cost of this, it was 1.31% in September '23 quarter, and 0.32% in the June '24 Quarter and 0.08% in Sep'24, it has reduced to 0.08%. So, as far as guidance of the credit cost is concerned, at the beginning, we have given guidance that the credit cost will be around 1% for the current financial year considering it was 1.40% in '23-'24 and 2.03% in the '22-'23.

But since we have already reached to 0.32% in the June, so we have revised our guidance for the credit cost from 1% to 0.5%. And if you see this average, the average cost of the credit cost is coming for the half year is 0.20. So, we are further revising our credit cost guidance. It will be around 0.25% to 0.30% by the end of the full year for March 24-'25.

The reason behind that because if you see the recovery is more than the double, and we have already improved our PCR to 97%. So, there is a very hardly little requirement for the ageing provision, which is coming around 250 every quarter. And as I told you, the recovery is double, so provisions will be released much more as compared to the delinquency which we have seen in the last 4-5 quarters. So, the delinquency is also reduced.

I will give one more number as far as delinquency is concerned, how the new underwriting is behaving, which I give every quarter. This is the number for the 51 month i.e., 4 years 3 months. It is from 1st of July '20. See, how the new underwriting is behaving. From the 1st July '20 to September 30th, '24, we have sanctioned 9 trillion loan, out of which 9 trillion means 8.19 trillion we have disbursed. The outstanding new loan is 6.31, which is more than 50% of my total loan book. Out of this outstanding 6.31 trillion, the NPA is hardly 2,374, which is coming, 0.29% for the new underwriting.

I will give further break up of this segment wise:

Agri, it is 0.45. MSME, it is 1.44. And retail, it is 0.28. And corporate, it is basically negligible. This is the reason, so we are further revising our credit cost. Even I am seeing there will be a scenario where the negative credit cost will be there because as I told you 97% PCR. Recovery is more than double of the delinquency. Delinquency is also reduced. Delinquency we are giving the guidance for the slippage

age 1%. That we will maintain.

As far as capital is concerned, the total capital of the Bank is 16.36% as against 15.79% in the June '24 quarter and 15.09% in September '23. First time in the history of the Punjab National Bank, we have crossed the capital adequacy more than 16% in the last 5-10 years, which is the number I am having. It used to be around 15% to 16%, but we have not crossed 16%. This is the first time we have crossed 16% and contribution to this is the QIP, which we have raised the last September quarter, Rs. 5,000 crore. And against it, we have received a bid of around Rs. 41,000 Punjab National Bank

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crore, which was more than 8x subscribed. Around 65 basis points was the impact of the new capital raise.

As far as the CET-1 is concerned, it is 11.59% as against 10.95% in the June '24 quarter and 10.23% in the September '23. As far as plan for the capital is concerned, we were having approval of the Board for Rs. 7,500 crore QIP, of which 5,000 we have already raised. We are in hand Rs. 7,000 crore for the AT1 and 3,000 crore for the tier 2. Although as of date, there is no requirement for the capital to be raised in the subsequent quarter, but we will see if the rate will be of our choice, so we will not mind to raise part of the AT1 in the current quarter. Current quarter means this December quarter.

As far as the cost of deposit is concerned, it was 5.08 in June '24. It has further increased 5.16 because you all are aware because the deposit on the one-year deposit or the other deposit has increased substantially in the last quarter. The one-year deposit is not available as on date even between the 7.70 to 7.80.

As far as the NIM is concerned, we have given guidance for the 2.9 to 3, and we have given guidance that absolute number, our NII will be positive. And if you see the last 12 quarters, every quarter NII in absolute number is more than the earlier quarter. So, although we have as on date 2.92 is my global NIM and 3.06 is the domestic NIM, we will remain on the same guidance 2.9% to 3%.

Yield on advances was 8.43 in the June quarter. It was similar on the same line; it is 8.42 and it used to be around 8.23 in the September '23 quarter.

As far as the cost-to-income ratio is concerned, it was 52% in September '23 and 53.28% in June '24, and it has increased to 54.58% in the September '24 quarter. The reason of the increase in the cost-to-income ratio is on account of the AS-15 provision. Last quarter we had made a AS-

15 provision for 7.42 , but this quarter, September quarter , we have made a provision of Rs. 2,057 crore, it means additional , around Rs. 1,300 crore we were required to make more provision for AS-15.

Reason behind it because the G-Sec in the June 2024 was 7.01, and it was closed at 6.75 in the September '24. So , there was a reduction of around 26 basis points in the G -Sec. So, on account of the reduction in the G -Sec, as per the actual calculation, we have to provide 1,300 additional. This was the reason of the increase in the cost -to-income ratio.

So, maybe if you see as on date, further there is an increase in the rate of interest in 10 years which is hovering around 6.85. So , maybe a current quarter, December quarter, this requirement will further reduce.

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As far as an increase in the advance is concerned , we have given the guidance around 11 % to 12% and we have clocked in 12.8%. So, retail , there was a growth of 14.62%, agri there was a growth of 11.07%, MSME there was a growth of 8.9%. The reason behind that is because some of the MSME account which was classified under MSME on account of the increase of the turnover or investment limit, they have come out from the purview of the MSME. So , otherwise, if we will add that account , particular acco

unt, so it is coming more than in double digits.

RAM , it is 12.02% . Home there is a good growth 19% as well as Vehicle , it is a 25%.

As far as the movement of NP A is concerned, the opening balance of the Gross NP A was 51,263 and 2,181 was the addition. I will give the breakup of this fresh addition. Slippage was in agri Rs. 565 crore, MSME 621, retail 415 , and the other corporate 470 . And the cash recovery was 1,508 and the upgradation 1,407 , making the total of the total upgradation in the cash recovery was 2,915 and write -off was 2,946 . The closing figure was Rs. 47,582 . Total recovery including the recovery in the technical written -off and recovery which we have booked in the de-recognised interest . So, it was Rs. 4,891 crore , which was Rs. 3,249 crore in the previous quarter. So, if you see the recovery was 4 ,891 and slippage was in this quarter 2,181 . So, it was more than 2x , and the target for the entire year is Rs. 18,000 crore . If you add the June and September recovery , it is coming around Rs. 8,000 , we are confident , because some of the account LC /LD is about to resolve in the current quarter or lastly in the last quarter. So , 18,000 we will definitely achieve .

As far as SMA more than 5 crore is concerned , that is hardly Rs. 2,125 crore. As far as because normally used to ask how much is the credit on the MC LR? So, around 34% on the MCLR, repo around external benchmark of 41% and T - bill around 8.39% and fixed is around 10%. As far as RAM, as I told you already 55.77% and our annual to increase to 60% in times to come 2 to 3 years.

One important thing , out of total unsecured loan book unsecured retail loan , which is normally the worry of the investors also , is hardly 27,966. The breakup of the 27,966 is credit card around Rs. 1,000 crores, education loan 4,333 and pension loan 4,513 .

In the pension loan , we are receiving the pension . There is no worry in that. The personal loan amount is 18,119 . Out of this personal loan , the digital PAPL 4,239 and non -digital is 13,880 . Normally the percentage in this personal loan used to be around 2 % and 2.10% and that 's already been factored at the time of pricing this product , and we are also making this at the time of the initial making the , what should be the pricing , we have also taken the 2% will be the NPA in this product also.

As far as NCLT recovery or the NARCL is concerned , in NCLT may around 831 account we have applied for 1.03 trillion , out of which 797 account of the 1.01 trillion has already been

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admitted , 30 account of 1,835 crore is to be admitted . out of 797 accounts, 275 account has already been resolved of Rs. 47,444 crore and 304 account already liquidated 35,120. 218 account pending at the various states with the amount involved is 19,351.

As far as asset transfer to the NARCL is concerned , we have transferred 14 account of 3,778. Against this , we have received cash of Rs. 987 crore . 13 account is under discussion of 2,370 . Out of this 13 account , in 9 account of outstanding 1,691 NARCL has submitted already their bit, which is under evaluation.

So, this is my initial remarks about the performance of the Bank . Once again , I think this is the best result we have shown in the last 3 to 4 years .

Now I am open for any questions, clarification if you require . I will try to give the answer. Thank you. Thank you very much.

Moderator: Thank you very much , sir. We will now begin the question and answer session. Our first question

is from the line of Nitin Agarwal from Motilal Oswal . Please go ahead.

Nitin Agarwal: Congrats on a very strong quarter and also achieving the milestone of 1% ROA well ahead of the guidance.

Atul Kumar Goel: Deliberately I am not touching my initial remarks because I want to hear from you. So, it may be one more

re thing I can tell you also, because we have given the guidance for the 0.8 for the entire year and we have given the guidance that it will be 1% at the exit of the current financial year. Since we have already achieved more than 1% in the half year, it is around 0.9%. So, we are revising our guidance, it will be around 0.9% to 1% for the whole of the year from the 8% earlier guidance.

Nitin Agarwal: So, my first question is on the contingent provisions. This quarter we have made a small amount, but now that you are indicating that the credit cost, we have already reduced the guidance second time on credit costs now and there is a possibility it may be negative also as you mentioned. So, will we look to make contingent provisions and prepare ourselves for a day's transition as and when it starts? So, what is the thought on that line?

Atul Kumar Goel: Nitin, see, already we have made a provision of Rs. 350 Cr as a floating provision for the NPA and you are worried about the ECL et cetera also. 97% already we are having the PCR. What is ECL provision? ECL provision is how is your new underwriting behaving. I have already given the 51 month data of the new underwriting, 9 trillion we have sanctioned, 8.19 trillion we have disbursed, 6.31 trillion is outstanding, which is around 60% of my total loan book. And out of this 2,374 is NPA. Even if you see the OTR, OTR -1 and OTR -2, Rs. 170 crore provision we have made additional. As against the requirement of the 5% and 10% RBI, we are making 12.5%.

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So, I think there is no need for further provision. Also, already 500 and 350 we have made a provision for the floating provision in this quarter and total is the 500.

Nitin Agarwal: But will this be enough like when you look at the total ECL provisions, whenever it kicks in, will this much be enough?

Atul Kumar Goel: No, it will not be appropriate that whether it is enough because we have not calculated. I told you that we should wait for the final guidance also because there is a different method is being used by the different banks. The moment we will get the guidance, so this I can tell you, PNB will not be the outlier. Earlier there was a worry because we were having the highest NPA, highest gross NPA and so everybody was worried that the ECL provision, the PNB will be the higher. However, as on date that worry is gone.

Nitin Agarwal: And the second question is on the credit deposit ratio. If I look, like PNB has a very good room to expand on that. It is very well positioned to pursue credit growth, but the credit deposit ratio over the last one year has been in a very narrow range. So, why are we not using this lever to expand margins? Because margins is one area wherein we are seeing some softness and which is similar to the other banks also. So, what is your thought on that, like on the credit deposit?

Atul Kumar Goel: Nitin, see, in margin, I told you also, if you see, we have given the guidance 2.9% to 3% because ultimately it depends which type of underwriting you are doing. We can increase the margin. We can increase the margin, but there is a risk of slippage also. And moreover, you see what is our AAA, AA, etc., also.

So, this is the reason because there is some transaction, because PNB is one of the larger Bank, there is some transaction where I am getting only 1% with 2%. If I have to maintain 3% or more than 3%, you may be happy. So, it means I should not do such type of transaction. This is the reason I am telling again and again; the ratio may be misleading. We will not give the guidance amount to 2.9% to 3%, but in absolute number, in absolute number if you see the NII every quarter is increasing.

I am not naming the Bank. One of the big banks, the number of this current quarter 400 negative NII number. So,

this is the reason we are not going to change the margin, we are saying, but we are saying where we can get the more margin also, we are doing that one also, but if there is some accountability, we are not in a position to make more margin also. So, in terms of the percentage NIM will be reduced, but ultimately it will add to my absolute number.

Nitin Agarwal: And the last question is on the OpEx, wherein Q-o-Q we have seen a sharp rise in the employee provisions. So, what has driven this? And how should we factor in for the coming quarters?

Atul Kumar Goel: No, actually it is a function of the rate of interest. As I explained in my initial remarks also, 7.01 was the 10-year G-Sec, which has reduced to 6.75. So, there was a reduction of around 26 basis

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point. Last quarter we made 742 . This year on account of the 26-basis point, so increased 2 ,057. So, I do not foresee, because if you see as on date also, it is hovering around 6.85. So, definitely it will remain in the same range , so the requirement will be very less for the next quarter.

Moderator: Our next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Congrats on the quarter and the successful turnaround of Punjab National Bank. Firstly, sir, what is LCR, our liquidity coverage ratio? And is there a scope to further reduce liquidity on balance sheet?

Atul Kumar Goel: As far as the liquidity of the coverage ratio is concerned, it was around 129%. On account of this revised guidelines also , there is a difference of around 10 basis points. So, the requirement of 100%, so we will be in a position to easily maintain more than that also. So, although impact will be there on account of the guidelines if it is really implemented, so around 10% to 11% they will be different.

Piran Engineer: And what is the level we are comfortable with?

Atul Kumar Goel: Actually, we are comfortable, it should be around because 100% is the requirement, so 115 , between 115 to 120. But minimum, 115 we would like to have.

Piran Engineer: Sir, and on your slide 18 in the PPT, there is a CG Recap Bond , 55,000 crore. So, what is that?

Atul Kumar Goel: That is the government has inducted into the capital. That is that. Because they have inducted into the capital, then we have subscribed the bond also.

Piran Engineer: Sorry, can you please repeat?

Atul Kumar Goel: Whatever the government has infused the capital. Suppose they have introduced Rs. 55,000 crore as the capital. To buy that, that has been increased the capital liquidity ratio. Rs. 55,000 crore, same amount, we have subscribed the government bond also.

Piran Engineer: So, you bought government bonds and then the government infused capital.

Atul Kumar Goel: Right, very much right.

Piran Engineer: And our credit cost guidance for the year, is it 0.5% or 0.25%?

Atul Kumar Goel: Actually, beginning it was 1%, then June it was 0.5%. As on date for the half year, it is coming around 0.2%. So, we are giving the guidance, it should be around 0.25 to 0.30 basis point.

Moderator: Thank you. Our next question is from the line of Gao Zhixuan from Schonfeld . Please go ahead.

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Gao Zhixuan : Just two data keeping questions. First of all, on the margins, do we have an impact from reclassification of penal interest into the incomes that impact some of our peers?

Atul Kumar Goel: That is definitely there, because some of the amount which we were using as a penal interest, that is not coming under the interest calculation now, that is coming under the other income also.

Gao Zhixuan : And do you mind sharing what 's the rough quantum of it? Do you mind sharing what 's the impact on margins this quarter?

Atul Kumar Goel: Impact will be only 1, 2

basis point, nothing more.

Unknown Analyst: And on gross slippages , there is a slight pickup on a sequential basis, obviously from a variable level. But just wondering what 's driving that, and does that include some of the big corporates that we hear in the news?

Atul Kumar Goel: You are right. Actually, if you see, we have given the guidance for the 1%. Even as on date, it is less than 1% also. It was Rs. 2,181 crore. There was one account, one account which I think you are trying to ask. That was around 425. Otherwise, the second highest slippage was around Rs. 35 crore only.

Gao Zhixuan : So, 430 crores from that one account.

Atul Kumar Goel: Yes.

Moderator: Our next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Very good performance, especially on the recovery front, sir. Just on the personal loan, you had given some data point in your opening remarks. What was the gross slippage that we have posted on this personal loan in this quarter, sir?

Atul Kumar Goel: In personal loan, 18,119 is the total book. Apart from the pay stub that is also in the personal loan, that is 4,513 . So, in that , there is no issue because pension is coming . Out of this Rs. 18,000 crore, it is around 2%.

Rakesh Kumar: Gross NP A?

Atul Kumar Goel: Yes, gross NP A.

Rakesh Kumar: And the slippage in this quarter?

Atul Kumar Goel: It is on the same line. It doesn 't mean there was a much difference in the last quarter and this quarter also. It remains in the same range.

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Rakesh Kumar: And sir, margin movement is very peculiar this quarter. So, if you look at Slide 23, we have

yield on advances from June quarter to September quarter, almost at 8.42, and cost of fund has slightly gone up by around 8 bps this quarter. But the funding cost number, cost of fund number is flat and yield on fund number is coming down but yield on investment is flat. So, what is driving lower yield on funds, though the yield on advances number is flat, yield on investment number is flat. So, why yield on fund is coming down, sir, from 7.23 to 7.13 ?

Atul Kumar Goel: That is on account of some of the overseas loan book also.

Rakesh Kumar: But this will get, okay, but this slide does not include, so I am looking at the global number, sir. Global number is 8.42 as compared to 8.43, and yield on investment is 7.06. So, yield on fund is coming down from 7.23 to 7.13. So, why is that?

Atul Kumar Goel: 7 point, yield on fund is coming from 7 point ?

Rakesh Kumar: 7.23 to 7.13, 10 bps fall is there in the yield on fund. So, why was that, sir?

Atul Kumar Goel: You have to see the composition. Please try to understand what is the composition of the advances, what is the composition of the investment, because if you see the outstanding of the investment has increased in this quarter. This is the reason it is coming down.

Rakesh Kumar: We will take that offline, sir. Sir, there is a rise in the growth.

Atul Kumar Goel: No, there is no need for the offline. I am trying to, please understand, what I am telling you, what was the growth in the advance book, what is the growth in the investment book. Growth in the investment book is much more as compared to the advance book. This is the reason this is coming down.

Rakesh Kumar: I was also coming to that. Non-SLR growth is very high, especially in the others category.

Atul Kumar Goel: Yes.

Rakesh Kumar: So, what is that, sir?

Atul Kumar Goel: That is the investment in the CD sector also, because sometimes we were having the extra liquidity also, so we have passed that fund in the CD of the banks.

Rakesh Kumar: And, sir, fee income, drop in the fee income, especially in the processing fee.

Atul Kumar Goel: Because the processing fee, we used to charge in the f

irst quarter only for the entire year. This is the only reason.

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Moderator: Thank you. Our next question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Good evening and compliments to you, Atul sir and the entire team of PNB for the fantastic results. In fact, you are improving your performance on all the parameters quarter after quarter.

I think in last, if you see 10, 12, 15 quarters, continuously there is improvement. And now, we can say that the Punjab National Bank has overcome all the biggest negative legacies and everything. And it's firing on all the cylinders. So, compliments for the same, sir.

Atul Kumar Goel: Thank you very much.

Ashok Ajmera: Having said this, sir, I have got just a couple of few questions and some observations. And, sir, on the profitability front, if you look at the, basically from the non-interest income point of view, there is a major improvement right from the recovery, in the return of account to handsome treasury income in this quarter, if you compare with the last quarter of 1,581 crore as compared to 648 crore. That is good profit on sale of investments, good profit on the revaluation of the asset. So, my question is that, going forward, do we expect in the remaining two quarters of the current financial year, the same performance of the Treasury so as to assess the correct profitability of the Bank for the whole FY '25? That is the first question.

Atul Kumar Goel: Yes, definitely, Ashokji, definitely, because as on date also, if you see my total, the TWO, it is 92,584. It is the gold mine for the Punjab National Bank. So, whatever the recovery in the technical written-off we have made in the last quarter, the same or even more also we can expect in the current quarter as well as in the last quarter of the current financial year. And Treasury income is also, treasury income is also, we will be in a position because my Treasury is very active. Not only the SLR or non-SLR, even we are making the good profit in the equity funding also.

Ashok Ajmera: Yes, so that's basically treasury front. Even in the trading book also I think there seems to be a good profit on that. Sir, a data point, just a calculation of tax. So, tax, if you look at this current half year, I think on the profit of 11,834 crore, our provision is 4,276 crores. So, it's almost about 36% on the tax front. And we have not discussed this for a couple of quarter on the tax front, DTA and other things. So, can you...?

Atul Kumar Goel: I have understood your question, Ashokji. Actually, we have not shifted to the new regime. This is the reason. Because earlier also we have explained in the last con call also, because we are in the old regime. This is the reason this is coming 36% because we are having some of the claim which is available. If we will shift to the new regime, then we have to forego. This is the reason. It is a matter of time. Moment we will shift to the new regime, definitely there will be around 10 basis point increase in the ROA only from this entry.

Ashok Ajmera: How much is that total carry forward benefit and the... ?
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Atul Kumar Goel: Not only carry forward, there is some other benefit also, MAT etc. So, it is not only one thing.
Ashok Ajmera: MAT.

Atul Kumar Goel: There is so many other things also if we will shift to the new. So, we have to forego that. This is the reason. It is a matter of time only. The moment we will be in a position to absorb all our already benefit, then we will go to the new regime also. We have discussed this matter with our consultant. So, he advised, immediately there is no need to shift from the old to new regime.

Ashok Ajmera: Yes, point well taken. Sir, on the employee benefit front, you have talked

about AS -15 and

because of that, there is an increase in the overall employee cost. But sir, similar in this quarter, we have not seen in the couple of other banks which have come out with their result this kind of major impact because of AS -15 in this quarter. So, was there something different in our Bank on that? Even in Bank of Baroda, there was hardly any difference in the overall employee cost in this quarter.

Atul Kumar Goel: So, I have understood, Ashokji. Actually, I have explained to you what is the reason. You are also a chartered accountant. 7.01 to 6.75, G-sec. If there is a dip of 26 basis points in interest rate, so AS -15 is definitely bound to increase also. So, we are making on the quarterly basis. I don't know about the other Bank also. But I am telling you that on account of the decrease in the G-sec, this is the reason every quarter there is a fluctuation in this. Last quarter it was 743. Even in the September '23, it was 580. So, every quarter we are making. I don't know whether the other Bank are making on the quarterly basis or the yearly basis also. This may be the reason. But every quarter we are giving these changes.

Ashok Ajmera: Sir, one last question in this round is on NARCL and you had given some data points, I think 14 accounts, 3,771 crores. And you said that the cash recovery is 987 crores, isn't it?

Atul Kumar Goel: No, no, no. 987 is the, I told you, total recovery, cash filler SR. 15% of the 987 is the cash recovery.

Ashok Ajmera: So, balance is the guaranteed SR?

Atul Kumar Goel: Guaranteed by the government. Yes.

Ashok Ajmera: Guaranteed SR.

Atul Kumar Goel: Guaranteed by the government.

Ashok Ajmera: Yes, which must have been 100% provided for?

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Atul Kumar Goel: Definitely, because as on date, there is no different treatment given by the regulator for the sale to the NARCL or DRC, although there is a demand. But because once we are transferring the asset to the NARCL, that is 100% provided. This is the reason carrying cost of the SR is zero.

Ashok Ajmera: Yes. No, but it goes in the benefit. Ultimately, we can assess that this amount in any case is going to come.

Atul Kumar Goel: Right.

Ashok Ajmera: Guaranteed and it has strengthened your book, basically. Sir, just if you permit me one more, we have done exceedingly well on the credit front as compared to many of the other peer banks in this quarter also and overall half year also if you see. So, sir, going forward, if you maintain the same tempo, are you revising your credit growth target also for FY '25, just like other targets which you have improved, even on the credit growth front also?

Atul Kumar Goel: 11% to 12% we have given. Between 11% to 12%. And if you see, it is 12.80%. So, I can safely say that we will be in a position to get 12%, but if opportunity will be available, Ashokji, if opportunity will be available, we will not allow opportunity to go, let down from the Punjab National Bank, because there should be demand also, no? Because in corporate, I am very honest to you, there is no much demand in the corporate, even as on date also, I am having the central limit of the 1 trillion, which they are not utilizing.

Ashok Ajmera: But you have done very well in MSME front also, I think, where in your this book MSME and Retail, you have performed very well. And corporate business also will come. So, we can hope that this current six month, now next six months will be better than what you have even achieved in the first half year. Thank you very much, sir, and all the very best.

Moderator: Thank you. Our next question is from the line of Marsal, who is an individual investor. Please go ahead.

Marsal: My first question is regarding this employee cost. Mr. Ajmera asked, but the voice of Mr. Goel was not very clear

. So, I just want to ask you this that the employee cost has gone up by Rs.

1,205 crore in this quarter So, is it because of the one-time provision or this kind of number is going to continue in the subsequent quarter also ?

Atul Kumar Goel: No, no, no. I may explain also. It is a AS -15 provision. It is not an actual outgo . Let me clarify.

It is not a actual outgo. It is a provision we have to make based on the actual calculation . The reason behind that for this increase if you see the 10 -year G -Sec, in June , it was 7.01, and this September '24, this 10 year G -Sec has reduced to 6.75. On account of this 26-basis point decline in the interest rate , this additional provision has come . So, it will not be a reckoning . Even if the interest rate will become harder in the times to come also , so it may be reversal also. So, it is not a one-time because if you see the last quarter , it's only 742 .

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Marsal : No, sir. I am asking ready employee cost . Employee cost has gone up by 1,205 crores.

Atul Kumar Goel: No, employee cost not gone . You see, in employee cost it is added. In employee cost, no, it is already added in the employee cost .

Marsal : No, sir. (Hindi language 00:42:22 - 00:42:30) compared to June quarter . Why it has increased ?

Because like the increment or only settlement was already counted for in the March quarter itself . So, why it has gone up so drastically this quarter , employee cost ?

Atul Kumar Goel: No, this is the , let me try you once again. The AS-15 provision was 2,057 for this quarter and the June quarter was Rs. 742 crore. If you will make the difference , if 1,300 is the AS-15 provision only . If you see the actual payment of the employee cost, it is on the same line . It is equal . I can give you the number also . The payment of the employees I will give you . This is 6,692 for this quarter and it was 3,808 in the earlier quarter . So, there is a reduction of Rs. 400 crore.

Marsal : No, sir, whatever provision we are doing , is it over or will this provision still continue? That's the question.

Atul Kumar Goel: It depends on every quarter . May be if rate of interest because as on date, rate of interest is 6.85. So, there will be a reduction , reduced requirement in the current quarter .

Marsal : No, no , I am just , like, so it means this kind of provision is going to continue for some more quarters or only one , two quarters this will continue ?

Atul Kumar Goel: No, no, no, it will remain . Whatever the provision we have made , it is a total provision. It is a cumulative figure. Please try to understand this provision we have made for this quarter 2,057.

So, if we will add 2,057, so it has already been added . So, cumulative will remain same . If there is a change on the interest rate in the coming quarter , that cumulative total provision will change .

Marsal : Only incremental will change .

Atul Kumar Goel: Yes, very much right . Now you understood .

Marsal : So, it means a cumulative till this quarter. We have finished all the provision and whatever plus/minus can happen, only that will happen .

Atul Kumar Goel: Very much right . Now you understood .

Marsal : Sir, my second question regarding this other income , which has gone up by 1,049 crore , so how much is the recovery in this part , 987?

Atul Kumar Goel: No, recovery in this particular quarter is Rs. 1,369 crore.

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Marsal : So, like that capital account is already considered there or it will come in this quarter or next quarter ?

Atul Kumar Goel: No, it has already been taken in this September quarter , 1,369, already it is part of the other income .

Marsal : So, sir, here is my question that like this other income, this kind of recovery , like it is very good recovery you have made in this quarter. So, whether this tem

perament or this tempo will continue

in the December and the March quarter also or like this will subside?

Atul Kumar Goel: Definitely because I am having the TWO book of 92 ,584. It is the gold mine of the Punjab National Bank . And this, if you see 1 ,630 was in the March quarter also and 1 ,369 in the September quarter, June quarter it was 859. So, normally , it will remain with the range of the 1,000 to 1 ,500 easily , every quarter we are making it.

Marsal : Sir, where can I see the figure of 94 ,000 because in the deck, in the PPT, in the Slide #34, I can see only 54 ,472 crores ?

Atul Kumar Goel: No, no, that is not in the PPT . I am telling you the total NPA TWO book is the 92 ,584 in TWO book and 47 ,582 is the gross NPA. If you will add both , so my total recoverable book is Rs. 1,40,166 crores .

Marsal : Sir, my last question, that is, this provision has been reduced .

Atul Kumar Goel: Please , your last question is regarding credit cost . Please go ahead.

Moderator: Sir, his line got disconnected . We can move on to the next question and then once he presses "" and "1" again , we can let him answer. So, our next question is from line of Suraj Das from Sundaram A MC. Please go ahead.

Suraj Das: Sir, two questions. One, the floating provision that you are doing, where does it reside? Is it on the standard provision line item , which is 83 crores this quarter? Is it included?

Atul Kumar Goel: No, no, no, it is a NPA provision. 350 we have made for this quarter and cumulative provision is 500. It is a part of the NPA provision . It is a part of the CAD cost.

Suraj Das: So, it is part of this 199 crores number.

Atul Kumar Goel: Yes, otherwise if we would not have made a 350 provision, the credit cost would have been a negative credit cost, yes.

Suraj Das: And sir, on this, the below line item , standard asset provision , 83 crores, it seems like, I mean, since we have also restructured book, which is coming down, there is, the incremental provision

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requirement is very less on the standard assets. How long this can continue, sir? I mean, what kind of headroom still you have in terms of... ?

Atul Kumar Goel: See, it depends on the June 2019 circular. Some of the account , which they have come out from this category also. So, there was some reversal also. There was some additional provision for the other account. It depends on if the exposure of that particular account is much more for a particular limit. But since our SMA, more than Rs. 5 crore is very less, Rs. 2,125 crore, so I do not foresee any issue which will be requiring us to make more provision for this standard asset because it depends on the banking industry, not only the Punjab National Bank . If some individual is having the exposure more than Rs. 2,000 crore, then only we have to make this provision for the June 2019 , yes.

Atul Kumar Goel: 2,500. 1500, yes.

Suraj Das: And sir, one last question. In terms of this quarter growth, if I look at both on deposit and advances, the overseas segment has contributed very favorably. So, anything specific that is happening there or is it just one-quarter phenomena?

Atul Kumar Goel: Last quarter also, this is the last quarter was the same growth , in June, as far as the credit is concerned. But definitely this quarter some growth in the deposit is better as compared to the last quarter.

Suraj Das: So, this quarter I think the advances growth on the overseas is something like 14% Q -o-Q.

Anything, any particular segment that is value?

Atul Kumar Goel: No, our guidance is 12% for whole of the year.

Moderator: Thank you. Our next question is from the line of Yash Darak from RSPN Ventures . Please go ahead.

Yash Darak: First of all, congratulations for a good set of numbers. Most of my questions were answered. I just had a couple

of book keeping questions. So, the first question is that we have observed in our peers that a big PSU telecom company is facing some stress. So, do we have any exposure in that?

Atul Kumar Goel: Definitely we are having the exposure in that . Already we recognized in the 2,100 something, already we recognized the exposure of 434.

Yash Darak: Okay, 434 crores is the total exposure . And we have already provided for it.

Atul Kumar Goel: Yes, already recognized , and it is in the figure of the 2,100 slippage , yes.

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Yash Darak: Second question is, sir, on the deposit re -pricing , we were observing from last few quarters that the deposits were being re -priced. So, has that scenario been over now and the NIM guidance that you maintained considers the scenario that deposit pricing has been completed?

Atul Kumar Goel: I fully agree with you. I think deposit rate has, in my opinion, deposit rate has already reached on the peak. So, we do not foresee any further increase in the deposit. So , whatever the guidance for the NIM 2.9 to 3, I think we will be in a position to maintain it.

Yash Darak: Sir, just one final question , if I can squeeze in. This is in regarding that RBI had recently introduced some rules, regulations regarding the infrastructure loan book and provisions on infrastructure loans against which banks has made some representation to the statutes. So , has there been any development in this scenario?

Atul Kumar Goel: No, as of yet we have not yet. Whatever the draft guidelines have come, that is still. We have not issued a final guideline yet.

Moderator: Our next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Most of the questions have been answered. One thing with respect to PNB Housing , this entire new draft circular which has been there, which talks about the group company. Obviously , it's

an associate, but still the group entity, which says that it cannot carry on the business similar to that of a Bank . So, would maybe in terms of having a stake in that subsidiary, we can maybe prepone that taking into account that the draft circular or what would be our overall stance on the holding in PNB Housing Finance ?

Atul Kumar Goel: See, as on date, there is no plan . We are reviewing whatever the draft guidelines is coming. We will discuss in the Board . As on date, we have not decided.

Moderator: Our next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Congratulations on 1% R OA, sir. Sir, my first question is, you mentioned that the central PSU account in telecom that we have already recognized as an NPA. I just wanted to check, sir, what could be the provisions here that we would have made?

Atul Kumar Goel: Provision, I think it is not appropriate . Otherwise , we have made a good provision. Actually , I think individual account we should not discuss.

Jai Mundhra: And secondly, sir, you would have the other stretched steel PSU account , that is still in SMA , or what is the status , or you think that will be resolved?

Atul Kumar Goel: That is in the SMA with the other Bank , but as on date, because that is a working capital with me, so my account is okay, but we have to see in totally.

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Jai Mundhra: And sir, what would be your total SMA -1 and 2 including below 5 crores accounts also?

Atul Kumar Goel: Total SMA -1 is 14,688 and SMA -2 is the 13,509 for a whole book.

Jai Mundhra: And if you have the SMA -0 number also, sir?

Atul Kumar Goel: SMA 0 number is 1, 02,728, but as on date if you ask me because there is an accounting issue also, because some of the installment is doing in the first week, so it is coming one day, it is coming SMA -0. So, as on date, this SMA -0 has reduced from the 1

,0 2,728 to 21,599.

Jai Mundhra: And last question, sir, is we look at revaluation of investment income, right? Because RBI has permitted that the banks can accrue the national gain also , is there any, I mean, so we have and I think if I remember right, we have done around the treasury of the treasury, the income is around 700 crores . Would you believe that this number will stay or what is this number linked to? What could drive this number lower or higher this quarter? Is it like equity M2M or bonds M2M or what is it?

Atul Kumar Goel: 761 is the trading profit. Let me clarify you, Jai Mundhra , 761 is the real profit, which is the profit from the G -Sec, which is the profit from the non-SLR, and the profit from the equity also.

In addition to that, because on account of the change of the new balance in the valuation, there was another Rs. 731 added in the P&L for the devaluation in this time. So, because our Treasury is very active, so we are hopeful because if you see the last quarter, we have made 325 . So, it depends on the yield etc also. Our Treasury is very active . So, we will be in a position to make good profit in the time s to come also. No issue.

Moderator: Our next question is from the line of Saurabh from J .P. Morgan. Please go ahead.

Saurabh: Sir, just two questions. So, one is historically on your written -off book, what 's the recovery rate that you get? So, that 's the first one. And secondly, what is the total magnitude of AFS reserves that you have right now?

Atul Kumar Goel: Actually , 92,584 is the TWO book. Normally, within the range of the 1 ,000 to 1 ,500, we are recovering every quarter. And the AFS book is the 1,09,615, which is around 23.3% of the total investment book.

Saurabh: No, sir, I was asking, it 's normally like over a cycle of 90,000 crores, how much will be your recovery rate? Will it be 10%, 13% ? How much should it be?

Atul Kumar Goel: Around Rs. 5,000 crore we are recovering every year. So, you can think it is around 5% to 6%.

Saurabh: 5% to 6%, okay.

Moderator: Our next question is from the line of Anand D ama from Emkay Global. Please go ahead.

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Anand Dama: Sir, I just wanted to ask a question related to your overseas loan book that is expanding at a very fast pace. What is the reason? What are these kind of loan s that you are giving to, what kind of corporates are there that you can give?

Atul Kumar Goel: Actually, Anand, it is a combination of all. One is RAM . There is a growth in the RAM also. I will give you some of the number of RAM. If you see the retail, the number was 5,44,954 in June 24. So, it has increased to 5,64,000. So, Rs. 20,000 crore, more than Rs. 25,000 crore increase in RAM . Even retail also, in retail around Rs. 15,000 crore is increased. Another is the corporate . There is also an increase in the NBFC side. And there is an increase in the sum of the renewable projects, solar, etc. So, it is a combination of all. So, mainly in the RAM, RAM is the focus area. There is some increase in the NBFCs also, but all are basically triple A and third is

the other corporate advances. The major part is the road, and another is the solar, renewable energy.

Anand Dama: My question was specifically related to overseas loans.

Moderator: Can you repeat? Yes, Anand, can you repeat?

Anand Dama: My question is related to overseas loan book, which is expanding.

Atul Kumar Goel: Overseas, oh, overseas basically most of the exposure is on the Bank or buyers credit, yes.

Anand Dama: But BC also, because that book to some extent is dragging your margin down.

Atul Kumar Goel: Yes. Margin is less, no doubt, margin is less, yes.

Anand Dama: Sir, is it basically that you can cut down the exposure to overseas anytime soon, or you would...

Atul Kumar Goel: We are having only 2 branches. We are

having, why there is a need of the cut down the exposure

also, because ultimately we have to see whether we are earning or not. As I told you in my initial remarks also, in some of the transactions, if we are getting 1%, 2% or even less than 1%, why we should allow that opportunity should go down from the Punjab National Bank, because we are not concerned about the 3% NIM. We are concerned with the absolute number of the net interest income.

Anand Dama: Sir, is it possible to share what is the LCR for this product?

Atul Kumar Goel: LCR, I told you 129%. In draft guidelines, there is a peak of around 10% to 11%.

Anand Dama: If the new draft guidelines come, it will come down by 10% to 11%.

Moderator: Next is a follow-up question from the line of Rakesh Kumar from B & K Securities. Please go ahead.

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Rakesh Kumar: Sir, just I was coming back to the same question on the change in the yield on fund. So, I was looking at cash investment and advances composition as a percentage to your deposit and borrowings. So, I find that there is a decrease in the cash balances number as a percentage of deposit and borrowings. And also there is a decrease in the advances number and increase in the investment number. And some of the gap has been funded by the equity around 4,200 crore, but still the margin is coming down. So, the margin falls what we have seen in this quarters, like should we see this as a kind of a regular thing going ahead also, or what is that? Because probably we have used the QIP money, I think, is in this quarter.

Atul Kumar Goel: Yes, maybe on account of the QIP money, it is not a general, because I told you that sometime if we are having the liquidity, where will we park the liquidity? Either in the short-term investment opportunity available, where the yield is there. So, this is the only reason which I explained to you also. But it is not for a long period also, very short period also.

Moderator: Our next follow up is from the line of Marsal, who is an individual investor. Please go ahead.

Marsal: Sir, my question was that this quarter, provision has also reduced by 1,024 crores. So, are we going to, like, whether this provision will sustain to this level what it was there in the September quarter or it can also spike in the September quarter?

Atul Kumar Goel: The provision, there is three, four provisions. Which provision? See, as far as credit card is concerned, we have already revised our guidelines. So, the provision for the NPA will further reduce and these standard assets also. I do not foresee there will be any increase in the provision and OTR -1, OTR -2, we have already made 170% additional provision, which I told you. So, only the provision for the income tax will be the main provision. I do not think there will be any increase in the other provision also.

Marsal: And sir, like this, we have also made a floating provision of Rs. 350 crores. So, what is the purpose for which this floating provision can be utilized?

Atul Kumar Goel: This floating provision is permitted by the regulator. Rs. 350 crores we have made for this quarter, cumulative provision is Rs. 500 crores. Rs. 150 crores we have made earlier also. So, this will help to reduce and to maintain our net NPA number.

Marsal: No, understand, but what I am saying, like, because in the other banks, I was reading through that, like they mentioned that, that this floating provision can't be utilized without the prior approval of regulators. So, that's why I am asking you like for what kind of thing this can be utilized?

Atul Kumar Goel: Yes, with the permission of the, in the bad time, if there is a requirement to use this proposal, then we have to take the permission from the regulator.

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Marsal: S

o, this, my last question regarding the CASA. So, what special steps the Bank is taking to increase the number of current accounts, sir?

Atul Kumar Goel: See, point number one, I will give you the savings as well as the current account. CASA is definitely a challenge, not for the Punjab National Bank, for the entire industry. But we are having 10,000, more than 10,000 branches, more than 24 customer, and we have provided all the branches with the tap banking. So, time for opening of the new account has already been reduced. Last year, we have opened more than 1 crore savings Bank account, and the first quarter we have opened more than 60 lakh accounts. The money will come in this account.

Your specific question about the current account. So, last year, we have opened 2.68 lakh accounts. In first half, we have already opened 1.21 lakh. We have also provided this corporate mobile app, which was not available earlier, which we have launched in the last month. Only by using this corporate mobile app, so definitely we are hopeful that there will be an increase in the current account opening as well as the balance in this current account.

Marsal: Beautiful. Sir, you are doing fantastic, sir.

Moderator: Our next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: First question is on the slippages side. If I look at the agri slippages, they go quite sharply on a Y-o-Y basis. Any reason for that?

Atul Kumar Goel: Slippage, you are asking about the slippages, no, Y-o-Y?

Ashlesh Sonje: Agri slippage.

Atul Kumar Goel: 1,826 to 2,181.

Ashlesh Sonje: Sir, no, that's the agri part. Agri slippages for the quarter, which is about 570 crores.

Atul Kumar Goel: You are asking for the agri?

Ashlesh Sonje: Correct, yes.

Atul Kumar Goel: 565 is for the agri. Normally, it keeps within the 500, 600, because we are having the book of more than 1 trillion. So, sometimes 500, sometimes 600, there is no much difference here.

Ashlesh Sonje: And secondly, on the PSU account, which has slipped this quarter, are there any other PSU, large PSU accounts which are sitting in the SMA book for you?

Atul Kumar Goel: You do not worry. Only one account was only in the SMA that we have already recognized. As I told you, as on date, I do not find.

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Moderator: Thank you. As there are no further questions, I request Mr. Atul Kumar Goel for any closing comments.

Atul Kumar Goel: Thank you very much once again. I think this was one of the best quarter as far as the Punjab National Bank is concerned and whatever the guidance we have given, I think we have achieved most of the guidance except the CASA and the most important was the ROA also. Although we have given the guidance that we will be in a position 1% by the exit of the current financial year, but we have achieved. So, I think with the support of all my investors also and the analysts also, and I assure you whatever the number we have shown in the coming quarter and the coming to the next, last quarter of the current financial year, we will be in a position to show the better performance whatever we have shown in this quarter.

Moderator: On behalf of Nu vama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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Date:04.02.2025

DearSir(s),

Reg.:TranscriptoftheEarnings.CallwithAnalysts/InvestorsonFinancial

Resultsforthequarter/nine-monthsended31stDecember,2024

PursuanttoRegulation30oftheSEBI(LODR)Regulations,2015,pleasefind

enclosedthetranscriptoftheEarningsCallwiththeAnalysts/Investorsonthe

ReviewedFinancialResultsforthequarter/nine-monthsended31stDecember,2024

heldon31.01.2025.Thesameisalsoavailableat<https://www.pnbindia.in/financials>

current.html.

ThankingYou

Yourssincerely,

(EktaPasricha)

CompanySecretary

Encl.:Asabove...thenameyoucanBANKupon!Jess»

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"Punjab National Bank Q3 FY25 Earnings Conference
Call"

January 31, 202 5

MANAGEMENT : MR. ASHOK CHANDRA - MD & CEO , PUNJAB
NATIONAL BANK
MR. KALYAN KUMAR - EXECUTIVE DIRECTOR ,
PUNJAB NATIONAL BANK
MR. M. PARAMASIVAM - EXECUTIVE DIRECTOR ,

PUNJAB NATIONAL BANK
MR. BIBHU PRASAD MAHAPATRA - EXECUTIVE
DIRECTOR , PUNJAB NATIONAL BANK
MODERATOR : MS. PALAK SHAH – ELARA SECURITIES PRIVATE
LIMITED

Punjab National Bank
January 31, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Punjab National Bank Q3 FY 25 earnings conference call hosted by Elara Securities Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Palak Shah from Elara Securities Private Limited. Thank you, and over to you, ma'am.

Palak Shah: Yes, hello everyone, and welcome to the Q3 FY25 Earnings Call of Punjab National Bank. Today we have with us the entire team of PNB Management headed by Mr. Ashok Chandra – MD and CEO ; Mr. Kalyan Kumar – Executive Director ; Mr. Par masivam – Executive Director ; and Mr. Bibhu Prasad Mahapatra – Executive Director.

With this brief introduction, I will hand over the call to the PNB Management , PNB Team , Mr. V. P. Bansal to read out the disclaimer, post which he will hand over the call to MD, sir, who will address the conference.

Thank you, and over to you, sir.

V. B. Bansal: Thank you, Palak . The disclaimer statement is that this presentation contains certain forward - looking statements apart from historical information.

These forward -looking statements involve a number of risks, uncertainties, and other factors that could cause actual results to differ materially from those suggested by the forward -looking statements. Punjab National Bank undertakes no obligation to update forward -looking statements to reflect events or circumstances after the present date.

Thank you. Over to MD sir.

Ashok Chandra: Good evening to all the participants. I am presenting the highlights of our Bank for this particular quarter and then we will open the session for question and an swer and for clarification .

Highlights of our performance :

I will be giving it under three segments. One is the business parameter. Global gross business of the Bank stood at 26.40 trillion as on December '24 with the yearly growth rate of 15.20%.

Within the composition of this, the gross business, the total global deposit stood at 15.30 trillion with a YoY growth rate of 15.6% and global advances stood at Rs. 11.10 trillion with a YoY growth rate of 14.8%. The CD ratio of the Bank is comfortable level at 72.58% as on December '24 against 73.08% as December '23 . The CASA share is 38.12% as on December '24 .

Coming to the profitability side :

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Highlights are coming to the net interest income stood at Rs. 32,025 crore with a YoY growth of 7.8% for nine months ending 31st December '24 . There is a sequential growth in net interest income for the last 12 quarters and our current quarter NII is Rs. 11,032 crore. Our domestic NIM is 3.12% for nine months of FY25 whereas global NIM stood at 2.97%. The operating profit for the nine months ended December '24 is Rs. 20,055 crores, which has improved from Rs. 18,515 crores in the same period last year, with a growth rate of 8.3%. Our quarterly operating profit is Rs. 6,621 crores, which has improved from Rs. 6,331 crores in the same period last year, with a growth rate of 4.6%. The net profit of the Bank for the nine -month period FY24-25 is Rs. 12,063 crore, recording a growth rate of 130.5% YoY compared to the nine -month period of FY23-24 at Rs. 5,234 crore. For the December quarter, net profit stood at Rs. 4,508 crore against Rs. 2,223 crore Q3 FY23-24, with a YoY growth rate of 102.8%.

If I compare the ratios, ratios on return on assets that stood at 1.03% for Q3 FY25 and 0.96% for nine month FY25 in line with the guidance of our FY25. Return on equity is 19.22% for Q 3 FY25 and 18.87

% for nine month Financial Year '24 -25.

Highlights of Asset Quality :

As far as the asset quality is concerned, GNPA has reduced from 6.24% in December '23 to 4.09% in December '24 . Similarly, the net NPA ratio, which was 0.96% in December '23, has improved to 0.41% in December '24 . The PCR (incl. TWO) of 94.28% in December '23 has

improved to 96.77% in December '24, which is well above our guidance of more than 95% for FY25. The total fresh slippages during nine months is Rs. 4,557 crore and Rs. 1,774 crore in this particular quarter as against Rs. 1,793 crore in Q3 of FY'24 and Rs. 2,181 crore in Q2 of FY'25. Total recovery stood at Rs. 3412 crores for Q3 FY25 and Rs. 10,400 crore for 9M FY 25. Bank initiated a lot of digital tools; our mobile app and WhatsApp banking is very active. The Bank is focusing on building digital capabilities by using new technology. The share of digital transaction has increased to 91% for Q3 FY25 against the 88% in Q3 FY24.

Highlights of capital if I talk about capital adequacy is 15.41% as on 31st December '24 compared to 14.63% as on 31st December '23. During Q3 of FY2024-25, Bank raised Tier-2 bonds of Rs. 3,000 crore and CET-1, AT -1 and Tier-2 stands at 10.65%, 1.88% and 2.88% respectively. That is the growth that has happened in this particular quarter.

Thank you very much and now I open the forum for the question answer and any clarification which anybody would like to have. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask questions may press "*" and "1" on the touchtone telephone. If you wish to remove yourself from question queue, you may press "*" and "2". Participants are requested to use handsets while asking your question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

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Mahrukh Adajania: Hello, congratulations. I had a couple of questions. Firstly, congratulations on your appointment, sir.

Ashok Chandra: Thank you very much.

Mahrukh Adajania: So, basically my question was that obviously you've not spent much time with PNB, but, over the last three, four quarters, there was a stable growth path of PNB. They were kind of acquiring market share in loans and deposits, keeping margins more or less stable, reversing provisions.

So, that has been the strategy over the last four quarters. Now under you, do you see that change?

Because that is, whenever there is a change in CEO, that is the biggest investor concern, right?

That the CEO may have his own strategy, may have his own thought process, which will always be good for the medium to long term. But how do we view it? Or how do we assess the short -

term financial impact of any change in thought process? So, that's my first question. And then I have a few questions on numbers. So, the question I have on numbers is that your NIM has held much more steady compared to other state-owned banks. So, what could be the outlook for Q4?

Because your deposit growth is strong, your loan growth is also strong, and that helps. But your margin performance has been better than other PSUs. So, what is the outlook here? And then

what will be a steady state of credit cost? Because this quarter, there were reversals. And last

quarter also, credit costs were very low. So, what would be a steady state credit cost in FY26?

So, these were my questions?

Ashok Chandra: First, thank you very much, madam. In fact, we used to interact frequently there. See, the first you talked about the strategy. See, PNB has a strong legacy of 129 years. And generally, the

Bank like this, we go by the system in place which is already there in built now. It doesn't change

with the MD and CEOs, the position changes. So, whatever the growth

path is there and the

profitability angles are there, I think definitely we are going to continue the same momentum.

Yes, some of the cost of deposit and yield on advances, some adjustments and some tweaking we would like to do in the interst of the profitability. And there is enough potential which I see

that even if some tweaking happens in the cost of deposit and yield on advances, we have enough

kitty in the book which will take care of my growth also and the profitability part also. We have

more than 1,30,000 corporate book sanctions in place and I think if any some adjustments which

we need to do in the yield on advances, low yield advances, assess, I think we have enough

cushion to do that and we will maintain the growth which is the reason in the PNB for the last three

years. I think that growth momentum will be there and I can assure you that the profitability

which is there in the system, I think definitely that is going to continue. This is the core strength

of the balance sheet of our Bank and the profitability part, definitely it is a very, very core

strength is there now. And that is the reason Bank is able to maintain the NIM in the range of

2.9% to 3%. The reason being is that the provision coverage ratio is already ~ 97%. So, almost

the entire book is already provided. So, today, whatever recovery that happens, either by way of

write back of provision in the GNPA recovery and in the TWA, whatever we are covering it, it

is directly adding to my operating profit. And despite around Rs. 700 crore dip in the recovery

in the TWA compared to the previous quarter, we are able to maintain the NIM at this level now.

And if you see our recovery, which used to happen every quarter, in the TWA itself is more than

Rs. 1,400, Rs. 1,500 crore. Even if that has not happened, but we are able to maintain that NIM

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and the NII and all those key ratios. So, I think that is one strength which is there in our Bank is we have Rs. 91,000 crore of technical written off accounts. So, there is enough cushion for us to recover it and maximize our operating profit, thereby maximizing the net profit of the Bank. So, that is going to continue. And I am very sure that in the coming quarters and the years also, the profitability part, all of you should rest assured that it is going to happen now. Your related question is the credit cost, which I am already covered now. Since already provision coverage ratio is 97% and I am seeing for the last three quarters, our recovery is higher than the slippages. And when I am talking about recovery, the recovery in the gross NPA, not in the TWA recovery, recovery in the gross NPA and the upgradation which is happening in the gross NPA, that itself is higher than the slippages to the tune of around Rs. 100 to Rs. 200 crore. So, in a true sense, there is a good write back of provisions are happening and that is one of the reasons that my credit cost is very -very low and this trend is going to continue in the coming quarters also.

Mahrukh Adajania: Got it sir. Thank you so much. Thank a lot.

Moderator: Thank you. The next question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Thanks for the opportunity. Congratulations, Ashok Chandra sir, for coming and heading the largest, I mean, the next State Bank of India, Public Sector Bank, with over, I think, Rs. 26 lakh crore business. And with you being there, yes, we are, again, reassured that PNB will have almost come back and will come back further and will reach to its previous glories. You are a class master. And on that note, I wish you all the best here in this Bank. Having said this, sir, again, my question on the Mahrukh's a little more extended this thing that in PNB, even in this quarter also, both your business growth, I mean, credit and deposit growth has been phenomenal. I mean

, so far, whatever results are declared of the other Bank. Hello, am I loud?

Ashok Chandra: Yes, very clear.

Ashok Ajmera: So, on the credit front also, it is 4.56 in this quarter and on the deposit front also 4.75. And overall also, if you look at the nine months also, it is over 12 %, almost 13 %. So, sir going forward, are we going to maintain the same tempo for the overall business growth, especially the credit growth with you being there, and what kind of target we can look at. That is my first question. And the second one on this other income has come down from Rs. 4,572 crore to Rs. 3,412 crores, other income in this quarter. I couldn't go much in detail because I was traveling and I just landed in Mumbai. So, on that, is it anything one time or it is going to be maintained the same tempo of having a larger income? Because from the written off account, recovery this time is only Rs. 823 crores as compared to the last quarter of Rs. 1,404 crores. Maybe this may be the main reason. And sir, on the third question. You already covered that digital footprint and PNB also going very aggressive on digitization. So, what is the exact status today and how many journeys have been completed and what kind of plan we have for making this Bank fully digitized not only in the retail but in all kind of businesses?

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Ashok Chandra: Thank you, Ajmera ji. And first I will touch the credit growth part. Yes, this quarter and this entire year, there has been good growth and the deposit has grown by 15.60% and advances 14.8% growth is there in YoY. And QoQ also, what you have told is that is the fact. I am expecting that the credit growth will continue to move in the range of 13 % to 14 %. I think that will continue to have that because we have already 1.3 trillion corporate book sanctions are in place. And I am expecting that in this quarter and the subsequent quarter, all these books are going to be availed by the corporates. So, there is going to be good growth in the corporate segment. At the same time, we are going to have very focused attention and activity for the RAM sector now. Because that is one area I have seen that the MSME segment if I talk about, we have grown in the single digit and we are going to put a lot of focus on the RAM activity and you will see that in this particular quarter, there will be a good growth in the MSME segment particular and the overall retail also will grow substantially. So, I am expecting that my credit growth will flow in the range of 13 % to 14% in this particular year as a whole. Second part is the other income. See, other income there are two components which has brought down the operating profit. First part is the technical write-off, you have touched this point compared to the last quarter and subsequent previous quarters also. We used to have around 1,400 to 1,700 crore recovery in the technical write-off accounts. But this quarter, it is a very muted recovery that has happened in the TWA. And the TWA recovery is Rs. 823 crore against Rs. 2059 crore in subsequent, means last year, FY'23-24 and 1,404 crore in Q2FY25. So, that is one of the reasons why our operating profit has come down and other income also it is appearing less. Second reason is the MTM provision. I think this quarter it has affected in the negative, whereas in the

last quarter, we were Rs. 700 plus crore positive. So, that has also put a dent on our other income. And I am expecting that some situation change should happen in this particular quarter, even if we are not going to be positive, at least some changes should happen in this portfolio in this particular quarter. But retain of account recovery, definitely that is going to happen in a very, very big way in this particular quarter because we have Rs. 91,000 crore of the technical write-off book now. And there are a lot of the accounts w

here resolutions have happened. We were expecting the recovery to come in this quarter. I think those accounts are getting matured, and definitely in the upcoming quarter, we should have a TWA recovery of around minimum 1,500 to 1,600. And already I have seen that targeted accounts are there and it is going to happen now. Your third part is the digital footprint. See both side, one is the liability side and the asset side. Bank is in a very active status now. We have more than 2 crore logins and the activation is there of our PNB ONE mobile app. It is a big number, and I am seeing that the transactions which are happening, that is also almost doubled or tripled in the last one year if I talk about. The average daily active users on that mobile app is 13 lakh. It used to be 9.5 lakh. And if I talk about the average daily UPI transactions, last year during the same period it was 37,000. This year it is Rs. 1,23,000. That is the transaction that is happening now. So, I think if we see the transactions which is happening that reflects that digital footprint of our Bank has become very strong. So, this is about the liability side and if I talk about the lending side, asset side, a Bank has already created the lot of journeys up to 25 lakh. We are one of the few banks who have started cash flow based digital journey for MSME now. Even if the MSME, those who are not having any balance sheet or any documents based on their transactions happening in that account, their credit score model, the system is inbuilt and it is totally end to end up to 25 lakh. And it is both for the existing customer as well as the new to Bank customers. This is one journey which we have
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started just last month. Besides that, all our digital footprints in the MSME segment, this one is the 25-lakh segment, then MSME SVANidhi scheme, MSME Vishwakarma scheme, I think already all those things are under the digital footprint. We also have the PAPL, the personal loan. That is also against the digital, by reading the account statement and other footprint which the customer had. We are also doing that. I think we have also initiated the process of renewal of our MSME book. I think that journey has also started and all of us know that up to 25 lakhs, highest number of accounts under that particular segment, not only in our Bank, in the banking sector as a whole. So, that renewal part up to I think 10 or 25 lakhs, that already 25 lakhs. Up to 25 lakh renewal through the digital footprint already we have started. And besides that, we have also strengthened our data analytics center. We have created a lead management system and lead management portal is there. So, any customer who is banking with us, we are analyzing their transactions in the account, and we are giving the lead to our branches to follow up for the further loan requirement of that particular customer. So, I think a lot of initiative Bank has done and going forward, I think Bank is poised for digital transformation. So, that is all I can talk about the digital things that are happening in the Bank. Thank you.

Ashok Ajmera: Point well taken, sir. Just last question in this round. Sir, we have this thing at this time, it is in the provision, we have negative Rs. 285 crore as compared to Rs. 288 crore in the last quarter. Whereas in NPA, we have Rs. 318 crore provision. So, in all the effect of about Rs. 602 crore. So, going forward, how do we see the provisioning on account of overall provision, including NPA? And do you have some additional buffer left to be a zero provision Bank, which will add up to our bottomline further? And we will be a Bank of about Rs. 22,000 crore profit in this whole financial year.

Ashok Chandra: Thank you very much for such an ambitious figure which you are giving now. But yes, I can assure you that as far as the provisioning of the

Bank is concerned, Bank is adequately provided.

We have 97% of provisions are there. And if I talk about the tangible provisioning, that is, if I exclude that TWA provisioning, still we have more than 90% of provision in the GNP A also. So, that gives the cushion for the Bank to reduce the credit cost. And the write back of provisions are going to happen in the subsequent quarters also. It is not that one particular quarter this phenomenon has happened. I think definitely the write back of provisions will be there, negative trend will continue further now. Now this additional provision which we have made, which you are talking about is Rs. 318 crore. This is for reducing the net NPA which we have made the provision. And that is one of the reasons our net NPA has subsequently has come down compared to the last quarter.

Ashok Ajmera: Yes sir. Will the moderator permit me for one more question?

Moderator: Yes sir, you can go ahead.

Ashok Ajmera: So, that is, I want to ask to give some color on the treasury operations. Our segment wise result

if you look , the treasury profit has come down from Rs. 3339 crore to Rs. 2780 crore. That is for the segment wise. But overall, since the treasury is very active, and must be making a lot of good deals and good profit. So, in this coming quarter also, whether treasury performance and with Punjab National Bank
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the little sign of rates coming down, how do we stand on the treasury front and how much more the treasury can add to our bottomline in the coming quarter so as to make FY25 as Rs. 22,000 crore profit by itself pre-tax?

Ashok Chandra: I think if I can talk about this particular quarter and because we will have to wait for the MPC to be announced and how it pans out. But two, three decisions which the RBI has taken last week, I think that is going to add to the profitability part of the treasury. One is that open market operation, that Rs. 60,000 crore which has been announced, I think definitely that is going to add to the kitty of the treasury. I think I am expecting some rough calculation is there around Rs. 150 crore plus should happen on account of this transaction. And liquidity front also, yes, liquidity front also. So, that will also ease my cost of deposit. So, I think we need to wait for the further announcement. One is the budget and the second is the MPC, how it happens. And I am expecting that the performance, which is there in December quarter, there will be some improvement in the treasury performance in this particular quarter .

Ashok Ajmera: Thanks a lot, sir, and all the best to you. Yes, definitely we will see PN B growing more faster and healthier in the coming quarters. Thank you.

Ashok Chandra: Thank you. Thank you, Ajmeraji.

Moderator: Thank you. The next question is from the line of Jay Mundra from I-Sec. Please go ahead.

Jay Mundra: Hi, good evening, sir, and congratulations on good numbers and also on your appointment as MD & CEO of the Bank . Sir, I have a few questions. First is that I just wanted to check the other interest income this time around, which is Rs. 500 odd crores. Does this include any IT refund or any one-off receipts?

Ashok Chandra: Yes, there is one IT refund component is there. I think Rs. 350 crore, one component is there in this.

Jay Mundra: Okay, sure. And the second thing is, sir, if you can also talk about the total SMA of the Bank , including below 5 crores ticket size ?

Ashok Chandra: See if I talk about the SMA -1 and SMA -2, I think 5 crore already it is disclosed, it is already there with all of you. And if I talk about the SMA -0, 1, 2 for the entire segment, it is in the range of around 7%.

Jay Mundra: So, total 0 plus 1 plus 2 is 7% of the overall loans, right?

Ashok Chandra: Yes.

Jay Mundra: And would you have the bifurcation also, sir? 0 is how much, 1 is how much, and 2 is how much?

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Ashok Chandra: The highest of that is under the SMA -0 segment. SMA -1 and 2, it is in the range of around 4%. So, I think SMA -0 is the highest. And if I can give you the number, Rs. 49,522 crore is SMA -0. And SMA -1 is Rs. 15,000 crore. And SMA 2 is 13,000 crore. And this SMA -0 also, there are most of these accounts under the retail segment. And because of the repayment period which is creating the system and the actual repayment that happens, there is a delay of around 1 week, 10 days' time. And that is one of the reasons SMA -0 book is a little high. So, we are putting some system in place so that this book also gets reduced. But SMA -1 and 2 itself only if I take and in fact that is one of the concerns for any Bank that is well within our tolerance limit now.

Jay Mundra: Okay, sure. Sir, within this, with this set of SMA numbers, at maybe at 7% and maybe 4% of 1 plus 2, are you confident on sustaining this current Rs. 1700, Rs. 1800 crores kind of gross slippages ? Or you think there is a chance that it may go up?

Ashok Chandra: No, I am very much confident because this is not one of the performance of this quarter. If you can track for the last 1.5 years, quarter -to-quarter, reasonable slippages have happened and all are in the almost in the same range. So, 1,600 -1,800 like that only the slippages are happening and we are very confident that we will be able to retain this slippage in the same range.

Jay Mundra: Right. Sure. And sir, we had also created floating provisions in this quarter, right, some Rs. 250 odd crores. What is the policy? I mean, how do you, is this ad hoc provisions or there is some formula -driven policy in creating these provisions?

Ashok Chandra: There is a proper guidelines there, and RBI also permits to have this floating provision. And we have the board approved policy also. And under that provision set up only, this provision has been made. So, this is a floating provision. And as and when it is required to be made for any particular account, we will use that provision for that particular purpose.

Jay Mundra: And we do not make any provisions on SMA -1 or SMA -2, right? That is not the policy as such. Ashok Chandra: We don't provide for SMA book, but if it is any restructuring, if we are doing it, then definitely we are supposed to make some provision. And any account, I think all of you know that 7th June circular, if any accounts are there, and any restructuring under that 7th June circular, if it is there, then we are also supposed to make provision under that particular account.

Jay Mundra: Right. Sir, coming back to net interest income, so if I strip this Rs. 350 odd crores of interest on IT refund, then the margins decline by 8, 9 basis point, right, on QoQ basis. And in fourth quarter, as you step up on corporate loans, the margins may again sort of soften, right. So, how should one look at the NIM trajectory? Because this quarter, of course, it has been aided by one-off of this interest on IT refund. And as you go along growing corporate book also, how should one think of NIM?

Ashok Chandra: I will give you two parts in this. One is we are repricing our corporate book. That is one strategy we have already initiated. And there are, I think, around Rs. 10,000 crore which renewals or repricing it came and we have gone for some modification in the pricing and it has already

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happened. So, that is one strategy we are going to put in place in this particular quarter so that our yield on advances in this particular quarter should improve from the existing level. That is one strategy which we are doing it. Second is we are expecting that treasury income in the interest income also, some improvement will happen in this particular quarter. And as far as this one-off provision of this income tax, see it

is also happens on a regular basis also. It is not that one time it has happened. We will have to see that in this quarter also, maybe we would like to get some part of this income tax refund also and that will be a part of this setup. All put together, whatever contribution that has come through this particular setup, I think that will make good the loss which you are suggesting that it will not happen and if that doesn't come how it will happen. I think these things will take care of that part.

Jay Mundra: Right. And sir, any ballpark number that you will envisage for FY26 on ROA front, would you like to sustain this 1% trajectory that we have achieved in the last two quarters? Or, you know, because as we go along in FY26, there is a rate cut, which will depress margins for all banks, including PNB. How should one think of the ROA for FY26?

Ashok Chandra: As of now, the guidance which we have given for this financial year, that is 2.9% to 3%, that we are definitely we are going to achieve and we will cross that. Let us wait for the important events which are already there in the system, budget announcement plus the MPC, how it happens. And further we need to have a strategy meet and board strategy discussion and what will be our plan of growth for deposits, advances, and all those different parameters. And then only we can, I think we can disclose that what is the growth and what is the NIM which we are envisaging in 25-26.

Jay Mundra: Fair point, sir. If I can just ask one data point, sir, what is the NPA recovery that goes to NII line item for this quarter? I mean, the NPA recovery that goes to interest income, not in the other income, but interest income, how much is that amount in this quarter?

Ashok Chandra: That is around Rs. 645 crores, both from the GNPA recovery side also, interest component it has gone, and from the TWO recovery side also, some part has gone to the interest income. And that is also every quarter, I think 500 to 600 we are able to recover that.

Jay Mundra: So, Rs. 645 crore in this quarter. And maybe if you have the number for last quarter, sir, that will be very, very helpful to just get a sense?

Ashok Chandra: I will tell you. 606, sir.

Jay Mundra: Okay, so it's not too much change, right?

Ashok Chandra: It will not change, sir, because whatever recovery we are doing, some part of that recovery goes to the interest income side and then it gets reduced to the book balance.

Jay Mundra: Sure, thank you so much, sir, and all the very best.

Ashok Chandra: Thank you.

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Moderator: Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Yes, hi, sir. Could you hear me, sir?

Ashok Chandra: Yes, please.

Rakesh Kumar: Congratulations, sir, on the new assignment.

Ashok Chandra: Thank you.

Rakesh Kumar: So, a couple of questions, sir. Firstly, like, even with quite good deposit growth that we had this quarter of around 4.9%, TD cost has not gone up on a sequential basis. So, in case of other banks,

especially in the PSU banks also and the private Bank also, we saw that even banks not having much deposit growth, they had witnessed deposit cost rise. So, what is happening differently in our case because that protected our margin this quarter ?

Ashok Chandra: See, one is we are able to mobilize a sizable amount under the retail term deposit. And we have one special scheme of 7.25% for more than one year. And we are able to mobilize a good number of amount under that particular bucket. And you also know that we are one of the largest Bank under this CASA segment, Rs. 5,62,156 crores is our portfolio under CASA. And it is next to State Bank of India that is the highest CASA which we have now. And there has been growth also in the CASA despite having such a large base. There is a growth of around 2

. 7% that has

happened in the CASA segment. So, all those put together, we are not seeing much strain on our NIM.

Rakesh Kumar: Got it. And secondly sir, like looking at your bifurcation that we have given in EBLR, MCLR, T-bill and all. So, T-bill composition if I see, it has gone up from 8.4 % to 11 % and if I look at the like domestic industrial loan growth that is around approximately 3.5 % sequential. Against that growth if I see or maybe against that composition change of the credit if I see the composition change of the lending rate benchmark, especially on the T-bill which you might have used for corporate lending has gone up sharply. And for MCLR it has come down. So, have we changed our benchmark for corporate lending and like there is pressure coming from corporate borrowers in terms of pricing ? So, if you can clarify, sir.

Ashok Chandra: There is no pressure from the corporate side. It is a conscious decision of the Bank when we had the liquidity. And with a thin margin also, we are able to rotate our fund and make good of that particular fund. And that is the reason if you see the TBLLR, the growth, substantially it has gone up. So, for the 31 days, 45 days, 90 days period also, through our short-term loans, WCDL, we are making good money out of that. So, one is that we are getting the funds, shorter fund also, and we are able to deploy those funds in that particular segment, and we are able to make good money out of that. So, this is the conscious decision Bank has taken. It is not because of the strain in the system.

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Rakesh Kumar: But it looks very contrary, sir, like our reported margin is looking flat, but we have gone on the T-bill pricing. So, where else have we made surplus margin to make up for the loss when we are doing corporate lending on the T-bill?

Ashok Chandra: No, it is not like that because we are also doing some repricing of the corporate book which we had given below 7%, there was some which we had given 0.7 %, 0.25% also. So, some price adjustments we are doing there also and wherever there are opportunity to make the good of the surplus which we are having or the overnight borrowing which we are doing it. We are also using that fund on a regular basis for the WCDL and all for making the, even if some small spread is there, we are able to make some good money out of it.

Rakesh Kumar: And sir lastly, on the AS 15, we had Rs. 2,060 crore provision in the Q2. This quarter, we have Rs. 1,400 crore. So, during the nine months for this fiscal year, have we changed our discount rate for either gratuity or pension because last quarter, we made quite high provision on the ad hoc basis. So, if you can help us, where are we on that?

Ashok Chandra: See, generally, AS 15, the provision happens and we decide in the beginning of the financial year. March, the actuarial calculation happens and based on that calculation, we make the provision in the very first quarter and subsequently, subsequent quarters also, we go by that. But when we saw that there is a dip in the yield which is happening and based on that, I think, 7.78 %. So, there was some 30 paise dip was there in the yield. So, because of that, we recalculated our actuarial provision. And then we found that there is excess provision has to be done in the September quarter. And that is the reason we have gone for some higher provision in the September quarter. And that point of time, we calculated that the entire year, I think it was 5,600 was the total provision that was required for the entire year based on the calculation in the month of September. And accordingly, we have worked the calculation and we have done the calculation for this quarter for to the extent of Rs. 1,400 crore. If the same situation remains as it is, and we are expecting almost the yield will remain the same, then in the March quarter also,

we will require to have the provision of only Rs. 1,400 crore.

Rakesh Kumar: So, it means, sir, at the current yield of around 6.7% in your G -Sec yield, and we had a discount rate of 7.2% on March '24. So, we would not be required to make any further change in the discount rate like what you are assuming right now ?

Ashok Chandra: Absolutely.

Rakesh Kumar: And what is that discount rate numbers are now that we have?

Ashok Chandra: 6.75 we have done in this particular quarter .

Rakesh Kumar: For gratuity and pension both?

Ashok Chandra: Yes, both.

Rakesh Kumar: Thank you so much, sir. Thank you so much and all the best.

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Moderator: Thank you . The next question is from the line of Aditi Nawal, an individual investor, please go ahead.

Aditi Nawal: Hello. Am I audible? Hi, thanks for the opportunity, and congratulations on your appointment, and congrats on the quarter result. I just had one question. So, it is regarding your recovery that you've been guiding to the tune of around Rs. 18,000 crores. Now until Q3, we have done around Rs. 11,500 odd crores of recovery. So, now, as I run some calculations and also with the guidance that you've provided that in Q4, we'd be expecting TWO recoveries to the tune of Rs. 1,500 to Rs. 1,600 crores. I still am able to calculate some shortfall of around Rs. 2,000 to Rs. 2,500 crores in the recovery amount. So, could you just help me with whether we will be able to meet the target of Rs. 18,000 crores, or there will be some softening on that?

Ashok Chandra: Yes, we are aiming for Rs. 18,000 crore, but with a conservative estimate, I can tell you that in this particular quarter, we should be in a position to mop up the recovery to the extent of around Rs. 5,000 to Rs. 6,000 crores. Because there were some recoveries which we are expecting in the last quarter to come. There were some bigger accounts where there which didn't materialize. Generally, in the corporate recovery, it happens like this. But all those recoveries are, we are expecting that I think in this quarter and some bigger recoveries are going to come in this February month itself now.

Aditi Nawal: So, I think Rs. 5,000 odd crores of recoveries in TWO as well as write back of provisions?

Ashok Chandra: Both which is going to happen.

Aditi Nawal: That will be it from me. Thank you so much.

Moderator: Thank you. The next question is from the line of Sarvesh Mutha from AGFR Financial Research. Please go ahead.

Sarvesh Mutha: Hi. Thank you for the opportunity. Sir, I had a question on the tax rate. We have a tax rate currently of around 34.5%. Now going into FY26, do we plan to migrate to the 25% tax rate anytime next year?

Ashok Chandra: We are estimating and we are planning now to decide in the 25, 26 at any quarter, depending upon our position. I think definitely we would like to move to the new regime.

Sarvesh Mutha: Okay, and sir, on margins, you had said that you will be maintaining the 2.9 % to 3% margin. Now, if we look at FY 26, now there could be a couple of rate cuts during that year. Do we think that this 2.9 % to 3% could be held even for FY26 as well?

Ashok Chandra: We will have to see that what sort of the announcement comes from RBI side and how the budget announcement comes, what are the provisions that come. And then we will take a call that what is the business model which we are going to adopt. And see, whenever the repricing happens, the repricing will happen on the deposit side also. I think we will take care of the margin part,

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even if the rate fall happens. I think we will declare and we will announce that what is our guidance for 25 -26 by end of this financial year.

Sarvesh Mutha: Thank you. Thanks for the opportunity. Thank you.

Moderator: Thank you. The next question is from the line

of Krish Shah, an individual investor. Please go ahead.

Krish Shah: Hi sir, I have two questions to ask. So, first is, are we looking to do anything to improve our CASA growth because as I observed, banks are in some sort of an interest rate war going on. And second would be on operating expense cost. Are you going to follow this circuit and how much are we investing in digital? That's it.

Ashok Chandra: The first is the CASA growth. See, our assumption is that in CASA, interest rate doesn't make much difference. And the interest rate which we are offering already, it will continue. And there will not be any interest rate changes that are going to happen in the CASA front now. And as far as the growth is concerned, we are mindful of that, that today if we want to initiate and grow in the CASA front, a lot of initiatives are required. One is that how much additional facilities which we are offering in the particular CASA product, whether we have the segment-based CASA products, all those things we are going to review in our Bank also. And we will have the best probable facilities which are being given by the different banks. Definitely, we are going to adopt in our CASA products also. So, we will be very, very competitive as far as the CASA is concerned. And being the major presence in the North and North Eastern states, we have the locational advantage also as far as the CASA growth is there. So, I think that piece we are not going to miss. And we will be one of the market leaders in the CASA growth front now. And

operating cost-wise, see, one cost is almost it remains fixed and flat. That is the employees related cost. There may not be any changes which we are envisaging in this coming quarter also and going forward also. What we are going to put emphasis on that, how much improvement we can do it in the non-interest income part. There are a lot of avenues are there and which we are discussing at Bank level. One is that the cash management services, we would like to explore that how much income we can generate through that activity. Supply chain, vendor management, that is wonderful opportunities that is there in the system and the Bank has just initiated that process for the supply chain and vendor financing. So, I am seeing that wonderful opportunity for this two segment which will increase our non-interest income and thereby the operating income and operating profit, I think that we will be able to sustain, and we will be able to grow.

Krish Shah: Thank you so much sir. All the best.

Moderator: Thank you. The next question is from the line of Farz Patel, an individual investor, please go ahead.

Farz Patel: Hi, sir. Sir, my first question is around the provisions you hold for the SMA, the standard, and the restructured book put together. So, the non-NPA part, how much provisioning are you holding in total for that? And the second question is, sir, around this year, we are seeing Rs.

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18,000 crores in terms of NPA recovery. But if you just look at the TWO recovery, you said you have Rs. 91,000 crores of TWO book. So, next year do you think that the TWO recovery will be more than FY25, less than FY25. Do you have any number in mind?

Ashok Chandra: See, one is first your provision part. See, in the standard account provisioning, there are only two ways which we do. One is the normal RBI mandate is there for making the provision, I think 0.40% which we are supposed to do that, we do that. And wherever the restructuring that has happened in the standard account, see one is the OTR 1 book, OTR 2 book, and the normal 7th June circular any restructuring has happened. In those accounts only we are supposed to maintain the provisioning norms and provisions. So, other than the guidelines, we are not supposed to maintain any provision for the standard book. But we have around Rs. 750 crore

of floating

provision, which we are holding it, and whenever it is required to be used for any purpose, we are going to use that provision. So, we are a well-capitalized and well provisioned held Bank now. So, there is no challenge as far as that part is concerned. Your second question was the TWO recovery. See the book is so high that I am expecting that not only this quarter, going forward also Bank is going to have a good recovery under the TWO because 91,000 is a big book and we have Rs. 54,000 crore of NCLT book and all these NCLT book which we are holding it, it is under the TWO now. So, this 54,000 out of 91,000, definitely it is going to be realized in the next year or the subsequent years also. So, that is the opportunity which is there in the system for the Bank to get back that recovery. So, I am very hopeful that the TWO recovery will continue to bring the good income for the Bank.

Farz Patel: Got it, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Parag Thakkar from Fort Capital. Please go ahead.

Parag Thakkar: Congratulations for new assignment, and congratulations for a good set of numbers. As everybody is expecting, the rate cuts are going to happen, and so there will be some margin compression. But don't you feel that because you have a CD ratio of 72% only. And if the system liquidity improves due to RBI steps, like as you mentioned, VRR and OMOs, the growth will also be better?

Ashok Chandra: Yes, I fully agree with you, sir. We have enough cushion for growth now, having 72% of the CD ratio and 15.41% of the CRR. And the profit which we are holding it, we have enough cushion to grow in the system. And if further rate cut happens, I think opportunities will be immense for the corporate also to come forward and avail the facilities.

Parag Thakkar: Sir, do you feel like growth will abstract whatever little bit margin contraction which happens due to interest rate cuts because as you very rightly say deposit will also get repriced, but there will be some lag effect right?

Ashok Chandra: Yes. So, we will have to see what is the rate cut that is being offered and that happens in this particular quarter when the MPC happens and I think see in a shorter time one quarter, two

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quarter, definitely there will be some impact. If I say that no impact will be there, I will not be doing justice to that. So, there will be some impact, but whatever happens, the impact for this quarter will be very, very minimal. I think with the growth in the credit pipeline, which we are holding it, I think that should offset the effect of the rate cut, which is going to happen. So, in

this particular quarter, I am not seeing any major impact of the rate cut, even if it happens.

Parag Thakkar: And sir when you say 13 % to 15 % loan book growth , you have said for FY 25 or for next year 26?

Ashok Chandra: No, see our guidance for this year is 11 % to 12 % of the loan book now and I am expecting that our growth will be in the range of 12 % to 13 % in the Financial Year '25 .

Parag Thakkar: Correct and 26 you are saying ?

Ashok Chandra: 26, I have not told anything and we need to wait. See, there is a process for fixing the number for the next financial year and somewhere in the first week of March , we will have the board strategy meet and then we will decide the growth path , what is the profitability which we are going to fix up? What will be the NPA number and the guidance we will give at the end of the financial year to the analyst and everybody that on the 13 basic parameters where we want to place our Bank in 25 -26.

Parag Thakkar: And sir when you say that out of your technically written off Rs. 91,000 crore, Rs. 54,000 crore book is in NCLT. So, how much portion of that you expect to recover? For example, if it is in NCLT and the site is m

onetized, what is your general assumption that out of this Rs. 91,000

crore or say Rs. 54,000 crores which is in NCLT , based on your assessment, what is the total recovery amount? Of course, it will come over a period of time, not necessarily next year itself, but what is your general assessment on that?

Ashok Chandra: See, in this particular quarter, the recovery through the NCLT is only Rs. 380 crores in Q3 and I am expecting the accounts and the resolutions which are maturing now. I am expecting around Rs. 570 crore recovery through the NCLT route in this particular quarter. And through NARCL route also, we are expecting around Rs. 500 crore of recovery in this particular quarter. So, if I can put it, because this Rs. 54,000 crore is NCLT also and there are some accounts which are in NCLT but getting resolved through the NARCL. So, both put together , I am expecting that a recovery of around Rs. 1000 crore from the NCLT and NARCL and this entire book will be the TWO book.

Parag Thakkar: Okay. And there is another number which you said Rs. 1400 to Rs. 1500 crore of recovery, right, in Q4 ?

Ashok Chandra: That is the TWO recovery I was talking about. That is the TWA recovery. So, Rs. 1,000 crore through NARCL and the NCLT , that is a part of the 1,400 or 1,500, which we are aiming to do it in the Q4 quarter.

Parag Thakkar: Okay, so total recovery number is 1,500 ?

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Ashok Chandra: Total 1,500 under the TWA, and total recovery in this particular quarter, we are expecting around Rs. 5,000 to Rs. 6,000 crore.

Parag Thakkar: Okay, thanks a lot sir. All the best.

Moderator: Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Thank you. Thank you for the opportunity again. So, just one question, sir. On the provision line, we have a write back in the investment depreciation. So, what is this number of Rs. 190 crore pertaining to write back ?

Ashok Chandra: Yes, that is the recovery in the one account is there. See, there has been a write back of provision that has happened in a few of the accounts and that is the reason there is a provisioning the credit cost and if you see that is the impact of that money, the write back of provision has gone up now.

Rakesh Kumar: Yes, how many accounts that we have for kind of this must be non performing investment where the recovery has happened. So, like how many accounts are there and from which sector if you can help us understand ?

Ashok Chandra: Yes, there are two ways of write back of provision happens. One is when we recover the amount of the NPA account under the GNPA, it comes back as a write back of provision. And in the TWO whatever recovery happens, it directly goes to the operating profit. So, this is one way of write back of provision. Second write back of provision which has happened in this particular quarter, generally that happens is in the restructured book we are supposed to maintain the provision. Now if that account becomes the standard account once again, it gets revived, then that provision we have to roll it back. And that is the provision which has been rolled back and that has come as a write back of provision. So, a standard account also because of the restructuring, whatever provision we do that, and once after the timeline provided in the restructured account, if that timeline meets and the account behaves properly, that provision we need to reverse back. So, there are two ways of write back of provisions.

Rakesh Kumar: Yes, correct. So, like referring to that notes to accounts where you were talking about the resolution for stressed asset whether we have written back around Rs. 320 crores. So, that is one write back of provision of Rs. 425 crores this must be included there and over and above we have another investment depreciation or NPI write back.

So, how many accounts?

Ashok Chandra: NPI write back is that Rs. 190 crore on account of the NPI write back. That is because of that it has happened. On account of OTR write back, it is Rs. 81 crores. Second, the third point is the 7th June circular, there were some accounts where Rs. 447 crores write back has happened. So, these three things put together, the write back provision has happened in the system.

Rakesh Kumar: Okay, and what is the continuity possibly if you have anything because discussions must be going on such larger accounts, so any visibility we have for fourth quarter such kind of recoveries or write backs?

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Ashok Chandra: Definitely, the write back of provisions, definitely it is going to happen in the system and we are also expecting that both in the NPA side and the non-NPA side, the standard account side, I think Rs. 300 to Rs. 400 crore write back of provisions will happen in this quarter also.

Rakesh Kumar: Understood sir. Okay, great sir, great. Thank you sir, thank you and all the best sir.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.

Ashok Chandra: So, thank you very much to all the esteemed investors and the analysts for reposing your faith and confidence in Punjab National Bank. On behalf of the top management and the entire PNB family, we assure you that we will continue to have the robust growth. We will continue to have the robust operating profit, net profit and all the financial parameters, you will see that there will be continuous improvement. Thank you very much.

Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

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#JustOneRpp

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Date:13.05.2025

DearSir(s),

Reg.:TranscriptoftheEarningsCallwithAnalysts/InvestorsonFinancial

Resultsforthequarter/yearended31stMarch,2025

PursuanttoRegulation30oftheSEBI(LODR)Regulations,2015,pleasefind

enclosedthetranscriptoftheEarningsCallwiththeAnalysts/InvestorsontheAudited

FinancialResultsforthequarter/yearended31stMarch,2025heldon07.05.2025.

Thesameisalsoavailableat<https://www.pnbindia.in/financials-current.html>.

Theaboveisforyourinformationandrecord,please.

ThankingYou

Yourssincerely,

(BikramjitShorn)

CompanySecretary

Encl.:Asabove

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"Punjab National Bank Q4 FY'25 Earnings Conference
Call"

May 07, 2025

MANAGEMENT : MR. ASHOK CHANDRA - MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER , PUNJAB NATIONAL BANK

MR. KALYAN KUMAR - EXECUTIVE DIRECTOR ,

PUNJAB NATIONAL BANK

MR. M. PARAMASIVAM - EXECUTIVE DIRECTOR ,

PUNJAB NATIONAL BANK

MR. BIBHU PRASAD MAHAPATRA - EXECUTIVE

DIRECTOR , PUNJAB NATIONAL BANK

MR. D. SURENDRAN - EXECUTIVE DIRECTOR , PUNJAB

NATIONAL BANK

MR. DILIP KUMAR JAIN – CHIEF FINANCIAL OFFICER ,

PUNJAB NATIONAL BANK

MODERATORS : MS. PALAK SHAH - ELARA SECURITIES INDIA PRIVATE
LIMITED

Punjab National Bank

May 07, 2025

Moderator : Ladies and gentlemen, good day and welcome to Punjab National Bank Q4 FY '25 Earnings Conference Call hosted by Elara Securities India Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Palak Shah. Thank you. And over to you, ma'am.

Palak Shah: Hello, everyone. And welcome to Q4 FY '25 Earning Conference Call of Punjab National Bank.

Today, we have with us the entire management of Punjab National Bank, headed by Mr. Ashok Chandra, MD & CEO ; Mr. Kalyan Kumar, Executive Director ; Mr. M. Paramasivam, Executive Director ; Mr. Bibhu Prasad Mahapatra, Executive Director and Mr. D. Surendran , Executive Director.

With this brief introduction, I would like to hand over the call to Mr. Ajay Singh, General Manager, to read out the disclaimer statement, post which MD sir will address the conference call. Thank you and over to you, sir.

Ajay Singh: Good afternoon, everybody. The disclaimer :

This representation contains certain forward -looking statements apart from historical information. These forward -looking statements involve a number of risks, uncertainties, and other factors that could cause actual results to differ materially from those suggested by the forward -looking statements. Punjab National Bank under takes no obligation to update forward -looking statements to reflect events or circumstances after the present date.

Thank you.

Ashok Chandra: Good afternoon. I am Ashok Chandra, MD & CEO of Punjab National Bank.

I will just give the snapshot of our performance for the Financial Year '24-'25.

First, I will touch the business performance :

Global gross business of the Bank stood at Rs. 26.83 trillion as of March '25 with the yearly growth rate of 14%. The global gross deposit stood at Rs. 15.66 trillion with a YOY growth rate of 14.4 % and global advances stood at Rs. 11.17 trillion with a YOY growth rate of 13.6%. We are well above our guidance for deposit as well as the credit growth rate, which was 9 % to 10 % for deposit and 11 % to 12 % for credit. CD ratio of the Bank is comfortable level at 71.28 % as of March '25.

Profitability performance :

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Coming to the profitability numbers :

The net interest income stood at Rs. 42,782 crores with a YOY growth of 6.7% for Financial Year 2024 -'25. NII has reflected marginal dip in Q4 on account of the immediate impact of policy rate cut on asset side.

Our domestic NIM is at 3.08 % for Financial Year '25, whereas the global NIM stood at 2.93%.

We are in line with our guidance for NIM at 2.9 % to 3% for Financial Year '24-'25. The operating profit for the Financial Year '24-'25 is Rs. 26,831 crores which has improved from Rs. 24,931 crores in Financial Year '23-'24 with a growth rate of 7.6%.

Our quarterly operating profit is Rs. 6,776 crores which has improved from Rs. 6,416 crores in the same period last year with a growth rate of 5.6%. The net profit for the Financial Year '24-'25 is Rs. 16,630 crores, recording a YOY growth of 101.7% compared to FY '23-'24 at Rs. 8,245 crore. For the March quarter, net profit stood at Rs. 4,567 crore against the Rs. 3,010 crore in Q4 '23-'25 with a YOY growth rate of 51.7%.

Key Ratios :

The return on asset stood at 1.02 % for Q4 Financial Year '25 and 0.97 % for Financial Year '25, achieving the guidance for Financial Year '25. Return on equity is 19.23 % for Q4 Financial Year '25 and 19.33 % for FY '25.

Highlights of our asset quality :

Bank has done very well under the entire NPA m

anagement and the preventing the fresh

slippages. As far as asset quality is concerned, our gross NPA has reduced from 5.73 % in March '24 to 3.95 % in March '25. Similarly, the net NPA percentage, which was 0.73 % in March '24 has improved to 0.40 % in March '25. Guidance for Net NPA was below 0.5 % for '24-'25 and we have crossed that guidance.

The PCR of 95.39 % in March '24 was improved to 96.82 % in March '25, which is well above our guidance of more than 95 % for FY '25. Total fresh slippages during FY '25 was Rs. 6,761 crore and Rs. 3,001 crore in Q4. Our guidance for slippage ratio was to remain below 1 % in FY 2025. We are within the guidance and it is at 0.73%. The total recovery stood at Rs. 4,733 crore for Q4 2025 and Rs. 14,336 crore for FY 2025. The credit cost is stood at 0.21 % for FY 2025

and 0.19 % for FY '25, achieving our guidance of credit cost which is below 0.25 % to 0.3 % for current financial year.

Capital performance highlights of about our capital :

As far as the capital is concerned, the capital adequacy is 17.01 % as on 31 -3-2025 compared to 15.97 % as on 31 -3-2024. During Q2 FY'25, Bank raised equity capital of Rs. 5,000 crore through QIP which increased the CET -1 and CRAR by 65 basis points which are subscribed by 8.3 x.

During Q3 FY'25 Bank raised Tier-2 bonds of Rs. 3,000 crore and the government of India

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shareholding remains above 70%. Our CET -1 as of today it is 12.33%, AT-1 is 1.72 % and Tier-2 is 2.96%. We have also taken the board approval for raising Basel III compliant AT-1 bonds and Tier-2 bonds for Rs. 4,000 crore each.

Highlights of our digital performance :

Bank is doing extremely well in all the area of banking and we have improved lot of digital penetration in all the critical areas. The Bank is focusing on building digital capabilities under the domain of AI, ML, and analytics -based business generation. The same has yielded tremendous results for the Bank . 94% of the transactions are getting conducted in the digital mode in our Bank . The number of activated PNB JONE mobile app users stood at 2.14 crore as on March '25 as against 1.74 crore as on March 2024. The number of WhatsApp banking users has grown by 115 % from 31 -3-2024 to 61.6 lakh as on 31 -3-25. Sanction under the digital lending journeys were more than Rs. 23,169 crores and every fifth loan is getting sanctioned through the digital mode in our Bank .

We have onboarded 4.29 lakh CBDC customers and 62.93 lakh transactions done through the CBDC app till date. Further mobile launched through corporate mobile banking app for the business people and added, we have added more than 99,000 customers on the app now. Almost all the digital lending platform, digital credit lending platform, we have brought the AI , ML piece like PM Vis hwakarma, SVANidhi , PM Surya Ghar , and we are getting the good traction almost all the critical areas of the lending.

If I touch the HR front :

Bank has adopted the new HR ecosystem driven by Project U daan. And in our Bank , lot of steps have been taken to bring transparency in the transfer , in the performance appraisal and overall in the ecosystem of the HR management.

Last point which I would like to touch is that the officer or the employee who joins in our Bank , their entire life cycle we are mapping up and good leadership development programs are in place. International coaching federations, certified coaches are the re. They are also giving coaching to our senior executives of the Bank . So lot of improvements and things, the transparency which we have brought in the HRMS side now.

Finally, if I can conclude, the focus area of the Bank this year will be on customer centricity and enhancing the ease of banking for customers. Focus on ambience of branches and the ATMs , strengthening our presence in 100 districts, having 66 % of the CASA of the c

ountry. Focus on

product and process improvements across the sector , strengthening market share in the RAM , boosting non -interest income, optimizing costs, strengthening technology, and setting up efficient data analytics center, robust cybersecurity framework and making organization ready for ESG and climate risk. Compliance and good conduct will be the core for the growth, transparency in human resources, which I have already touched, and maximization of recovery

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and preventing the fresh slippages . These are the core areas on which the Bank is going to work in the Financial Year '25-'26.

Thank you very much and I am ready for any discussion or any question, any clarity. If any of the parameters, if it is required, I am there and my entire top management team is with me now.

Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama . Please proceed.

Mahrukh Adajania: Yes, hello. Good evening, sir. Sir, I had a couple of questions. Firstly, if you see your slippage, then it's higher than what we have seen since Q1 FY'24. So now, will this be the normalized rate of slippage or were there any runoff? That was my first question, and I have a few others.

Ashok Chandra: Yes, good evening, madam. The overall slippages ratio, if I can talk about, it is 0.73% and the guidance which we had given for '24-'25 was below 1%. So we are well within the guidance . Of course, we have seen some slippages happening in the Q4, which is above normal. And mostly, we have analyzed those slippages and that has happened in the agri and the MSME segment.

And in the agri and MSME segment also, the slippages which has happened, it is below 10 lakhs segment. So we have strengthened our system now and already in this particular month, April itself, we have made a recovery of around Rs. 288 crore out of those fresh slippages which has happened in the Q4. So I think definitely we will be maintaining the slippage ratio which we have given the guidance this year that below 1 % will be the slippage ratio. And the Rs. 3,000 crore slippage which has happened in the Q4 , definitely that was an outlier and going forward, we are expecting that the quarterly our slippages will be in the range of around Rs. 1,500 crores to Rs. 1,700 crores.

Mahrukh Adajania: Okay, sir. And my other question is that , a lot of banks have given many details about one big loan transfer to NARCL. So how did that get affected in our book? What were the entries like ICICI , Axis, all of them have given details on how much has been reversed through provisions, if there was anything in interest income that has been taken, the amount etc. So if you could just explain because that's a lumpy account, right? And it's public, like everyone knows which account has been transferred to NARCL that way.

Ashok Chandra: Correct, madam. See , what happened , in the Financial Year '24-'25, through NARCL, we have made a recovery of Rs. 458 crore in the last quarter and in the Q4, which is the account which you are talking about, and Rs. 863 crore total recovery which we have made through the NARCL in FY25 .

Mahrukh Adajania: Okay, but so that has been shown as a reversal of provisions?

Ashok Chandra: Yes, ma'am.

Mahrukh Adajania: And has there anything gone via... .

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Ashok Chandra: That is the reason, madam. If you see, our recovery in the technical write-off in this quarter, Q4 is Rs. 1,800 crore. And if you see our recovery in the Q3, it was Rs. 793 crore. So there has been significant improvement in the TWO recovery in the last quarter. And it is because of that one big account recovery.

Mahrukh Adajania: Okay , but that was you said it's only Rs. 458 crores that way, right?

Ashok

Chandra: Yes. Correct.

Mahrukh Adajania: Okay . And that has what has gone through the other income line ?

Ashok Chandra: Yes, madam. Yes.

Mahrukh Adajania: And nothing has gone through the interest income line, right? NII line, right?

Ashok Chandra: NII, the total NPA recovery through that NII route is around Rs. 700 crore.

Mahrukh Adajania: Okay and last quarter it was how much , sir?

Ashok Chandra: Last quarter also , see every quarter around the Rs. 600 crore to Rs. 700 crore it goes in the interest income through that recovery channel.

Mahrukh Adajania: Okay sir. Sir and I have just one last question on margins. So our margins did decline a lot in this quarter for reasons explained , right? But that there was a repo rate cut. But also, sir, the deposit cost has gone up a lot. Would that be because of your special deposit scheme? What explains the rise in deposit cost, like the deposit cost that you show in the presentation ?

Ashok Chandra: Yes. I think that was one of the reasons , we had one special deposit scheme. But what I feel now with the declining scenario of the deposits and the credit , I think definitely the cost of deposit, which have already it is reached at the peak level. I think we are going to bring it down now because already we have withdrawn that special deposit scheme which was there and the different segment also we are going to revisit our deposit rate and maybe some corrections we will be making in the deposit front. So I am expecting that from the Q3 onwards, definitely that impact will be visible on the NII and the NIM front.

Mahrukh Adajania: Got it. But in Q1, it's likely that NII , NIM can fall , that way?

Ashok Chandra: It will not fall. We will remain in the same level because the deposit cost is almost bottomed out now. And going forward, I don't see any rise in the cost of deposit. Rather, the deposit cost will come down. So Q1, mostly we will be at the same level . But definitely going forward, Q2 -Q3 onwards, we see improvement in our NII as well as the NIM.

Mahrukh Adajania: Okay, sir. Thank you. Thanks a lot.

Ashok Chandra: Thank you , madam.

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Moderator: Thank you. The next question is from the line of Ashok Ajmera from Ajcon. Please go ahead .

Ashok Ajmera: Good afternoon, sir. And congrats to Ashok Chandraji and the entire team of PNB . You are firing on all the cylinders because the business growth is phenomenal. 14 % looking at if you compare with the other banks and especially the credit and deposit growth, of course, which has led to the higher business growth. Your deposits are 14.4% , which is I think growth is one of the

highest . And, even the credit growth also is 13.6%. Though in this quarter, it is only 0.6 %. On the whole , fantastic performance on all this. Now h aving said, most of the public sector banks also, including even State Bank, has also declared the result. And everywhere we have seen that there may be, first of all, they have moderated their targets for the credit. Like a Bank like, largest Bank has als o reduce d the credit target from 14 %-16% to now 12 % in FY '26 which are going very strong. So going forward, sir, for FY'26 and especially in this quarter, which is going to be a, I mean, a lean quarter, even just now we finished Bank of Baroda analyst call also in the morning. So there seems to be some pressure, especially in this quarter, also the current quarter. So, sir, going forward, where do we stand in PN B because excellent performance and I think all past legacy, all negative things have gone and th e Bank has started performing very well on all fronts. So this is the first question, sir, that how do you see going forward the business growth, deposit, credit growth, and from where it is going to come?

Ashok Chandra: Thank you. Thank you, Ajmer sir. And if I can talk about the growth. see, credit growth alr eady

we have given the direction that '25-'26 also we are going to grow at a rate of around 11 % to 12% in the credit and deposit also around 10 % growth which we are envisaging and definitely we are g oing to achieve that. Rather we will cross the projection which we are giving now. And why I am talking about the growth, the reason is that Rs. 1,15,000 crore sanctions are already there with us. There are disbursement which is going to happen for the loa n sanction in '24-'25 is around Rs. 85,000 crores. And in this Financial Year, like from 1st April till today, we have given a sanction of Rs. 28,000 in the corporate book. And this I am talking about the corporate book only, where we have given the sanction. And the Rs. 28,000 crore which we have given the sanction, that disbursements are also pending now. So I am expecting that Rs. 1,15,000 crore of sanction which is already there, defi nitely that disbursements are going to happen in the Q1, Q2, and Q3 onwards .

Then there are another Rs. 21,000 crore of the new business group proposal, NBG we call it. Already we have given the approval and for that we are waiting for the proposals to come and then we will give the sanction. So we have Rs. 1,35,000 crore of corporate book in place and I am expecting with this at least 50 % disbursements are going to happen. With that itself we will be able to grow at a speed of more than 10%.

Now second initiative which a Bank has taken about the Retail Agri and MSME segment and if you can recall that a lot o f initiative Bank had taken in the month of February. We had 6th and 7th of February we had launched and the outreach campaign for the housing loan and the retail activity. 13th of February for the MSME and 1st of March which we had done for the SSG and the Agri. And all those things have done very well and because of that if you see our RAM sector has also grown at a speed of 16% to 17 % in different segments. So we are going to push this Punjab National Bank

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RAM segment very high now and I think there also the growth in the all the retail , agri and MSME I am expecting that there will be a growth of more than 15 % to 16%. So all things put together I am expecting that the entire credit growth in the Bank will be in the range of more than 12 %.

Ashok Ajmera: Point well taken , sir. Sir, you are the master of recovery, especially in one of the, I mean, you are a parent Bank , you did excellently, I mean, performed. So, on recovery front, sir, now recovery, normal recovery, and recovery from return of accounts. Would you like to give some color on that for F Y'26 and especially in the coming one or two quarters? And, coupled with the decision of the Supreme Court on Bhushan Power and Steel, how do you see it affecting those recoveries which have already taken place? And where do we stan d on that?

Ashok Chandra: The overall recovery in the Q4, if you see, we have more than Rs. 4,700 crore of recovery. And in that, Rs. 1,800 crore has come from the technical write off. And if you can recall during the analyst meet in the month of last quarter, I had already indicated that there will be around Rs. 1,500 crore to Rs. 1,600 crore of technical write off recovery will happen. And our overall recovery in the Q4 also, we had projected that Rs. 4,000 crore to Rs. 5,000 crore of recovery will happen and that we have done it now. Team has made it possible. Going forward also, I can give you the color for that . Around Rs. 16,000 crore of recovery I am expecting in the Financial Year '25-'26. In that, the technical write off - recovery every qu arter, I am expecting that minimum Rs. 1,500 crore will happen. So these are the projections which I am giving and that is in line with the guidance which we have given to the analyst.

Ashok Ajmera: What is the total write off book, sir?

Ashok Chandra: It is around Rs. 90887 crores.

Ashok Ajmer

a: So we expect about Rs. 6,000 crores. So about 6 % to 7% of the total book, maybe 5.5 % to 6.5%. That's very good , sir.

Ashok Chandra: This is a minimum which I am talking about, the minimum recovery that is going to happen. See this Rs. 91,000 crore - Rs. 92,000 crore book which we are holding it in that there are very crude assets are also there where we are not going to expect much recovery in that. There are things which has gone in the liquidation also, so all put together it is Rs. 91,000 crore. But actual recovery which is going to happen is almost out of 50 % of that only the recovery is going to happen and there we are going to recover around Rs. 6,000 crore. So 10%.

Ashok Ajmera: So, next is on the NARCL, like SRs issued by NARCL, which is government guaranteed. Now, the RBI directive, can value it at the fair value. So, how much profit have we taken on that on SRs issued by NARCL till date, in the last quarter?

Ashok Chandra: Yes, it is around Rs. 1,200 crore.

Ashok Ajmera: Which has gone straight to the bottomline, sir?

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Ashok Chandra: Yes, and that has been neutralized with the MTM which we have done in the treasury.

Ashok Ajmera: So earlier, whatever MTM was done?

Ashok Chandra: Yes.

Ashok Ajmera: And last question on this, on the treasury front. Now since the treasury is giving phenomenal income and now also at least two rate cuts, everybody's agreeing up to 50 basis point coming from RBI. So going forward, we will have a phenomenal, I mean tremendous income from treasury book. So any color on the treasury operations for FY'26 and with this kind of windfall which will come in, how do you look at it and how good it will affect the profitability?

Ashok Chandra: I think, see, understanding the rate transition which was going to happen in the month of March and the June, we have built up a good treasury book now, both SLR and non-SLR book also.

And we are going to get good dividend out of this investment which we have made in the treasury now.

Ashok Ajmera: Sir, how much MTM profit has gone from the AFS book which has gone directly to the reserve?

Dilip Kumar Jain: Market profit from AFS book which now as per RBI valuation norms, revised valuation norm goes to reserve, AFS reserve.

Ashok Ajmera: What is that figure, sir?

Dilip Kumar Jain: So we have created 2 things. One is about the general reserve, which is Rs. 2,098 crore and AFS reserve we have done Rs. 379 crore.

Ashok Ajmera: Will you repeat that second number, sir?

Dilip Kumar Jain: It is 2,098 crore in the beginning in transition. And for during the entire year, we have done AFS reserve Rs. 379 crore for the entire year.

Ashok Ajmera: Okay, sir. Thanks a lot. And if time permits, I will come back again, sir. Thank you, sir. Thank you and all the best.

Ashok Chandra: Thank you.

Moderator: Thank you. The next question is from the line of Jay Mundra from ICICI Securities. Please proceed.

Jay Mundra: Good evening, sir. I wanted to check what is the amount of wholesale deposits that we have?

Ashok Chandra: Including CD it is Rs. 2,80,000 crore.

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Jay Mundra: Right, so sir in your entire deposits of Rs. 15 lakh crore, roughly give or take, let's say Rs. 3 lakh crore is such which will reprice on a faster basis, which is only 20 % of the overall deposits.

Whereas on your loan book you have very high proportion which at least, let's say the loans which are linked to EBLR and T-bill, which is roughly 50 % or over 50 % book, which will reprice or which have already started repricing. So in that context, you could have significant margin pressure. I mean, the margin for this quarter ending is 2.81, global margins and we are saying that full year we should be around 2.2 to 2.9. So it looks like that may be very optimistic aspirations.

rations.

Ashok Chandra: See, the total term deposit which we are holding it, there is a percentage of the deposit for more than one year is also not very high. So we are expecting that the deposit which is there for three months' time, most of our deposits are in the range of 6 months to 9 months. And that is the reason, in fact, I'm telling also that our pressure on the cost of deposit will bottomed out or it will come down from Q3-Q4 onwards. So till Q2, definitely there is going to be some pressure. But at the same time, the cost of deposit which is there as of now, that is not going to be up now because that is the highest level we have reached now. Now under no circumstances this level is going to up because the deposit rate scenario is already down now and we are expecting that whatever the new accretion that is happening in the system that is far below the rate which we were prevailing earlier. So keeping that in mind and the long term impact of the deposit which

is there in our system, I don't see that in the long run we will have any pressure on our NII and the NIM.

Jay Mundra: Okay. So, sir, actually, let me ask you, we have already passed on the repo rate cuts, right? I mean, so this quarter till March end, you would have passed on some impact of the Feb 4 repo rate cut on the loan side, right?

Ashok Chandra: Yes.

Jay Mundra: So now, sir, let us say if in cumulative there are 100 basis points of rate cut, what is your sense that your yield, your blended yield on advances, how much should it decline? Should it decline by let's say 60 basis point on a let's say from fourth quarter to maybe fourth quarter by that time 100 basis point? I mean, so 100 basis point of repo rate cut, what should be the blended decline in your loan yields? Assuming everything is more or less static.

Ashok Chandra: I think we need to go deep into that and we need to do some calculation for that and then only I can throw the figure to you. We will have to factor those things and then only we can calculate.

I think we can discuss with you separately and we can give you the entire calculation. What are the RLLRs there, MCLR there and how it is going to be, if the further 50 basis point rate cut happens, how it happens now? I think we can have one-to-one discussion and I can share all those details to you.

Jay Mundra: Sure, sir. And sir, is there any strategic discount that you offer to your customer which contractually you can reduce that? Is there such mechanism or you think more or less the EBLR linked loans will have a complete passthrough?

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Ashok Chandra: No, I didn't get that question.

Jay Mundra: So let's say I am saying, sir, on your loans which are linked to EBLR, so far RBI has cut by 50 basis points. Let us say RBI also cuts by another 50 basis points. So there is a 100 basis point cumulative cut. Do you have any contractual mechanism wherein you may choose to pass on only 75 basis points, saying that you are increasing the spread or you are reducing the strategic discount that you would have offered to those customers or it will be simply more or less 100 basis point passed through to at least to the EBLR customer. MCLR and all those things will change.

Ashok Chandra: See, more or less where it is straight away the rates are fixed with the EBLR, definitely we need to pass on when we are passing on that benefit. But there are certain schemes in the retail segment like housing loan is there and vehicle loan is there, where we have given some strategic discount.

There we can revisit if the further rate cuts happen. Then strategic discount which we have given because of some campaigns we are launching it. So we are giving further discount in our RLLR. There we will revisit and we will find out what best improvement can be done now. But wherever the straightaway method

is there, where RLLR based lending are there, definitely

when we are reducing because of the repo rate, we have to pass on this benefit to all these people.

Jay Mundra: Right. Understood and last year, I could not understand the security receipts treatment. So we had Rs. 1,200 crores -Rs. 1,300 crores of security receipts, which were above the book value of Rs. 1,200 crores -Rs. 1,300 crores. So that should have been in P & L, right? You said that you have neutralized that gain by MTM. So if you can just explain?

Ashok Chandra: I will ask my CFO to explain it to you.

Dilip Kumar Jain: Mundraji, I think you are rightly observed. But we have taken the entire benefit of this in the revaluation of this entire SRs. We have either released the provision or we have revalued at the NAV value. So this amount is 1,326. But what the impact we have is, we have another securities where we have some MTM losses as well. So those we have provided especially one of the big investments we have. So the net result reflected on Rs. 182 crores positive in the end sir.

Jay Mundra: Okay, understood. Thank you and all the very best, sir. And I will engage you sir on separately for this yield sensitivity.

Ashok Chandra: Definitely, this we will come up, yes.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please proceed.

Kunal Shah: Hi. Sorry. So again to clarify on this SRs, this 182 which is the profit on revaluation of investments, that is the net amount which is getting reflected after 30 crores of credit coming from the government guaranteed SRs. So there would have been some knockoff Rs. 1,100 odd crores which would have been taken, Rs. 1,150 odd crores on MTM on other SRs. So that's right?

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Ashok Chandra: Yes, absolutely right.

Kunal Shah: Okay, perfect. Got it. And secondly, coming on to this deposit question again, so you mentioned

like this were largely the special deposit schemes which have now been withdrawn. But what was the tenure of these deposits? And I think maybe just prior to the rate cut, have contracted them at a very high rate. So what is the average tenure of particularly the special deposit rates, which were referred?

Ashok Chandra: It was 400 days deposit.

Kunal Shah: So that will at least take like one year to reflect?

Dilip Kumar Jain: Yes, That's the reason I am telling that in fact of this rate cut in the deposit, we will take at least a Q3 onwards, Q4 onwards, only then we will see the impact.

Kunal Shah: Yes. But still like maybe for 400 days, so it will be almost like more than a year. And given that this was on for almost like last four months, it will take a slightly longer period as well?

Ashok Chandra: Yes.

Kunal Shah: Okay and getting on to SMA slippages as well as agri, so no doubt you indicated, but there is a sharp increase which is there in both of that when we look at it on a nine months and the full year number, particularly agri also sharp rise in SME. These are like less than Rs. 10 lakh loans as you indicated, but any color in terms of where this is flowing from, is it like the area of stress and the initiatives which we are taking to manage this going forward and this will not repeat or this will be contained at the current level?

Ashok Chandra: No, I am very confident that the level which you have seen, think that is the maximum level it has touched. It won't cross the limit which has happened in the Q4. Because in agriculture, if you see the March quarter itself, was Rs. 1,400 crore. And that is the highest it has happened in the last one and a half years and there is a maximum...

Kunal Shah: Which product segments, particularly this Rs. 1,400 crores, which will like within Agri, which is this product segment which is contributing to the maximum pain?

Ashok Chandra: These are all the

KCC loans and in that there was repeated restructured loans were also there.

So we also didn't allow to do anything in that. So we are allowed to flip it and then we can do the recovery measures also. And in the first month of the 25 '26 itself we have made a recovery of around Rs. 288 crore. So, and that is the highest level it has happened. It is not going to happen in the Q1 or Q2 onwards now. And this quarter, I have already given the direction that it will be around Rs. 1,500 crores to Rs. 1,600 crores, the total slippages are going to happen now.

Kunal Shah: Okay, got it. Perfect. Okay, thanks and all the best.

Ashok Chandra: Thank you.

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Moderator: Thank you. The next question is from the line of Vinit Jain, an Individual Investor. Please proceed.

Vinit Jain: Good evening, sir, about the Bhushan Steel which is there in the Supreme Court has denied the acquisition which JSW has done, I wanted to know about that? What is the impact of that in PNB, sir? Do we need to give discount on Quarter 2 and Quarter 3, whatever we have covered? I wanted to know about it, sir.

Ashok Chandra: Of all the lenders, around 32 lenders under this. So a COC meeting is going to happen in 2-3 days and then will take the future course of action, the solution under the law will be considered.

And we will go by the best solution. I don't see any challenge in future in recovery mechanism.

Moderator: Thank you. The next question is from the line of Ashlesh Sonjay from Kotak Securities. Please proceed.

Ashlesh Sonjay: Hi sir, good evening. The first question is on asset quality, especially on the recoveries part. You indicated you're guided for a recovery amount of about Rs. 16,000 crores for next year against a recovery of about Rs. 14,300 crore which you have done in this year. What changes next year, that you are confident about a higher recovery?

Ashok Chandra: See, the one thing which is, if you can see in the recovery in Q4, where we put a lot of focus and the drive happened across the Bank, and we have seen the recovery of Rs. 4,700 crore which is highest in all the four quarters. In the recovery under the technical write off itself is around Rs. 1,800 crore. So that gives a lot of strength to us that if we can put the focus and the head office and the circle office and our general office, if they start monitoring the account on a regular basis, connecting with the NPA borrowers, I think definitely this number is achievable and we are going to achieve that.

Ashlesh Sonjay: Okay, and just a follow up, you are not assuming any big chunky recovery from here?

Ashok Chandra: Chunky assets are not there now. I think all the recovery will be in the range of around, smaller accounts definitely, there are a lot of plenty of accounts are there and around in the range of Rs. 25 crores to Rs. 50 crores, plenty of recoveries are going to happen.

Ashlesh Sonjay: Okay, so secondly on the margin front, on the housing loan front, you seem to be growing that book quite well and it seems like PNB is offering a rate of interest of about 8%. Given the expected pressure on yields due to the repo rate cut, it possible that you might consider a hike in the interest rate on the housing loans?

Ashok Chandra: This rate as of now what we are giving, we will continue for that and then we will see what further repo rate cut happens and then the discount which we have given over the RLLR, I think we will revisit that, we will see that. As of now, we don't have any plan to do that. See, housing loans, generally we give this rate with a provision that the team of our Bank will connect with the people. And along with the housing loan, lot of other things also come into kitty. Their personal account also come, and once that personal account comes, then lot of other lending Punjab National Bank
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activity also happens. So this is not the standalone we should see the interest rate in the housing loan.

Ashlesh Sonjay: Just one clarification, when do you expect the MCLR to decline for the Bank?

Ashok Chandra: MCLR one cut we have already given of 10 basis point that is from 1st of May.

Ashlesh Sonjay: One more question. On the tax rate change, when do you anticipate that, anything in the pipeline?

Ashok Chandra: Which one?

Ashlesh Sonjay: On the tax rate, shift to the new tax regime?

Ashok Chandra: This financial year definitely we are going to adopt the new tax rule now. Mostly by Q1 or Q2.

By Q2 definitely the new tax regime will be in place.

Ashlesh Sonjay: Thank you, sir.

Ashok Chandra: Thank you.

Moderator: Thank you. The next question is from the line of Rakesh Kumar from Valentis Advisors. Please proceed.

Rakesh Kumar: Yes, hi. Thanks, So a couple of questions, sir. Firstly, like you were discussing on the deposit cost number, that there is an acceleration because of a special deposit scheme. But if I look at your reported deposit cost number, it was close to 5.1 % in first quarter. Increase was 8 bps in the second quarter and then 6 bps. And then all of a sudden in this quarter, 12 bps. It is not, it doesn't seem that it is just because of special deposit scheme what we had and what it stands withdrawn right now, but still we have seen 12 bps increase in the deposit costs. So is that there is a large mobilization that we did in third quarter? Is that the reason or there is some other reason why the deposit cost has increased by around 12 bps this quarter?

Ashok Chandra: Yes, that is also one of the reasons. So there was some deposit, bulk deposit and the CD was mobilized in the third quarter and that impact also we have seen, but we have reduced the CD in the this particular quarter, almost around Rs. 10,000 crores to Rs. 12,000 crores of CD we have reduced in this particular quarter itself. And that is one of the reasons if you see the quarter to quarter deposit growth is slightly lower than the earlier quarter now. So we are mindful of taking the deposit at a reasonable cost. And I don't see going forward any further improvement, increase will be there in the cost of deposits.

Rakesh Kumar: It looks very contrary, sir, that we have a credit growth of 0.6%. There is no credit growth actually in the domestic credit growth on a sequential basis. And as you said that we have kind of said some high cost maybe the bulk deposit. If you are setting the high cost bulk deposit, actually something reverse would have happened on the deposit cost number. But still with this kind of balance sheet growth, are reporting with a 12 bps increase in the deposit cost, margin Punjab National Bank
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decline of around 12 bps in Q4, numbers are not fitting in completely. So I don't know what is happening here.

Ashok Chandra: No, in the deposit, any impact, suppose we have mobilized some low-cost deposit in the month of February and March. The impact of that deposit, cost of deposit will be visible only after Q2 and Q3 onwards, because there are deposits which we are sticking for one-year period, nine-month period. So actual impact will be in the Q2 and Q3 itself. Because all the low-cost deposit which we have mobilized in the March and the now also, that actual impact will be happening only after the Q3.

Rakesh Kumar: Okay. And sir, if you look at a total accumulated provision number, we had around Rs. 66,000 crore in the March '21. Now we have accumulated provision of around Rs. 40,000 crore. Return of loan outstanding remains the same. So obviously, the propensity or the resources what we have to do the recovery from here on, that has come down drastically. So one thing is that what is the interest income accrual that we have done from NPA recovery and TWO recovery in this quarter

and this year and how that number will pan out in '25-'26, because the recoverable pool has come down quite sizably. if you can show some lights?

Ashok Chandra: The technical rate of recovery in Q4, it was Rs. 1,800 crores. And overall total recovery in the

Q4 was Rs. 4,700 crores. That is the total recovery we have done.

Rakesh Kumar: I was asking sir, of the total recovery, NPA recovery or TWO recovery, what is the interest accrual that we have done?

Ashok Chandra: I am telling you. So Rs. 1800 crore is the technical write off, other than that Rs. 700 crore every quarter, Rs. 600 crores to Rs. 700 crore, recovery goes in the interest. Any recovery which we are doing it in every quarter in the NPA account, around 600 to 700 goes to the NII. And we are also projecting that going forward also minimum 1,500 crore of technical recovery will happen in every quarter. And we are predicting that total recovery will be around Rs. 16,000 crore in the entire year in '25-'26.

Rakesh Kumar: Got it. And the interest income accrual ratio will be the same kind of?

Ashok Chandra: That is the same. That is the trend which we are seeing it for the almost last 6-7 quarter. Rs. 600 crore to Rs. 700 crore it goes in the interest income.

Rakesh Kumar: And considering that the provision that we have taken for employee expenses this quarter and for this year, what are the discount rate assumption that we are working with now?

Dilip Kumar Jain: Let me talk about this government bond rate, any is of 10-year plain which is available to the public is 6.57%. It is closed on 31st March '25. That was the base to decide all this. 6.57%, we have closed.

Ashok Chandra: 6.57%. This is by our CFO, Mr. Jain.

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Rakesh Kumar: Okay. Got it. For gratuity, pension, both?

Dilip Kumar Jain: This is the base rate. Actually decide the date on the FIMMDA and everything.

Rakesh Kumar: Okay, and the PPO and the plan asset numbers are broadly the same for pension.

Ashok Chandra: We will get the PPO number and then any difference we provide for the current quarter.

Rakesh Kumar: Thank you, sir.

Ashok Chandra: And I can tell you that sufficient provision has been made in all the pension and gratuity that we have provided.

Rakesh Kumar: I am also quite delighted that what you shared, or the previous MD said that kind of provisioning they were doing for AS-15, we did not see any jump in that number in Q4, so that is quite commendable.

Dilip Kumar Jain: Yes, we planned for the entire year and that you could have seen that we are doing it very professional manner. We had foreseen all these changes, then we have provided. We do not take any big hit in any particular quarter.

Rakesh Kumar: Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Gaurav Kochar from Mirae Asset. Please proceed.

Gaurav Kochar: Good evening. Sir, I have two questions. First is, again, having this on margins. Sir, you mentioned that in the first half, at least, there would be some pressure on margins. You exited the year at 2.81 in the fourth quarter. So is it fair to assume that in 1H your margins will be lower than this and in the second half you may recoup back to this 2.81 number that you reported in the 4th Quarter?

Ashok Chandra: First half we will be in the range of 2.8 to 2.9 and going forward definitely we will be trying to reach between 2.9% to 3%.

Gaurav Kochar: Okay, so sir, assuming that we have only passed 25 basis point in this quarter and that too from February when the rate cut happened, there would be further pricing of that plus the additional April month's 25 basis point report rate cut that we will receive. These are the two right now which we have already seen. But if there are further rate cuts that will also have an impact on the 1H sort of and as you mention

ed, sir, your deposit repricing will happen with a lag. So what would result in NIM expansion from here? So 2.81, if you're saying we will maintain this, what will offset the pressure on the yields?

Ashok Chandra: Slightly definitely yield will further it will come down because with the downward interest rate scenario definitely yield will come down. But at the same time I am expecting that my deposit

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rate and the cost of deposit will also come down. We have already revisited our deposit rate and going forward also we will study the market because liquidity is enough in the system now and if any further rate cut happens I think we will review our deposit rates once again and we will make some corrections in our deposit rate. And all these things, the impact we will be able to see from the Q3 quarter onwards.

Gaurav Kochar: Okay, got it. And just my second question was with respect to the overall ROA guidance, you mentioned that '26, you want to make ROA of more than 1%. So just trying to understand based

on your guidance, the margins will fall by around 10 basis point. And this year we had the evaluation of investment, SR recovery, etc., which may not recur in the next financial year. Also, the credit cost this year was 19 basis point and you mentioned for next year you are seeing less than 50 basis point. So therefore, there could be some increase in credit cost. And this year we made a ROA of 0.97. So assuming your sort of numbers, that also keeps the ROA lower, less than 0.9. So what will drive the ROA expansion from here? Is there anything else that you believe could drive ROA from here?

Ashok Chandra: Always, always there will be something in the kitty which will be going to help now. One is recovery from the technical write-off which we are going to drive it in a very, very big way. Last year, the technical write-off recovery which we have made. This year, already we are projecting that every quarter we are going to make a recovery through the technical write-off is, quarterly it will be Rs. 1,500 crores. So with this itself, we are going to raise around Rs. 6,000 crores, which is going to directly to my operating profit. Second, our investment book and treasury has become very, very strong. We were understanding that the rates are going to come down. So we have built a good volume and good book of the SLR and non-SLR. And the recent OMO operation, which is happening, in every OMO operation, we are making good profit now. So the treasury income and the recovery through the technical write-off, I think that is going to play important role. Overall, recovery also since our total, the provision coverage ratio is more than 96% and the tangible PCR is also more than 90%. So today, other than TWA also, whatever recovery we do, it is going to help us in the right back of provision. So these are the things which is going to help us in this financial year in improving my ROA.

Gaurav Kochhar: Understood. Thank you. That's all from my side. All the best.

Moderator: Thank you. The next question is from the line of Apurva from MS. Please proceed.

Apurva: Hi, thanks for taking my question. So just a data-keeping question on if you could help me with the SMA -1 plus 2 loans below Rs. 5 crores?

Ashok Chandra: SMA book?

Apurva: Yes.

Ashok Chandra: You want Rs. 5 crores and above?

Apurva: Less than Rs. 5 crores. It's going to help you with the SMA -1 plus 2 loan book?

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Ashok Chandra: Less than Rs. 5 crores in percentage term, total it is there. So 6.7 is our total percentage for all the loans put together.

Apurva: Okay, and what would be the SMA -1 plus 2 number?

Ashok Chandra: SMA -1 and 2 figure madam?

Dilip Kumar Jain: SMA -1 is 22,828.

Ashok Chandra: Percentage?

Dilip Kumar Jain: Percentage, I have to

calculate.

Apurva: No problem.

Ashok Chandra: Number is, SMA -1 is Rs. 22,828 crores. SMA -0 is Rs. 49,689. And SMA -2 is Rs. 3,279.

Apurva: Okay. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please proceed.

Piran Engineer: Hi, sir. Congrats on the quarter. Just a couple of questions. You mentioned that Rs. 1,300 crore SR. You mentioned some break up, Rs. 458 crores and Rs. 863 crores. Can you just once again repeat what is 458 and what is 863?

Ashok Chandra: See, Rs. 1,325 crore, the SR, we got it to our book now. And there was one account where we need to make the MTM provision. So that amount was around Rs. 1,100 crore. So we have netted from Rs. 1,300 crore to Rs. 1,100 crore, and that is a net impact we have given in our income.

Piran Engineer: That I got, which is Rs. 182 crores. But you have two numbers, Rs. 458 crores or Rs. 863 crores? I think one went into other income and one went into, I think 863 went in to...

Ashok Chandra: Okay, that is the recovery through the NARCL for the Q4 was Rs. 458 crores and overall in the entire Financial Year recovery was Rs. 863 crores, that I was talking about.

Piran Engineer: Okay, but this is not to do with that one large account that we are all referring to?

Ashok Chandra: Yes.

Piran Engineer: Okay, understood, sir. And also, what sort of OpEx growth are we expecting for FY '26 versus FY'25?

Ashok Chandra: Guidance?

Piran Engineer: Yes, guidance. Like OpEx growth for FY'26?

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Ashok Chandra: See, I can tell you, we have given that guidance for our 14 parameters. So credit growth, we are

expecting around 11 % to 12%. Deposit growth, we are expecting 9 % to 10%. And if I come to the operating profit, that is 8 % to 9% we are expecting. Net interest income, 7%. NIM 2.8 % to 2.9% . NPA percentage wise if I can tell you gross NPA we are projecting below 3 % and net NPA 0.3%. PCR already we are at around 96 %, so we will be maintaining this level. Credit cost below 0.5 % and ROA above 1%. Slippages ratio below 1%.

Piran Engineer: Okay, sir. This was very useful. Thank you so much and wish you all the best. Thank you.

Moderator: Thank you. The next question is from the line of Nalin Shah from NVS Brokerage. Please proceed.

Nalin Shah: Hello, actually it's Kirti Tripathi from NVS Brokerage. First of all, congratulations on a positive FY'25 performance. Just wanted to ask two questions. First is that given such a strong performance in FY'25, and although you have been given conservative guidance, but the performance has been exceptional throughout the year. So can we expect an ambitious target for FY'26 as well in the similar lines or so? And the second question is on the dividend front. So while the payout is appreciated, can we expect a more liberal dividend policy going forward given the years, strong years like FY'25? So just two. Thank you.

Ashok Chandra: Yes, one is that the guidance which we are given, we always feel that whatever guidance we give to the analyst and to the outside stakeholders, I think definitely we should be able to cross that guidelines. So that is one of the reasons we are giving the conservative guidelines and we are very mindful of these guidelines and we are going to cross this guidance this year also. Last year also we had given 11 % to 12 % guidance in the credit and we have touched almost around 14% growth. Deposit also we had given 9 % to 10 % and we have crossed 14%. This year also we are giving the same guidance but I am 100 % sure that we are going to cross this guidance. Now to your question of the dividend this year also if you see with a share of Rs. 2 we have given Rs. 2.90 . Last year it was Rs. 1.5. So almost this year we have doubled. So we are expecting that next year again we will be showing a good performance and d

efinitely all the stakeholders will be rewarded.

Nalin Shah: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Ankit from AD India . Please proceed.

Ankit: Good evening, sir. Sir, my question is, provisions are on very high side and also the fresh slippages. Sir, can you explain what will be the reason?

Ashok Chandra: No, provisions are not very high side, even the slippages also. It is overall slippage is only 0.73 % the entire financial year. And provision also, we are already at 97 % under the PCR. So, the credit cost, if you see, is already very minimal.

Ankit: Sir, it has risen from 3.9 to 5.9 according to the results, no? I think it's quarter on quarter or YOY ?

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Ashok Chandra: Quarter -on-quarter.

Ankit: And slippage is also from Rs. 1,700 crores to Rs. 3, 000 crores.

Ashok Chandra: That is correct. See, one particular quarter, this is the Q4, there has been some, the slippages have happened in the agriculture, particularly agriculture segment and some MSME segment, some slippages have happened. And that is almost an outlier. It is, it will not happen in every quarter now because last two years, you see quarter -to-quarter, we have maintained the slippages in the range of Rs. 1,700 crores to Rs. 1,800 crores. And that is the thing which we are expecting in the Q1 onwards also. So that is one quarter where it has happened because of some legacy, some accounts were there some 4-5 years back, some, I think, agriculture, repeated restructured accounts were there. So those accounts have slipped in this particular quarter. And in this slippage already around Rs. 288 crore of recovery have already happened out of this slippages.

Ankit: Okay . Sir, are you seeing any stress in the economy? Likewise, according to this 4 -5 year slippage or any new loans, are you seeing any stress? How is the environment in the business community?

Ashok Chandra: No. I am not seeing any further stress in the system and today if you see my SMA book, none of the corporate accounts are appearing even in the SMA 0 also, especially for the Rs. 50 crore and above accounts. We don't have any such account in that particular bracket. There is another one study which we have done from accounts which was sanctioned from 1st July 2020 till today. And what is the NPA that has happened? Almost around 9 lakh crores sanction has happened from 1st July 2020 to 31st March 2025. Total disbursement...

Moderator: Sir, participant line has been disconnected.

Ashok Chandra: Can you connect him, he wanted some clarification. A ctually that participant is no longer in the queue. The next question is from the line of Aditi Nawal from RSPN Ventures. Please proceed.

Aditi Nawal: Yes, thanks for taking my question. I just have one data keeping question. So if I look at the OpEx number for this quarter, especially the other expenses, so that is slightly on the higher side, sequentially. So is there any one -off or is there any expense that you want to specifically

call out?

Ashok Chandra: Operating expenses. Operating expenses. Okay. So you are talking about other operating expenses?

Aditi Nawal: Yes.

Ashok Chandra: You are seeing from QOQ or?

Aditi Nawal: Both actually, sequentially as well as YOY. So Rs. 2,500 odd crores going to around Rs. 2,900 odd crores ?

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Dilip Kumar Jain: It is not any abnormal things which has happened. It is the usual expenses that is there in the system. That is the thing which has happened. Not any unusual or any other thing which is there in the system.

Aditi Nawal: So it's a normal BAU expense.

Dilip Kumar Jain: Yes.

Aditi Nawal: So this can be like run -rate going forward?

Dilip Kumar Jain: No, it will remain like this only. There will not be any much fluctuation. And this is normal course

of things. See, Rs. 400 crore in a year increase is not a very, very big thing for an organization like ours.

Aditi Nawal: But even sequentially, there's a Rs. 400 odd crore jump, sir.

Dilip Kumar Jain: No. See, the Q4 of FY '24, it was Rs. 2,565 crores, right? And Q4 of '25, it is Rs. 2,900 crores. So YOY variation is Rs. 339 crores. It is YOY variation.

Aditi Nawal: My point is that even in Quarter 3, the other operating expenses will be around 55 crores to 60 - odd crores. So sequentially also, there is around 250

Dilip Kumar Jain: So, currently also you are telling that Rs. 2,565 to Rs. 2,900 crores, yes. But overall things also, it is almost in the same range. And it is not of any unusual entry. It is in the business cost and business running things which is there.

Aditi Nawal: Got it. Thank you so much.

Moderator: Thank you. I take that as the last question and I would now like to hand the conference over to management for closing comments. Over to you, sir.

Ashok Chandra: Thank you very much to all the well-wishers of our Bank and all the stakeholders of our Bank. Please repose the faith in our Bank. And on behalf of the entire PNB team, I can assure you that going forward also, we will see the same momentum in all the business areas of the Bank and there will be qualitative improvement in all the ratios. So thank you very much once again.

Moderator: On behalf of Elara Securities India Private Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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Amrit Mahotsav

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Date: 05.08.2025

Dear Sir(s),

Reg.: Transcript of the Earnings Call with Analysts/Investors on Financial

Results for the quarter ended 30th June, 2025

Pursuant to Regulation 30 of the SEBI (LODFR) Regulations, 2015, please find

enclosed the transcript of the Earnings Call with the Analysts/ Investors on the

Reviewed Financial Results for the quarter ended 30th June, 2025, held on 30.07.2025.

The same is also available at <https://www.pnbindia.in/financials-current.html> .

The above is for your information and record, please.

Thanking you,

(Bikramjit Shorn)

Company Secretary

Enclosed: As above

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"Punjab National Bank Q1 FY26 Earnings Conference Call"

July 30 , 2025

MANAGEMENT : MR. ASHOK CHANDRA - MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER , PUNJAB NATIONAL BANK

MR. KALYAN KUMAR - EXECUTIVE DIRECTOR , PUNJAB

NATIONAL BANK

MR. M PARAMASIVAM - EXECUTIVE DIRECTOR , PUNJAB

NATIONAL BANK

MR. BIBHU PRASAD MAHAPATRA - EXECUTIVE

DIRECTOR , PUNJAB NATIONAL BANK

MR. D SURENDRAN - EXECUTIVE DIRECTOR , PUNJAB

NATIONAL BANK

MODERATOR : MS. PALAK SHAH – ELARA CAPITAL

Punjab National Bank

July 30 , 2025

Moderator: Ladies and Gentlemen, Good Day, and Welcome to the Punjab National Bank Q1 FY26 Earnings Conference Call hosted by Elara Capital.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please

note that this conference is being recorded.

I now hand the conference over to Palak Shah from Elara Capital. Thank you and over to you ma'am.

Palak Shah: Hello , everyone . Welcome to the Q1 FY26 Earnings Conference Call of Punjab National Bank.

Today , we have with us the Management of the Bank headed by Mr. Ashok Chandra – M.D. and CEO ; Mr. Kalyan Kumar – Executive Director ; Mr. M Paramasivam – Executive Director ; Mr. B ibhu Prasad Mahapatra – Executive Director and Mr. D Surendran – Executive Director.

With this brief introduction, I would like to hand over the call to Mr. V .P. Bansal – DGM, Strategic Management and E conomic Advisory Division . First a disclaimer statement , post which M .D. sir will address the conference. Thank you and over to you sir.

Shri V.P. Bansal: This representation contains c ertain forward -looking statements apart from historical information.

These forward -looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward -looking statements. Punjab National Bank undertakes no obligation to update forward -looking statements to reflect events or circumstances after the date of the statements . Thank you.

Shri Ashok Chandra: Good evening , ladies, and gentlemen. I am Ashok Chandra, M.D., and CEO of Punjab National Bank.

A Warm Welcome to this Analyst Meet .

I will just give the "Highlights of our Business Profitability and Key Important Ratios" :

The global gross business of the Bank stood at Rs.27.19 trillion as on June 2025 with yearly growth rate of 11.6%.

The global deposits stood at Rs.15.89 trillion with a Y oY growth rate of 12.9% and global advances stood at Rs.11.30 t rillion with a Y oY growth rate of 9.8%. We are well above our guidance of 9 % to 10% for deposits and on the credit side we are slightly behind our guidance of 11 % to 12% . Of course, we have the sanctioned credit limit to the tune of around Rs.1.30 lakh crore s which are yet to be disbursed.

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CD ratio of the Bank is at 7 1.09% as on June 2025. The CASA share is ~37% as on June 2025 and our CASA deposits has recorded a growth of 3.6% on Y oY basis. CASA ratio is reduced in this particular quarter , but we have mobilized 26.31 lakh new CASA account s in Q1 of FY 2025 -26 with total fresh CASA accretion to the tune of 4,686 crores.

Our RAM advan ces stands at Rs.6.11 trillion which is around 56.6% of the domestic advances. The share of RAM advance was at 55.5% as on June 2024.

Coming to the profitability numbers :

The net interest income stood at Rs.10,578 crore s with a Y oY growth of 1% for Q1 FY26 despite the 100 basis point s cut in the repo rate and that has been passed to the clients also.

Our domestic NIM percentage is at 2.84% for Q1 FY26 whereas the global NIM percentage stood at 2.70%. We are below our NIM guidance at 2.8 %-2.9% for 2025 -26; however, the same is expected to improve from Q3 onwards based on the repricing of deposits and positive impact on account of CRR cuts.

The operating profit for Q1 FY26 is Rs.7,081 crore s which has improved from Rs.6,581 crore s for Q1 of FY25 and Rs.6,776 crore s for Q4 of FY25. This is one -time highest in our Bank . YoY growth rate of operating profit is 7.60%. Profit before tax of the Bank for Q1 FY 26 is Rs.6,758 crore s as against Rs.5,269 crore s in Q1 FY25 depictin

g a Y oY growth rate of 28.3%. However, net profits

have reduced to Rs.1,675 crore s in Q1 FY26 from the level of Rs.3,252 crore s in Q1 FY25 and Rs.4,567 crore s in Q4 of FY25 on account of shifting to the new tax regime and one -time income tax provision made thereupon. Going forward, our net profit will reflect a healthy trend of improvement.

If I can talk about the efficiency ratio, the net profits are lower in this quarter on account of one -time IT provision based on the switching to the new tax regime. As such, our efficiency ratios are not a true reflector for this particular quarter. The same will improve from the Q2 onwards.

Return on assets stood at 0.3 7% for Q1 FY26 because of the lower net profit and on account of shifting to the new tax regime. Return on equity stood at 6.59% for Q1 FY26. Earnings per share, not annualized, is Rs.1.46 for Q1 FY26.

Our tangible book value per share as on 30th June 2025 is Rs.92.64 which has increased from the level of Rs.73.11 as on 30th June 2024.

If I can talk about the asset quality, Bank has done very well in NPA management and reducing the stress level in the portfolio. The asset quality, the GNPA has reduced to 3.78% as on 30th June 2025 from 4.98% in June 2024 and 3.95% in March 2025. Similarly, the net NPA percentage which was 0.60% in June 2024 has imp roved to 0.38% in June 2025. We are on track to achieve our guidance

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for GNPA ratio and net NPA ratio for 2026 at below 3% and 0.35%, respectively. Our provision coverage ratio stands at 96.88% as on 30th June 2025 which is well above our guidance of more than 96% for FY2026.

The total fresh slippages during Q1 of FY2026 was Rs.1,886 crore s as against Rs.3,001 crore s in Q4 2025. Our guidance for slippages ratio was to remain below 1% in FY2026. We are within our guidance level as slippages ratio for the Q1 FY2026 which has remained at 0.71%.

The total recovery stood at Rs.3,356 crore s for Q1 FY2026 as against Rs.3,249 crore s in Q1 FY2025. Our recovery continues to be more than the slippages reflecting the improving asset quality.

The credit cost stood at 0.14% for Q1 FY 2026, well within our guidance for credit cost which is below 0.5% for current financial year.

There is one highlight I want to bring to all the esteemed members who are present here about the asset quality underwriting. From 1st July 2020 onwards till 30th June 2025, we have sanctioned Rs.11.34 trillion loans out of which we have disbursed around Rs.9.84 trillion loans. The outstanding in these loans is Rs.7.18 trillion as on 30th June 2025 which is close to 63% of our total outstanding loan book. And NPA in this book is hardly Rs.3,964 crore s which is only 0.40% of the disbursed amount under fresh underwriting.

Segment -wise breakup of NPA in fresh underwriting is under retail 0.38%, agri 0.59%, MSME 1.58% and for corporate it is negligible at 0.01%. This speaks about the good underwriting which Bank has undertaken.

If I can talk about the capital structure of the Bank , as far as the capital is concerned, our capital adequacy is 17.50% as on 30th June 2025 compared to 15.79% as on 30th June 2024 and 17.01% as on 31st March 2025. Our CET -1 and Tier-1 and Tier-2 capital stands at 12.95%, 14.62%, 2.88% respectively .

A lot of digital initiatives Bank has undertaken and I will highlight some of the digital penetration which the Bank has taken. The Bank is continuously augmenting its digital base and focusing on building digital capabilities under the domain of AI /ML and analytics -based business generation and the same is yielding tremendous results for the Bank . The share of digital transactions has reached more than 95% for Q1 FY26 versus 89% in Q1 FY25. There is more than 100% increase in UPI transactions done through our mobile application "PNB One."

Number of WhatsApp banking users have gone up by over 100% from 34 lakhs as on

30th June 2024

to 69.7 lakhs as on 30th June 2025.

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Our Corporate Mobile Banking launched on 18th September 2024 serves more than 1.41 lakh customers with app rating of 4.1 on Play Store and 4.2 on IOS.

Sanctions under Digi Lending journeys has crossed Rs.27,900 crores and every fifth loan sanctioned in the Bank is through the digital mode.

We have onboarded 4.58 lakh CBDC customers and 74.71 lakh transactions are done through the CBDC app till 30th June 2025.

Some other key initiatives undertaken recently includes our Gen AI Chatbot "PIHU" available on our website, IBS, and PNB One. Further various enhancements have been made in the PNB One business mobile app.

We are promoting financial inclusion through digital channel with our comprehensive DIY SHG journey, Digi MSME Loan , e-Mudra Loan , PM Vishwakarma, and Digi Surya Ghar Yojana Schemes . To further digital push Bank is onboarding a system integrator for full -fledged Gen AI implementation. Further we have planned to launch a unified solution to streamline our more than 100 digital journeys. We are also looking forward to revamp our internet banking solution and mobile banking applications.

Human resources plays very , very important role in any organization and Bank has done lot of initiative under the human resources. Bank has adopted new age HR ecosystem driven by "Project UDAAN." We are undertaking this project in two parts, namely Digital PMS and Capacity Building . Under Digital PMS, KRAs of employees are being revamped to make them more business -oriented and impact -driven, ensuring a stronger alignment with the strategic objectives and operational goals of the Bank .

Further , we have launched U DAAN Mobile App for Employees on both Android and iOS platform to track their progress conveniently.

Under capacity building, we are undertaking numerous steps involving Leadership Development Programs , Gen AI Learning Chatbot and Comprehensive Skill Development Programs for Employees.

My Concluding Remarks: Our focus area for the Bank is on increasing CASA base in total deposits and RAM share in total advances. The same will help in improvement of NIM and profitability of the Bank . Further containment of slippages and robust recovery will remain the priorities of the Bank . With digital and HR transformation being undertaken, Bank will witness durable growth in business and profitability on a consistent basis. Balance sheet of the Bank has strengthened. Bad assets of the Bank have been reduced substantially and provisioning has increased. Bank will endeavor to increase its market share in both deposits and advances. Thank you very much.

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Along with me, my entire top management team is there to answer any of your queries, clarifications, or any guidance we are there .

Moderator: We will now begin the question -and-answer session. We have our first question from the line of Akshit Agarwal from SMIFS Institutional Research. Please go ahead.

Akshit Agarwal : Good evening, sir. Thank you for the opportunity. My first question is on recoveries. There were weaker technical recoveries and interest accruals. If you can shed more light on this, that would be great ? And how do you see rest of the year? And further, sir, asset quality was benign with reduced credit costs and slippages. But SMA2 ratio picked up marginally even though overall numbers remain favorable. Can we get more color on this? That was my first question. Thank you.

Shri Ashok Chandra: First, I will touch about the recovery. In this particular quarter, the total recovery is Rs3,356 crore s and the recovery in the technical write -off is around Rs .1,200 crore s, and if I add this recovery in TWO and the interest, the total amount is Rs .1,700 crore s. So, this is all about recovery. And the guidance for this year, already we have given

that Rs .16,000 crore s will be the total recovery, which we will be doing it. And within that Rs .16,000 crore s, Rs.1,500 crore s per quarter, that is around Rs.6,000 crore s recovery will happen through the technical write -off.

Akshit Agarwal: Right, sir. But this quarter, it was slightly weaker. So, is it like some seasonal or is it like just a one -off, this quarter, you would expect better recoveries , rest of the year was a blip at this point.

Shri Ashok Chandra: Yes, the total recovery target which we have given, definitely we are going to achieve. See, in the first quarter, always the business and the total activity also remains muted because of the various transfers and all those issues are happening in the first quarter. And with that, I think the team has done very well and we are able to recover Rs .3,300 crore s. Already there were some accounts which we were expecting that will happen in the June quarter. Already those accounts have come now. And in the month of July itself, we have a good number for the Q2. So, I am expecting that the guidance which we have given, Rs .16,000 crore s of total recovery, definitely we are going to touch this number.

Akshit Agarwal: Right, sir. Thank you. My second question is on operating expense. I wanted to understand the reason behind elevated operating expense this quarter. OPEX was like 16 % to 17% year -on-year with other OPEX going at 22% year -on-year. So, is it going to stay elevated for the year or is it like there was some one -off going in this quarter or some discounted or something else?

Shri Ashok Chandra: See, what happens , in the first quarter, because of the PSLC which we purchased for the priority sector, that is the PSLC Priority Sector Lending Certificate , that amount itself is around Rs .850 crore s now. So, that is one of the reasons the operating cost for this particular quarter, you see that some number is high. Otherwise, definitely there will be a stable expenses will be there in future in Q2, Q3 onwards.

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Akshit Agarwal: Right, sir. Thank you. If we exclude one -off tax provisions of like Rs .33 billion, your RO A would be greater than 1% , with NIM s continuing to decline, weak credit growth and treasury gains might not stay that elevated throughout the year. So, what are the levers you are going to use to deliver over 1% RO A for the rest of the year? Thank you.

Shri Ashok Chandra: First of all, with the migration to the new tax regime, that itself is going to help us by around 16 basis points in the RO A. That is the first point. Second point is, see the NIM and the NII is muted for this particular quarter , and in fact, in the last meeting also I had indicated that Q1 and Q2 will be a challenging quarter for maintaining the NIM and the NII. But definitely the repricing which is happening in the deposit front and the deposit rate which has been reduced, I am expecting that Q 3 onwards, definitely the Bank will have the good NIM and good NII. I think the guidance which we have given for the NIM is around 2.8 % to 2.9%. Definitely, we are going to hold on to this guidance.

Akshit Agarwal: Right, sir. Thank you very much for answering all my questions. All the best.

Shri Ashok Chandra: Thank you.

Moderator: Thank you. The next question is from the line of Ashok Ajmera from AJcon Global. Please go ahead.

Ashok Ajmera: Yes, thank you for the opportunity , and compliments to you, Ashok sir, all the leaders and top management of Punjab National Bank. Sir, you are firing on all cylinders .

Shri Ashok Chandra: Thank you.

Ashok Ajmera: And in the earlier question, you already answered that in spite of being a major recovery, why in this quarter the recoveries were less than the overall proportionate for one quarter . And that is a valid point also, June quarter being a little subdued quarter from the recovery point of view. Having said

that, sir, I have got a couple of some observations and some questions. Sir, just one is tax change in the tax regime. So, if I understand correctly, out of this higher provision of the tax of Rs.5,083 crores, Rs.1,600 or Rs.1,700 would have been in otherwise also the tax like this. So, basically Rs.3,300 or Rs.3,400 crore s has gone from that DTA. So, what is the exact calculation? Because at the year end, if we take it almost about Rs.29,500 crore s of operating profit according to your guidance of 9% plus,

so on that our tax liability overall will be Rs.7,300 crores something under the new regime. So, can I just understand that what would be the final tax figure in the P&L in FY26 if that profit assumption is correct?

Shri Ashok Chandra: Yes, I will just share some facts about this. You have rightly mentioned that Rs.3,324 crores has come out with the DTA, which the provision higher tax was there. Now, because of the migration to the new tax regime, this was 25%. So, to that extent, Rs.3,324 crores we had to save out and Rs.1,700 crores would have gone normally also with the tax regime. So, Rs.5,000 crores plus is the outgo for this particular quarter. Now, from the new tax regime, Q2, onwards, we will have to pay tax at the Punjab National Bank
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rate of 25%. And assuming this Rs.7,000 crores, the operating profit, which the Bank has shown, and the first time we have shown the Rs.7,000 crores of operating profit, and I am hopeful that this trend will continue. So, 10% if I can reduce, because 35% is the old tax regime and 25% is the new, so 10% I am going to save. It means in the absolute number Rs.700 crores minimum every quarter I am going to save on account of the migration to the new tax regime. So, if you can calculate the three quarters, it comes to around Rs.2,100 crores net accretion will happen in the net profit. So, I think this is the way I perceive and I can project it out.

Ashok Ajmera: Yes, sir. Yes, sir. Even my calculation also is based on that. Sir, we have performed well in this quarter backed by treasury profit. We have made some treasury profits and also something in the revaluation of investment also. So, going forward, with further rate cuts expectations maybe in the latter half of this year, maybe two cuts of 20 basis points going forward, one thing is that we are going to have some pressure on the margins because of the lag effect in the MCLR-backed account and similarly for the deposit, and other side, we will have a bumper treasury profit if we deal properly in the treasury books. So, having said that, will the treasury profits which are shown Rs.1,816 crores in the profit plus overall if you see the segment wise income on the treasury, it is Rs.3,415 crores as against Rs.1,963 crores in the last quarter. So, going forward, we are continuing to see the same trend on the treasury income or do you think it will get little muted?

Shri Ashok Chandra: In this financial year, we have built a very strong treasury book now. If you see our entire total portfolio under the treasury itself is around touching Rs.5 lakh crores now. And with the lower interest rate regime, which also you have highlighted, definitely, I think this book is going to contribute in a very, very bigger way to the overall income of the Bank and we are very confident that good treasury book is going to give us a good income in the Q2, Q3 also now. So, that trend will continue.

Ashok Ajmera: Good, sir. Well, on advances on the credit side, sir, we have a little bit slowed down, though in this quarter, having anything positive itself is a very good positive point, like your 1.19% quarterly credit advances have increased. But still looking at PNB and your potential of you and your team, I feel that I do not think there is any dearth of the proposals which are coming in, there must be a strong sanction pipeline also and many prop

osals which are in the pipeline. So, are we still sticking to that 11%, 12% and we will be able to achieve even that also in the next three quarters or we feel it is a conservative one and you might go to maybe higher bracket of 12%-13% or something on the credit front, because I see PNB is now full-fledged again in the market and I think you are the most sought-after Bank today. Then, sir, this SMA numbers little bit increased in this quarter at Rs.1,596 crores against Rs.239 crores in March. Is there any specific reason, any one-off account in this or is it paid by now, sir?

Shri Ashok Chandra: First, I will touch about the credit growth part. If you see MSME growth, we have shown a growth of more than 18% ... it is 18.6% growth in MSME. Core retail has grown by 17.7%. What we have Punjab National Bank
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missed out in the corporate loan growth, there is a growth, but in fact, both QoQ growth is also there and YoY growth is also there. But the challenge which has come in the corporate book is that we have Rs.1,29,000 crores of sanctions in our book now and disbursements have started happening, but there are many project financing we have done now. In fact, we are building up good project financing now, good projects we are undertaking, and we are going in a very, very big way for those projects financing. So, you know that disbursements also takes time in the project financing, one year, two years' time it takes, but Rs.1,30,000 crores of book is already there with us and going to be disbursed in Q2, Q3 onwards. So, this is one strong point before us is there. In the project means the total corporate book, if I can talk about those diversified activities which we have taken, HAM we have taken good proposal, power renewable energy we have good proposal, advanced smart metering, this is one area which is picking up very well in the country. So, there we have taken a lot of good proposals now, then InVT, we have taken good proposals under that. In fact, in the real estate sector also, lease rental discounting, then in the real estate also InVT is coming. So, that also we have initiated from one or two proposals. Food processing. So, I think very diversified field in the corporate areas we are there. What we are focusing on improving the turnaround time of the

sanctioning of the loan and that is one commitment which we have given to all the corporates that any proposal which comes to head office with all the waiting and everything, at head office the sanction will happen within 15 days and this is one comfort we are giving to all the corporates and based on that I am seeing lot of interest in our Bank from the corporate side and I am very confident that going forward you will see good growth and we are still sticking to the guidance which we have given, I think we are going to grow at the same speed.

Ashok Ajmera: Thanks for that good assurance on the TAT actually because technically the TAT is not being followed strictly. Alright. Thank you very much, sir and all the very best to you.

Moderator: The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Hello! Good evening, sir. Sir, I had a couple of questions. Firstly, in terms of margins, so most banks are guiding to some sort of a recovery or stabilization in the second half. So, that may have been well understood. But in the second quarter, how much do you expect margins to fall -- will it be more than 11 basis points that we have seen in the first quarter or will it be lower or higher, like a rough ballpark would really help?

Shri Ashok Chandra: Yes. I think in Q1, you have seen that domestic NIM is 2.84% and the overall global NIM is 2.70%. Our guidance is 2.80% to 2.90%. Now, if we talk about the Q2, I think we will be holding to the same level which is there in Q1 because the interest rate cut which has happened,

that impact already

we have seen in the first quarter. So, Q2 also will be having the same level, and we have also improved the advances portfolio. More than that, we have said around 21,000 of the corporate low-yielding book. So, I think that also will give us some good income and definitely our NIM, what we have done in this particular quarter, I think we are going to hold on to this level now, around 2.7%.

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Mahrukh Adajania: Because the last repo rate cut would have been passed only for less than a month and the full impact will come in the second quarter. Even then, you would see NIMs holding on?

Shri Ashok Chandra: Yes. Two things which are in favor now. One is the overall loan growth has also happened. And second is, since we have shed some low-yielding advances, that is also in our favor. Third point is that we have also reduced the cost of deposit and that impact also we are going to see in this entire full quarter. The rate reduction in the deposit also happened subsequently, I think, in the second month of the Q1. So, that impact also we have not seen fully in that particular quarter. So, this particular quarter, we are going to see that entire impact on the cost of deposit also. So, all those things put together, I am expecting that 2.70% definitely we are going to hold on.

Mahrukh Adajania: Got it. And the MCLR has been cut by how much, sir?

Shri Ashok Chandra: We have already reduced by 15 basis points. We had 9.05% and today we are at 8.90%.

Mahrukh Adajania: Okay, sir. And my next question is on MSME loans. So, some lenders have called out stress in the MSME segment. What are your thoughts? So, they are saying that NPLs in MSME ... of course, they are saying unsecured MSME, but they are rising.

Shri Ashok Chandra: We are not seeing any such movement or any such change in our portfolio. And I think the way the book was behaving earlier, the same way it is behaving now also. And the fresh underwriting which has happened for the last four years, in that incremental MSME growth, we are seeing slippages of around 2.5% to 3%.

Mahrukh Adajania: Okay, sir. And do you do any unsecured loans to MSME?

Shri Ashok Chandra: No, we do not do that because there are two ways of doing the MSME loan. One is that CGTMS E coverage is available. So, wherever the collateral security is not there, we advise the customers to go for the CGTMS E coverage. So, either it is CGTMS E coverage or the collateral securities are there.

Mahrukh Adajania: Okay, sir. Thank you so much. Thanks.

Shri Ashok Chandra: Thank you, madam.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Sir, firstly, the question is on SMA, I think that was again missed out. So, if you look at it, the increase in the SMA pool, which is there in the MSME, and maybe when you look at it overall in general, it has gone up maybe a bit, say when you look at it even though there is SMA pool, which has got built up. So, how do we read this number of say closer to like Rs.1,600-odd crores of SMA, and

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this is again like more than Rs.5 crores, if you can highlight the overall SMA pool, say even below the Rs.5 crores, which you always used to give out, say SMA 0, SMA 1 and SMA 2?

Shri Ashok Chandra: See, I can give you the full SMA 0, 1, 2 of the entire Bank irrespective of the amount. See, it was 6.79% last year. Okay? And now that has come down to 6.14%. And that includes from Rs.1 to the Rs.1,000 crores now. So, that is a book and I think there is a good control on the SMA book and even for the Rs.5 crores and above book, only 0.14% is the stress is there.

Kunal Shah: Okay. And how would have been this breakup across SMA 0, 1, 2?

Shri Ashok Chandra: You want the absolute numbers?

Kunal Shah: Absolute and percentage. Yes. Yes.

ou give that every quarter. Ye s.

Shri Ashok Chandra: Retail, we have Rs.28,500 crores and Agri, it is Rs.11,600 crores , MSME, Rs.24,000 crores , and all others, like corporates and all put together, it is Rs.5,200 crores. This is the total stress.

Shri Ashok Chandra: This is total. Ye s. Yes. And 0, 1, 2 in particular, overall amount, including all the portfolios ?

Shri Ashok Chandra: See, total of around Rs.69,000 crores is the 0, 1, 2 book is there now. In that, SMA 0 itself is Rs.43,300 crores. And I can tell you the trend which is there . Of the Rs.43,300 crores , in that retail itself is Rs.17,800 crores. So, what happens, the vehicle loan, housing loan, even for one day also, if it goes, it becomes SMA 0 now. And within one week of that, again, the repayment comes and it comes out of the SMA 0. So, SMA 0 is Rs.43,300 crores, SMA 1 is Rs.13,200 crores and SMA 2 is Rs.12,700 crores.

Moderator: The next question is from the line of P iran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes. Hi, sir. Congratulations on the quarter.

Shri Ashok Chandra: Thank you.

Piran Engineer: Sir, last year, our slippages in MSME were Rs.638 crores and now it is Rs.966 crores and it has been above Rs.900 crores for the last two quarters , it is on an increasing trend. So, what exactly is happening on the ground?

Shri Ashok Chandra: See, th ese slippage s which have happened in the MSME is Rs.10 lakh and below category. And most of these loans are under the Mudra loans for which the government guarantee is also available. 75% of the outstanding we are going to get back in that particular category. So, that is the only slippage which is happening. Otherwise, the MSME book of Rs. 10 lakh and above is fully behaving well. We have a good underwriting structure is there. And Rs.10 lakh and above, we have a centralized set up Punjab National Bank

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at 138 centers in th e country. All those proposals come under that MSME cell and there only the processing and disbursement happens. So, I do not see any challenge in this entire book.

Piran Engineer: And so the sourcing for this Rs.10 lakhs and above happens through speciali zed branches or your regular liability branches?

Shri Ashok Chandra: It is happening through all the branches. But now we have initiated the digital sanction of up to Rs.10 lakhs now. And this we have initiated just two months back and in another two, thre e months time, manual sanction, and disbursement up to Rs.10 lakh s category is going to be totally stopped in the Bank . All those Mudra loans up to Rs.10 lakhs will happen through the digital system itself. And we have done this digital loans in the different categories. And those loans are sanctioned by the digital setup. The BRE is so strong . The book is behaving very well. So, going forward also, maybe another two, three months time, the entire Rs.10 lakh s loan, all those Mudra loans will happen th rough the digital BRE now.

Piran Engineer: Okay. Okay. And s ir, our employees go on the ground and source these loans or we get it through DSAs or customer walks into the branch with these?

Shri Ashok Chandra: There are two things. One, the customer walks into the branch and branch itself source s the proposal. There is no DSA or third -party involved in this Mudra loan.

Piran Engineer: Okay. Understood, sir. Sir, just one other question on OPE X guidance for FY26. This quarter it was Rs.8,700 crores. What will it be for the full year approximately if you can guide us?

Shri Ashok Chandra: Operating expenses also, ye s, this particular quarter, there is one head that is the Priority Sector Lending Certificate , that is the PSLC. Because of the shortfall in the priority sector, we go to the market and purchase that to achieve that priority sector target. Because of that only in this particular quarter, there is one PSLC is there in the operating expenses. Otherwise, we

have stabilized operating

expenses, bot h in the employee side also, and the other than the employees expenses also. So, I do not see any big changes going to happen in the operating expenses.

Piran Engineer: Okay. Okay.

Shri Ashok Chandra: In the Q4 also, our operating expenses was Rs.8,697 crores , and Q1 of this also it is Rs.8,765 crores. We are almost in the same range, except that one head where we have said around Rs.800 crores, PSLC certificate. That only the cost has gone up.

Piran Engineer: Sir, now if I remove that Rs.800 crore s of PSLC, it will be roughly Rs.8,000 crore s operating expense. So, I assume that level for the rest of the year?

Shri Ashok Chandra: Rs.8,000 crores to Rs.8,200 crores.

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Piran Engineer: Okay. This was very useful. Thank you for answering my questions and wish y ou all the best.

Shri Ashok Chandra: Thank you.

Moderator: Thank you. The next question is from the line of Zhixuan Gao from Schonfeld . Please go ahead.

Zhixuan Gao : Hey, congratulations on a good set of numbers. Just on margins, do you mind sharing with us what is number one the recovery on written off debts in the interest income line? And also, how much is interest on tax refunds this quarter?

Shri Ashok Chandra: Yes, recovery in technical write -off and the interest, all put together is Rs.1,700 crores. And the tax component is around Rs.500 crores.

Zhixuan Gao : Sorry, of the Rs.1,700 crores, how much of that is the net interest income?

Shri Ashok Chandra: See, Rs.1,200 crores is the technical write-off recovery and Rs.500 crores is the interest recovery.

Zhixuan Gao : So, we have Rs.500 crores interest recovery and another Rs.550 crores of interest on tax refund.

Shri Ashok Chandra: Yes. And this Rs.500 crores in the interest recovery, in every quarter, we are recovering in the interest to the extent of around Rs.500 crores to Rs.700 crores, every quarter, that figure is there.

Zhixuan Gao : Got it. Thank you so much.

Shri Ashok Chandra: Thank you.

Moderator: The next question is from the line of Bhavik Shah from In Cred Capital. Please go ahead.

Bhavik Shah: Hi, sir. Thanks for the opportunity and congrats on good set of numbers. Sir, in the last quarter, we had A S 15 provisions of around Rs.1,400 crores and this quarter it is Rs.1,150 crores. Is it fair to assume it will stabilize at this run rate for the entire year?

Shri Ashok Chandra: Yes, yes. We have taken the calculation from the actuary and based on that only we have factored this. I do not see that in any of this quarter we are going to exceed this amount.

Bhavik Shah: Okay. Thank you, sir. Sir, our net worth has increased by Rs.4,600 crores while our PAT was around Rs.1,600 crores. Can you explain the walkthrough of what goes into that Rs.4,600 crores?

Shri Ashok Chandra: One element is there in that. Revaluation, we have done and that figure has also increased and because

of that it has gone up.

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Bhavik Shah: What would be your outstanding AFS reserve? The revaluation would have gone to the AFS reserve, right?

Shri Ashok Chandra: Yes, it has gone to Rs.800 crores now.

Bhavik Shah: So, that is the outstanding of AFS reserve?

Shri Ashok Chandra: Last year, in the same quarter, it was Rs.33 crores which has gone to Rs.800 crores now.

Bhavik Shah: Okay, sir. And sir, we have Rs.10 lakh crores of term deposits. In that, how much is the bulk deposit above Rs.3 crores?

Shri Ashok Chandra: That figure is around Rs.2.8 lakh crores.

Bhavik Shah: Rs.2.8 lakh crores? And sir, this would be at what average rate? 6.5% or 6.4%?

Shri Ashok Chandra: These are all at different, different rates because all these are taken at a different period under a different rate. So, it is very difficult to crystallize at what rate it is there. But now, the bulk deposit rate itself, 100

basis points, we have brought it down because last quarter, Q4, it used to range between 7.8% to 7.85%. Now, the bulk deposit rate is around 6.7% to 6.78%. And PNB is not there in the bulk deposit market.

Bhavik Shah: Will it materially reprieve next quarter again?

Shri Ashok Chandra: Definitely.

Bhavik Shah: Sir, we saw a standard provisioning of Rs.309 crores this quarter and a write-back from investment of over Rs.403 crores. If you can just explain as in what were those for, that would be great? Thanks. And I will stop there.

Shri Ashok Chandra: See, a standard account provision, whatever we do at the 7th June circular, there was one account which was triggered under the 7th June and because of that, we have made some additional provision.

Bhavik Shah: Okay. And the writeback from investment, Rs.400 crores?

Shri Ashok Chandra: Yes, because of the MTM and the RRBs and all which the amalgamation has happened. So, again, the valuation has happened and because of that there is some writeback there.

Bhavik Shah: Understood, sir. Thank you, sir and best of luck for the future quarters.

Shri Ashok Chandra: Thank you.

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Moderator: Thank you. The next question is from the line of Vansh Solanki from RSPN Ventures. Please go ahead.

Vansh Solanki: Hi, PNB management team, very good to meet you. My question is on asset quality, mostly on credit cost. That credit cost for this quarter is around 14 bps. Okay. And in last three or four quarters also, we see the similar range of 10 to 20 bps is going on and you have given guidance of the 50 bps of the credit cost. So, can we think that these 10 to 20 bps range for a credit cost is normalized, like you can lower the guidance of the 0.58%, are there chances, is this a normalized range or what?

Shri Ashok Chandra: Credit cost, the guidance which we have given is 0.50 for the entire year, right? And in this particular quarter, our credit cost is 0.14%. And we will remain well below the 0.5%. I think that is the assurance I can give you.

Vansh Solanki: Okay. And can you just mention the sanctioned book which you mentioned before, but the voice broke down, can you just mention again?

Shri Ashok Chandra: Yes. We have Rs.1,29,000 crores of sanctioned book under the corporate segment. And in that, Rs.43,000 crores is the sanction which we have done up to March '25. Rs.48,000 crore sanction which we have done in this financial year, that is the first quarter itself. So, both put together, Rs.91,000

crore s is there and Rs.38,000 crore s is the sanctions is in the pipeline, which we are going to do it. All put together is Rs.1,29,000 crore s is the book which is there with us now, for which the disbursements are going to happen.

Vansh Solanki: Okay. Thank you, sir and best of luck for the future.

Shri Ashok Chandra: Thank you.

Moderator: Thank you. The next question is from the line of Sushil Choksi from Indus Equity Advisors. Please go ahead.

Sushil Choksi : Sir, congratulations to team P NB for very stable and good balance. And my first question is your RAM advances is visible at 17 %-18%. How do you visu alize here on RAM advances and what is it currently?

Shri Ashok Chandra: Within the RAM, if we can share some figures, MSME has grown by 18.6% and core retail has grown by 17.7%. Bank has initiated a lot of things in RAM now. One is that massive outreach activity is happening in our Bank , where from the top management, including M .D. and EDs and everybody is participating and they are visiting the centers, conducting the outreach activity , and this is happening for the retail, agri, MSME. Just on 25th of July, we have conducted the MSME outreach activity , 11th of July, we conducted the agri outreach activity , and 17th of July, that was for the retail expo. So, these activities are generating lots of good leads and then the leads are getti

ng processed at the
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centralized hub and getting sanctioned now. This we have seen in the last quarter also, and those leads got converted and it has given a very good growth in this RAM sector now. This activity is going to continue. Sec ond, we are bringing a lot of digital footprint in the RAM sector now. So, all those things are going to facilitate , one is that improving the turnaround time , and second, the penetration and outreach activity, visibility of our Bank that we are also a very serious player in the RAM sector now. So, all those things put together, I am expecting that there will be very good growth under the overall RAM.

Sushil Choksi: Sir what is the yield on RAM?

Shri Ashok Chandra: For MSME, separate figures are there. Like for retail, it is varying in the range of around 8. 35%, agri, it is 7.95%, MSME, it is 8.42%.

Sushil Choksi: SME, it is above 9%.

Shri Ashok Chandra: Yes, on standard advances .

Sushil Choksi: Okay, sir. Based on your Rs.1,29000 crores of sanctions, which is more of project finance or pipeline, where do you see your C D ratio at the end of the year and what would be the value in corporate and RAM at the end of the year?

Shri Ashok Chandra: The share of corporate and RAM will be , with the initiative , I am expecting somewhere around 58% to 59% under the retail and remaining 40% to 41% under the corporate.

Sushil Choksi: Okay. The initiative of the Bank is focused on empowering the RAM sector with a lot of digital initiatives to improve your TAT and a lot of other initiatives. What is the digital expenditure you would incur this year and if any plans to incur additional expenditure to improve the benefit s to PN B account holders from various initiatives on types of touch points , any other measures?

Shri Ashok Chandra: First, the benefits which we have given is despite the stress on our income, we have waived the minimum balance charges. Now , there is no mi nimum balance charges. Whatever categories accounts have been opened, even if it goes below that level, it is totally free. No charges on that.

Second, for entire CASA product, whether it is a salary or non -salary, senior citizen, youth, women, farmers, fo r the military people, we have come out with the special scheme. In every such account, we are providing some add -on facility like health check -up facility free, term life insurance free, Rs.1 crore accidental insurance is free, OTT subscription. So, many things we have built in along with that account and all these things are being passed on to the account holder when he opens that account with us now. So, these are the things. Third point is the digital initiative like PN B Mobile App . It is such a wonderf ul app that if you are opening an account and if you download our app, you need not visit the branch for any banking activity. Everything is possible and hassle -free now. So, I think these are the benefits that is there for anybody who is banking with PN B.

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Moderator: The next question is from the line of Roshni Munshi from CLSA. Please go ahead.

Roshni Munshi: Hello ! Thank you, sir. Thank you for the opportunity. Good evening. My first question is, I just wanted to check if the benefit of 100 bps of repo cut has been completely transmitted to the borrowers so far?

Shri Ashok Chandra: Yes, it has already been passed on. In fact, in our Bank , there is a guideline that today if the MPC decides to rate cut and if it is announced by RBI, I think the next workin g day itself, it is getting implemented straightaway.

Roshni Munshi: Got it. Got it. Thank you so much. And also one last data -keeping question . Could you please tell us the MCLR, EBLR and fixed rate loan mix?

Shri Ashok Chandra: Yes, we have around 56% linked to EBLR, including our repo linked, treasury linked, that composition is around 56%, remain

ing all is the fixed rate, base rate, and the MCLR.

Roshni Munshi: Okay, so 56% is EBLR and everything else you will just like to classify it as MCLR fixed rate and all? Okay.

Shri Ashok Chandra: Yes.

Roshni Munshi: Can you elaborate how much is MCLR if that is possible?

Shri Ashok Chandra: MCLR rate of interest you want?

Roshni Munshi: No, no. What percent of the mix is MCLR?

Shri Ashok Chandra: MCLR is 30%.

Roshni Munshi: Got it. Thank you so much, sir. Thank you.

Shri Ashok Chandra: Thank you.

Moderator: The next question is from the line of Harsh Modi from JP Morgan. Please go ahead.

Harsh Modi: Yes. Hi. How would you characterize the impact of change in PSL norms on your Bank's earnings, and how do you expect that going forward?

Shri Ashok Chandra: PSL norm you are talking about the changes which has happened in the housing loan and other segment, right?

Harsh Modi: Yes. And the expectations of further changes, there are some proposals.

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Shri Ashok Chandra: Yes. See, one change I think a very marginal improvement has happened because of the housing loan project, the revisit has happened. So, let us see what are the other changes that are being proposed and how it gets implemented. I think we need to wait and see, then only I can react that what are the final benefits that is going to come to the Bank.

Harsh Modi: All right. Thanks.

Moderator: Thank you. The next question is from the line of Jai from ICICI Securities. Please go ahead.

Jai: Yes. Hi, Ashok sir. Good evening and thanks for the opportunity. Sir, first question is on bulk deposit. Like the last quarter and this quarter also we had Rs.2.8 lakh crores of bulk deposit. Because this deposit is going to be short-tenured, have you started seeing benefits on the bulk deposit repricing, and if you can quantify how much interest saving can happen in Q2?

Shri Ashok Chandra: See, the bulk deposit around 100 basis points dip has already happened in the system. And in our Bank also the same thing is there because earlier the bulk deposit was in the range of around 7.85% to 7.9% which has come down to 6.7% to 6.75%. So, almost 100 basis points dip has already happened. And definitely the impact of that, it will be visible in our Bank also from the Q3 onwards... real impact will be visible.

Jai: Okay. Sure, sir. And the interest cost in this quarter, I mean, one is a small number. So, you have two, three components interest on deposit, interest on others and RBI others. So, there is some sharp some Rs.200, 300 crores decline on interest paid on borrowings. Have you retired these borrowings? So, Rs.500 crores has come down to Rs.193 crores or this is going to go back to Rs.500 crores because the third line item is more or less similar, Rs.800 crores, but there is a dip in the interest paid on borrowings.

Shri Ashok Chandra: See, this borrowing happens in the treasury market on the day-to-day activity when we borrow. That amount has considerably come down in this particular quarter because we had the liquidity surplus. So, we were not borrowing in the market.

Jai: Right. Okay. Sure. And lastly, sir, last question is actually your global margin and domestic margin, right. Your global book is less than 5% of overall book, but still it creates on the overall 15 basis points impact on the overall Bank. It looks like that the overseas margins are like 0.5% or even below. Is that the math or because this -

Shri Ashok Chandra: Yes, you are absolutely right. It is in the same range; it is in the range of around 0.45% to 0.50%. I think we are revisiting our strategy and we will see that because finally outcome has to be that how it is going to improve my NIM. So, we will revisit that. Portfolio is very small, but definitely it affects my bottom line.

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Jai: Right. And sir, if I may ask

ask one more question on retail loans, right, so, a), you have Rs.2 lakh crores of core retail within which you have given for housing, education and vehicle loan, but still there is some Rs.70,000 crores others, right, which could be mortgage or personal loan or something else, if you have that number, that breakup? And you had that strategy of growing in-house retail, right, versus the DSA or versus full buyout, how is that strategy shaping up?

Shri Ashok Chandra: So, that has picked up very well. And if you see the housing loan growth within the entire retail, it has grown more than 17% YoY and for project approvals and improving the turnaround time thereby.

Jai: Right. And if you have those numbers of retail book breakup?

Shri Ashok Chandra: I can give you. Housing outstanding is Rs.1,06,000 crores , vehicle is Rs.27,000 crores , education is Rs.8,500 crores , and mortgage is Rs.16,400 crores , personal loan is Rs. 22,500 crores, gold loan is Rs.3,400 crores under the retail segment , credit card is Rs. 1,200 crores.

Jai: Sure, sir. Thank you and all the very best.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from Motilal Oswal . Please go ahead.

Nitin Agarwal : Hi. Good evening, sir. I have a few questions. One is on the PSLC expense that we have incurred this quarter. So, can you talk about as to what steps Bank is taking to ensure that we do not incur a PSLC shortfall in the following years , because some of the PSU banks are making really decent income on the PSLC certificate that they are selling , so, why is PNB sort of missing out on that front and what are the steps that you think that will help us?

Shri Ashok Chandra: We have taken a lot of steps now because I know that many of the public sector banks are making money out of this. And a Bank like ours having 10,200 branches, we were missing out. But this year, massive activities have been started. And the self -help group , one segment, which takes care of the small and marginal farmer category also, and the 40%, the agriculture target of 18% also, it falls under both these categories. And there only we are missing the target. So, we are going in an aggressive way for the self-help group onboarding now. And the benefit of self -help group is, one is that yield is also very good. NPA percentage is just around 1%. And the women, the financial inclusion point of view also. So, this is one segment we are going in a very aggressive way. And if you see the Y oY figure under this self -help group, almost Rs.4,000 crore s has been added. It was Rs.8,500 crore s last year by June '24. Now it is Rs.12,000 crore s plus. So, this is one segment which we are going to do it in a very, very big way. Even for the farmers also, the KCCs and more we are going to focus on the food processing, rural godown, the cold storage, a lot of activities which we have started. We have already created a roadmap for totally coming out of the PSLC purchasing. And within three years roadmap, I think we are going to come out of this entire PSLC borrowing from the market. Next year itself, I am expecting that to the extent of around Rs.300 crore s we are going to save from the income side now with the initiative which the Bank has taken under the agri segment.

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Nitin Agarwal: Right, sir. That is very good to know. And sir, secondly, some qualitative color around treasury because this quarter we have seen most banks reporting very strong treasury gains and benefiting from how the bond yields move, the OMOs and other things , so, any qualitatively, can you talk about as to what can we expect in the second quarter around treasury -- can there be a sharp fall versus what the first quarter has been or is there more room that you still see for PNB or for other PSU banks space as a whole that they can sustain this run rate?

Shri Ashok Chandra: Yes, since

our Bank , we have built in a very good, strong treasury book to the extent of around Rs.5 lakh crore s and already the reducing market scenario when the interest rates are falling, definitely , the treasury book is going to behave very well , not only this quarter, this quarter definitely we have made good money , I think going forward also , in the entire this financial year, treasury book is going to support in a very, very big way in the operating profit .

Nitin Agarwal: Okay, sir. And lastly, on the business growth and particularly on CD ratio, so we have seen some banks like unwinding the deposit book and the CD ratios for many PSU s have increased now to somewhere early to mid -70s, while PNB continues to deliver a very stable growth, maintaining a balance between credit and deposit growth , so, what are the thoughts on that front like will we look to utilize the room that we have?

Shri Ashok Chandra: Yes, yes, we will continue to hold on to this level now. Rather, we are expecting that there will be some improvement in our CD ratio. Right now, around 71.09% is there. I am expecting by end of this year, somewhere around 73% definitely we should be able to touch that. But growth in the deposit and advances are very, very stable and the activities and the initiative the Bank has taken I am very sure that there will be good credit growth. And the CASA initiative the Bank has taken I am expecting that there will be very good CASA , and within that CASA, there will be a stable individual growth will be there in the Bank .

Nitin Agarwal: Right, sir. Thank you so much and wish you all the best.

Shri Ashok Chandra: Thank you.

Moderator: Thank you. That was the last question for the day. I now hand the conference over to the management for closing comments.

Shri Ashok Chandra: Thank you very much. My only submission is that since in this particular quarter, we have migrated from the old tax regime to the new tax regime and that is the reason the impact which we are seeing on the net profit. If you see our (PBT), profit before tax is Rs.6,758 crore s which is 28.3% Y oY growth is there. And first time we have crossed Rs.7,000 crore s of operating profit and going forward also, this trend is going to continue. With the lower tax regime, when the 10% tax we are going to save, with that itself Rs.700 crore s, every quarter we are going to generate the net profit. So, we are very bullish that going forward, the migration which we have done and we have taken a very

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conscious call because whatever MAT benefit was there, we had nullified everything, and this was the right opportunity and right time for us to migrate to the new tax regime. So, we have taken a very conscious call which will have the benefit on our RO A, RO E going forward. I think all of you should believe in these things and definitely, I think the trust which you have reposed in our Bank, I think this should continue. From the management side, we are committed for growth, we are committed for the bottom line, and for asset quality. Thank you very much.

Moderator: On behalf of Elara Capital, that concludes this conference, thank you for joining us and you may now disconnect your lines.

"Punjab National Bank Q1 FY26 Earnings Conference Call"

July 30, 2025

MANAGEMENT : MR. ASHOK CHANDRA - MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER, PUNJAB NATIONAL BANK
MR. KALYAN KUMAR - EXECUTIVE DIRECTOR, PUNJAB
NATIONAL BANK
MR. M PARAMASIVAM - EXECUTIVE DIRECTOR, PUNJAB
NATIONAL BANK
MR. BIBHU PRASAD MAHAPATRA - EXECUTIVE
DIRECTOR, PUNJAB NATIONAL BANK
MR. D SURENDRAN - EXECUTIVE DIRECTOR, PUNJAB
NATIONAL BANK

MODERATOR : MS. PALAK SHAH – ELARA CAPITAL

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Moderator: Ladies and Gentlemen, Good Day, and Welcome to the Punjab National Bank Q1 FY26 Earnings Conference Call hosted by Elara Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Palak Shah from Elara Capital. Thank you and over to you ma'am.

Palak Shah: Hello, everyone. Welcome to the Q1 FY26 Earnings Conference Call of Punjab National Bank.

Today, we have with us the Management of the Bank headed by Mr. Ashok Chandra – M.D. and CEO; Mr. Kalyan Kumar – Executive Director; Mr. M Paramasivam – Executive Director; Mr. Bibhu Prasad Mahapatra – Executive Director and Mr. D Surendran – Executive Director.

With this brief introduction, I would like to hand over the call to Mr. V.P. Bansal – DGM, Strategic Management and Economic Advisory Division. First a disclaimer statement, post which M.D. sir will address the conference. Thank you and over to you sir.

Shri V.P. Bansal: This representation contains certain forward-looking statements apart from historical information. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. Punjab National Bank undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date of the statements. Thank you.

Shri Ashok Chandra: Good evening, ladies, and gentlemen. I am Ashok Chandra, M.D., and CEO of Punjab National Bank. A Warm Welcome to this Analyst Meet.

I will just give the "Highlights of our Business Profitability and Key Important Ratios":

The global gross business of the Bank stood at Rs.27.19 trillion as on June 2025 with yearly growth rate of 11.6%.

The global deposits stood at Rs.15.89 trillion with a Y oY growth rate of 12.9% and global advances stood at Rs.11.30 trillion with a Y oY growth rate of 9.8%. We are well above our guidance of 9% to 10% for deposits and on the credit side we are slightly behind our guidance of 11% to 12%. Of

course, we have the sanctioned credit limit to the tune of around Rs.1.30 lakh crore s which are yet to be disbursed.

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CD ratio of the Bank is at 71.09% as on June 2025. The CASA share is ~37% as on June 2025 and our CASA deposits has recorded a growth of 3.6% on Y oY basis. CASA ratio is reduced in this particular quarter , but we have mobilized 26.31 lakh new CASA account s in Q1 of FY 2025 -26 with total fresh CASA accretion to the tune of 4,686 crores.

Our RAM advances stands at Rs.6.11 trillion which is around 56.6% of the domestic advances. The share of RAM advance was at 55.5% as on June 2024.

Coming to the profitability numbers :

The net interest income stood at Rs.10,578 crore s with a Y oY growth of 1% for Q1 FY26 despite the 100 basis point s cut in the repo rate and that has been passed to the clients also.

Our deposit NIM percentage is at 2.84% for Q1 FY26 whereas the global NIM percentage stood at 2.70%. We are below our NIM guidance at 2.8 %-2.9% for 2025 -26; however, the same is expected to improve from Q3 onwards based on the repricing of deposits and positive impact on account of CRR cuts.

The operating profit for Q1 FY26 is Rs.7,081 crore s which has improved from Rs.6,581 crore s for Q1 of FY25 and Rs.6,776 crore s for Q4 of FY25. This is one -time highest in our Bank . YoY growth rate of operating profit is 7.60%. Profit before tax of the Bank for Q1 FY 26 is Rs.6,758 crore s as against Rs.5,269 crore s in Q1 FY25 depicting

a Y oY growth rate of 28.3%. However, net profits

have reduced to Rs.1,675 crore s in Q1 FY26 from the level of Rs.3,252 crore s in Q1 FY25 and Rs.4,567 crore s in Q4 of FY25 on account of shifting to the new tax regime and one -time income tax provision made thereupon. Going forward, our net profit will reflect a healthy trend of improvement.

If I can talk about the efficiency ratio, the net profits are lower in this quarter on account of one -time IT provision based on the switching to the new tax regime. As such, our efficiency ratios are not a true reflector for this particular quarter. The same will improve from the Q2 onwards.

Return on assets stood at 0.37% for Q1 FY26 because of the lower net profit and on account of shifting to the new tax regime. Return on equity stood at 6.59% for Q1 FY26. Earnings per share, not annualized, is Rs.1.46 for Q1 FY26.

Our tangible book value per share as on 30th June 2025 is Rs.92.64 which has increased from the level of Rs.73.11 as on 30th June 2024.

If I can talk about the asset quality, Bank has done very well in NPA management and reducing the stress level in the portfolio. The asset quality, the GNPA has reduced to 3.78% as on 30th June 2025 from 4.98% in June 2024 and 3.95% in March 2025. Similarly, the net NPA percentage which was 0.60% in June 2024 has improved to 0.38% in June 2025. We are on track to achieve our guidance

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for GNPA ratio and net NPA ratio for 2026 at below 3% and 0.35%, respectively. Our provision coverage ratio stands at 96.88% as on 30th June 2025 which is well above our guidance of more than 96% for FY2026.

The total fresh slippages during Q1 of FY2026 was Rs.1,886 crore s as against Rs.3,001 crore s in Q4 2025. Our guidance for slippages ratio was to remain below 1% in FY2026. We are within our guidance level as slippages ratio for the Q1 FY2026 which has remained at 0.71%.

The total recovery stood at Rs.3,356 crore s for Q1 FY2026 as against Rs.3,249 crore s in Q1 FY2025. Our recovery continues to be more than the slippages reflecting the improving asset quality.

The credit cost stood at 0.14% for Q1 FY 2026, well within our guidance for credit cost which is below 0.5% for current financial year.

There is one highlight I want to bring to all the esteemed members who are present here about the asset quality underwriting. From 1st July 2020 onwards till 30th June 2025, we have sanctioned Rs.11.34 trillion loans out of which we have disbursed around Rs.9.84 trillion loans. The outstanding in these loans is Rs.7.18 trillion as on 30th June 2025 which is close to 63% of our total outstanding loan book. And NPA in this book is hardly Rs.3,964 crore s which is only 0.40% of the disbursed amount under fresh underwriting.

Segment -wise breakup of NPA in fresh underwriting is under retail 0.38%, agri 0.59%, MSME 1.58% and for corporate it is negligible at 0.01%. This speaks about the good underwriting which Bank has undertaken.

If I can talk about the capital structure of the Bank , as far as the capital is concerned, our capital adequacy is 17.50% as on 30th June 2025 compared to 15.79% as on 30th June 2024 and 17.01% as on 31st March 2025. Our CET -1 and Tier-1 and Tier-2 capital stands at 12.95%, 14.62%, 2.88% respectively .

A lot of digital initiative s Bank has undertaken and I will highlight some of the digital penetration which the Bank has taken. The Bank is continuously augmenting its digital base and focusing on

building digital capabilities under the domain of AI /ML and analytics -based business generation and the same is yielding tremendous results for the Bank . The share of digital transactions has reached more than 95% for Q1 FY26 versus 89% in Q1 FY25. There is more than 100% increase in UPI transactions done through our mobile application "PNB One."

Number of WhatsApp banking users have gone up by over 100% from 34 lakhs as on 3

0th June 2024

to 69.7 lakhs as on 30th June 2025.

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Our Corporate Mobile Banking launched on 18th September 2024 serves more than 1.41 lakh customers with app rating of 4.1 on Play Store and 4.2 on IOS.

Sanctions under Digi Lending journeys has crossed Rs.27,900 crores and every fifth loan sanctioned in the Bank is through the digital mode.

We have onboarded 4.58 lakh CBDC customers and 74.71 lakh transactions are done through the CBDC app till 30th June 2025.

Some other key initiatives undertaken recently includes our Gen AI Chatbot "PIHU" available on our website, IBS, and PNB One. Further various enhancements have been made in the PNB One business mobile app.

We are promoting financial inclusion through digital channel with our comprehensive DIY SHG journey, Digi MSME Loan , e-Mudra Loan , PM Vishwakarma, and Digi Surya Ghar Yojana Schemes . To further digital push Bank is onboarding a system integrator for full -fledged Gen AI implementation. Further we have planned to launch a unified solution to streamline our more than 100 digital journeys. We are also looking forward to revamp our internet banking solution and mobile banking applications.

Human resources plays very , very important role in any organization and Bank has done lot of initiative under the human resources. Bank has adopted new age HR ecosystem driven by "Project UDAAN." We are undertaking this project in two parts, namely Digital PMS and Capacity Building . Under Digital PMS, KRAs of employees are being revamped to make them more business -oriented and impact -driven, ensuring a stronger alignment with the strategic objectives and operational goals of the Bank .

Further , we have launched U DAAN Mobile App for Employees on both Android and iOS platform to track their progress conveniently.

Under capacity building, we are undertaking numerous steps involving Leadership Development Programs , Gen AI Learning Chatbot and Comprehensive Skill Development Programs for Employees.

My Concluding Remarks: Our focus area for the Bank is on increasing CASA base in total deposits and RAM share in total advances. The same will help in improvement of NIM and profitability of the Bank . Further containment of slippages and robust recovery will remain the priorities of the Bank . With digital and HR transformation being undertaken, Bank will witness durable growth in business and profitability on a consistent basis. Balance sheet of the Bank has strengthened. Bad assets of the Bank have been reduced substantially and provisioning has increased. Bank will endeavor to increase its market share in both deposits and advances. Thank you very much.

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Along with me, my entire top management team is there to answer any of your queries, clarifications, or any guidance we are there .

Moderator: We will now begin the question -and-answer session. We have our first question from the line of Akshit Agarwal from SMIFS Institutional Research. Please go ahead.

Akshit Agarwal : Good evening, sir. Thank you for the opportunity. My first question is on recoveries. There were weaker technical recoveries and interest accruals. If you can shed more light on this, that would be great ? And how do you see rest of the year? And further, sir, asset quality was benign with reduced credit costs and slippages. But SMA2 ratio picked up marginally even though overall numbers remain favorable. Can we get more color on this? That was my first question. Thank you.

Shri Ashok Chandra: First, I will touch about the recovery. In this particular quarter, the total recovery is Rs3,356 crores and the recovery in the technical write-off is around Rs .1,200 crores , and if I add this recovery in TWO and the interest, the total amount is Rs .1,700 crores . So, this is all about recovery. And the guidance for this year, already we have given that

at Rs .16,000 crores will be the total recovery, which

we will be doing it. And within that Rs .16,000 crores , Rs.1,500 crores per quarter, that is around Rs.6,000 crores recovery will happen through the technical write-off.

Akshit Agarwal: Right, sir. But this quarter, it was slightly weaker. So, is it like some seasonal or is it like just a one-off, this quarter, you would expect better recoveries , rest of the year was a blip at this point.

Shri Ashok Chandra: Yes, the total recovery target which we have given, definitely we are going to achieve. See, in the

first quarter, always the business and the total activity also remains muted because of the various transfers and all those issues are happening in the first quarter. And with that, I think the team has done very well and we are able to recover Rs .3,300 crore s. Already there were some accounts which we were expecting that wil I happen in the June quarter. Already those accounts have come now. And in the month of July itself, we have a good number for the Q2. So, I am expecting that the guidance which we have given, Rs .16,000 crore s of total recovery, definitely we are going to touch this number.

Akshit Agarwal: Right, sir. Thank you. My second question is on operating expense. I wanted to understand the reason behind elevated operating expense this quarter. OPEX was like 16 % to 17% year -on-year with other OPEX going at 22% year -on-year. So, is it going to stay elevated for the year or is it like there was some one -off going in this quarter or some discounted or something else?

Shri Ashok Chandra: See, what happens , in the first quarter, because of the PSLC which we purchased for the priority sector, that is the PSLC Priority Sector Lending Certificate , that amount itself is around Rs .850 crore s now. So, that is one of the reasons the operating cost for this particul ar quarter, you see that some number is high. Otherwise, definitely there will be a stable expenses will be there in future in Q2, Q3 onwards.

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Akshit Agarwal: Right, sir. Thank you. If we exclude one -off tax provisions of like Rs .33 billion, your RO A would be greater than 1% , with NIM s continuing to decline, weak credit growth and treasury gains might not stay that elevated throughout the year. So, what are the levers you are going to use to deliver over 1% RO A for the rest of the year? Thank you.

Shri Asho k Chandra: First of all, with the migration to the new tax regime, that itself is going to help us by around 16 basis points in the RO A. That is the first point. Second point is, see the NIM and the NII is muted for this particular quarter , and in fact, in the last meeting also I had indicated that Q1 and Q2 will be a challenging quarter for maintaining the NIM and the NII. But definitely the repricing which is happening in the deposit front and the deposit rate which has been reduced, I am expecting that Q 3 onwards, definitely the Bank will have the good NIM and good NII. I think the guidance which we have given for the NIM is around 2.8 % to 2.9%. Definitely, we are going to hold on to this guidance.

Akshit Agarwal: Right, sir. Thank you very much for answering all my questions. All the best.

Shri Ashok Chandra: Thank you.

Moderator: Thank you. The next question is from the line of Ashok Ajmera from A jcon Global. Please go ahead.

Ashok Ajmera: Yes, thank you for the opportunity , and compliments to you, Ashok sir, all the leaders and top management of Punjab National Bank. Sir, you are firing on all cylinders .

Shri Ashok Chandra: Thank you.

Ashok Ajmera: And in the earlier question, you already answered that in spite of being a major recovery, why in this quarter the recoveries were less than the overall proportionate for one quarter . And that is a valid point also, June quarter being a little subdued quarter from the recovery point of view. Having said th

at, sir, I have got a couple of some obs ervations and some questions. Sir, just one is tax change in the tax regime. So, if I understand correctly, out of this higher provision of the tax of Rs.5,083 crores, Rs.1,600 or Rs.1,700 would have been in otherwise also the tax like this. So, basically Rs.3,300 or Rs.3,400 crore s has gone from that DTA. So, what is the exact calculation? Because at the year end, if we take it almost about Rs.29,500 crore s of operating profit according to your guidance of 9% plus, so on that our tax liability overall will be Rs.7,300 crores something under the new regime. So, can I just understand that what would be the final tax figure in the P&L in FY26 if that profit assumption is correct?

Shri Ashok Chandra: Yes, I will just share some facts about this. You have rightl y mentioned that Rs.3,324 crore s has come out with the DTA, which the provision higher tax was there. Now, because of the migration to the new tax regime, this was 25%. So, to that extent, Rs.3,324 crore s we had to s ave out and Rs.1,700 crore s would have g one normally also with the tax regime. So, Rs.5,000 crore s plus is the outgo for this particular quarter. Now, from the new tax regime, Q2, onwards, we will have to pay tax at the Punjab National Bank

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rate of 25%. And assuming this Rs.7,000 crore s, the operating profit, which the Bank has shown, and the first time we have shown the Rs.7,000 crore s of operating profit, and I am hopeful that this trend will continue. So, 10% if I can reduce, because 35% is the old tax regime and 25% is the new, so 10% I am going to save. It means in the absolute number Rs.700 crore s minimum every quarter I am going to save on account of the migration to the new tax regime. So, if you can calculate the three quarters, it comes to around Rs.2,100 crore s net accretion will happen in the net profit. So, I think this is the way I perceive and I can project it out.

Ashok Ajmera: Yes, sir. Yes, sir. Even my calculation also is based on that. Sir, we have performed well in this quarter backed by treasury profit. We have made some treasury prof its and also something in the revaluation of investment also. So, going forward, with further rate cuts expectations maybe in the

latter half of this year, maybe two cuts of 20 basis points going forward, one thing is that we are going to have some pressure on the margins because of the lag effect in the MCLR-backed account and similarly for the deposit, and other side, we will have a bumper treasury profit if we deal properly in the treasury books. So, having said that, will the treasury profits which are shown Rs.1,816 crore in the profit plus overall if you see the segment wise income on the treasury, it is Rs.3,415 crore as against Rs.1,963 crore in the last quarter. So, going forward, we are continuing to see the same trend on the treasury income or do you think it will get little muted?

Shri Ashok Chandra: In this financial year, we have built a very strong treasury book now. If you see our entire total portfolio under the treasury itself is around touching Rs.5 lakh crore now. And with the lower interest rate regime, which also you have highlighted, definitely, I think this book is going to contribute in a very, very bigger way to the overall income of the Bank and we are very confident that good treasury book is going to give us a good income in the Q2, Q3 also now. So, that trend will continue.

Ashok Ajmera: Good, sir. Well, on advances on the credit side, sir, we have a little bit slowed down, though in this quarter, having anything positive itself is a very good positive point, like your 1.19% quarterly credit advances have increased. But still looking at PNB and your potential of you and your team, I feel that I do not think there is any dearth of the proposals which are coming in, there must be a strong sanction pipeline also and many propos

als which are in the pipeline. So, are we still sticking to that 11%, 12% and we will be able to achieve even that also in the next three quarters or we feel it is a conservative one and you might go to maybe higher bracket of 12%-13% or something on the credit front, because I see PNB is now full-fledged again in the market and I think you are the most sought-after Bank today. Then, sir, this SMA numbers little bit increased in this quarter at Rs.1,596 crore against Rs.239 crore in March. Is there any specific reason, any one-off account in this or is it paid by now, sir?

Shri Ashok Chandra: First, I will touch about the credit growth part. If you see MSME growth, we have shown a growth of more than 18% ... it is 18.6% growth in MSME. Core retail has grown by 17.7%. What we have
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missed out in the corporate loan growth, there is a growth, but in fact, both QoQ growth is also there and YoY growth is also there. But the challenge which has come in the corporate book is that we have Rs.1,29,000 crore of sanctions in our book now and disbursements have started happening, but there are many project financing we have done now. In fact, we are building up good project financing now, good projects we are undertaking, and we are going in a very, very big way for those projects financing. So, you know that disbursements also takes time in the project financing, one year, two years' time it takes, but Rs.1,30,000 crore of book is already there with us and going to be disbursed in Q2, Q3 onwards. So, this is one strong point before us is there. In the project means the total corporate book, if I can talk about those diversified activities which we have taken, HAM we have taken good proposal, power renewable energy we have good proposal, advanced smart metering, this is one area which is picking up very well in the country. So, there we have taken a lot of good proposals now, then InvIT, we have taken good proposals under that. In fact, in the real estate sector also, lease rental discounting, then in the real estate also InvIT is coming. So, that also we have initiated from one or two proposals. Food processing. So, I think very diversified field in the corporate areas we are there. What we are focusing on improving the turnaround time of the sanctioning of the loan and that is one commitment which we have given to all the corporates that any proposal which comes to head office with all the waiting and everything, at head office the sanction will happen within 15 days and this is one comfort we are giving to all the corporates and based on that I am seeing lot of interest in our Bank from the corporate side and I am very confident that going forward you will see good growth and we are still sticking to the guidance which we have given, I think we are going to grow at the same speed.

Ashok Ajmera: Thanks for that good assurance on the TAT actually because technically the TAT is not being followed strictly. Alright. Thank you very much, sir and all the very best to you.

Moderator: The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Hello! Good evening, sir. Sir, I had a couple of questions. Firstly, in terms of margins, so most banks are guiding to some sort of a recovery or stabilization in the second half. So, that may have been well understood. But in the second quarter, how much do you expect margins to fall -- will it be more than 11 basis points that we have seen in the first quarter or will it be lower or higher, like a rough ballpark would really help?

Shri Ashok Chandra: Yes. I think in Q1, you have seen that domestic NIM is 2.84% and the overall global NIM is 2.70%. Our guidance is 2.80% to 2.90%. Now, if we talk about the Q2, I think we will be holding to the same level which is there in Q1 because the interest rate cut which has happened

d, that impact already

we have seen in the first quarter. So, Q2 also will be having the same level, and we have also improved the advances portfolio. More than that, we have said around 21,000 of the corporate low-

yielding book. So, I think that also will give us some good income and definitely our NIM, what we have done in this particular quarter, I think we are going to hold on to this level now, around 2.7%.
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Mahrukh Adajania: Because the last repo rate cut would have been passed only for less than a month and the full impact will come in the second quarter. Even then, you would see NIMs holding on?

Shri Ashok Chandra: Yes. Two things which are in favor now. One is the overall loan growth has also happened. And second is, since we have shed some low-yielding advances, that is also in our favor. Third point is that we have also reduced the cost of deposit and that impact also we are going to see in this entire full quarter. The rate reduction in the deposit also happened subsequently, I think, in the second month of the Q1. So, that impact also we have not seen fully in that particular quarter. So, this particular quarter, we are going to see that entire impact on the cost of deposit also. So, all those things put together, I am expecting that 2.70% definitely we are going to hold on.

Mahrukh Adajania: Got it. And the MCLR has been cut by how much, sir?

Shri Ashok Chandra: We have already reduced by 15 basis points. We had 9.05% and today we are at 8.90%.

Mahrukh Adajania: Okay, sir. And my next question is on MSME loans. So, some lenders have called out stress in the MSME segment. What are your thoughts? So, they are saying that NPLs in MSME... of course, they are saying unsecured MSME, but they are rising.

Shri Ashok Chandra: We are not seeing any such movement or any such change in our portfolio. And I think the way the book was behaving earlier, the same way it is behaving now also. And the fresh underwriting which has happened for the last four years, in that incremental MSME growth, we are seeing slippages of around 2.5% to 3%.

Mahrukh Adajania: Okay, sir. And do you do any unsecured loans to MSME?

Shri Ashok Chandra: No, we do not do that because there are two ways of doing the MSME loan. One is that CGTMS E coverage is available. So, wherever the collateral security is not there, we advise the customers to go for the CGTMS E coverage. So, either it is CGTMS E coverage or the collateral securities are there.

Mahrukh Adajania: Okay, sir. Thank you so much. Thanks.

Shri Ashok Chandra: Thank you, madam.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes, Sir, firstly, the question is on SMA, I think that was again missed out. So, if you look at it, the increase in the SMA pool, which is there in the MSME, and maybe when you look at it overall in general, it has gone up maybe a bit, say when you look at it even if there is SMA pool, which has got built up. So, how do we read this number of say closer to like Rs.1,600-odd crores of SMA, and
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this is again like more than Rs.5 crores, if you can highlight the overall SMA pool, say even below the Rs.5 crores, which you always used to give out, say SMA 0, SMA 1 and SMA 2?

Shri Ashok Chandra: See, I can give you the full SMA 0, 1, 2 of the entire Bank irrespective of the amount. See, it was 6.79% last year. Okay? And now that has come down to 6.14%. And that includes from Re.1 to the Rs.1,000 crores now. So, that is a book and I think there is a good control on the SMA book and even for the Rs.5 crores and above book, only 0.14% is the stress is there.

Kunal Shah: Okay. And how would have been this breakup across SMA 0, 1, 2?

Shri Ashok Chandra: You want the absolute numbers?

Kunal Shah: Absolute and percentage. Yes. You

give that every quarter. Yes.

Shri Ashok Chandra: Retail, we have Rs.28,500 crores and Agri, it is Rs.11,600 crores, MSME, Rs.24,000 crores, and all others, like corporates and all put together, it is Rs.5,200 crores. This is the total stress.

Shri Ashok Chandra: This is total. Yes. Yes. And 0, 1, 2 in particular, overall amount, including all the portfolios?

Shri Ashok Chandra: See, total of around Rs.69,000 crores is the 0, 1, 2 book is there now. In that, SMA 0 itself is Rs.43,300 crores. And I can tell you the trend which is there. Of the Rs.43,300 crores, in that retail itself is Rs.17,800 crores. So, what happens, the vehicle loan, housing loan, even for one day also, if it goes, it becomes SMA 0 now. And within one week of that, again, the repayment comes and it comes out of the SMA 0. So, SMA 0 is Rs.43,300 crores, SMA 1 is Rs.13,200 crores and SMA 2 is Rs.12,700 crores.

Moderator: The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes, Hi, sir. Congratulations on the quarter.

Shri Ashok Chandra: Thank you.

Piran Engineer: Sir, last year, our slippages in MSME were Rs.638 crores and now it is Rs.966 crores and it has been above Rs.900 crores for the last two quarters, it is on an increasing trend. So, what exactly is happening on the ground?

Shri Ashok Chandra: See, these slippages which have happened in the MSME is Rs.10 lakh and below category. And most of these loans are under the Mudra loans for which the government guarantee is also available. 75% of the outstanding we are going to get back in that particular category. So, that is the only slippage which is happening. Otherwise, the MSME book of Rs. 10 lakh and above is fully behaving well. We

have a good underwriting structure is there. And Rs.10 lakh and above, we have a centralized set up
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at 138 centers in the country. All those proposals come under that MSME cell and there only the processing and disbursement happens. So, I do not see any challenge in this entire book.

Piran Engineer: And so the sourcing for this Rs.10 lakhs and above happens through specialized branches or your regular liability branches?

Shri Ashok Chandra: It is happening through all the branches. But now we have initiated the digital sanction of up to Rs.10 lakhs now. And this we have initiated just two months back and in another two, three months time, manual sanction, and disbursement up to Rs.10 lakhs category is going to be totally stopped in the Bank. All those Mudra loans up to Rs.10 lakhs will happen through the digital system itself. And we have done this digital loans in the different categories. And those loans are sanctioned by the digital setup. The BRE is so strong. The book is behaving very well. So, going forward also, maybe another two, three months time, the entire Rs.10 lakhs loan, all those Mudra loans will happen through the digital BRE now.

Piran Engineer: Okay. Okay. And sir, our employees go on the ground and source these loans or we get it through DSAs or customer walks into the branch with these?

Shri Ashok Chandra: There are two things. One, the customer walks into the branch and branch itself sources the proposal. There is no DSA or third-party involved in this Mudra loan.

Piran Engineer: Okay. Understood, sir. Sir, just one other question on OPEX guidance for FY26. This quarter it was Rs.8,700 crores. What will it be for the full year approximately if you can guide us?

Shri Ashok Chandra: Operating expenses also, yes, this particular quarter, there is one head that is the Priority Sector Lending Certificate, that is the PSLC. Because of the shortfall in the priority sector, we go to the market and purchase that to achieve that priority sector target. Because of that only in this particular quarter, there is one PSLC is there in the operating expenses. Otherwise, we have

stabilized operating

expenses, both in the employee side also, and the other than the employees expenses also. So, I do not see any big changes going to happen in the operating expenses.

Piran Engineer: Okay. Okay.

Shri Ashok Chandra: In the Q4 also, our operating expenses was Rs.8,697 crores, and Q1 of this also it is Rs.8,765 crores. We are almost in the same range, except that one head where we have said around Rs.800 crores, PSLC certificate. That only the cost has gone up.

Piran Engineer: Sir, now if I remove that Rs.800 crores of PSLC, it will be roughly Rs.8,000 crores operating expense. So, I assume that level for the rest of the year?

Shri Ashok Chandra: Rs.8,000 crores to Rs.8,200 crores.

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Piran Engineer: Okay. This was very useful. Thank you for answering my questions and wish you all the best.

Shri Ashok Chandra: Thank you.

Moderator: Thank you. The next question is from the line of Zhixuan Gao from Schonfeld. Please go ahead.

Zhixuan Gao: Hey, congratulations on a good set of numbers. Just on margins, do you mind sharing with us what is number one the recovery on written off debts in the interest income line? And also, how much is interest on tax refunds this quarter?

Shri Ashok Chandra: Yes, recovery in technical write-off and the interest, all put together is Rs.1,700 crores. And the tax component is around Rs.500 crores.

Zhixuan Gao: Sorry, of the Rs.1,700 crores, how much of that is the net interest income?

Shri Ashok Chandra: See, Rs.1,200 crores is the technical write-off recovery and Rs.500 crores is the interest recovery.

Zhixuan Gao: So, we have Rs.500 crores interest recovery and another Rs.550 crores of interest on tax refund.

Shri Ashok Chandra: Yes. And this Rs.500 crores in the interest recovery, in every quarter, we are recovering in the interest to the extent of around Rs.500 crores to Rs.700 crores, every quarter, that figure is there.

Zhixuan Gao: Got it. Thank you so much.

Shri Ashok Chandra: Thank you.

Moderator: The next question is from the line of Bhavik Shah from In Cred Capital. Please go ahead.

Bhavik Shah: Hi, sir. Thanks for the opportunity and congrats on good set of numbers. Sir, in the last quarter, we had AS 15 provisions of around Rs.1,400 crores and this quarter it is Rs.1,150 crores. Is it fair to assume it will stabilize at this run rate for the entire year?

Shri Ashok Chandra: Yes, yes. We have taken the calculation from the actuary and based on that only we have factored this. I do not see that in any of this quarter we are going to exceed this amount.

Bhavik Shah: Okay. Thank you, sir. Sir, our net worth has increased by Rs.4,600 crores while our PAT was around Rs.1,600 crores. Can you explain the walkthrough of what goes into that Rs.4,600 crores?

Shri Ashok Chandra: One element is there in that. Revaluation, we have done and that figure has also increased and because

of that it has gone up.

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Bhavik Shah: What would be your outstanding AFS reserve? The revaluation would have gone to the AFS reserve, right?

Shri Ashok Chandra: Yes, it has gone to Rs.800 crores now.

Bhavik Shah: So, that is the outstanding of AFS reserve ?

Shri Ashok Chandra: Last year, in the same quarter, it was Rs.33 crores which has gone to Rs.800 crores now.

Bhavik Shah: Okay, sir. And sir, we have Rs.10 lakh crores of term deposit s. In that, how much is the bulk deposit above Rs.3 crores?

Shri Ashok Chandra: That figure is around Rs.2.8 lakh crores.

Bhavik Shah: Rs.2.8 lakh crores ? And sir, this would b e at what average rate? 6.5 % or 6.4% ?

Shri Ashok Chandra: These are all at different , different rates because all these are taken at a different period under a different rate. So, it is very difficult to crystallize at what rate it is there. But now, the bulk deposit rate itself, 100 b

asis points, we have brought it down because last quarter, Q4, it used to range between 7.8% to 7.85%. Now, the bulk deposit rate is around 6.7% to 6.78%. And P NB is not there in the bulk deposit market.

Bhavik Shah: Will it materially repri ce next quarter again?

Shri Ashok Chandra: Definitely.

Bhavik Shah: Sir, we saw a standard provisioning of Rs.309 crores this quarter and a write -back from investment of over Rs.403 crores. If you can just explain as in what were those for, that would be great ? Thanks. And I will stop there.

Shri Ashok Chandra: See, a standard account provision, whatever we do at th e 7th June circular, there was one account which was triggered under the 7th June and because of that, we have made some additional provision.

Bhavik Shah: Okay. And the writeback from investment , Rs.400 crores ?

Shri Ashok Chandra: Yes, because of the MTM and the RR Bs and all which the amalgamation has happened. So, again, the valuation has happened and because of that there is some writeback there.

Bhavik Shah: Understood, sir. Thank you, sir and best of luck for the future quarters.

Shri Ashok Chandra: Thank you.

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Moderator: Thank you. The next question is from the line of Vansh Solanki from RSPN Ventures. Please go ahead.

Vansh Solanki: Hi, PN B management team , very good to meet you. My question is on asset quality, mostly on credit cost. That credit cost for this quarter is around 14 b ps. Okay. And in last three or four quarters also, we see the similar range of 10 to 20 b ps is going on and you have given guidance of the 50 b ps of the credit cost. So, can we think that these 10 to 20 b ps range for a credit cost is normalized, like you can lower the guidance of the 0.58% , are there chance s, is this a normalized range or what?

Shri Ashok Chandra: Credit cost, the guidance which we have given is 0.50 for the entire year, right? And in this particular quarter, our credit cost is 0.14%. And we will remain well below the 0.5%. I think that is the assurance I can give you.

Vansh Solanki: Okay. And can you just mention the sanctioned boo k which you mentioned before, but the voice broke down , can you just mention again?

Shri Ashok Chandra: Yes. We have Rs.1,29,000 crore s of sanctioned book under the corporate segment. And in that, Rs.43,000 crore s is the sanction which we have done u p to March '25. Rs.48,000 crore sanction which we have done in this financial year, that is the first quarter itself. So, both put together, Rs.91,000 crore s is there and Rs.38,000 crore s is the sanctions is in the pipeline, which we are going to do it. All put together is Rs.1,29,000 crore s is the book which is there with us now, for which the disbursements are going to happen.

Vansh Solanki: Okay. Thank you, sir and best of luck for the future.

Shri Ashok Chandra: Thank you.

Moderator: Thank you. The next question is from the line of Sushil Choksi from Indus Equity Advisors. Please go ahead.

Sushil Choksi : Sir, congratulations to team P NB for very stable and good balance. And my first question is your RAM advances is visible at 17 %-18%. How do you visu alize here on RAM advances and what is it currently?

Shri Ashok Chandra: Within the RAM, if we can share some figures, MSME has grown by 18.6% and core retail has grown by 17.7%. Bank has initiated a lot of things in RAM now. One is that massive outreach activity is happening in our Bank , where from the top management, including M .D. and EDs and everybody is participating and they are visiting the centers, conducting the outreach activity , and this is happening for the retail, agri, MSME. Just on 25th of July, we have conducted the MSME outreach activity , 11th of July, we conducted the agri outreach activity , and 17th of July, that was for the retail expo. So, these activities are generating lots of good leads and then the leads are getting

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centralized hub and getting sanctioned now. This we have seen in the last quarter also, and those leads got converted and it has given a very good growth in this RAM sector now. This activity is going to continue. Second, we are bringing a lot of digital footprint in the RAM sector now. So, all those things are going to facilitate, one is that improving the turnaround time, and second, the penetration and outreach activity, visibility of our Bank that we are also a very serious player in the RAM sector now. So, all those things put together, I am expecting that there will be very good growth under the overall RAM.

Sushil Choksi: Sir what is the yield on RAM?

Shri Ashok Chandra: For MSME, separate figures are there. Like for retail, it is varying in the range of around 8.35%, agriculture, it is 7.95%, MSME, it is 8.42%.

Sushil Choksi: SME, it is above 9%.

Shri Ashok Chandra: Yes, on standard advances.

Sushil Choksi: Okay, sir. Based on your Rs.1,29,000 crores of sanctions, which is more of project finance or pipeline, where do you see your C/D ratio at the end of the year and what would be the value in corporate and RAM at the end of the year?

Shri Ashok Chandra: The share of corporate and RAM will be, with the initiative, I am expecting somewhere around 58% to 59% under the retail and remaining 40% to 41% under the corporate.

Sushil Choksi: Okay. The initiative of the Bank is focused on empowering the RAM sector with a lot of digital initiatives to improve your TAT and a lot of other initiatives. What is the digital expenditure you would incur this year and if any plans to incur additional expenditure to improve the benefits to PNB account holders from various initiatives on types of touch points, any other measures?

Shri Ashok Chandra: First, the benefits which we have given is despite the stress on our income, we have waived the minimum balance charges. Now, there is no minimum balance charges. Whatever categories accounts have been opened, even if it goes below that level, it is totally free. No charges on that. Second, for entire CASA product, whether it is a salary or non-salary, senior citizen, youth, women, farmers, for the military people, we have come out with the special scheme. In every such account, we are providing some add-on facility like health check-up facility free, term life insurance free, Rs.1 crore accidental insurance is free, OTT subscription. So, many things we have built in along with that account and all these things are being passed on to the account holder when he opens that account with us now. So, these are the things. Third point is the digital initiative like PNB Mobile App. It is such a wonderful app that if you are opening an account and if you download our app, you need not visit the branch for any banking activity. Everything is possible and hassle-free now. So, I think these are the benefits that is there for anybody who is banking with PNB.

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Moderator: The next question is from the line of Roshni Munshi from CLSA. Please go ahead.

Roshni Munshi: Hello! Thank you, sir. Thank you for the opportunity. Good evening. My first question is, I just wanted to check if the benefit of 100 bps of repo cut has been completely transmitted to the borrowers so far?

Shri Ashok Chandra: Yes, it has already been passed on. In fact, in our Bank, there is a guideline that today if the MPC decides to rate cut and if it is announced by RBI, I think the next working day itself, it is getting implemented straightaway.

Roshni Munshi: Got it. Got it. Thank you so much. And also one last data-keeping question. Could you please tell us the MCLR, EBLR and fixed rate loan mix?

Shri Ashok Chandra: Yes, we have around 56% linked to EBLR, including our repo linked, treasury linked, that composition is around 56%, remaining

all is the fixed rate, base rate, and the MCLR.

Roshni Munshi: Okay, so 56% is EBLR and everything else you will just like to classify it as MCLR fixed rate and all? Okay.

Shri Ashok Chandra: Yes.

Roshni Munshi: Can you elaborate how much is MCLR if that is possible?

Shri Ashok Chandra: MCLR rate of interest you want?

Roshni Munshi: No, no. What percent of the mix is MCLR?

Shri Ashok Chandra: MCLR is 30%.

Roshni Munshi: Got it. Thank you so much, sir. Thank you.

Shri Ashok Chandra: Thank you.

Moderator: The next question is from the line of Harsh Modi from JP Morgan. Please go ahead.

Harsh Modi: Yes. Hi. How would you characterize the impact of change in PSL norms on your Bank's earnings, and how do you expect that going forward?

Shri Ashok Chandra: PSL norm you are talking about the changes which has happened in the housing loan and other segment, right?

Harsh Modi: Yes. And the expectations of further changes, there are some proposals.

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Shri Ashok Chandra: Yes. See, one change I think a very marginal improvement has happened because of the housing loan project, the revisit has happened. So, let us see what are the other changes that are being proposed and how it gets implemented. I think we need to wait and see , then only I can react that what are the final benefits that is going to come to the Bank .

Harsh Modi: All right. Thanks.

Moderator: Thank you. The next question is from the line of Jai from ICICI Securities. Please go ahead.

Jai: Yes. Hi, Ashok sir. Good evening and thanks for the opportunity. Sir, first question is on bulk deposit. Like the last quarter and this quarter also we had Rs.2.8 lakh crores of bulk deposit. Because this deposit is going to be short -tenured, have you started seeing benefits on the bulk deposit repricing , and if you can quantify how much interest saving can happen in Q2?

Shri Ashok Chandra: See, the bulk deposit around 100 basis points dip has already happened in the system. And in our Bank also the same thing is there because earlier the bulk deposit was in the range of around 7.85 % to 7.9 % which has come down to 6.7 % to 6.75 % So, almost 100 basis points dip has already happened. And definitely the impact of that, it will be visible in our Bank also from the Q3 onwards ... real impact will be visible.

Jai: Okay. Sure, sir. And the interest cost in this quarter, I mean, one is a small number. So, you have two, three components interest on deposit, interest on others and RBI others. So, there is some sharp some Rs.200, 300 crores decline on interest paid on borrowings. Have you retired these borrowings ? So, Rs.500 crores has come down to Rs.193 crores or this is going to go back to Rs.500 crores because the third line item is more or less similar, Rs.800 crores , but there is a dip in the interest paid on borrowings.

Shri Ashok Chandra: See, this borrowing happens in the treasury market on the day -to-day activity when we borrow. That amount has considerably come down in this particular quarter because we had the liquidity surplus. So, we were not borrowing in the market.

Jai: Right. Okay. Sure. And lastly, sir, last question is actually your global margin and domestic margin, right . Your global book is less than 5 % of overall book, but still it creates on the overall 15 basis points impact on the overall Bank . It looks like that the overseas margins are like 0.5 % or even below. Is that the math or because this -

Shri Ashok Chandra: Yes, you are absolutely right. It is in the same range ; it is in the range of around 0.45 % to 0.50 %. I think we are revisiting our strategy and we will see that because finally outcome has to be that how it is going to improve my NIM . So, we will revisit that. Portfolio is very small, but definitely it affects my bottom line.

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Jai: Right. And sir, if I may ask

one more question on retail loans, right , so, a), you have Rs.2 lakh crores of core retail within which you have given for housing, education and vehicle loan, but still there is some Rs.70,000 crores others, right, which could be mortgage or personal loan or something else, if you have that number, that breakup ? And you had that strategy of growing in -house retail, right, versus the DSA or versus full buyout , how is that strategy shaping up?

Shri Ashok Chandra: So, that has picked up very well. And if you see the housing loan growth within the entire retail, it has grown more than 17 % YoY and for project approvals and improving the turnaround time thereby.

Jai: Right. And if you have those numbers of retail book breakup ?

Shri Ashok Chandra: I can give you. Housing outstanding is Rs.1,06,000 crores , vehicle is Rs.27,000 crores , education is Rs.8,500 crores , and mortgage is Rs.16,400 crores , personal loan is Rs. 22,500 crores, gold loan is Rs.3,400 crores under the retail segment , credit card is Rs. 1,200 crores.

Jai: Sure, sir. Thank you and all the very best.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from Motilal Oswal . Please go ahead.

Nitin Agarwal : Hi. Good evening, sir. I have a few questions. One is on the PSLC expense that we have incurred this quarter. So, can you talk about as to what steps Bank is taking to ensure that we do not incur a PSLC shortfall in the following years , because some of the PSU banks are making really decent income on the PSLC certificate that they are selling , so, why is PNB sort of missing out on that front and what are the steps that you think that will help us?

Shri Ashok Chandra: We have taken a lot of steps now because I know that many of the public sector banks are making money out of this. And a Bank like ours having 10,200 branches, we were missing out. But this year, massive activities have been started. And the self -help group, one segment, which takes care of the small and marginal farmer category also, and the 40%, the agriculture target of 18% also, it falls under both these categories. And there only we are missing the target. So, we are going in an aggressive way for the self-help group onboarding now. And the benefit of self -help group is, one is that yield is also very good. NPA percentage is just around 1%. And the women, the financial inclusion point of view also. So, this is one segment we are going in a very aggressive way. And if you see the YoY figure under this self -help group, almost Rs.4,000 crores has been added. It was

Rs.8,500 crore s last year by June '24. Now it is Rs.12,000 crore s plus. So, this is one segment which we are going to do it in a very, very big way. Even for the farmers also, the KCCs and more we are going to focus on the food processing, rural godown, the cold storage, a lot of activities which we have started. We have already created a roadmap for totally coming out of the PSLC purchasing. And within three years roadmap, I think we are going to come out of this entire PSLC borrowing from the market. Next year itself, I am expecting that to the extent of around Rs.300 crore s we are going to save from the income side now with the initiative which the Bank has taken under the agri segment.

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Nitin Agarwal: Right, sir. That is very good to know. And sir, secondly, some qualitative color around treasury because this quarter we have seen most banks reporting very strong treasury gains and benefiting from how the bond yields move, the OMOs and other things , so, any qualitatively, can you talk about as to what can we expect in the second quarter around treasury -- can there be a sharp fall versus what the first quarter has been or is there more room that you still see for PNB or for other PSU banks space as a whole that they can sustain this run rate?

Shri Ashok Chandra: Yes, since o

ur Bank , we have built in a very good, strong treasury book to the extent of around Rs.5 lakh crore s and already the reducing market scenario when the interest rates are falling, definitely , the treasury book is going to behave very well , not only this quarter, this quarter definitely we have made good money , I think going forward also , in the entire this financial year, treasury book is going to support in a very, very big way in the operating profit .

Nitin Agarwal: Okay, sir. And lastly, on the business growth and particularly on CD ratio, so we have seen some banks like unwinding the deposit book and the CD ratios for many PSU s have increased now to somewhere early to mid -70s, while PNB continues to deliver a very stable growth, maintaining a balance between credit and deposit growth , so, what are the thoughts on that front like will we look to utilize the room that we have?

Shri Ashok Chandra: Yes, yes, we will continue to hold on to this level now. Rather, we are expecting that there will be some improvement in our CD ratio. Right now, around 71. 09% is there. I am expecting by end of this year, somewhere around 73% definitely we should be able to touch that. But growth in the deposit and advances are very, very stable and the activities and the initiative the Bank has taken I am very sure that there will be good credit growth. And the CASA initiative the Bank has taken I am expecting that there will be very good CASA , and within that CASA, there will be a stable individual growth will be there in the Bank .

Nitin Agarwal: Right, sir. Thank you so much and wish you all the best.

Shri Ashok Chandra: Thank you.

Moderator: Thank you. That was the last question for the day. I now hand the conference over to the management for closing comments.

Shri Ashok Chandra: Thank you very much. My only submission is that since in this particular quarter, we have migrated from the old tax regime to the new tax regime and that is the reason the impact which we are seeing on the net profit. If you see our (PBT), profit before tax is Rs.6,758 crore s which is 28.3% Y oY growth is there. And first time we have crossed Rs.7,000 crore s of operating profit and going forward also, this trend is going to continue. With the lower tax regime, when the 10% tax we are going to save, with that itself Rs.700 crore s, every quarter we are going to generate the net profit. So, we are very bullish that going forward, the migration which we have done and we have taken a very

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conscious call because whatever MAT benefit was there, we had nullified everything, and this was the right opportunity and right time for us to migrate to the new tax regime. So, we have taken a very conscious call which will have the benefit on our RO A, RO E going forward. I think all of you should believe in these things and definitely, I think the trust which you have reposed in our Bank , I think this should continue. From the management side, we are committed for growth , we are committed for the bottom line , and for asset quality. Thank you very much.

Moderator: On behalf of Elara Capital, that concludes this conference , thank you for joining us and you may now disconnect your lines.

Call: Oct 2025

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Date: 27.10.2025

Dear Sir(s),

Reg.: Transcript of the Earnings Call with Analysts/Investors on

Results for the quarter ended 30th September, 2025Financial

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find

enclosed the transcript of the Earnings Call with the Analysts/ Investors on the

Reviewed Financial Results for the quarter ended 30th September, 2025, held on

18.10.2025. The same is also available at <https://pnb.bank.in/financials-current.html>

The above is for your information and record, please.

Thanking you,

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it?t:(Bikramjit Shorn)

Company Secretary

Enclosed: As above

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Q2 FY '26 Earnings Conference Call "

October 18, 202 5

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MANAGEMENT : MR. ASHOK CHANDRA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – PUNJAB NATIONAL
BANK

MR. M PARAMASIVAM – EXECUTIVE DIRECTOR –
PUNJAB NATIONAL BANK

MR. BIBHU PRASAD MAHAPATRA – EXECUTIVE
DIRECTOR – PUNJAB NATIONAL BANK

MR. D SURENDRAN – EXECUTIVE DIRECTOR – PUNJAB
NATIONAL BANK

MODERATOR : MS. PALAK SHAH – ELARA CAPITAL

Punjab National Bank

October 18, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Punjab National Bank Q2 FY '26 Earnings Conference Call, hosted by Elara Capital. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Ms. Palak Shah Thank you, and over to Miss Shah.

Palak Shah : Hello, everyone, and welcome to Q2 FY '26 Earnings Conference Call of Punjab National Bank. Today, we have with us the management of the bank headed by Mr. Ashok Chandra , MD and CEO; Mr. M Paramasivam, Executive Director; Mr. Bibhu Prasad Mahapatra, Executive Director and Mr. D Surendran, Executive Director.

With this introduction, I would like to hand over the call to Mr. Ajay Kumar Singh, General Manager, Strategic Management Economic Advisory Division to read out the disclaimer statement, post which MD sir, will address the conference. Thank you, and over to you, sir.

Ajay Kumar Singh: Good afternoon. I'll be reading the disclaimer. This representation contains certain forward-looking statements apart from historical information, these forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. Punjab National Bank undertakes no obligation to update forward-looking statements to reflect events or circumstances after the present date. I now request MD sir for the opening remarks.

Ashok Chandra: Good afternoon to all the participants. I will just give the brief about the performance of our bank. The global gross business of the bank stood at INR27.87 trillion as on September '25 with a Y-o-Y growth rate of 10.6%. Global deposits stood at INR16.17 trillion with a yearly growth rate of 10.9% and global advances stood at INR11.7 trillion with a yearly growth rate of 10.1%. We have sanctioned credit lines to the tune of INR1.78 lakh crores, which are yet to be disbursed and that will favor the credit growth of the bank in the future. CD ratio of the bank is comfortably placed at 72.33% Bank has started to witness the impact of various initiatives taken to garner low-cost deposits and CASA ratio of the bank has improved to 37.29% as of September '25 from 36.99% as on June 2025, we expect the ratio to improve further gradually.

Bank opened 27.67 lakh CASA accounts in the revamped schemes with CASA balances to the tune of INR18,200 crores during H1 of FY '26. Our RAM advances stands at INR6.35 trillion, which is around 56.8% of the domestic advance, compared to 55.8% as of September 2024. We are strategically enhancing our RAM share within the overall advances to improve our yield on advances while managing risk.

Coming to the profitability, our domestic NIM percentage is at 2.72% for Q 2 of FY 2026, whereas global NIM percentage stood at 2.60%, with the yield on advances having largely stabilized at the lower end. We anticipate an improvement in the NIM from Q3 onwards. This

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outlook is supported by the ongoing repricing of deposits and the favorable impact of the CRR cuts, which will be fully materialized in Q3 and Q4.

The operating profit for the Q2 is INR7,227 crores which has improved from INR6,853 crores for Q2 of last financial year and INR7,081 crores of Q1 of this year. Y-o-Y growth rate of operating profit is 5.46%. Net profit of the bank stands for Q2 of this year at INR4,904 crores as against INR4,303 crores for Q2 in the same period last year, depicting healthy Y-o-Y growth rate of 14%.

Efficiency ratios

, highlighting efficiency of the bank are improving consistently. Our return on asset, ROA is at the level of 1.05% for Q2 as against 1.02% for same period last year. The return on equity stands at 17.95%. EPS, earnings per share (not annualized) is 4.27 for Q2 of this year against 3.90 for Q2 of last year.

Our tangible book value per share at 30th September is 95.92, which has significantly improved from the level of INR79.18 as on 30th September 2024. We are mindful of improving our cost-to-income ratio, and the same has reduced from 54.58% in Q2 of FY '25 to 51.20% in Q2 of this year.

Asset quality highlights. Bank has done extremely well in the gross NPA and net NPA. Gross NPA has reduced to 3.45% as on 30th September from 4.48% in September '24 and 3.78% in June '25. Similarly, the net NPA percentage, which was 0.46% in September '24, has improved to 0.36% in September '25.

We are on track to achieve our guidance for GNPA and net NPA for financial year 2026. Our PCR stands at 96.91% as on 30th September 2025, which is well above our guidance of more

than 96% for this financial year. Total fresh slippages during the Q2 for this year was INR1,955 crores as against INR2,181 crores in Q2 of last year.

Our guidance for slippage ratio was to remain below 1% in FY 2026 and we are well within our guidance level at slippage ratio for the Q2 for this year has been on annualized basis is 0.71%. Total recovery stood at INR3,920 crores for Q2 as against the INR3,356 crores in Q1 of this year.

Our recovery continues to be more than slippages reflecting our commitment towards improving asset quality. As a result of maintaining tangible PCR more than 90% and having recoveries from GNPA more than the slippages, we have witnessed pullback of NPA provisions in the particular quarter, and our credit cost has turned negative.

From the 1st of July '20 to September 30, 2025, we have sanctioned around INR12.06 trillion loans, out of which we have disbursed around INR10.47 trillion loans. The outstanding in these loans is INR7.63 trillion as of now, which is close to 65% of our total outstanding loan book and net NPA in this book is hardly INR4,282 crores, which is only 0.41% of the disbursed amount under fresh underwriting. This speaks about the underwriting standard of our bank.

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Highlights of the capital. As far as capital is concerned, our capital adequacy is 17.19% as on 30th September 2025 compared to 16.36% as on 30th September 2024 and 17.50% as at 30th of June 2025. Our CET1 is at 12.75%, Tier 1 14.41%, and Tier 2 is at 2.78%, which is well above the regulatory requirements. Bank is doing extremely well in the digital front and the share of digital transaction is close to 95% in this financial year.

And further, there is a 53% increase in UPI transactions done through our mobile application PNB One, in this financial year as compared to the Q2 of the last year. Number of WhatsApp banking users has grown up by 92% from 43.5 lakhs as on 30th September 2024 to 83.4 lakhs as on 30th September 2025, our corporate mobile banking application launched on 18th September 2025 serves to more than 1.94 lakh customers with app rating of 4.0 on play store and 4.1 on iOS.

We have sanctioned and disbursed additional loans to the tune of INR7,649 crores in Q2 of this year, and every fifth loan we sanctioned in the digital mode in our bank. We have onboarded 5.42 lakh CBDC customers and 84.18 lakh transactions were done through CBD C app till 30th September 2025.

We are promoting the financial inclusion through digital channel with a comprehensive do-it-yourself SHG journey. Digi MSME loans, e-Mudra loans, e-PM Vishwakarma, and Digi Surya Ghar, these are all the digital loan products. We have launched digital journeys for our Dairy Kisan Credit Card, tractor loan, revamped the KCC, renewal up to 10

lakh and e-loans against the securities during the quarter.

Further, we have planned to launch a unified solution to streamline our more than 100 digital journeys very soon. We are also looking forward to revamp our Internet banking and mobile banking applications. Among new initiatives, bank is focusing on the business of supply chain financing and has done tie-ups with most of the leading players in automobile industry for financing their dealers through our dedicated supply chain management vertical.

Bank is committed to enhance our fee-based income and current account balance through the rapid rollout of cash management services. Bank understands the potential of credit card business and we launched its premium metal card PNB Luxura, with the target market of HNIs, high-end professionals and affluent business owners.

HR highlights. Our bank has adopted new HR ecosystem driven by project UDAAN. We are undertaking this project in 2 parts, namely digital performance management system and capacity building.

Under digital performance management system, KRAs of employees are being revamped to make them more business-oriented and impact driven, ensuring a stronger commitment and alignment with the strategic objectives and operational goals of the bank. Under capacity building, we are undertaking numerous activities involving leadership development program, GenAI learning, chatbot, and comprehensive skill development programs for employees.

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Punjab National Bank remains focused on strengthening its core business fundamentals. The

bank is prioritizing an increase in the CASA share with total deposits and enhancing the RAM portfolio in total advances which will collectively support improvement in net interest margin and overall profitability.

Containment of slippages and robust recovery efforts continue to be the key priorities to ensure asset quality stability, with ongoing digital and HR transformation initiatives, the bank is well positioned to achieve sustainable growth in the business and profitability.

The balance sheet has strengthened significantly with a substantial reduction in bad assets with higher provisioning coverage. Going forward, the bank aims to further enhance its market share across all the segments. Thank you very much, and wish you all a very, very happy Diwali. I am open for any questions or any query, any clarification related with our performance highlights.

Moderator: Thank you. The first question comes from the line of Ashok Ajmera with Ajcon Global. Please go ahead.

Ashok Ajmera: Sir, at the very outset, Chandra, sir. A very, very happy Dhanteras to all of you there in Punjab National Bank, all the top management and the other people who are there and a very happy Diwali in advance and a prosperous new year.

Ashok Chandra: Thank you. Thank you very much and Happy Diwali to you and your family.

Ashok Ajmera: Sir, and compliments for yet another good quarter for the good set of numbers, sir, especially on the profitability front, you have maintained your good operating profit. Thanks to new tax regime, even the -- I mean, the net profit is also quite sizable because of the lower tax impact in this quarter compared to the last quarter. Having said this, sir, my first question is or rather a little concern is on the credit growth, though the credit growth for the annualized basis is 10.14%. But sir, if you look at the current 6 months, like only 5.5 months are left for the current year now FY '26, you need to -- in order to meet your target of 12% you will have to sanction and disburse almost about INR80,000 crores in the remaining 5.5 months or 6 months. So are we on target? And secondly, what is our sanction book pipeline and the proposals in pipeline through your NBG clearances and other things and how confident you are in achieving this number of INR80

,000 crores remaining amount to meet your targets. So this is first on the credit front. And the composition of the corporate and the retail book in that. So that is my first question.

Second one, sir, Canara HSBC Life IPO reduction, our percentage has come down to 13% from 23% because of that IPO. So this has happened in October, I think, second week or so. So any adjustment or any impact was there in the September quarter on account of the sale of shares or reduction through the IPO, any financial impact on the bank books?

Thirdly, sir, this other income has gone down in this quarter and mainly due to lesser recovery in the written off account to INR854 crores from almost INR1,200 crores in the last quarter and

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the fee-based income also going down to INR1,685 crores from INR2,250 crores. So some color on that, what is the reason and in the next 6 months, how are we placed on that?

So -- and one is, sir, on -- in this round is on the giving some -- I mean full information about the SMA number because whatever little time I got, we could see that only SMA-2 numbers are only given which are INR1,873 crores versus INR1,596 crores in the last quarter.

So the full color, the entire SMA picture, where do we stand on 30th September 2025 on SMA front, so as to assess the asset quality temporarily now. So these are my few questions. You have done well on the cash recovery and upgradation, sir, I must compliment for that. And going forward, what are our recovery targets? This is also if it may be added.

Ashok Chandra: Thank you very much, Ajmera saab. First, I will touch your first question, that is the advances growth. And in the advances growth, if you see, the retail advances excl. IBP C, we have grown by 18%, Agriculture, 13%; MSME, 18.6%. Now the corporate loan book in this particular quarter, it has grown with 7.9%. And if you compare the corporate loan book growth in the Q1 and Q2 there has been substantial improvement.

And Q-o-Q growth in the corporate loan book itself is 3%. So that was one area which was a concern for the Q1. And going forward, definitely, I am seeing lot of disbursement should happen in the corporate loan book. With all those things, we have already given a direction of 11% to 12% in the credit book and 100% we are going to achieve this. You have asked for the -- what is the total pool which is available, and I will share that.

Last time I have shared to all of you is that INR136,000 crores was the total sanction book for which the disbursement was pending. Now that book has gone to INR178,000 crores. And this is not NBG. These are all -- it is approved, and we have sanctioned and the disbursements are pending. And now in this around 40% to 45%, we have given the project loans.

And that, you know that disbursement takes in the 1 to 2 years' time. But all these disbursements are going to happen in the system. And we are looking forward for a good corporate loan book

growth. With all those things, I'm expecting that definitely 11% to 12% credit growth is possible, and we are going to achieve that.

Next, your question was the composition of the RAM and the corporate. And we are putting a lot of focus on the RAM book and this quarter itself, the RAM share is 56.8%, which we are going to improve to around 57% to 58%. And to that extent, we are going to reduce the corporate loan book. So in the long run, our goal is that our RAM percentage should touch 60% and corporate loan book should come down to 40% and with all those things, you are seeing the operating profit going up now.

And first time we had crossed INR7,000 crores last quarter. In this quarter also, we have maintained that operating profit. Third, your question about Canara HSBC Life. In fact, we are getting about INR950 crores out of this 10% dilution. Nothing has been factored in the September quarter, all t

hese things, we are going to factor in the Q3.

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TWO recovery, yes, TWO recovery in this particular quarter has been muted, but overall recovery is INR3,920 crores. So almost we are touching INR4,000 crores of recovery. In this particular quarter, there are certain accounts and you know the recovery, you target certain things, and it happens, sometimes it gets materialized in the subsequent quarters.

So, there are many accounts under the TWO for which the advanced stage negotiations have happened, and the proposals are in advanced stage. I'm expecting that in this particular quarter, definitely, the TWO recovery will be in the tune of around INR1,200 crores.

With all those things, sir, we have given the yearly guidance of INR16,000 crores of total recovery to happen, we are on track. And in this particular quarter, Q3, I'm expecting somewhere around INR4,500 crores of recovery should happen in the entire system now. Your next question was fee-based income.

See, first quarter always, there will be higher income will be there in the noninterest income and that too in the fee-based income category, because the processing charges and all the yearly charges which we collect, the -- all these things comes in the first quarter of every financial year. But since our credit pipeline is strong, and the corporate loan book is also growing. So definitely, I think the BG commission, LC commission, the processing charges, all put together, I think definitely, we can see some improvement in the Q3 and Q4. SMA book, overall, the SMA -0, -1, -2 all put together irrespective of the amount in the bank is 5.75%. I think I have covered all your points.

Moderator: Next question comes from the line of Mahrukh Adajania: with Nuvama.

Mahrukh Adajania: Hello sir. Congratulations. Sir, I had a few questions. Firstly, what is your outlook on margins, right? Because they fell around 10 basis points on a global level Q-o-Q. So how do we see it from here on if there are no rate cuts, do they stabilize? Do they improve? Will there be a change in mix more corporate bringing down margins? How do we view margins in the next 2 quarters mainly because there will also be downward MCLR repricing. That's my first question.

Ashok Chandra: Okay. See, madam, in fact, in my earlier conversation also, I had mentioned that Q1 and Q2, really, it will be some challenges because of the 100 basis point rate cut in the repo and 49% of our book is priced with the RLLR. And that we have passed it on immediately after the announcement of the rate cut, and repricing of our deposits has already been started. If you see our cost of deposits has also come down substantially. And we are going to see those benefits happening in Q3, Q4. Last time also I had indicated that Q3, Q4 onwards, definitely, there will be some good movement happening in the NIM front and NII.

Mahrukh Adajania: Sir, and then there were reports on an IL&FS-based -- IL&FS account being upgraded this quarter. Have we given -- have we taken that as an upgrade in costs and in NPL movement?

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Ashok Chandra: Yes. That account has been upgraded, but the provision is not yet released. I think we may take this release in the Q3 or Q4.

Mahrukh Adajania: Okay. But you are permitted to release it, but it's your choice that you didn't?

Ashok Chandra: Yes, yes.

Moderator: Next question is from the line of Piran Engineer with CLSA.

Piran Engineer: Sir, congrats on the quarter. Just going back to Mahrukh's question on NIM, can we see maybe 5 to 10 bps per quarter NIM improvement for next 2 quarters?

Ashok Chandra: On conservative estimate, I can tell you that at least the 5 basis point improvement, definitely, it will happen in the Q3 and around 10 -plus basis points in the Q4 because by that time, my enti

re

-- the 1 -year deposit will be repriced, and we will have the benefit of the entire thing in the full financial year.

Piran Engineer: Okay. So at least 15 over 2 quarters cumulatively?

Ashok Chandra: Yes. Yes, yes. definitely it will happen.

Piran Engineer: That's good to know. Sir, secondly, on opex , it was a positive surprise with cost cutting. I think earlier you had guided to INR8,000 crore s, INR8,200 crores quarterly opex , anything to read into, it came much lower than that?

Ashok Chandra: See, we are ve ry, very mindful and the top level at the head office level and the field level we have sensitized about all those things. And wherever it is required, those expenditures only we are doing it. And that is the reason it has been brought down now.

Moderator: Next question comes from the line of Harsh Modi with JPMorgan.

Harsh Modi: Just one question, sir. How do we think about your ROA and ROE target over, let's say, next in FY '26 and FY '27? And as a management team, what are the key metrics we are looking to solve for, for FY '26 and '27?

Ashok Chandra: ROA, there had an improvement in this particular quarter, and we have already touched 1.05%.

I'm expecting that there will be further movement will happen in the ROA front. And somewhere

-- I think in the Q3 and Q4, it should be somewhere around 1.10% definitely we should be in a position to touch that. And the 2, 3 other points, like you asked about the ROE. We are already at 17.95% and which compared to the last year, if you see at the same time, a good imp rovement has happened in that particular concept.

Harsh Modi: So is the target to increase ROA year -on-year over the next 2 years? Or would you be comfortable staying range bound at current level of ROA for FY '26 and '27? The reason I'm asking this is som e of the comments from policymakers suggest there is a renewed focus on

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increasing returns at the PSU banks in India. And to what extent that boils down to your target?

That's what I'm after, sir.

Ashok Chandra: See, why we are all bullish about the ROA go ing forward is that with the existing 100 basis point rate cut in the repo and which we have factored now, with all those things, we are at 1.05%.

Going forward, when the entire deposit will be repriced, and I am expecting that my NIM and the NII also will improve.

So overall, profitability is also likely to improve. So I'm expecting that somewhere in the range of, in this financial year, we will be touching around 1.10%. And going forward, definitely, there has to be some improvement over that figure. I c annot give you the actual number, but definitely, it will be more than 1.10%.

Moderator: Next question comes from the line of Ankit with A NB Investments.

Ankit: Sir, on your numbers, sir, slippages have increased in this quarter. Any reason, sir? Next -- back quarter, you have said some one -off accounts. But this time, quarter -on-quarter, it has increased.

How is the pattern going? Can you please explain?

Ashok Chandra: Our turn is, absolutely, there is nothing to worry about the slippages. If you see this quarter also, the slippage is only INR1,955 crores. Last year -- last quarter, it was INR1,886 crores. So we are in the range of around INR1,800 crores to INR2,000 c rores. And last year, during the same period, our slippages w ere more than INR2,100 crores.

So slippages are fully under control and with a loan book of INR11,69,000 crores. See, as of now, the slippages, if I annualize it, it comes to 0.71%. The guidanc es we have given is less than 1%. So we are well within the guidance, and we are well under the control under the slippages management. I don't see any challenges happening anywhere now.

Ankit: Okay. Sir, how are you seeing the business momentum among diff erent verticals like energy sector, steel sector? Are their NPAs increasing? Or how is the

sentiment of the customer? Are

they willing to invest or willing to take loans? What is the environment currently in the business economic environment?

Ashok Chandra : See, first of all, I will tell you the total loan sanction for which we are waiting for the disbursement to happen in the phased manner. That amount is INR1.78 trillion in our bank as on today. And I'm expecting that all those disbursements will happen. And this constitutes the various segments of the corporate loan book now. So we are expecting that the -- there has to be a good corporate loan book growth in the Q3 and Q4 because of the sanctions which are already there.

Now, what we are seeing is that the overall growth, which is happening in the retail, agri and MSME, that is in the range of around 16% to 17%. Like MSME is growing at more than 18% - 18.6% was the growth rate in this quarter. Retail excl. IBPC is growing more than 17%. Agri is growing at 13%. And all those things are still the GST impact has not been factored because

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GST rate cut happened in September. So overall, the GST rate impact also, I'm expecting that on the RAM book will come to 1% to 2%.

So overall, the outlook is very bullish, and there is no dearth of proposal happening. Second important factor is, as on today, none of my corporate book is even appearing in the SMA -0. So that is the quality of the corporate loans, which is happening in the system now.

Ankit: Sir, I'm asking like sector-wise like energy sector, which sector are you more bullish, like energy, steel or infra? How advances are you seeing in different, different sectors like this? Like in energy, you have tied up with IREDA for loans...

Ashok Chandra: I will give you the figure also. See, like infrastructure, we are growing at more than 9% Y-o-Y, if you see. Renewal energy is one of the champion sector for our bank. So there are proposals from the infrastructure, the road projects, the renewable energy, even the steel sector also, we have got some 2, 3 good proposals now. So all put together, there has been a good traction and good proposals coming from across the industry now.

Moderator: Next question comes from the line of Ashlesh Sonje with Kotak Securities.

Ashlesh Sonje: Sir, I have a few questions. I hope I'm audible. I'm just listing out the questions for you upfront. Firstly, if you can share your assessment of the expected impact from the ECL transition?

Secondly, if you can share the SMA -1 and SMA -2 book overall? Thirdly, if you can elaborate on the large provision -- NPA provision reversal, which you had and why have you added to the buffer of other provisions?

Then fourth one, your guidance. Just wanted clarity on the guidance which you have given for ROA. Did you say 1.1% for FY '26 because your first half ROA is about 80 basis points. And lastly, on AS 15 provisions that has declined nicely this quarter. Do you think you are well-provided there on AS 15? And what is the expected run rate going forward?

Ashok Chandra: Yes. First, I'll tell you about the ECL transition. And the final framework is yet to be prepared, but we have calculated the Stage 1 Stage 2 and Stage 3. Stage 1 almost the same provision is there, which is there in our standard assets and I don't see much challenges happening in the Stage 1. Stage 3 also since we have about 96% PCR, so Stage 3 also, there is absolutely no challenge. Stage 2, there is elevated provision is there, and 5% provision requirement is there in the different sectors.

And overall, all 3 sectors put together rough estimate is in the range of around 75 to 80 basis point impact will come on our CRAR. And we are well-prepared for that because anyway, that has to be split for 5 years. But before that itself, we have the enough cushion and the profit which is there in the system.

I think 80 . 75 to 80 basis point likely impact

which is going to come, we will be able to bridge those challenges and bridge those gaps. That is the first thing. SMA -0, 1, 2, all put together, we

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have 5. 75%. That is the total SMA book. SMA -0 is 3. 67%. SMA -1 is 0. 90%, and SMA -2 is 1.18%.

Third question is your NPA provision. See, we have the 96% provision coverage ratio. And whenever there is a recovery other than the TWR, then there is a large scale, the reversal of provision has happened. That is the write-back of provision. And in this quarter also, there is a write-back of provision has happened. In fact, in this particular quarter, we have provided around INR588 crores, this provision has happened.

But since the write-back of provision was quite high. And since we had around 96% provision coverage ratio, still, we have made some provisions, but there is a negative credit cost and that will be going to continue because we are having a good provision coverage ratio in the system. So that benefit will be there in the bank when anybody -- any bank is having good provision coverage ratio now. ROA last quarter, it was muted because I had already explained also that we had moved a onetime that exercise from the old tax regime to the new tax regime. And when you are moving from the old tax to new tax, the DTA calculation rework has to be

done, and there is a gap of 10%. The new tax is 25% and old tax was around 35%. So there is a gap of 10% is there. And when you do the recalculation of your DTA book, to that extent, you have to provide for the income tax, and that impact came from the INR3,200 crores.

If we would not have gone for the old tax -- the new tax regime, last quarter, also our profit would have been INR5,000 crores, and that is the reason our ROA in that particular quarter was lower than what you have seen in this particular quarter.

Now going forward, since we have moved to the new tax regime, every quarter, we have the benefit of 10% of -- in the operating profit now. So that impact this quarter also we have seen, and that is the reason -- that is one of the reasons why our ROA is more than 1%. And going forward, that is going to continue.

Your last point was AS 15 calculation, last financial -- last quarter, when we had calculated for the entire year, and this calculation is based on the -- the government securities yield, what has happened and actually and they calculate that entire year things now. Based on that, we had some elevated provision in the last quarter. But this particular quarter, you have seen that yield has gone up. And that is the reason the provision has come down in the AS 15.

And I don't see Q3 and Q4 any major challenge going to happen because of this provision which we have made in that. There is no question of our -- you should not understand that we have made any list provision. Rather, at this point of time, if the same -- the government securities rate prevails, we have made a full provision for the entire year.

Ashlesh Sonje: Thank you, sir, for the elaborate response. If I may, just a couple of clarifications on those points.

Firstly, there was a large other provision which you have made in the P&L line. So some clarity on that one. Secondly, the ECL impact which you said 75 to 80 basis points on CRAR, would you absorb it upfront, let's say, on the 1st of April through P&L? Because I understand there is

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a 4-year window available for the capital impact, but the P&L impact would it come through immediately on the 1st of April '27?

Ashok Chandra: That's the call we need to take. We have not yet finalized that what we are going to do that. We will see how the fusion is there and how the profitability is there. We need to see all those factors because anyway, when the cushion is there for 5 years, depending upon the prof

it and the capital

position, we will take a call. And if it is in our favor, definitely, we will take a call and we'll do that. So maybe at the end of the financial year only, we will be taking that call.

Ashlesh Sonje: The first question on other provision, if you can give some color.

Ashok Chandra: Other progress that is IL&FS, there is 1 account IL&FS 1 account was there, where the upgradation has happened in this quarter. But that was the NPA accounts, and that provision has moved from NPA accounts to the standard assets. That is the reason you are seeing the other provision going up now.

Ashlesh Sonje: So on the NPA provision, you have had a reversal. And then standard asset, you have added the provision. Is that correct?

Ashok Chandra: Yes, yes. Correct, correct.

Ashlesh Sonje: And that standard asset provision also you mentioned to, I think, Mahrukh or someone earlier that the standard asset provision also is likely to get reversed at some point?

Ashok Chandra: Absolutely. Because this was the NPA account and still we have not taken -- write-back we have not taken in our OP or the write-back of provision. So that call we will take depending upon our position.

Moderator: Next question comes from the line of Yash Agarwal with UBS Securities.

Yash Agarwal: Yes, sir. My questions have been answered. Thank you.

Ashok Chandra: Thank you.

Moderator: Next question comes from the line of Vansh Solanki with RSPN Ventures.

Vansh Solanki: Sir, my questions are on PSB merger which the government has recently announced. So any communication for a recent government to bank or any internal news about this?

Ashok Chandra: I'm also hearing from you. So we need to wait and find out.

Vansh Solanki: Okay. And RBI also given new circular about M&A finance. So bank is going to in that field also?

Ashok Chandra: That is a very good scope for all the leading public sector banks in the country -- leading banks in the country. And I had just done one calculation that last year, in the '24 -- '23, '24 financial

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year total INR10 lakh crores of the merger and acquisition has happened. And in that, if you take the 40% debt component, that comes to the INR4 lakh crores even if conservative, I estimate that 30% of that debt will be funded by the bank like ours, that amount comes to INR120,000 crores of scope that is there in the merger and acquisition funding now.

So what we'll do now, we are all -- some big banks, we will sit together and find out the strategy for that because we need to have a proper policy in place because this was earlier not permitted by RBI. So definitely, we will find out and we will go for a proper policy. And in that space, definitely PNB will play some bigger role in that.

Moderator: Next question comes from the line of Zhixuan Gao with Schonfeld.

Zhixuan Gao: Congratulation on a good quarter. Just a follow-up on the previous participant's question on the other provision. Just want to clarify. So the entire INR1,500 crores provision there is because of the IL&FS provision and the INR1,500 crores was reversed out of your NPA provision, right?

So your NPA provision shown on the slide is negative INR600 crores. So the actual NPA provision is negative INR600 crores plus INR1,500 crores.

Ashok Chandra: No, that 1 account provision, which has moved from the NPA to the standard assets. So that constitutes around INR1,200 crores. That is one component is there. And that we have not factored it as a write-back of provision that has moved from NPA to the standard assets, and overall, the negative in the credit cost that which you are seeing is INR639 crores, in fact, we have made a provision in this particular quarter also to the extent of INR588 crores in the NPA accounts.

And that is the reason you are seeing that our provision coverage ratio has also

gone from 96.7%

to 96.9%. So we have improved our -- the PCR level also. And overall, our -- the credit cost because of these things has come down and it has gone to the negative now.

Zhixuan Gao: So INR1,200 crores is that account movement. What's the other INR300 crores in the others provision?

Ashok Chandra: You have that data? My CFO is there. I think he will just give you that figure.

Raman Grover: Sir, actually, this is a continuing provision about to the extent of INR187 crores which we made, I think, probably during the COVID times, which is continuing. Apart from which sir has supplemented that IL&FS switch over from the standard to the other provisions is continuing and the balances of the IL&FS upgradation from the standard. So since we will be taking the call on the release of those provisions in the time to come, maybe quarter 3 to quarter -- current quarter or the coming quarters. So we are continuing as of now.

Moderator: Next question comes from the line of Vinayak Agarwal with Jefferies.

Vinayak Agarwal: Most of my questions have been answered, so I have just one. If you could kindly clarify the estimated profit from sale of stake in Canara HSBC Life.

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Ashok Chandra: That is around INR900 crores.

Moderator: Next question comes from the line of Yash with Citigroup.

Yash: Sir, just one question, largely on your NIM clarification. If you could just see like 10 to 15 basis points of cumulative sequential expansion what we have asked for. So what proportion of deposits are still to reprice? So you've seen -- year-to-date, over 4Q, we've seen around 18 basis points of benefit flowing in the cost of deposits. And we are largely left with -- on the asset side with the 27% of MCLR book, so how much more deposit repricing would be available to us?

Ashok Chandra: See, around 60% of our -- the term deposit, which was there for a maturity period of around 4 months, 6 months and 1 year. That has been repriced. And the remaining 30% to 40%, we are expecting that it will happen in the Q3 and early part of Q4. And that is the reason I'm telling that. Those impact we will be seeing on the NIM and the NII in the Q3 and Q4. Definitely, there will be some improvement in the NIM and NII.

Yash: And sir, with this loan growth guidance of 11%. So after this particular quarter, so the ask rate is slightly lower. So do we see any upward sort of risk to the guidance or like would it be higher than 11%?

Ashok Chandra: In credit, you are talking 11%?

Yash: Yes. In the credit growth, given our expanded or increased sanction pipeline as well, considering that...

Ashok Chandra: Credit growth, see the RAM, Retail, Agri and MSME, all these things are happening at more than 15%. The MSME is 18%. The agri is 13% and the retail excl. IBPC is 18%. So only the corporate loan book, which was very muted in the first quarter, in this quarter itself, had shown Q-o-Q growth of 3% and overall Y-o-Y growth of 7.9%.

And we have 178,000 Sanction book for which the disbursement I'm expecting to happen in the

Q3, Q4 onwards now. So all put together, I am expecting that, yes, there has to be some good growth. The moment of the corporate loan book goes to 10%, I think my overall credit growth will be more than 12% to 13%.

Moderator: The next question comes from the line of Sunil C Choksey with Indus Equity Advisors.

Sushil Choksey: Congratulations to PNB management for very stable and a positive result and outlook, and happy Dhanteras and happy Diwali to all. Sir, my first question is you replied to M&A financing that the big banks are working together, or is it a coordinated effort or IBA? Can you clarify what you mean by that coordinated or discussion?

Ashok Chandra: Yes. I think we will have to explore through the IBA also. Otherwise, also some big banks -- 4, 5 big banks in the count

ry. We will be proposing to come together and do for financing to this particular area because the opportunities are very high and the scale will also be very high. So if

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2, 3 banks put together, if we come out collectively, I think definitely, we can take a bigger pie in this particular sector.

Sushil Choksey: It will be some joint lending or a consortium kind of a program. That's what I understand.

Ashok Chandra: It will be like that, definitely.

Sushil Choksey: Sir, in the same RBI meeting, also banks were permitted to lend for retail share advance up to INR1 crores against INR2 million IPO financing is bank planning -- because the margins are very stable at around 10% or in double digits, a little higher than that. Is bank planning to do anything on that product?

Ashok Chandra: We are trying to come into this particular area now. And in fact, the IPO financing limit also for the individual -- per person has also improved from INR10 lakh to INR25 lakh, and we are seeing the good IPO happening in the country, a lot of the new corporates are coming in the IPO market. And we are seeing a good opportunity. So definitely, we will be coming out with a separate policy for this financing.

Sushil Choksey: You highlighted in your opening remarks and even in Q&A that your retail, RAM, other sector growth all above 15%, and you see that sustaining, and you have great corporate growth pipeline sanctioned, but unavailed is approximately INR180,000 crores. By any chance, can you indicate what kind of sectors? And where are you seeing the green shoot other than renewables where these advances are concerned?

Ashok Chandra: One is that infrastructure sector like other than renewable, if I can talk, the telecommunication also, we have got some proposal. Roads and the ports, ports also, there are some proposals there we are given. Power we are given now. Even 1 data center. That is one area that has picked up very well, and we have got some good proposals in that. Engineering sector, I think various sectors put together, this book comprises of many sectors put together, and this is -- that amount is around INR128,000 crores.

Sushil Choksey: Is it more of private sector capex or public sector?

Ashok Chandra: No, mainly private sector capex. And we are putting a lot of focus on the project financing because that is one area PNB had the niche and we are coming back in that particular area. 40% of this particular book is the project financing.

Sushil Choksey: What is the digital spend likely to be this year specifically related to RAM and retail book?

Ashok Chandra: Digital?

Sushil Choksey: What is your digital annual budget and spend for the year?

Ashok Chandra: Digital, yes, for this year, financial year, both capex and the revenue expenditure put together is INR3,500 crores is the budget for this particular financial year.

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Sushil Choksey: How much have we spent in first half, sir?

Ashok Chandra: I think around 25% to 30%, we would have done that. Yes, 30% we have achieved.

Sushil Choksey: You also said that your margins would improve by 5 bps in the current quarter and 10 bps in the fourth quarter. This is keeping in mind the advances that current number. Do you see led by government of India measures like GST was concerned, as M&A activities concerned, some other new products are concerned. Margins can have a higher uptick compared to your estimate?

Ashok Chandra: I think for Q3 and Q4, the estimate which I have given, I will be holding to that level. We can see all those impacts in the '26 to '27 financial year going forward.

Moderator: Next question comes from the line of Abhishek Agarwal with Investec.

Abhishek Agarwal: So last quarter, you had mentioned that the AFS reserve outstanding is roughly INR800 crores. So j

ust wanted to know what would be the number this quarter?

Ashok Chandra: INR700 crore s provision, which we have made in this particul ar quarter now.

Abhishek Agarwal: So the outst anding amount is INR700 crores?

Ashok Chandra: Yes.

Abhishek Agarwal: And what's your outlook on treasury profit from here? And how do you think the management would use treasury as a lever to support ROAs?

Ashok Chandra: See, if you see our performance in the treasury income, Q1 and Q2, both the quarters, we have maintained a good stream now. INR1,800 crores was the treasury profit in Q1 and in this particular quarter also, the treasury income all put togeth er is around INR1,800 crores . So the same flow is th ere in this particular quarter.

Q3 also, I think let us wait and see how the bond movement happens, and depending upon the bond movement, I think we can find out the actual, what is a traction that is go ing to happen.

But somewhere definitely around INR1,500 crores, that is the minimum treasury gain, we will be holding it.

Moderator: Next question comes from the line of Sucrit D Patil with Eyesight Fintrade Private Limited.

Sucrit Patil: My question to yo u, Mr. Chandra is, PNB has outlined its focus on digital transformation and expanding the retail penetration, what are the biggest execution challenges you foresee in delivering this, especially in terms of legacy system integration and customer onboarding and talent readiness. How is the bank prepared to overcome these challenges by still maintaining service quality and regulatory compliance?

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Ashok Chandra: Yes. See, bank is coming out with a lot of digital initiatives, but just the challenge is how to educate the people how we can inform them that, yes, these are the channels which is available. That i s one of the biggest challenge.

And for that, we are coming out with the initiative, and that's also one of the digital channels which we are using it, we h ave launched a GenAI -based PIHU chatbot at our website and the other channels with customer -facing channels, there, the people can ask anything and the PIHU will give the reply that what are the things that it needs to be done. That is one thing.

Second, we are moving out in the field, conducting the outreach activity. And there also, we are bringing out this initiatives which the bank has come out. So creating awareness through the social media, through the personally, physically reaching out to the peopl e and making them comfortable that yes, this is a very, very easy and convenient way of doing the things now.

So these are the ways which we are popularizing it. The third important factor about the robustness of our system and the legacy system, which we are talking about. In fact, we have -- we are shifting our -- the data center to the new center at Gurgaon, where infrastructure is the world class now. Almost infrastructure is ready and somewhere in the month of March or April, we will be shifting our e ntire data center with a very robust cybersecurity framework our own private cloud space is there.

So that center will enhance our -- the legacy system also and the speed with which we are doing the business, I think that also will go up.

Sucrit Patil: Okay. And the final question, coming to credit growth. Now with credit growth picking up across MSME and retail segment. How are you balancing growth with risk management, especially in the area of unsecured lending and stressed sectors. What are the interna l frameworks PNB is focusing on to secure your portfolio health?

Ashok Chandra: Unsecured market, bank is not very active. We are doing unsecured lending only to the -- there are 3 segments. One is that personal loan and in the personal loan also, it is re stricted to those people whose salary comes to the bank. So it is -- the classification is unsecured, but it is fully protected, and w

e don't see any much challenge in that particular segment.

Second unsecured loan is the education loan. And there, you ha ve the guarantee from the government also is there. And that portfolio is also behaving very well. We don't see any much challenge in that. Third portfolio is the credit card business. And that portfolio is very, very stable. I don't see much challenge hap pening because of the unsecured advances of our bank now.

Sucrit Patil: I think this is a good enough guidance. I wish the entire team happy Diwali and best of luck for the next Q3.

Ashok Chandra: Happy Diwali to you also.

Moderator: Next question comes from the line of Shreejit Nair with B&K Securities.

Shreejit Nair : You mentioned that INR1,200 crores of NPA provision has moved to standard asset provision. Did I heard that correct?

Ashok Chandra: Yes, yes.

Shreejit Nair : And these provisions are against which accounts and if I...

Ashok Chandra: This is one account, one big account was there, in that particular account. And these are very legacy accounts, which got upgraded. So we are holding the provision in that particular account.

Shreejit Nair: Okay. So this is not IL&FS?

Ashok Chandra: You know the things.

Shreejit Nair: And secondly, one, you mentioned that treasury income would be around INR1,500 crores. This is for like every quarter, are you saying?

Ashok Chandra: Yes, yes, every quarter because Q1 also, we had INR1,800 crores of treasury income. Q2 also, we have around INR1,790 crores, so almost INR1,800 crores and we have enough book under that -- INR5 trillion book is there under the treasury. So definitely, we will be able to at least make an income of INR1,500 crores in every quarter.

Moderator: Next question comes from the line of Ashok M Ajmera from Ajcon Global.

Ashok Ajmera: Thanks for giving this opportunity again. And sir, very, very exhaustive replies and very satisfactory replies of all my colleagues and you have covered almost everything. Just one small little feedback from you. Sir, because of the old past legacy of PNB and those issues which were there few years back, we are into the -- still the gross NPA zone of almost about 3.5% now though it has come down from 5% in the Q1 of '25 to now 3.5%, so are you -- do you intend to accelerate the fall in the gross NPA?

And any target on that so that we come in that comfortable zone of maybe below 2, 2.5 or something and that even aging also provisions and other things also can be softened because of that? And second is overall, your views -- some of the questions in between, I might have missed also because I was on some other call also for some time.

So on the NIM, the overall, sir, we are -- I mean, from 3.07% in Q1, '25 to now today, we are at 2.60, going 2.92, 2.93, 2.81, 2.70 and 2.60. So on these 2, sir, if you can give some broader color on that and in which direction and how are we moving in that direction, sir?

Ashok Chandra: Yes, yes. I will touch first about the asset quality. First point is net NPA percentage, if you see, we have come down to 0.38%. And the guidance for this entire year is 0.35%. And definitely, we are going to do that. We will be well below 0.35%. Provision coverage ratio, we are at 96%, so well provided.

Gross NPA, we are at 3.45% and the guidance for this entire year, what we have given is below 3%, and we are going to achieve that guidance. Going forward, '26, '27, I think again we will come out with a new strategy. And there, we will indicate that how we are going to move forward. But I am very confident that since for the last 2 years, quarter -to-quarter, if you see, the recovery in every quarter is higher than the slippages.

In this particular quarter also, if I exclude the TMO part, still our recovery, INR2,700 crores,

INR2,800 crores is the recovery under the upgradation, yes, upgradation and the cash recovery which is higher than the slippages which has happened to the tune of INR1,900 crores. So even if I exclude that TMO recovery and recovery in the interest income, still our recovery is higher than the interest -- the slippages. And this trend is going to continue.

So on our own, we are going to reduce that. And then the technical write-off. If you see in this quarter, hardly, we have used only INR1,200 crores of technical write-off. And we have -- the net NPA -wise absolute number is only INR4,000 crores now. So our 1 quarter profit is sufficient to take care of the entire net NPA, and we can make a zero NPA bank now. So NPA -wise, we are well provided. Asset is doing very well.

I told you that none of my corporate book is -- even the SMA is 0 now. So I think credit writing has improved. And for the last -- in my opening remarks also, I had mentioned that for the last 5 years, how my sanction book is behaving. Hardly the NPA percentage in the last 5 years, sanction book is 1.40%, I think that gives you comfort that, yes, book is behaving well. And going forward also, there will not be any challenge on our gross NPA and Net NPA.

Second part -- second your question was NIM. Yes, the impact of the repo cost has already

happened in the Q1 and Q2. And the repricing of deposits has already started and more than I think a bigger book has already been repriced. I'm expecting that in the Q3, around 70% to 80% of the term deposit of 1 year will get repriced.

And definitely, we will have the benefit under the NIM and the NII in the Q3 and Q4. And that is the basis on which I'm telling that at least by 5% -- 5 basis points the ROA will improve in this particular quarter Q3 and around 10 basis points in the Q4.

Ashok Ajmera: Is around 1.10 -- 1.09% ROA...

Ashok Chandra: It will be around, yes, yes, it will be around 1.10%.

Ashok Ajmera: And the NIM improvements are, again, 10, 15 basis points?

Ashok Chandra: Yes, yes, yes. Around 15 basis points, definitely, it will happen.

Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

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Ashok Chandra: Yes. Bank is doing very well for the last 2 years. quarter-to-quarter, if you see the performance, there has been a consistency there in the performance and the quality -- the asset to control-wise, asset quality, overall growth, I think we are all poised for a good performance, both in the top line and the bottom line. And my request to all my analyst friends that you should report in our performance. We will continue to deliver better and better, all my good wishes and all the best for the Diwali festival to you and your family members. Thank you very much.

Moderator: Thank you. On behalf of Elara Capital, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

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Amrit Mahotsav

the name you can BANK upon!

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Dalal Street

Mumbai – 400 001

Date: 27.01.2026

Dear Sir(s)

Reg.: Transcript of the Earnings Call with Analysts/Investors on

Results for the quarter ended 31 st December, 2025 Financial

Pursuant to Regulation 30 read with 15(b)(iii) Para A Part A of Schedule III of the SEBI

(LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call

with the Analysts/ Investors on the Reviewed Financial Results for the quarter ended

31st December, 2025, held on 19.01.2026. The same is also available at

<https://pnb.bank.in/financials-cyrrrent.html> .

The above is for your information and record, please.

Thanking you,

(Bikramjit Shorn)

Company Secretary

Enclosed: As above

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Q3 FY '26 Earnings Conference Call "

January 19, 202 6

MANAGEMENT : MR. ASHOK CHANDRA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – PUNJAB NATIONAL
BANK

MR. M PARAMASIVAM – EXECUTIVE DIRECTOR –
PUNJAB NATIONAL BANK

MR. BIBHU PRASAD MAHAPATRA – EXECUTIVE
DIRECTOR – PUNJAB NATIONAL BANK

MR. AMIT KUMAR SRIVASTAVA – EXECUTIVE
DIRECTOR – PUNJAB NATIONAL BANK

MODERATOR : MS. PALAK SHAH – ELARA SECURITIES PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Punjab National Bank Q3 FY '26 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Palak Shah from Elara Securities Private Limited. Thank you, and over to you, ma'am.

Palak Shah : Hello, everyone, and welcome to Q3 FY '26 Earnings Conference Call of Punjab National Bank. Today, we have with us the management of the bank headed by Mr. Ashok Chandra, MD and CEO; Mr. M Paramasivam, Executive Director; Mr. Bibhu Prasad Mahapatra, Executive Director; and Mr. Amit Kumar Srivastava, Executive Director.

With this introduction, I would like to hand over the call to Mr. Ajay Kumar Singh, General Manager, Strategic Management and Economic Advisory Division, to read out the disclaimer statement, post which, MD sir will address the conference. Thank you, and over to you, sir.

Ajay Kumar Singh : Good afternoon, everyone. At the outset, I will read out the disclaimer statement. This representation contains certain forward-looking statements apart from historical information. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. Punjab National Bank undertakes no obligation to update forward-looking statements to reflect events or circumstances after the present date. Now I request MD sir to make his opening remarks.

Ashok Chandra : Good afternoon, ladies and gentlemen. Welcome to the Q3 analyst meet. On behalf of the entire PNB team, we wish you all a very happy and prosperous New Year. During Q3, our bank has demonstrated a steady progress across all key metrics of business growth, asset quality, profitability and regulatory compliance. Our focus has been on sustained business growth of both liability and asset side. Towards this end, we have focused on growth in retail business through customer-centric initiatives like outreach programs and opening of new outlets. We have opened 82 new branches in this financial year to increase our presence and expecting to open another 100 branches in next 6 months. We are also using digital enablers to improve business growth and operational efficiency. Digital journeys for almost all credit products have been launched.. Our mobile banking app has been revamped for better customer experience. We are mindful of asset quality and have improved asset quality, both through reduction of GNPA and NNPA substantially. Controlling slippages has been our focus and through analytics-based models, we are focusing on delinquent as well as pre-delinquent assets to reduce slippages. The collection efforts are being made on a real-time basis. Our focus on profitability has resulted in sequential growth of both operating profit and net profit, which is highest till date.

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Now I will enumerate the segment-wise figures. First, I will touch the business. Global gross business of the bank stood at INR28.92 trillion as on December '25 with a Y-o-Y growth rate of 9.5%. Within this composition of this global business, global deposits stood at INR16.60 trillion with a yearly growth rate of 8.5% and global advances stood at INR12.31 trillion with a yearly growth rate of 10.9%.

We have sanctioned credit lines of more than INR3.12 lakh crores during 9 months of this financial year, out of which we have pending disbursement to the tune

of INR1.02 lakh crores,

which are yet to be disbursed. That will favor the overall credit growth of the bank.

CD ratio of the bank has increased to 74.2% as on December '25, from 72.6% as on December '24, and 72.3% as on September '25. We are witnessing sustained growth in our low-cost deposit base and CASA ratio has remained at 37.1% as on December '25.

We are focusing on targeted growth in SB individual portfolio of the bank. Bank opened 38.03 lakh CASA accounts in the revamped schemes with CASA balances to the tune of INR20,650 crores during 9 months of this financial year. Our RAM advances portfolio is increasing sustainably and stands at INR6.62 trillion, which is around 56.7% of the domestic advances. The share of RAM advance was 56.3% as on December 2024.

Coming to the profitability numbers, the net interest income stood at INR10,533 crores for Q3 of this year as against INR10,469 crores of Q2 of financial year 2026. Our domestic NIM percentage is at 2.65% for the Q3 of this year, whereas global NIM percentage stood at 2.52%. At the beginning of Q3, we expected that our cost of deposits will reduce sharply where yield of advances will remain -- roughly remain at the same level as that of Q2.

However, we have not reduced the deposit rates much in this quarter, keeping in view the market dynamics and expectations of the customers. Whereas yield of advances has reduced on account of rate cut in December and 5.3% Q-o-Q growth in global advances, which has resulted in dip of NIM for Q3.

For Q4, we expect our NIM to remain at the same level as that of Q3 despite full impact of December rate cut in Q4. For full financial year, our domestic NIM will remain at about 2.70% and global NIM will close at 2.60%, subject to no further rate cuts in current financial year. Operating profit of the bank is increasing on a sequential basis. Operating profit for the Q3 is INR7,481 crores as against INR6,621 crores for Q3 of last year, witnessing a Y-o-Y growth rate of 13%, well above the guidance of 8% to 9%. Net profit of the bank for Q3 FY '26 stands at INR5,100 crores as against INR4,508 crores of Q3 of last year, depicting healthy Y-o-Y growth rate of 13.13%.

Efficiency ratios. Efficiency ratios of the bank are improving consistently. Our return on assets is at the level of 1.06% for Q3 of '26 as against 1.03% for Q3 of last year. Return on equity stands at 17.80%. Earnings per share not annualized is INR4.44 for Q3 of this year against the INR3.92 of Q3 of last year.

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Our tangible book value per share as on 31st December is INR101.89, which has significantly improved from the level of INR82.75 as on 31st December 2024. We are mindful of improving of our cost-to-income ratio, and the same has remained at 51.91% in Q3 of this year as against 54.16% in Q3 of last year.

Asset quality. Our asset quality is improving consistently and our GNPA has reduced to 3.19% as on 31st December 2025 from 4.09% in December 2024 and 3.45% in September 2025.

Similarly, the net NPA percentage, which was 0.41% in December '24 has reduced to 0.32% in December '25. Our PCR stands at 96.99% as on 31st December 2025, which is well above our guidance of more than 96% for entire financial year.

Total fresh slippages during Q3 of this year was INR1,901 crores against INR1,955 crores in Q2 of this year. Our guidance for slippages ratio was to remain below 1% in FY 2026, and we are well within our guidance levels as slippages ratio for the 9 months 2026 is 0.56% on an annualized basis.

Total recovery stood at INR4,090 crores for Q3 of this year against INR3,412 crores for Q3 of last year. Our recovery is 2.2x of the slippages, reflecting our commitment towards improving asset quality. We have made additional floating provisions of INR955 crores on a prudential basis in Q3 on account of which credit cost is looking

elevated at 0.46%.

Now total floating provision is INR1,775 crores, which will help us in moving towards ECL transition. This is mindfully we have done to minimize the impact of ECL, which is likely to be implemented from 1st April 2027.

I will provide an analysis on underwriting standards, which will provide confidence regarding the asset quality and underwriting standards of the bank. From the 1st July 2020 to 30th December 2025, that is almost 5.5 years, we have sanctioned around INR13.20 trillion on loans, out of which we have disbursed INR11.50 trillion loans.

The outstanding in these loans is INR8.24 trillion as on today, which is close to 67% of our total outstanding loan book. The NPA in this book is hardly INR4,687 crores, which is only 0.41% of the disbursed amount under same underwriting. I think this speaks about the underwriting standard of the bank for the last 6 years.

Capital. Our capital adequacy is 16.77% as on 31st December 2025 compared to 15.41% as on 31st December 2024, which is 136 basis points above December 2024. Our CET1 capital stands at 12.52% against the regulatory requirement of 8%. Tier 1 capital stands at 14.13% against the regulatory requirement of 9.5% and Tier 2 capital stands at 2.64% as at 31st December 2025.

Digital initiatives of our bank. Bank is consistently enhancing its digital foundation with a strong emphasis on developing advanced digital capabilities. Efforts are particularly concentrated in the areas of artificial intelligence, machine learning and analytics-driven business generation. These initiatives have started to deliver significant results, contributing meaningfully to the bank's overall growth and operational efficiency.

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Today, we have digital journeys for almost all the credit products in the RAM segment. In Q3 of this year, we launched the Digi Saarthi, that is a two-wheeler loan through the digital channel. Tractor Xpress, Digi MSME (TL Facility) and e-PM SVANidhi 2.0. These all journeys are through the digital channels.

In Q3 of this year, we have sanctioned and disbursed digital loans to the tune of INR12,672 crores under RAM segment to 3.18 lakh customers. Every third loan is being sanctioned in digital mode in our bank. The share of digital transaction is close to 95% for Q3 of this financial year.

We have launched our revamped mobile banking application, PNB One 2.0 in the Q3 with enhanced UI and latest technology stack. The app is applicable on all -- it is available in 14 languages with 350-plus features and there are more than 2.50 crore s activated users on this app. PNB One now supports complete UPI integration, including UPI Lite, UPI Mandate and UPI Credit Line. Number of WhatsApp banking users have gone up by -- have grown by 81% from 52.7 lakh as of 31st December 2024 to 95.4 lakh as of December 2025. KYC updation through WhatsApp banking has also been enabled.

There is very good traction in our corporate mobile banking app, PNB One business, which serves to more than 2.42 lakh customers with more than 200 features. We have onboarded more than 5.96 lakh CBDC customers and 98.42 lakh transactions done through CB DC app till 31st December 2025.

We are also in the process of CBDC activation through business correspondent channels. Going forward, we are launching UPI in our PNB One business application as well as retail and corporate Internet banking services will also be revamped.

New initiatives, bank appointed Indian women's cricket captain, Ms. Harmanpreet Kaur as its first-ever female brand ambassador with the theme banking on champions, and we expect good results from this strategic collaboration. Bank launched its first metal credit card, PNB LUX URA, with a target market of HNIs, high-end professionals and affluent business owners on 3rd December 2025. We are witnessing good traction in this credit ca

rd, and we have set a

target of more than 10,000 credit cards this year by 31st March 2026.

HR initiative. Our bank has adopted new HR ecosystem driven by Project UDAAN. We are undertaking this project in 2 parts, namely digital performance management system and capacity building. Under digital performance management system, 16,160 KRAs have been mapped directly linking individual and team efforts to the strategic outcomes and aligning the entire organization with Vision 2030 of the bank.

This will increase the accountability and data-driven decision-making in the organization. Under capacity building, we are undertaking numerous steps involving leadership development programs, Gen AI learning chatbot and comprehensive skill development programmes for employees.

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My concluding remarks, we are extensively focusing on improving customer service to generate business organically. Average time taken for grievances redressal has come down to 3 days in December '25 from 14 days in April '25, and performance has been recognized by DFS as well. Customer service has been one of the focus areas for the bank. PNB remains committed to reinforce its core business fundamentals.

The bank is focused on increasing the CASA share within its total deposits as well as enhancing our RAM portfolio in total advances. These strategic priorities are designed to collectively support improvements in overall profitability and efficiency ratios. The bank continues to prioritize containment of slippages and robust recovery efforts to improve the asset quality. Ongoing digital and human resources transformation initiatives are paving the way for long-term growth and operational excellence. Going forward, the bank aims to further enhance its market share across all the segments.

Thank you very much, and I am open for the questions or any clarification or clarity is required related with the performance results of our bank. Along with me, my executive directors and entire top management team is here with me now. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

Mahrukh Adajania: Yes, good afternoon. I have a couple of questions. My first question is on the provision. So last

quarter, we had discussed that there's going to be a write -back of provisions from an account which other banks like Union has already written back in the second quarter, and we were supposed to take that write -back on provisions in the third quarter.

And that was roughly around INR7 billion to INR9 billion. So why wasn't the floating provision offset against that? I think that if we had that much of a write -back and our floating provisions were also around INR9 billion only, then there shouldn't have been an increase in provisions, right? That was my question. And -- so that was my first question, and I'll let you know the others.

Ashok Chandra: Yes. Good afternoon, madam. First of all, I will give you the clarity that provision, we have not released. That account, you are right, that account was -- became a standard in the last quarter, but the provision which we are holding in the standard account is still we are holding it. We have not yet released that amount.

This INR955 crores floating provision which we have made, it is from the -- other than whatever the profitability was available in our system. From that, we have made this floating provision, keeping in mind that ECL implementation

is going to happen from 1st April 2027.

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So, the pressure will not be there in our balance sheet going forward. Since we had a good profitability, good operating profit and net profit, we have made this provision. If we would not have made this provision, our profit would have been more than INR6,000 crores.

Mahrukh Adajania: Okay, sir. And any specific reason on why the provision was not released? You don't want to release it or any other reason because other banks seem to have released this.

Ashok Chandra: No, no, no. We do not want to release -- it is not like that. We are still looking for that. And maybe we'll take a call at the right time. Maybe in the Q4, we may take the call. But that is -- provision is still -- we are holding it more than around INR900 crores, that is there in the standard.

Mahrukh Adajania: Okay. And sir, my other question was on ECL. So, most PSU banks seem to suggest a 40 to 50 basis points credit cost run rate under ECL. What would that be for PNB? Because our credit cost last quarter and last 2 last quarters were very negligible, I'm talking about second and first quarters now.

So, what will be the run rate of provisions, say, once the ECL is implemented, how much of credit cost per quarter or per year do you expect? Would it be 40 to 50 basis points? Would it be lower? And also, if you could spell out the SMA -1, SMA -2 below INR5 crores?

Ashok Chandra: Yes, yes. First of all, I will give you some clarity about the ECL calculation and where we are now. I think last time also, we had given because it is a rough calculation. Bank has done it. We are putting the digital framework in place. Then we will have the exact calculation, but rough calculation, which we have done, it comes to a round INR9,000 crores to INR10,000 crores. That is the total capital that is required for the full implementation to happen in the 5 years' time.

Now if you see, out of this INR1,775 crores, already we have made the provision. Like this quarter, we have made INR955 crores provision. And last quarter also, we had made some provision. So floating provision against this INR9,000 to INR10,000 ECL requirement, which is going to have, we have already INR1,775 crores provision now.

So that is already in place. So, bank is not going to have any impact -- major impact on account of ECL implementation. Because INR5,000 crores and above -- every quarter, profit is going to happen. With that thing in place, I think every quarter, we will have something where we will keep the extra for the floating provision. And that when the ECL gets implemented, we will adjust this floating provision against that ECL as per the RBI guidelines.

So absolutely, I want to clarify to you as well as to all the analysts who are present here that this quarter, once you see the elevated provision of INR 1341 crores, it is on account of a conscious decision of the bank to make additional provision of INR955 crores.

Otherwise, our actual provision, which is required only INR386 crores on account of the slippages, which has happened and to keep 97% of the PCR. Otherwise, other than that, absolutely, there is no pressure in the bank as far as the provisioning requirement is concerned.

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Mahrukh Adajania: Sir, my question was a little different. I know that you are well prepared for the transition impact of ECL. You had stated that perhaps in your last quarter as well. But I'm talking about the run

rate impact, say, ECL was to be implemented this quarter. What would be the actual credit cost? Because under ECL, you have to provide for Stage 2, you have to provide for Stage 1, and of course, you have to provide for Stage 3 as well. So, on a run rate basis, say, ECL is already implemented, what will be the credit cost every quarter? Will it be 40 basis points?

ts? Will it be 50

basis points? What will it be?

Ashok Chandra: No, no, no. It will not be. First of all, I will tell you, at Stage 1, we are already providing 0.40%. So absolutely, there is not going to be impact on the Stage 1 because standard asset already we are doing that. Stage 3 also having 97% provision coverage ratio, we are not going to have any impact on the Stage 3 provision also. Stage 2 only because of the elevated provision is there, 5%. There only, the impact is going to come. And that calculation roughly as of today is around -- around INR10,000 crores.

Now if I distribute this INR10,000 crores for 5 years, 5 years, multiply by 4 quarters, it comes to 20 quarters. So, 20 quarters means every quarter, if I am able to do INR500 crores, I am able to meet that requirement. And that INR500 crores every quarter, hardly it comes to around 10 to 15 basis points.

Like in this quarter, INR955 crores we have kept. And with that, the credit cost with INR386 crores, it comes to only 0.46%. So, with this implementation, every quarter, around INR500 crores will be required. With that, hardly around 15 basis point credit cost will increase.

Mahrukh Adajania: Okay, sir. So, there will be an increase of maybe 15 to 20? And what will be the SMA -1 and SMA -2 below INR5 crores?

Ashok Chandra: I will give you the entire portfolio, SMA -0, 1, 2 all put together. The ratio in the bank is 4.61%.

Mahrukh Adajania: And that is below INR5 crores and above.

Ashok Chandra: All, all. INR1 to the higher amount, all put together.

Mahrukh Adajania: So 4.8% of loans?

Ashok Chandra: 4.61%. 4.61%, that is the total SMA of the bank.

Mahrukh Adajania: Okay, okay sir got it. Thank you very much and all the best.

Moderator: Thank you. Our next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Yes. Hi, good afternoon, sir. And thanks for the opportunity. Sir, I have a few questions. First is, sir, this floating provisions of INR1,750 crores, have they been netted off to arrive at net NPA or they are not part of specific PCR?

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Ashok Chandra: No, no, no. They are not part of net NPA.

Jai Mundhra: Okay. So that is good. And secondly, sir, if you...

Ashok Chandra: That's why you are seeing the absolute number, INR3,834 crores in the net NPA.

Jai Mundhra: Correct. Correct. Okay. So that is good. And secondly, sir, if you have the number separate for 0, 1, 2, that will help because maybe you need not provide for SMA -0 as per the draft regulation, but the 1, 2 on a continuous basis, bank may have to provide. So, if you have that number separately for 0, 1 and 2 for SMA loans of the bank?

Ashok Chandra: SMA -0, what is the percentage? You can tell, madam. Our CGM in charge, the CRMD Risk Management is there. She will tell you.

Management: SMA -0 is INR34,176...

Ashok Chandra: No, percentage.

Jai Mundhra: Sir, absolute number is also okay.

Ashok Chandra: No, I'll give you the percentage. SMA -0 is INR34,176; SMA -1, INR9,439; and SMA -2, INR13,122.

Jai Mundhra: Sure sir. And sir, would you have also done a calculation that, let us say, if in this quarter itself, you were to apply for ECL norms, what would be the credit cost? I mean that is what I think

Mahrukh was also trying to understand, that assuming you are in ECL, what could have been the provision in this quarter, let us say?

Ashok Chandra: See, if 5 years implementation period is there as per the RBI guidelines, so it means I have 20 quarters to implement it. And a rough calculation, which we have done, it comes to around INR10,000 crores. It means, sir, INR500 crores every quarter, we need to provide for ECL implementation for 5 years. It's INR500 crores, hardly it comes to around 15 basis points down, 0.15%.

And since INR10,000 crores is required, out of that, INR1,775 crores I have already

provided.

So, since we had a cushion in this quarter and we had a good profitability, we took a conscious decision that let us make the provision floating. And as per the RBI guidelines, this floating

provision will get adjusted against the ECL when it gets implemented. So, it is -- for a strengthening of our balance sheet, this provision has been made this year, this quarter.

Jai Mundhra: Right. No, no. This is all welcome, sir. I understand this is contingent and floating in nature for the contingency only. Okay. And second question is, sir, a few banks have sounded some RBI compliance on PC Agri crop loan PSL requirement, that the criteria for maybe PSL tagging has been tightened. Has that exercise been over for our bank? And what is the status here?

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Ashok Chandra: No, no, no. We don't have any such challenge. And the bank, which you are quoting, their RBI supervisory review had happened. In our bank also, every bank, RBI supervisory review happens every year. And we are totally compliant in that. We don't have any such challenge.

Jai Mundhra: Sure. And lastly, sir, this quarter, the interest on -- I mean we have a very good -- we had a very good TWO, but still the interest income that has gone to NII from TWO recovery is more or less similar, right, INR400-odd crores. That has not changed. So that has no material impact, right? I mean despite having a large TWO recovery?

Ashok Chandra: No, no. It almost around INR400 crores to INR500 crores RI recovery every quarter happens. So that has remained the same. Because whatever recovery we do in TWO, generally, it goes in our operating profit straight away, not through the interest route.

Jai Mundhra: Sure. And sir, one thing that I observed was interest on investment, right, that has declined. Is there any one-off? Or you think that could be the new normal basis, the interest rate environment? Or is there any reason for a slightly higher decline in that line item?

Ashok Chandra: No, no, no. It is not -- it is in line with the market scenario. Nothing else. You can't -- you should not read anything else other than this.

Jai Mundhra: Sure. Okay. Thanks a lot, sir. I will come back in the queue. Thanks, and all the very best.

Ashok Chandra: Thank you.

Moderator: Thank you. Our next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Thanks for taking the question. So firstly, on margins, again, so I think there would have been some impact of repo repricing and we have like 50% EBLR portfolio. So that would have taken the knock-on margins. But in terms of deposit repricing, when should we actually start to see the deposit repricing benefit? If we look at it, it's hardly like, say, 25-odd basis points, which we have over the last 3 quarters.

So when does that happen? And in fact, we revised our margin guidance also down. So was it purely the repo rate cut, which is leading to the revision in the guidance? Or is there any other element in terms of lower benefit from deposits coming through?

Ashok Chandra: No, absolutely -- it is only because of the 125-basis point repo cut. And second thing related with this is the deposit rate pricing. Because 125 basis point rate cut has happened in the credit side and that you are very rightly mentioned that more than 50%, we have the Repo Linked..

Moderator: Sir, sorry to interrupt you. Kunal, can you please mute your line.

Kunal Shah: Yes.

Ashok Chandra: So since 50% and above the Repo Linked rates were there -- so that we have passed on immediately. In fact, in our bank, immediately on the next working day, we pass on those benefits. But to that extent, we have not gone for the deposit repricing. In fact, we are very

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mindful of the deposits, the scenarios, dynamic situation and keeping the c

ustomers' interest also

because we have 18 Crore plus customers, and they have a lot of faith in our system.

So we thought that let us continue that deposit rate. That is the reason in the Q3, we have not cut much the deposit rate. We have kept it intact. And that is the reason that has impacted our -- the overall NIM. And going forward, what we are seeing that we had one special scheme where we had mobilized more than INR 248,000 crores. That deposit was for 440 days.

And that scheme was there till March 2025. Now from 1st April 2025, this scheme was withdrawn. Now those deposits are getting repriced. 70% repricing has already happened by December '25. And 21% is going to be repriced in the fourth quarter, this quarter and 9% still it will get repriced in the first 2 months of first quarter of '26 - '27.

So entire deposit repricing will happen by somewhere in the month of May 15. By that time, this entire thing, which is there at 7.25%, it will at least 60 to 70 basis points, the reduction will happen in when the repricing happens. And you all know that -- see all these impacts will be

visible after 6, 7 months now. So I am expecting that by Q2FY '27, at least the impact of these things will be visible in the system.

Kunal Shah: Sure. Got that. And secondly, with respect to growth, so still in terms of the guidance, we are at 11% to 12% -odd, while maybe year-to-date growth itself is like, say, 10.5% to 11%. So would we be seeing some kind of traction on the corporate side or we should be able to...

Moderator: Sorry to interrupt.

Ashok Chandra: Credit growth, I am expecting that as of now, 9 months credit growth is 10.9%. And I am confident that this 11% to 12% guidance which we have given by March also, we will be crossing this guidance. Deposit growth guidance also 9% to 10% we have given. And as of now, we are at 8.5%. 100%, we are going to touch around 9% of the deposit growth.

So there has been good momentum in the system, and we are encashing those opportunities. At the same time, there are some low-yielding advances are there in the corporate book. That also we are selling it and we are replacing it with high-yielding advances.

Otherwise, our corporate loan book would have grown more than 11% to 12%. So we are also ensuring that all those -- the low-yielding advances, slowly, we should replace it with high-yielding advances. And that is the reason corporate loan book is still at around 9.5%.

Kunal Shah: And this would continue even in the next quarter. So that's the reason like even after 11% -odd we are saying that 11% to 12% is the only guidance and not revising it to like 13%, 14% -odd or so?

Ashok Chandra: Yes. In this quarter also, we are going to shed some deposits, corporate loan book. And that is the reason I am still holding that 11% to 12% growth will be there, overall credit growth.

Kunal Shah: Got it. Perfect. Thanks a lot.

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Moderator: Thank you. Our next question is from the line of Bhavik Shah from InCred Capital. Please go ahead.

Bhavik Shah: Hi, sir. Thanks for the opportunity and congrats on good quarter. Sir, I just wanted to understand what was your average LCR for this quarter?

Ashok Chandra: 125% -- yes, 127%. At September, it was more than 125% -- 130%. It is 130%. 130%.

Bhavik Shah: Okay. And sir, there is a change in guidelines of LCR from 1st April 2026. How much of that impact will have?

Ashok Chandra: I think around 5.25% impact will be there, yes.

Bhavik Shah: Negative impact?

Ashok Chandra: Positive impact. Yes, yes.

Bhavik Shah: Okay. Okay, sir. And sir, this quarter, we had a good treasury gain. Does it include the stake sale of Canara HSBC Life?

Ashok Chandra: Yes, yes, yes. That includes that.

Bhavik Shah: How much was it?

Ashok Chandra: Net gain was around INR912 crore. That is actual impact of that sale.

Bhavik S

hah: And the balance INR400 crores would be the normal treasury gains?

Ashok Chandra: Yes.

Bhavik Shah: Sir, I just want to understand this year...

Ashok Chandra: And one more point, and more point, there has been a hit of INR400 crores MTM also, despite that INR300 crores now.

Bhavik Shah: Understood, sir. So we have done very good on treasury gains over the past 2 years, and that has also been because of the yields. Now incrementally, the yields are kind of steady or rising. So how should one understand treasury gains in FY '27? Like will it be INR2,000 crores or no, I mean that is not how we think. We have clocked like INR4,000 crores over the past few years?

Ashok Chandra: I think you are talking about the next year, let us wait for another -- it is a very, very dynamic situation now. So one more MPC will come in between, and then we will see how the impact comes. And anyway, I think March, we are also coming out with the strategy paper for '26 - '27.

And definitely somewhere in the March, April, we will discuss about the '26 - '27.

Bhavik Shah: Understood, sir. And sir, why not increase our loan growth guidance to 15% when the opportunity is so good and LDR is at only 74%, 73%?

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Ashok Chandra: See, if you see, MSME, we are growing at 18%. Retail, excluding IBPC, we are growing at more

than 18.5%. IBPC, every quarter, we are reducing it. And December '24 to December '25, the net reduction in the IBPC book is more than INR 13,000 crores. So what is happening, we are growing in the credit scenario.

But at the same time, there are some low-yielding advances are there, including this IBPC. We want to come out of those things so that going forward, we will have the good quality high-yielding advances, and that will be sustainable for a longer period. So that is the reason we are not revising this is 11% to 12%. Otherwise, sector-wise, if you see, we are growing at more than 17%, 18%.

Bhavik Shah: Sir, assuming in F Y '27, deposit growth is 9%, 10%, would you grow at 15% plus?

Ashok Chandra: I will give you the number once the strategic paper comes out, Board strategy meet happens, but...

Bhavik Shah: You carry forward thought process, sir.

Ashok Chandra: I'm giving you the thought process. I'm telling you my thought process because 1 or 2 quarters more, I will take for in the '26-'27 also to reduce my low-yielding corporate loan book. And afterwards, definitely, bank will grow at more than 12% to 13%.

Bhavik Shah: Understood, sir. And sir, just last question. Sir, any guidance on your recovery from written-off for 4Q and next year?

Ashok Chandra: Yes. For the Q4 also, we are likely to grow more than INR4,000 crores of total recovery and around INR1,500 crores to INR1,600 crores, TWO recovery we are expecting, and that is a thing which we have targeted.

Bhavik Shah: Okay. Okay. And sir, F Y '27, would it be broadly similar to FY '26 or lower?

Ashok Chandra: It will be -- I think let us wait for that '26-'27 number. But definitely, I think the last year also, if you see around INR12,000 crores to INR13,000 crores. So definitely between INR13,000 crores to INR15,000 crores, we will be aiming for another 2 years.

Bhavik Shah: Understood, sir. Okay. Thank you so much, sir. And that is all, sir.

Moderator: Thank you. Our next question is from the line of Vansh Solanki from RSPN Ventures. Please go ahead.

Vansh Solanki: Hello. Good afternoon, team. Am I audible?

Ashok Chandra: Yes, good afternoon. Yes, you are audible.

Vansh Solanki: So my question is on the treasury income that we have around INR1,300 crores of treasury income, including the INR900 crores of the Canara HSBC gains. So normalized treasury income is only INR400 crores approx. Am I -- is my thinking, right?

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Ashok Chandra: Yes, yes. You are a

absolutely right. See, what has happened, there is an MTM loss was there for one account, INR400 crores. In the last quarter, there was a gain of MTM was there of around INR350 crores in the same account. So, there is a fluctuation in the re -- in that sometimes loss happens, sometimes profit happens, but the treasury gain will be in the line of around INR1,300 crores to INR1,500 crores.

Vansh Solanki: Okay. And my last question is on the new labour code. So how much impact we have -- like onetime impact we have taken here?

Ashok Chandra: No impact on implementation of labour code. Bank was already implementing all those clauses which the labour code has provided and absolutely nil impact.

Vansh Solanki: Okay. And the fee-based income, I just want to ask that even after a good growth, why our fee-based income is almost in a similar line of Q2? Like will it increase in Q4 and like next year or will be in the same range?

Ashok Chandra: Generally, what happens in the fee-based income, there are some components like processing charges, the ATM charges, the locker rent, all these things we collect in the very first quarter of every financial year. So first quarter, there will be very good collection. And afterwards, all the renewals whatever happens for the new proposal which we source, to that extent, only the fee-based income will increase.

So it will be muted in the Q2, Q3, Q4. But first quarter of every year, it will be substantially, it will be high. But we have come out with 3 new streams. And I'm very hopeful that going forward, there will be a lot of traction will happen in the fee-based income. One is the supply chain vertical, which we have created in this financial year.

And there is a INR4,500 crores is a sanction book under the supply chain. Their vendor financing, dealer financing, this new vertical we have created. Second vertical, which we have created is the cash management services, which is totally it is a fee-based income only. So this vertical also, second quarter, we had created, and we are expecting good revenue should happen from this stream also in the '26-'27 financial year.

And third vertical, which we have created headed by General Manager is credit card vertical

now. And we have also launched a first -time metal credit ca rd, very high net worth individuals, the PNB LUXURA.

And there also, we want to build up a good number now. We already have a credit card in our bank, and that is owned by our bank itself and more than 7 lakh credit cards are there in that scheme. But thi s is a high -end credit card, which we have launched PNB LUXURA. Through all those things, I want to see that on a sustainable basis, on a regular basis, there has to be improve ment in the fee -based income in the '26, '27 financial year.

Vansh Solanki: Okay . Thank you. That is from my side and all the best for the future. Thank you.

Ashok Chandra: Thank you.

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Moderator: Thank you. Our next question is from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama: Thank you for the opportunity. Si r, what explains the sharp fall in your investment yield? And how do you see margins on a quarter -on-quarter basis? I know that for a full year, basically, you have downgraded the margin guidance. But on a quarter -on-quarter basis, how should we look at th e margins here on? And if you can explain why the investment yields have fallen on a quarter -on-quarter basis?

Ashok Chandra: The yield, you are all knowing that it is a totally market driven now. And we are all seeing that as of today also yield is quite tough now, very hard now. So it all depends upon the market scenarios and what opportunities that comes in that particular segment. And the -- I'm not seeing that sharp decline is happening. It was 6.87% December '24 and today, it is 6.76% now. So decline is hardly around 11

basis points Y -o-Y.

Anand Dama: But sir, if you look at from where it has come down, it was about 6.9% or so. And there from...

Ashok Chandra: September, it was 6.9%. September, it was 6.9%. And see, when the average yield is coming down, so definitely, it will have the impact here also. But there is no concern -- as far as the revenues are concerned and the total contribution from the treasury book, I think it is -- contribution is intact, INR1,300 crores to INR1,700 crores every quarte r we are getting it. This quarter also, we got INR1,300 crores. And going forward also, we have a visibility that we are going to have a good gain overall credit -- the total contribution from the treasury book.

Anand Dama: And sir, is there any labor code impact that you have taken during the quarter? Or is it very negligible for the public sector bank because you do not have any contractual labor?

Ashok Chandra: Yes, yes, correct. We don't have any impact because of the same reason what you have mentioned . So we are already being guided by the salary revision of IBA. And we are already paying to whatever that has been mentioned in the labor code. More than that, we are doing it. So absolutely, there is no impact.

Anand Dama: And sir, during the current qua rter, you have had a very strong recovery from written off pool. Is there any large specific account that you can talk about which has been recovered? And do you expect similar kind of a trend in fourth quarter as well?

Ashok Chandra: Yes. Out of this INR4,100 crores recovery, there is one account where we got more than INR700 crores. So other than that, all was below INR100 crores recovery. All small, small accounts were there. This quarter, we are also expecting around INR400 crores t o INR500 crores one single account. And all other accounts are below INR100 crores, and that momentum is there in this particular quarter also. So, we have already set the target for this quarter that more than INR4,000 crores of recovery overall and INR1, 500 crores TWO recovery should happen in this quarter also.

Anand Dama: Sure, sir. That's very helpful. Thanks a lot.

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Ashok Chandra: Thank you.

Moderator: Thank you. Our next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead .

Ashlesh Sonje: Hi sir, good afternoon. A few clarifications, firstly from my side. Can you explain why the tax rate was a bit lower at 19%? That is one. Secondly, this INR9,000 crores to INR10,000 crores ECL impact which you quoted, is that the provision shortfall? Or is that the post -tax impact on capital? And thirdly, your -- the progress on PSL compliance seems to be quite good over the past few quarters. Do you expect to purchase any PSL certificates in the next year?

Ashok Chandra: Yes. First of all, I will touch that part, PSLC. I think this year, we have made good progress under that PSLC. And I'm expecting that at least around 50 to 60 basis point cut should be happening in the next year. More than that, we are already targeting in that direction now. And we are already compliant as far the RBI regulatory guidelines are concerned. We don't have any issues related with the PSLC compliant. Your -- another question was related with?

Ashlesh Sonje: Tax rate and ECL impact.

Ashok Chandra: ECL, yes. ECL, see, there are 3 stages are there, all of you know. So Stage 1, 0.40% provisions are required. And we are...

Ashlesh Sonje: Yes, sorry to interrupt you, sir. I understand the calculation you have mentioned. I'm just asking if this INR10,000 crores, is that the pre-tax impact or the post-tax impact? That's all.

Ashok Chandra: Post-tax impact.

Ashlesh Sonje: Understood. Okay. And lastly -- and the tax rate?

Ashok Chandra: Yes, yes. You can --

Raman Grover: Actually, we have made a tax provision of INR1,231 crores this time. And

there was a reversal

of provisions to the extent of INR506 crores in the tax provisions because when the actual computation of the tax liability, it came up to be less, which we envisaged during the 31st March 2025. So there was a reversal of INR506 crores. So net change to about INR1,230 crores, which may be giving you a percentage of 19%.

Ashlesh Sonje: Understood. And one more question from my side. On the margin front, you had guided last quarter that it would improve by 5 basis points Q-o-Q. I understand a couple of things would have changed. One is the repo rate cut, which I assume would have had an impact of about 5, 6, 7 basis points. The second one, which you mentioned was on TD rates that you have not cut in this quarter, but I assume that would have a negligible impact because TD rates take time to pass through. So what exactly changed as per your earlier expectation?

Ashok Chandra: No. It was -- one is that the 25 basis points, the rate cut has happened, definitely, that has put some impact. And the repricing, which we were expecting that will happen and that too, with the revised rate, we were expecting that we'll cut some rate in the month of October and

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November, but we have not done that. Now that exercise we have done on the 1st of January. We have cut some deposit rate in the different bucket now around 20 to 30 basis points. If you would have cut that, definitely some impact would have come. See INR100 crores to INR200 crores is still impact the NIM now. So 3 to 4 basis points. So that is the impact it brings in the overall calculation.

Overall, if you see, our total NII is greater than the September quarter. But once we get a final number, I think it has -- in the NIM calculation, it has impacted. So I'm expecting that this repricing is going to be fully complete by end of April, somewhere 15th of May. Entire INR2,48,000 crore, which we had mobilized at a very high rate last year, the retail term deposits, 7.05 and 7.25, I think that is going to be repriced with the revised rate. And I think another 3, 4 months, it will take to bring down the NIM. I'm expecting that somewhere from the Q1 and Q2 onwards, definitely, the NIM will improve, and we will be back to the original scenario.

Ashlesh Sonje: Understood, sir. Thank you very much.

Ashok Chandra: Thank you.

Moderator: Thank you. Our next question is from the line of Ankit Bansal from AB Investment. Please go ahead.

Ankit Bansal: Hello? Am I audible?

Moderator: Yes.

Ankit Bansal: Sir, my question first will be, sir, what will be your net guidance net for net NPAs and net GNPA's now for quarter 4 and for whole FY '26?

Ashok Chandra: Gross NPA, it will be below 3%, which we have already given the guidance in the beginning of this financial year. We will be below 3%. Net NPA below 0.35%. We are already at 0.32%. So definitely, this guidance which we have given, we are going to do and we are going to achieve that.

Ankit Bansal: Any revision in net NPAs guidance?

Ashok Chandra: No, I think we are trying to bring it below 0.30. We'll try to do it. But guidance which we have given, we are already -- we have done that. Somehow we'll try that. We'll try to bring it below 0.30.

Ankit Bansal: Okay. Sir, my -- the bigger question, bigger picture is that, sir, PNB delivers numbers like you say one quarter good, other quarter. Sir, the momentum is not keeping like this quarter, you have done a provision like last quarter slippages elevated happen. Sir, how an investor which is invested in PNB for years, how it could feel safe after 1 or 2 quarters, he feels, okay, bank is

delivering good numbers like this. Another quarter slippages happens of any reason. I'm not saying you will happening, of any reason. This quarter provision happens. Sir, look at other banks like State Bank, Bank of Baroda, they are delivering a constant

set of numbers. So investor

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feels safe in these banks. Sir, can you please assure your investor that is invested in you and invested a lot of their faith in your bank?

Ashok Chandra: Sir, we have full confidence. I will tell you, you should have full confidence in the performance. First of all, you see none of the parameters, the guidance which we have given in the beginning of the financial year, despite the strain in the system, despite 125 basis point cut in the system, we have not revised any of my guidance. You see the guidance which was given in the month of April.

We gave the guidance that gross NPA below 3%, net NPA 0.35%. Credit cost, which you are talking about in this particular quarter, credit cost, our guidance was below 0.5% in the entire year. In this particular quarter, we are at 0.46%. That also deliberately, we have kept it because of the ECL implementation, which is going to happen from 1st April 2027.

Now we had the profitability in this particular quarter, and it was the right time for us to keep the INR955 crores set aside and that we have kept it as a floating provision as per the RBI guidelines. Now this will help us in adjusting our ECL implementation, which is going to happen from 1st April 2027. So whatever guidance -- you see the guidance on return on assets.

We have given a guidance of above 1%. We are at 1.06%. September, we were at 1.05%. So slippages ratio, we gave the guidance of below 1%. We are at 0.7% in this particular quarter, we are at 0.67%. And 9 months, if you see, we are at 0.56%. Credit growth, we gave a guidance of 11% to 12%. We are at 10.9%. So all the parameters, we are maintaining the guidance.

Operating profit, we gave a guidance of 8% to 9%. We are at 13%. That is the growth which we are showing you. I think that should -- you should see the overall guidance which the bank has given and whether we are meeting those guidance or not. And this is always better to see that whatever the future that is going to happen, prepare ourselves for the future situation. When the ECL got the announcement happened somewhere I think Q1 or Q2, I think this is the right time if we have the cushion, why to get a hit when the actual implementation happens.

So I think you should see broader things and not Q1 or Q2. You should see the consistency in our performance. You tell me in any of the parameter, except the NIM, except the NIM, any parameter, there has been a degradation or downward reduction, anywhere in any of the parameters.

We are very mindful that for the investor, there has to be consistency. And each and every quarter, there has to be improvement in every ratio. We are committed to that, and we are doing it. This quarter also, you see except the NIM, all parameters, there has been improvement. Every parameter improvement is there.

Moderator: Thank you. Sorry, Ankit, please rejoin the queue for a follow-up question. Our last question comes from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

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Mahrukh Adajania: Yes, thank you, sir. Thank you for giving me a chance to ask a question again. Sir, my question was on investments. So could it be that the investment yield has declined because of treasury profits booked over the last few quarters? Could that be a reason?

Ashok Chandra: That is also one of the reasons. Second reason is, in the Q2, there was one-time income of INR60 crores was there from one company that was booked in that particular quarter. So there was another one dividend income there to an extent of INR130 crores, which was booked in the Q2, which has not...

Mahrukh Adajania: But that is in income on investments?

Ashok Chandra: Yes. Yes, income on investment. These are all income on investments. Otherwise, there is a consistency there in the treasury income

and also INR1,300 crores to INR1,500 crores income will be there from this particular treasury.

Mahrukh Adajania: Okay. And sir, how much of HTM would we have sold in the first 9 months?

Ashok Chandra: Out of 5% cushion, we have just used around 1.5%. We have not sold.

Mahrukh Adajania: HTM.

Ashok Chandra: HTM, I'm talking, yes. We have utilized only about 1.5%.

Mahrukh Adajania: Okay, sir. Thank you so much. Thank you.

Ashok Chandra: Thank you, madam.

Moderator: Thank you. I would now like to hand the conference over to management for closing comments.

Ashok Chandra: So, thank you very much for all the analysts and who are reposing faith in our performance. We are committed to the consistency -- consistent performance and the quarter -to-quarter improvement in all the parameters. In this quarter also, if you see in all the parameters, including the operating profit, net profit, all the efficiency ratios, I think we have shown the consistency, and we are committed to do that. We value your relationship with our bank and you being one of the stakeholders in our organization, definitely, I think we are committed to provide good value to you for -- in the long run, and we will do whatever best is possible to do that. Thank you very much.

Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Punjab National Bank
Q4 FY '26 Earnings Conference Call "
May 05, 2026

MANAGEMENT : MR. ASHOK CHANDRA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – PUNJAB NATIONAL
BANK
MR. M PARAMASIVAM – EXECUTIVE DIRECTOR –
PUNJAB NATIONAL BANK
MR. BIBHU PRASAD MAHAPATRA – EXECUTIVE
DIRECTOR – PUNJAB NATIONAL BANK
MR. D SURENDRAN – EXECUTIVE DIRECTOR – PUNJAB
NATIONAL BANK
MR. AMIT KUMAR SRIVASTAVA – EXECUTIVE
DIRECTOR – PUNJAB NATIONAL BANK

MODERATOR : MS. PALAK SHAH – ELARA SECURITIES PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Punjab National Bank Q4 FY '26 Earnings Call hosted by Elara Securities. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Palak Shah . Thank you, and over to you.

Palak Shah : Hello, everyone, and welcome to Q4 FY '26 Earnings Conference Call of Punjab National Bank. Today we have with us the management of the bank headed by Mr. Ashok Chandra, MD and CEO; Mr. M Paramasivam, Executive Director; Mr. Bibhu Prasad Mahapatra, Executive Director; Mr. D Surendran, Executive Director; and Mr. Amit Kumar Srivastava, Executive Director.

With this introduction, I would like to hand over the call to Mr. Ajay Kumar Singh, General Manager, Strategic Management and Economic Advisory Division to read out the disclaimer statement, post which the MD sir will address the conference. Thank you, and over to you, sir.

Ajay Kumar Singh: Good afternoon, ma'am. At the outset, let me read the disclaimer. This representation contains certain forward -looking statements apart from historical information. These forward -looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward -looking statements. Punjab National Bank undertakes no obligation to update forward -looking statements to reflect events or circumstances after the present date.

Now I request MD sir to address the analysts. MD sir, please.

Ashok Chandra: Good afternoon, ladies and gentlemen. Welcome to the Q4 and financial year '25 -'26 Analyst Meet of the bank. During FY '26, the bank delivered broad -based sustainable performance across all four dimensions, customer service, business growth, asset quality, profitability and operational efficiency.

We met or exceeded our stated guidance for 2025 -'26 financial year across most key parameters.

The only areas of variance were the CASA ratios and margins, which were largely influenced by liquidity and interest rate dynamics. To drive growth, the bank is sharpening its focus on retail, agriculture and MSME segments through targeted outreach campaigns.

A calibrated network expansion is complementing this. We added 144 branches in FY '26 and plan to open 250 more in current financial year. These branches will be primarily in the Southern and Western regions. A new zonal office in Bengaluru has already been operationalized to

strengthen our presence and execution in the Southern region. We are also leveraging digital enablers to accelerate growth and enhance operational efficiency. A key initiative is the Digi MSME Prime schemes launched on our 132nd Foundation Day, offering end-to-end digital MSME loans up to INR 10 crores .

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We remain highly vigilant on asset quality, delivering a sharp reduction in both GNPA and NNPA. Our sustained focus on profitability has driven sequential growth in operating and net profit reaching their highest ever levels.

Now I will touch upon the segment-wise business figures, profitability, asset quality. First, business. The bank's financial performance for the period ending March 2026 reflects a steady growth coupled with ongoing a strategic realignment. Our gross global business reached INR29.7 lakh crores , marking a healthy 10.7% Y -o-Y growth.

On the asset side, advances grew by 12.7% Y -o-Y to INR12.59 lakh crores despite INR18,231 crores reduction in IBPC exposure, which we have done concisely. Excluding the IBPC book, underl

ying average growth remains a strong at 15% Y -o-Y, reflecting robust core business momentum. Our retail book, excluding IBPC grew by 18.2%, MSME by 19.9%, agri priority sector witnessed growth of 16.2%. Future credit growth remains well supported by a strong pipeline.

The bank sanctioned over INR4 lakh crores in corporate credit lines during financial year '25 - '26 with INR1.18 lakh crores still pending for disbursement. Global deposits of the bank have reached to INR17.11 lakh crores , up by 9.2% on a Y -o-Y basis.

CD ratio of the bank is at comfortable level of 73.6%, which gives us comfort to grow in advances while being mindful of raising high -cost deposits. On account of various customer -centric initiatives and revamped the products, the CASA ratio of the bank has stabilized at around 37% and consistent 37% in all the 4 quarters of the financial year.

In CASA, we strategically focus on enhancing our individual saving account balances. Over 35% of our customers are under 30 years of age, giving us a strong foothold in the next generation segment. We are focusing on serving them across their financial life cycle with tailored digital first solutions driving long -term relationship value.

Coming to the profitability our domestic NIM stood at 2.61% for Q4 whereas global NIM stood at 2.47%. In Q3 the impact of the December rate cut was limited to 26 days, whereas in Q4, it played out over the full quarter. While we had anticipated an offset through moderation in deposit rates, deposit rates remained a sticky and did not fully compensate for the compression in yield on advances.

We expect the margins to improve moving forward and our NIM to witness Q -o-Q increase from the level of Q4 '25 -'26. We expect our global NIM to remain in the range of 2.6% to 2.7% for financial year '26 -'27. Operating profit of the bank increased on a sequential basis. Operating profits for the Q4 INR7,500 crores as against INR6,776 crores for Q4 of 2025.

This is witnessing a growth rate of 10.7%. For the full year, there is a 9.2% growth, well above the guidance of 8% to 9%. Net profit of the bank for Q4 of FY '26 stands at INR5,225 crores as against INR4,567 crores for Q4 FY '25, depicting a healthy Y -o-Y growth of 14.4%.

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Coming to the efficiency ratio, efficiency ratios of the bank are increasing consistently, our Return on Assets at the level of 0.89% for FY '26, as against the 0.97% for FY '25, as the bank has taken onetime hit on account of switching to new tax region in the Q1 of FY '25- '26.

In remaining 3 quarters, return on assets has consistently remained above 1% at 1.05% in Q2, 1.06% each in Q3 and Q4. Return on equity stands at 15.67% for FY '26. Our tangible book value per share as on 31st March 2026 is INR102.95 which was significantly improved from the level of INR84.83 as on 31st March 2025.

We are quite mindful of improving our cost -to- income ratio and the same has reduced to 51.79% in FY '26 as against 54.59% in FY '25. Coming to asset quality. Our asset quality is improving consistently, and our GNPA has reduced to 2.95% as on 31st March 2026 from 3.95% as on March '25. Similarly, the net NPA percentage, which was 0.40% as on March '25, has reduced to 0.29% as on March '26.

We are well within our guidance for gross NPA as well as net NPA ratio. Our PCR stands at

97.14% as of March '26, which is well above our guidance of more than 96% for financial year '25- '26. Total fresh slippages during Q4 2026 was INR2,674 crores as against INR2,904 crores in Q4 of FY '25.

Our guidance for slippage ratio was to remain below 1% in FY 2026, and we are well within our guidance level as slippage ratio for the full year is 0.60%. Total recovery stood at INR4,082 crores for Q4 FY 2026 and for the financial year 2026 is INR15,501 crores .

Our recovery is the 2.4x of the slippages in FY 2026, refl

ecting our commitment towards

improving asset quality. We have made additional floating provision of INR270 crores on prudential basis in Q4 of this financial year '25 -'26.

I will provide analysis on underwriting standards, which will provide confidence regarding the asset quality and underwriting standards of the bank. From 1st July 2020 to 31st March 2026, almost 5.75 years, we have sanctioned around INR14.28 lakh crores loans out of which we have disbursed INR12.46 lakh crores .

The outstanding in this loan as on 31st March is INR8.75 lakh crores , which is close to 69.5% of our total outstanding loan book. NPA in this book is hardly INR5,034 crores , which is only 0.40% of the disbursed amount under fresh underwriting.

I will talk about the capital. Our capital adequacy is 17.74% as on March 2026 compared to 17.01% as of March 2025, which is 73 basis points above March 2025. Our CET1 capital stands at 13.62% against a regulatory requirement of 8%. Tier 1 capital stands at 15.15% against the regulatory requirement of 9.5% and Tier 2 capital stands at 2.59% as of 31st March 2026.

More than 85% of the total externally rated advances above INR25 crores are above A rated and more than 52% are AAA rated, which indicates our balance sheet strength from risk point of view. Institutional participation has strengthened progressively throughout the year,

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underpinned by our proactive and structured investor outreach across both global and domestic markets.

FII holdings increased from 5.71% to 6.39%, while domestic investors and mutual fund shareholding rose from 14.67% to 15.95%, signalling rising conviction in bank strategy performance and future trajectory.

I will talk about digital banking. Punjab National Bank is rapidly evolving into a faster financial powerhouse, leveraging advanced AI machine learning and analytics to drive unprecedented operational efficiency and growth. We have established end -to-end digital journeys across most lending products, which are being leveraged to scale digital lending and drive growth.

We have sanctioned and disbursed more than INR20,873 crores through digital mode in Q4 to 4.8 lakh customers. Every third loan is being sanctioned in digital mode in our bank. On a gross basis, bank has crossed digital sanction of INR1 lakh crores , demonstrating commitment to our faster technology -enabled credit solutions. The digital -first approach has shifted the landscape of the bank's operations with digital transactions now accounting for more than 95% of all transactions.

The flagship PNB ONE 2.0 mobile app leads the charge, offering 350+ features and enterprise -grade security like mobile threat detection and SIM binding. There is a very good traction in our corporate mobile apps. PNB One BIZ, which serves to 3 lakh customers with more than 200 features.

Number of WhatsApp banking users had grown by 77% from 61.5 lakh as o n March '25 to 1.09 crores as on March '26. Combined with a robust WhatsApp banking platform and an Internet banking ecosystem, PNB is delivering a highly accessible, secure and automated banking experience built for the scale of modern India.

Human resources under our Udaan transformation initiative the bank is driving growth through a robust objective performance framework aligned with a strategic priorities. We have revamped the digital performance management system to strengthen accountabili ty, integrating new age metrics such as conduct risk and customer feedback alongside launching the Unnati Path to accelerate women's leadership development.

We have also announced the tentative dividend. I think we need to wait for the AGM approval, but the Board has approved INR3 for every INR2 of the face value the shareholding almost it comes to 150% of the face value.

While concluding, Punjab National Bank is sharpening its a strategic focus on core fr

anchise

strength with targeted efforts to build a stronger CASA base and expand the RAM portfolio, supporting better margins and operating efficiency. A disciplined approa ch towards risk

management, anchored on containing slippages and accelerated recoveries continues to reinforce asset quality trends, while digital and workforce transformation are reshaping operating capabilities.

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The Bank has strengthened three important verticals: credit card, cash management services, and supply chain finance. We will see lots of traction in current financial year in these segments.

With these structural levels in place, the bank is poised to sustain growth momentum and progressively strengthen its competitive positioning across all the segments.

Thank you very much. Along with me, all my Executive Directors and the top management of our bank is here. And I welcome any clarity or any queries or anything which you would like to discuss about the financial results of our bank for FY '25-'26. Thank you very much.

Moderator: The first question is from the line of Ashok Ajmera from Ajcon.

Ashok Ajmera : Thanks for giving this opportunity. Compliments to Ashok Chandrasi and the entire team of the Punjab National Bank for achieving most of the, I mean, parameters, guidance on the main, most of the parameters and especially very heartening to note that the credit growth for FY '26 has been 12.7%, which is better than even the guidance which was given. And everybody was apprehensive about that, which you achieved. Very good. Even reasonably good deposit growth also and good business growth also.

Having said that, sir, I have got a couple of data points and some discussions, some comments of yours on a few points. So if you look at the slippages in this quarter, the slippages in this quarter has gone up a little bit higher by almost about INR800 crores and SMA -2 numbers have come down from INR1,800 crores to INR450 crores, in which measure is MSME and Agri, which has come down.

So does it mean that many of these accounts have slipped because you have given only SMA -2 numbers. We would like to also know the overall color on the SMA book because of the present situation and also about the slippages, sir? This is the first question, sir.

Ashok Chandra: Thank you very much, Ajmera saab. First I will touch the slippages' part. See in this financial year, the slippages is INR2,758 crores and if you compare it with the last financial year '24-'25, that time the slippages was INR3,001 crores, almost INR3,000 crores. And we have seen the trend almost every year, Q4 because of the review renewal that falls in this particular month, the quarter from January to March.

And most of these MSME loans and Agri loans that comes for the review renewal. And because of those things, in this particular quarter, there will be slightly elevated slippages will happen compared to the Q1, Q2, Q3. But still if you see the overall slippages which has happened in the bank, it is well within the guidance which we had given, 0.60% our guidance was below 1%.

So we have kept the slippages fully under control. And I will give you the figure also. In the retail, INR439 crores has slipped compared to INR490 crores has slipped in '24-'25 in the same quarter. Agri, it is INR1,069 crores, which was INR1,400 crores, which has slipped in '24-'25. And MSME INR1,106 crores, whereas it was INR995 crores. So almost in all parameters, we have brought it down and it is fully under control. Absolutely, there is no challenge.

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Now SMA -2, you have mentioned that INR5 crores and above which we have given in the analyst presentation, but I will give you what is the total SMA -0, 1, 2. The actual number is 3.30% without percolation effect, it is lowest ever in our bank now. So everything is fully under

control.

Retail it is 8.21% Agri it is 3.06%. MSME, it is 6.43%. Others it is 0.28%. So almost all segments put together grand total is 3.30% for SMA -0,1,2 irrespective of the amount.

Ashok Ajmera : Yes sir. Point well taken sir, and you explained it very well. Sir, just now ECL guidelines have been finalized by RBI. So we have been talking about it for last 4 to 6 quarters about the preparedness of the bank, every bank on the ECL.

So now the guidelines having come out in full and final, where do we stand to take care of the additional provisions which will be required? Like you already said that you have got a floating provision additional of INR2,045 crores. Is it to take care of the ECL provisions only? How are we prepared and how do we plan to take care of that, sir, in the coming years?

Ashok Chandra: See, if you see our capital position, the CRAR and the CET1, both the parameter, the capital is 17.74% in the CRAR, the CET1 is also 13.62%. So we have enough cushion to take care of any

requirement which will come on account of implementation of ECL from 1st of April 2027. That is first thing.

Second, keeping in view that additional provision which is likely to come, we have already kept more than INR2,000 crores, which already you have also mentioned, INR2,045 crores in precise. It is kept for the floating provision that can take care of my ECL requirements or any eventuality which comes because of the Middle East crisis or anything.

So we have enough room to take care of anything which happens in the system. And since I have already mentioned the underwriting standards of our bank and the SMA position, so we do not see any much challenge in implementation of the ECL from 1st April 2027.

Ashok Ajmera : Okay. So the one thing I observed in the employee cost, which has gone tremendously -- I mean, down as compared to the last quarter of INR5,089, to INR3,747 crores. Does it mean that in the earlier quarters, a little more provision for the employee cost, I mean, were taken? Or is it because of the rate change in the pension and other this thing?

What is the reason which can be for INR1,342 crores reduction in this quarter and which is added to the profit and having -- if that would not have been there, then our profitability would have got terribly affected.

Ashok Chandra: You must see in the financial ratios, there is always if and things will be there. If this happens. See how -- I will tell you why and how it has happened. One is the some additional provision which was kept during the Q1, Q2, and Q3. Definitely some plow back has happened because of the additional thing. AS -15 also, what has happened, bond yield has gone up.

Now if it would have reduced, it would have increased my treasury income. Now my treasury income is very subdued in this quarter. So somewhere that impact will be there. So that impact

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has come on the AS -15 positive way. So in the entire system, somewhere some challenge will be there, somewhere some opportunity also will come.

Now, in the Q1, Q2, and Q3, we had calculated as per the yield which was prevailing at that point of time. Now the yield has hardened, so that has affected my treasury income. But that has put me in the gain by the actual calculation which has happened through the actuarial. So we need to see overall how the bank is performing, and it is not a one time the operating profit has happened in this particular order. See Q1, Q2, Q3, Q4.

All four quarters, we are more than INR7,000 crores of operating profit, more than INR5,000 crores of the net profit we are giving. So it is the consistency will be there. And you see our chart, whether it is a net profit, operating profit or the ROA, all those ratios if you see, very, very consistent growth is there. I can assure you to you and your entire investors who are here that this consistency will

be there in the system.

Ashok Ajmera : Yes, sir. Quite well taken, sir. Treasury income has gone down and that is what is reflected here. Because of that reduction the treasury income loss is offset by the reduction in the employee cost.

Ashok Chandra: Yes.

Ashok Ajmera : Sir, one thing we again see in the taxation also, sir. In the first quarter the hit was taken of INR5,083 crores coming into the new regime. But there after it is INR1,700 crores, then INR1,200 crores, then again now INR1,852 crores.

So, is that some other factors? Because in this quarter the profit before tax has increased only by INR745 crores. On that, the tax is increased by INR621 crores. Almost 90% of the -- 85% of the additional profit before tax. So is there any still some items which are going in the tax or some of the items which we do not know about?

Ashok Chandra: Yes. Yes. I will ask my CFO, Mr. Grover, to answer this question.

Raman Grover: Sir, last quarter our, this rate of actually we are paying at the rate of 25.168%. Last quarter, quarter 3. So it was 19.44%. We also conveyed earlier in this investor meet that quarter 3 we got a refund of about INR506.01. It was not a refund, it was a release of the earlier provisions which were made in anticipation of our higher tax outflow. So last quarter was this reversal, and this quarter 26.16% is our rate against our 25.168%. So, sir, we get some disallowances. So, our 25.168% rate, we have booked the tax expense at the same rate.

Ashok Chandra: Which is even beyond 25.17% also it is more by about INR60 crores -INR70 crores.

Raman Grover: But anyway. Sir, in that, sir, we get some disallowances. So, factoring the disallowances, 26.16% has come.

Ashok Ajmera : Okay. Okay, sir. Now one point last is on the NIM, that you had given a very good target of the NIM of 2.8% to 2.9%, but we have ended up to 2.57%, and that is what is the scenario. I mean, everybody is under that pressure. But going forward, you have given the 2.6% to 2.7%. Can we

not think of again giving the guidance of 2.8% or 2.9% something and try to achieve it, rather than slimming down or loading down the NIM target? This is one.

Second is last is. Now what is happening in the West Asian crisis, the war which is going on between Iran and U.S.A. and Israel, have you started seeing any impact on our accounts, especially the MSMEs? Some pressure is being seen or we are almost neutral on that or muted on that.

Ashok Chandra: First of all, sir, I will touch on the NIM. See, we could have done that 2.8% to 2.9%. But considering the prevailing situation which is there and the deposit rate which is still at a very elevated level even in the first month and first quarter of this financial year also, we do not see much change happening in the deposit front as far as the rate is concerned.

Deposit is available. There is no challenge in the liquidity. Rate is little bit high. And you are seeing the totally environment of the bond rate is very high. So things are totally different at this point of time. So we thought that instead of giving 2.8 %, 2.9% and showing a very rosy picture and coming down, we thought let us keep that 2.6% to 2.7%.

We will watch the situation for Q1 and Q2. And then if it is any required to be modified, we will do -- we'll take a call in the third quarter of this financial year. Now coming to the stress. As of now, we have not seen any challenge in our book now. In fact, we had interaction with my exporters and importers of all these affected areas. And we had conducted twice a webinar with all those people.

And we have also told them that any challenge which comes in the system, we are there to protect them. We are there to help them. And any such eventuality comes, definitely, bank is there to take care of those requirements

Ashok Ajmera: Thanks a lot sir and all the best to

you.

Ashok Chandra: Thank you.

Moderator: The next question is from the line of Mahrukh Adajania from Tara Capital . Please go ahead.

Mahrukh Adajania : Good evening sir. Sir on your provisions, see earlier also, there was a write -back from ILFS one of the accounts and you have not taken it into the numbers. And now other banks this year , this quarter have taken another account, Sterling Biotech in their numbers as a write -back. Have we accounted for the write -back s on these 2 accounts in our numbers now? Were they both accounted for in 4Q? And under which line item?

Ashok Chandra: Sterling has been factored, madam. Sterling is technically write -off account. So that amount is factored in our operating profit. The ILFS is still it is in the standard provision, it is kept. We have not taken up in our , the operating profit. So we will see that maybe Q1 or Q2 depending upon the situation, we will take back in the operating profit.

Mahrukh Adajania : And there was a reversal in your standard asset provision also this quarter, right? It's a negative number. So what was that for?

Ashok Chandra: That is because of the 7 June circular implementation, the restructuring which we keep it or , the, and the account gets upgraded. So those things the reversal happens madam. And one more thing madam NPL also reversal has happened because of the RBI modified guidelines.

Mahrukh Adajania : No, no. Sorry, I didn't get that. Sorry, sir, could you please explain again?

Ashok Chandra: There was a release of INR 727 crores, which was kept in the standard account provision, because of the large borrower account framework under the guidelines of RBI, which the RBI modified that guidelines and it was effective from 1st January 2026. So because of that, there is a release of INR 727 crores in the standard account provision has happened.

Mahrukh Adajania : Got it sir . Okay sir. Sir these were my questions if I have more I will come back. Thank you.

Ashok Chandra: Yes madam thank you.

Moderator: Thank you. The next question is from the line of Jayant Kharote from Axis Capital. Please go ahead.

Jayant Kharote: Thank you sir. So, first question is on the LCR. What was the average LCR during the quarter? And what is our comfort for the next year at what levels do you want to run it?

Ashok Chandra: Around 125% we would like to keep it. And we are at almost at the same level as on March '26, 125%.

Jayant Kharote: Great. So the second question is in your guidance. I can see that you are building in NII growth of 7% despite the fact that you expect NIM s to be slightly better and credit growth of 12% to

13%, which means essentially you are running down your non -loan assets, right? It could be investment book or others, but your LCR doesn't have that headroom. So how do you plan to achieve that?

Ashok Chandra: See two things which we are planning now and we have already started working on that. One is if you see our CASA growth and especially in the CASA SB individual, there has been a very significant growth has happened 9. 1% growth has happened in the SB individual fund which is a core deposit.

And last year, lot of initiative in the bank has taken. Entire CASA products of the bank was revamped, and more than 40 lakh new quality accounts were opened. And in that, good traction has happened. Because of that, 9. 1% growth has happened. And we are expecting in those accounts further accretion will happen and the new account will get opened. So one is that we are expecting the good traction should happen in the CASA deposit this quarter.

Second is the retail term deposit. The bank is putting a lot of focus now. Because of these 2 things, we are expecting that cost of deposit going forward, it will come down. Second important aspect from the asset side is that we have started putting last year onwards, focus on mo

bilization

in the RAM portfolio, Retail, Agri and MSME. And we have seen the impact that is happening. Almost 20% every quarter, there has been a growth in the MSME front.

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And we know that MSME is the largest contributor and highest contributor in the profitability of the bank, not only our bank, in all the banks. High yield will be highest in the MSME segment. There we want to build up a good portfolio.

Second is the Agri sector. We have grown at 16% in the Agri priority sector. Retail excl. IBPC, we have grown at 18%. So Core Retail, Agri, and MSME, last year a lot of activities have happened. Lot of outreach at plants there happened. And because of that, this growth we have seen, and this momentum is going to continue in this financial year also.

Already in the first month itself, massive outreach activity for the retail has happened in more than 200 centres. We have mobilized INR 9,000 crores of the retail portfolio from the leads we have generated. On 27th of April, we had the MSME outreach activity at MSME clusters at 200 centres, 220 centres in the country. We have mobilized INR 21,000 crores of leads under that MSME segment. And then on 8th May, we are going to have a Agri Outreach at more than 200 centres.

So these are the activities which we are doing it so that the dependency on the corporate loan book as of now, which is there to the extent of around 46% to 47%, we want to bring that share down to, in the long term it is 40%, short term it is 42%, and in the RAM we want to bring it to 60% in the long run and around 58% in this financial year.

So if that composition happens, automatically my yield on advances will go up, and that will contribute in a bigger way in our NII.

Jayant Kharote: So this would be baked in your NIM guidance of 2.6% to 2.7%, right?

Ashok Chandra: We are definitely. Yes, yes definitely we are going to do this.

Jayant Kharote: So I'm just trying to understand why would you guide for an NII growth of only 7% when you're expecting NIM expansion and 12%, 13% credit growth?

Ashok Chandra: You are talking about NII. Okay. Now, see, when we are talking about this growth to happen and it is not that the entire scenario will get changed. When our NIM will be in the range of 2.6% to 2.7%, so I don't think and we should not expect that NII will grow at 10% to 12%. It will not happen.

So if my NIM is just growing by 10 basis points improvement is going to happen, then definitely I think the NII also will be in the same range. We are going to revisit. Because of the present situation, we have kept this for the next two quarters. We will watch the situation, how the deposit rate happens in the system and how the credit outflow happens. Based on that, we'll revisit in the month of October.

Jayant Kharote: And sir, just one data point, I don't know if you've given already. What was the adjustment in the employee cost on the yield hardening, the amount?

Ashok Chandra: Total impact of, positive impact is INR 2,121 crores.

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Jayant Kharote: INR 2,121 crores?

Ashok Chandra: Yes.

Jayant Kharote: Thank you very much sir.

Ashok Chandra: Yes.

Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Sir, continuing from the previous question. Sir, it looks like mathematically, you know, the guidance, if you were to break down for loan growth will remain at 12%, 13%. And NII, we are saying, will be lower than credit growth. So then mathematically, NIM should decline, right? So how these 3 things tally if the NII growth is lower than credit growth, then ideally your NIM should decline.

If NIM is expanding, then NII growth should be higher than credit growth. So that is the question, sir. Or are the NIM number is exit quarter, though it

does not look like that, but, just wanted a clarity there.

Ashok Chandra: No, no. See, we have kept this NII at 7% as a conservative level because the portfolio under the deposit and portfolio under the asset side, still a lot of things have to happen in the system. See our core RAM growth, RAM share in the overall credit is around 54%. Now in this financial year, we are trying to at least from 54% to 56%, 57% we are trying to reach now.

If that happens, there will be some improvement in our yield on advances. Because as of now, bank is totally in reverse towards the corporate side. We had, in fact, one year back, we were having around almost 49% , 50% in the corporate loan book, which we have brought it down to around 46% now.

So, the moment my corporate loan book starts coming down , and it comes to around 40% and the RAM share becomes 60%, I think the lever of the NII will definitely , it will improve now , because then we will have a total visibility at what rate we have quoted and what rate the asset is started, I think that is going to continue.

Corporate loan book, every day there is a challenge. So , there is a uncertainty in the corporate loan book, and that is the reason we can't forecast that my NII can grow at 12% to 13% since our credit growth is happening at 12% to 13%. That doesn't happen. So, we need to rebalance and redesign our portfolio in such a way that there has to be sustainable growth in the interest side, it should be there. So that is the reason we have kept some conservative level at the NII level.

Jai Mundhra: Okay , sure. And secondly, sir, this portfolio core retail, core RAM and the reported RAM , it looks like that IBPC portfolio is still INR70,000 crore. Is that the numbers are broadly correct?

Ashok Chandra: No, no, no. It has come down to INR3 4,049 crores now.

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Jai Mundhra: Okay. And this will come down to almost a negligible level by, let's say, FY27 end ?

Ashok Chandra: Yes, yes, yes. See, last year almost INR19,000 crores we have shed, and that too in the retail segment , because this was all the low -yielding advances. Despite that, we have grown at reasonably well.

So, what we are doing is we are going to replenish all those IBPC at whatever is there at the lower range , and around INR18,000 crores to INR20,000 crores further it will be reduced. We want to totally come out of this IBPC business. In fact, going forward, a lot of things you will see happening in the retail, agri and MSME side, the core activities.

Jai Mundhra: Right , right. So, sir, I'm just looking at the slide 10, so which says that retail INR2,80,000 crores and retail excluding IBPC is INR2,51,000 crore s. So roughly INR29,000 crore s there. And Agri

PS. Okay, so only -- Agri PS is priority sector, right? The difference is not the IBPC. The only IBPC sitting is only in retail.

Ashok Chandra: IBPC is only in the retail. It is only in the retail.

Jai Mundhra: Sure. Okay. Sir, sorry, coming back to NIM question. So there are two components. One , is yield, which you explained as this core retail portfolio improves, there will be uptick in the yield.

On the cost of deposit side, this quarter, the cost of deposit has only declined by four basis point .

Maybe there was some activity on the wholesale bulk deposit short -term also. So , how should one look at cost of deposit? Will your cost of deposit keep declining , or they will be broadly stable or they will start moving up? How to look at cost of deposit?

Ashok Chandra: I think, we are seeing and we are very closely watching our incremental cost of deposit. And I have compared the January, February, March and April , 30th of April also. There has been some decline happening in the incremental cost of deposit, and that is one part.

Second part is that, '24 , '25, we had one special scheme, which I had mentioned last time also, 7.25% and 7.7

5% , 444 -day. Almost 95% of those things also have been repriced by end of the Q4. So , the new deposit , which we are garnering it, and that too if it is happening at a lower cost , so we are expecting that the Q1 and Q2, definitely there will be some improvement on account of this in our NII. So maybe around five basis point I am expecting that definitely some improvement it will happen in the cost of deposit side.

Jai Mundhra: Right , right. Sure. Secondly, sir, on the let's say on the SMA book and ECL, sir, last quarter we had said that INR9,000 crore s to INR10,000 crore s was the provisioning shortfall as per the draft guidelines. Now, if you had a chance to look at the final circular, does that ECL transition impact of INR9,000 crore s to INR10,000 crore s, does that broadly number remains , or there is a revision to that number?

Ashok Chandra: I think, for the final number, I think, we just wait for another two quarters, because already we have onboarded the digital platform now, and the modelling is also in place. But I can assure you one thing that, the credit -- the capital adequacy , which the bank is having and the floating

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provision , which we have kept, it is sufficient to take care of my ECL requirement, which will start from the 1st April. Absolutely , we don't see any challenge and any the threat on our balance sheet at all.

Jai Mundhra: Right. No, no, sir, capital is very robust, maybe all -time high and that NPA anyway has been coming down.

Ashok Chandra: And one more thing I will tell you , towards this capital side. See, last year, we have taken permission for INR4,000 crores CET1 and INR4,000 crores of AT1, INR8,000 crores of capital raising, which we had planned and we have taken the approval from the Board. And we didn't get a n opportunity or didn't feel that we should go to the market , and we have not raised any capital last year. Despite that, INR 5,489 crores got matured. AT1 INR 495 crore, and Tier 2 - ~INR 5,000 crore s maturity / exercise of call option was there. With all those things and not raising the capital, our capital position is 17.74% now.

So to some extent, the interest , which we were paying on these bonds, that also we have calculated that how much additional gain , which is going to happen because of non -raising of the bond. That amount is coming to around INR 175 crore s. That accrual will happen in this financial year . So we are very mindful. And in fact, this year also INR 5,890 crore s AT1 bond plus Tier 2 , they are completing now. And we are not going to raise any capital.

Jai Mundhra: Okay. Sure. And sir, if you have this number in absolute rupees crores for SMA -0,1 and 2. You had given 3% for total. But I just needed the 0, 1 and 2 separately at the bank level ?

Ashok Chandra: I will give you.

Jai Mundhra: Yes sir. Then I have one question. Yes sir.

Ashok Chandra: You want, retail segment -wise, or SMA -0, 1, 2 you want?

Jai Mundhra: 0, 1, 2 , sir.

Ashok Chandra: Okay. SMA -0 is INR24,643 crore s.

Jai Mundhra: Okay.

Ashok Chandra: SMA -1 is INR13,970 crore s and SMA -2 is INR2,922 crore s. All put together it is INR41,534 crores which is 3.30% of the total advances . This is irrespective of amount. It is the entire SMA - 0, 1, 2 portfolio.

Jai Mundhra: Right. And last question, sir, on AFS reserves, right? So , we have had some, I think, INR500 crores of revaluation , a negative number. But last quarter, we also had one listed investment , which keeps fluctuating. So , was it due to that? And what was the change in AFS reserves , I mean, what is the outstanding AFS reserves as of March 31st versus maybe December 31st ?

Ashok Chandra: It is only because of that particular asset , which you are mentioning, mainly because of that only the fluctuation has happened. One asset only.

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Jai Mundhra: Okay . But, s ir, we had taken the MTM in last quarter also , and then this again we had MTM ...

Ashok Chandra: See what has happened , if you see the -- March 26 , what has happened because of the crisis, market has , deeply it has fall down in that particular day . And we take the figure as on March 26th. So, now it has gone up now. So that is the challenge in the system.

Jai Mundhra: Right , right . And sir, you said the number for outstanding AFS reserves as of March and maybe as of December ? That will be it from my side, sir.

Ashok Chandra: AFS reserves , yes, we'll give you. We'll give you.

Jai Mundhra: Sure, sir. No problem. I'll take it from Grover. No problem. Thank you.

Moderator: Thank you. The next question is from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian: Yes, hi. Good evening, sir. Thanks for taking my question.

Ashok Chandra: Good evening.

Param Subramanian: Sir, firstly, on the ECL, I think you spoke about the one-time adjustment rough numbers about that. But, say, on a run rate credit cost basis, have you evaluated what can be the impact? So, like, you're saying that credit cost is below 0.4% is your guidance for FY27. But if you were to implement ECL, how much, say, would the impact be on your run rate credit cost?

Ashok Chandra: Yes, yes, we have roughly calculated. And I will tell you that for ECL, let us wait for another 2 quarters. By July, I think we will have a very clear visibility that what is going to happen in our system. But rough calculation which we have done, we are perfectly in line with the capital requirement, what is to be done and the asset quality, what should be there. We are perfectly in line and we don't have any challenge. Floating provision, we have already kept more than INR2,000 crores, INR2,045 crores.

So rough calculation which bank has done, we are able to meet all those things, which is going to happen in the system from 1st April 2027. Actual number, let us wait for some time and then we will discuss about the actual number which is there in the system.

Param Subramanian: Just a follow-up on that title. Capital, I think we appreciate, right, that you are very capitalized. But the question is more how it affects your ROA. Will you be able to deliver over 1% ROA...

Ashok Chandra: Yes, yes, absolutely. Why I will tell you, see we have 97% PCR, right?

Param Subramanian: Yes.

Ashok Chandra: Stage 3, I think sufficient release can happen in the system now once the ECL gets implemented. Having 97% PCR, INR2,000 crores of floating provision in the system and 17.74% for the capital adequacy, I think these 3 things should give the confidence to all the investors that perfectly bank is in a very, very comfortable position.

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Param Subramanian: Right, sir. Sir another question...

Ashok Chandra: And that too had to be implemented in 5 years. We don't require 5 years, I can tell you. We will do it in 1 or 2 years itself.

Param Subramanian: Perfect. I look forward to the more detailed numbers that you'll discuss on next quarter. Sir, secondly, on your NIM. So last quarter you had given this, you know, on TD repricing, you had given some rough numbers, that 70% of your term deposit had repriced. Where are we now, roughly?

Ashok Chandra: Now, so those -- yes, those special deposits, which I had mentioned in our previous call, that is almost 95% have been repriced in the end of March. But we have not seen much the traction happening or the reduction happening in the cost of deposit has happened, we were expecting that the February and March the deposit rate will come down because of the repo cut and the inflation scenario.

But that has not happened in the system. Still the deposit rate is a little bit elevated. So that is one of the reasons why the impact we are not able to see in our N

II and the NIM. But I will tell

you, incremental deposit, which we are mobilizing in the month of February, March and April, every month, there has been a reduction. Of course, 2 to 3 basis point reductions are happening every month.

Param Subramanian: Fair enough. So, this improvement in NIM that you're talking about to 2.6% to 2.7% will mainly be funding cost or it will mainly be the mix shift you're talking about on the loan book?

Ashok Chandra: Both I'm talking. One is the deposit side. And second is the RAM share, which we are planning to increase and the activity which we are doing. Both sides it will improve.

Param Subramanian: Fair enough, sir. Sir, one last question, sir, on the wage revision. So, Finance Ministry has started asking the public sector banks to start the negotiation. So, by when can we -- and where are we positioned, if you have any rough numbers that we can talk about in terms of...

Ashok Chandra: See. The wage revision due itself is the 1st November 2027. So financial year '26-'27, it doesn't impact at all.

Param Subramanian: Sure, sir. So, it is not -- you will not start making provisions for this?

Ashok Chandra: No.

Param Subramanian: Okay. Fair enough, sir. Thank you so much and congrats on the quarter.

Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities.

Ashlesh Sonje: Hi, Sir. Good afternoon firstly, just a clarification on the AS-15 provision number you gave of about INR2,100 crores. Is that the amount of provision that you have reversed in this quarter?

So, it was a negative provision which you made in this quarter?

Ashok Chandra: Yes, correct. My CFO will respond to you.

Raman Grover: Sir, we have a total provision of INR1,814 crores AS-15 for this financial year. There was a reversal, but now to that extent, it was in 3 digits only. It was up to INR736 crores.

Ashlesh Sonje: Okay. But in this quarter, the provision towards AS -15 was a negative INR2,100 crores. Is that, understanding, correct?

Raman Grover: No, no. It was not. Sir, I tell you, first quarter it was INR1,150crores we made the provision. Second quarter we have again made a provision of INR700 crore. Quarter 3, again we made a provision of INR700 crore. And this time, because of the hardening of the government security rates, there was no need of making further provisions in AS -15. We treat it as a prepaid AS -15 to the extent of INR736 crore, and the balance INR1,814 crores has been booked as an expenditure in the employee cost, sir.

Ashlesh Sonje: Sir secondly, if you can share what is the average yield on your corporate book versus the average yield on the RAM book so that we can get a sense of how much benefit you can get from a loan mix?

Ashok Chandra: Yes. Corporate yield on standard advance is 7.55%. And MSME standard advance yield is 9%. And if you see our domestic yield on standard advances , that is 8.23%. So corporate loan book gives us lower than the domestic yield of all the sectors.

Ashlesh Sonje: Understood, sir. Got it. Thank you, sir. Those are all the questions I had. Thank you.

Moderator: That was the last question for the day. I now hand the conference over to the management for closing comments.

Ashok Chandra: Thank you very much to all the esteemed the investors and analysts. I think the way you are reposing faith in our bank. On behalf of the entire bank, I can assure you that we have a very, very robust system in place, and we are mindful of growth, profitability and asset quality. I think the faith which you have maintained, I request that you maintain the same trust and confidence in PNB. We will continue to give the very consistent profit performance. Thank you very much.

Moderator: Thank you. On behalf of Elara Securities, that concludes this conference. Thank you for joining us, and you may now disconnect

your lines.